27 July 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Market sentiment was supported by reports that Pakistan and Iran were exploring new peace talks with the US and that oil exports from the Middle East continued to flow. Over the weekend, the US paused strikes against Iran as tensions in the region continued to escalate.

On Friday, major US equity markets were mixed, while oil prices fell sharply and bond markets rallied following a 4% decline in Brent crude prices. The US dollar was broadly unchanged, while the Aussie was slightly higher against the greenback.

Markets are now pricing in a 38% chance of a US Federal Reserve rate hike this week, up from 13% a week ago.

In Australia, OIS pricing points to a terminal cash rate of around 4.65% this year, with one additional rate hike expected by December. However, this is likely to shift this week depending on the Q2 inflation outcome, which will be released later in the week.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	65.4	-0.5%
AUD/USD	0.6979	0.1%
AUD/JPY	114.35	0.2%
AUD/GBP	0.5241	0.1%
AUD/NZD	1.2073	0.0%
AUD/EUR	0.6140	0.2%
AUD/CNH	4.7274	0.1%
AUD/SGD	0.9013	0.1%
AUD/HKD	5.4764	0.2%
AUD/CAD	0.9807	-0.1%
EUR/USD	1.1370	-0.1%
USD/JPY	163.83	0.0%
USD Index	101.47	0.0%

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.40	0.02
90 day BBSY	4.59	0.04
180 day BBSY	4.93	0.07
1 year swap	4.68	-0.01
2 year swap	4.68	-0.01
3 year swap	4.66	0.01
4 year swap	4.66	-0.01
5 year swap	4.68	-0.01
6 year swap	4.72	-0.01
7 year swap	4.77	0.00
8 year swap	4.82	-0.01
9 year swap	4.86	-0.01
10 year swap	4.90	-0.01

Equities	Close	Change
S&P/ASX 200	8,772	-0.8%
S&P 500	7,412	0.0%
Japan Nikkei	64,611	-2.7%
Hang Seng	24,963	-1.0%
Euro Stoxx 50	6,281	1.1%
UK FTSE100	10,736	0.9%
VIX Index	18.58	-0.6%

Commodities	Current	Change
CRB Index	395.67	-1.1%
Gold	4052.79	0.1%
Copper	13645	0.4%
Oil (WTI futures)	89.31	-3.1%
Coal (coking)	221.00	-0.9%
Coal (thermal)	137.75	1.1%
Iron Ore	97.90	-0.3%
ACCU	36.13	-4.3%

Government Bond Yields	Close	Change
Australia		
3 year bond	4.72	0.11
10 year bond	5.09	0.10
United States		
3-month T Bill	3.81	0.00
2 year bond	4.33	-0.02
10 year bond	4.68	-0.02
Other (10 year yields)		
Germany	3.17	-0.03
Japan	2.82	0.03
UK	5.03	-0.07

Sydney Futures Exchange	Current	Change
10 yr bond	5.08	-0.04
3 yr bond	4.68	-0.04
3 mth bill rate	4.47	0.00
SPI 200	8,766	0.6%

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

Pat Bustamante
Senior Economist, Westpac Group
P: +61 468 571 786
E: pat.bustamante@westpac.com.au

Financial Markets

- Markets settled on Friday as investors responded to reports that Pakistan and Iran were exploring options to enter new peace talks with the US, alongside reports that oil was still able to flow out of the Middle East. Brent crude prices retreated from US$100 a barrel, falling 4%, its biggest one-day drop since late June.
- Over the weekend, reports suggested the US paused strikes against Iran for a second consecutive night as tensions continued to escalate in the Red Sea following clashes involving Yemen's Houthi militants and Saudi Arabia. The Houthis claimed responsibility for missile and drone attacks on Saudi Aramco-linked facilities in Jizan and Yanbu, prompting retaliatory strikes by a Saudi-led coalition.
- US equity markets were mixed. The S&P 500 finished broadly unchanged, while the Dow Jones Industrial Average rose 0.4% and the tech-heavy Nasdaq fell 0.6%. Market volatility eased, with the VIX Index falling 0.6% to 18.6. Over the week, however, key US equity indices were lower, with the S&P 500 and Dow Jones Industrial Average falling 0.6% and 0.4%, respectively, while the Nasdaq underperformed, falling 2.1%.
- European equities outperformed, supported by lower oil prices and stronger-than-expected PMI results. The Euro Stoxx 50 rose 1.1%, Germany's DAX gained 1.4% and the FTSE 100 increased 0.9%. In Asia, equities were weaker, with the Nikkei falling 2.7% and the Hang Seng declining 1.0%. Locally, the S&P/ASX 200 fell 0.8% to 8,772. SPI futures were up 0.6%, pointing to a firmer open for the Aussie market.
- Bond markets rallied modestly on the back of the falls in oil prices. In the US, the 2-year Treasury yield fell 2bps to 4.33%, while the 10-year Treasury yield declined 2bps to 4.68%. Traders are now pricing in roughly a 38% chance of a rate hike at this week's Federal Reserve meeting, up from just 13% a week ago. European yields also moved lower, with German 10-year Bund yields falling 3bps to 3.17% and UK 10-year gilt yields down 7bps to 5.03%. Japanese 10-year government bond yields rose 3bps to 2.82%.
- Australian bond yields moved higher in cash markets but lower in futures trading. The 3-year government bond yield rose 11bps to 4.72%, while the 10-year yield increased 10bps to 5.09%. However, Sydney Futures Exchange pricing showed the 3-year and 10-year futures yields both down 4bps, suggesting a stronger open for the local bond market. OIS pricing suggests a terminal cash rate of around 4.65% this year, with the market pricing in one more hike by December this year.

Today's key data and events

Time	Event	Exp	Prev
11:30	CN Industrial Profits Jun	-	21.1%
18:00	EZ M3 Money Supply Jun	-	3.2%
22:30	US Durable Goods Orders Jun Prel.	1.4%	-4.5%
0:30	US Dallas Fed Manufacturing Jul	-	0pts

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

- In foreign exchange markets, the US dollar index was broadly unchanged, while the Aussie was broadly firmer. The AUD/USD rose 0.1% to 0.6979, while the Australian dollar also gained against the Japanese yen (+0.2%), pound sterling (+0.1%), euro (+0.2%), Chinese yuan (+0.1%), Singapore dollar (+0.1%) and Hong Kong dollar (+0.2%). The trade-weighted index (TWI) eased 0.5% to 65.4, while the Australian dollar was unchanged against the New Zealand dollar and slipped 0.1% against the Canadian dollar.
- Commodity markets were generally weaker. The commodity index fell 1.1%, reflecting declines across energy and carbon markets. WTI crude oil dropped 3.1% to US$89.31/bbl following reports that Pakistan and Iran were exploring options to enter new peace talks with the US. Iron ore fell 0.3% to US$97.90/t, while coking coal declined 0.9%. Thermal coal was a notable exception, rising 1.1%. Copper increased 0.4%, supported by ongoing supply concerns, while gold edged 0.1% higher.

International Data

US new homes sales gained 1.6% in June after May's decline was revised from -7.3% to -4.3%. The current level of sales is almost 40% below the late-2020 peak.

The **US S&P manufacturing PMI** was little changed at 53.8 in July while the services measures improved from 51.2 to 53.6. A similar result was seen for the **Euro Area**, the manufacturing PMI reported at 52.0 and the services index 51.6, and the **UK**, manufacturing and services PMIs, respectively 52.8 and 51.8.

UK GfK consumer confidence improved from -23 to -17 in July, modestly below the survey's full-history average.

UK retail sales surprised materially to the upside in June, registering a 1.0% gain after a 1.2% increase in May. Activity was broad based, sales rising 1.1% in June excluding fuel. Over the year, sales are up 4.2% overall and 5.4% excluding fuel.

Local Data

The **Westpac-Now** continues to point to GDP growth of around 0.2%qtr in Q2, broadly in line with the sluggish 0.3%qtr outcome in Q1 2026. However, the Westpac Monthly Activity Index is showing tentative signs of stabilising (see here).

Corporate Directory

Westpac Economics / Australia

Sydney
Level 19, 275 Kent Street
Sydney NSW 2000
Australia

E: economics@westpac.com.au

Luci Ellis
Chief Economist Westpac Group
E: luci.ellis@westpac.com.au

Matthew Hassan
Head of Australian Macro–Forecasting
E: mhassan@westpac.com.au

Elliot Clarke
Head of International Economics
E: eclarke@westpac.com.au

Sian Fenner
Head of Business and Industry Economics
E: sian.fenner@westpac.com.au

Justin Smirk
Senior Economist
E: jsmirk@westpac.com.au

Pat Bustamante
Senior Economist
E: pat.bustamante@westpac.com.au

Mantas Vanagas
Senior Economist
E: mantas.vanagas@westpac.com.au

Ryan Wells
Economist
E: ryan.wells@westpac.com.au

Illiana Jain
Economist
E: illiana.jain@westpac.com.au

Neha Sharma
Economist
E: neha.sharma1@westpac.com.au

Luka Belobrajdic
Economist
E: luka.belobrajdic@westpac.com.au

Westpac Economics / New Zealand

Auckland
Takutai on the Square
Level 8, 16 Takutai Square
Auckland, New Zealand

E: economics@westpac.co.nz

Kelly Eckhold
Chief Economist NZ
E: kelly.eckhold@westpac.co.nz

Michael Gordon
Senior Economist
E: michael.gordon@westpac.co.nz

Darren Gibbs
Senior Economist
E: darren.gibbs@westpac.co.nz

Satish Ranchhod
Senior Economist
E: satish.ranchhod@westpac.co.nz

Paul Clark
Industry Economist
E: paul.clarke@westpac.co.nz

Westpac Economics / Fiji

Suva
1 Thomson Street
Suva, Fiji

Shamal Chand
Senior Economist
E: shamal.chand@westpac.com.au

DISCLAIMER

Things you should know

We respect your privacy: You can view the New Zealand Privacy Policy here, or the Australian Group Privacy Statement here. Each time someone visits our site, data is captured so that we can accurately evaluate the quality of our content and make improvements for you. We may at times use technology to capture data about you to help us to better understand you and your needs, including potentially for the purposes of assessing your individual reading habits and interests to allow us to provide suggestions regarding other reading material which may be suitable for you.

Disclaimer

This information has been prepared by Westpac and is intended for information purposes only. It is not intended to reflect any recommendation or financial advice and investment decisions should not be based on it. This information does not constitute an offer, a solicitation of an offer, or an inducement to subscribe for, purchase or sell any financial instrument or to enter into a legally binding contract. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice. Certain types of transactions, including those involving futures, options and high yield securities give rise to substantial risk and are not suitable for all investors. We recommend that you seek your own independent legal or financial advice before proceeding with any investment decision.

This information may contain material provided by third parties. While such material is published with the necessary permission none of Westpac or its related entities accepts any responsibility for the accuracy or completeness of any such material. Although we have made every effort to ensure this information is free from error, none of Westpac or its related entities warrants the accuracy, adequacy or completeness of this information, or otherwise endorses it in any way. Except where contrary to law, Westpac Group intend by this notice to exclude liability for this information. This information is subject to change without notice and none of Westpac or its related entities is under any obligation to update this information or correct any inaccuracy which may become apparent at a later date. This information may contain or incorporate by reference forward looking statements. The words “believe”, “anticipate”, “expect”, “intend”, “plan”, “predict”, “continue”, “assume”, “positioned”, “may”, “will”, “should”, “shall”, “risk” and other similar expressions that are predictions of or indicate future events and future trends identify forward-looking statements. These forward-looking statements include all matters that are not historical facts. Past performance is not a reliable indicator of future performance, nor are forecasts of future performance. Whilst every effort has been taken to ensure that the assumptions on which any forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The ultimate outcomes may differ substantially from any forecasts.

Conflicts of Interest: In the normal course of offering banking products and services to its clients, the Westpac Group may act in several capacities (including issuer, market maker, underwriter, distributor, swap counterparty and calculation agent) simultaneously with respect to a financial instrument, giving rise to potential conflicts of interest which may impact the performance of a financial instrument. The Westpac Group may at any time transact or hold a position (including hedging and trading positions) for its own account or the account of a client in any financial instrument which may impact the performance of that financial instrument.

Author(s) disclaimer and declaration: The author(s) confirms that (a) no part of his/her compensation was, is, or will be, directly or indirectly, related to any views or (if applicable) recommendations expressed in this material; (b) this material accurately reflects his/her personal views about the financial products, companies or issuers (if applicable) and is based on sources reasonably believed to be reliable and accurate; (c) to the best of the author’s knowledge, they are not in receipt of inside information and this material does not contain inside information; and (d) no other part of the Westpac Group has made any attempt to influence this material.

Further important information regarding sustainability related content: This material may contain statements relating to environmental, social and governance (ESG) topics. These are subject to known and unknown risks, and there are significant uncertainties, limitations, risks and assumptions in the metrics, modelling, data, scenarios, reporting and analysis on which the statements rely. In particular, these areas are rapidly evolving and maturing, and there are variations in approaches and common standards and practice, as well as uncertainty around future related policy and legislation. Some material may include information derived from publicly available sources that have not been independently verified. No representation or warranty is made as to the accuracy, completeness or reliability of the information. There is a risk that the analysis, estimates, judgements, assumptions, views, models, scenarios or projections used may turn out to be incorrect. These risks may cause actual outcomes to differ materially from those expressed or implied. The ESG-related statements in this material do not constitute advice, nor are they guarantees or predictions of future performance, and Westpac gives no representation, warranty or assurance (including as to the quality, accuracy or completeness of the statements). You should seek your own independent advice.

Additional country disclosures:

Australia: Westpac holds an Australian Financial Services Licence (No. 233714). You can access Westpac’s Financial Services Guide here or request a copy from your Westpac point of contact. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice.

New Zealand: In New Zealand, Westpac Institutional Bank refers to the brand under which products and services are provided by either Westpac (NZ division) or Westpac New Zealand Limited (company number 1763882), the New Zealand incorporated subsidiary of Westpac (“WNZL”). Any product or service made available by WNZL does not represent an offer from Westpac or any of its subsidiaries (other than WNZL). Neither Westpac nor its other subsidiaries guarantee or otherwise support the performance of WNZL in respect of any such product. WNZL is not an authorised deposit-taking institution for the purposes of Australian prudential standards. The current disclosure statements for the New Zealand branch of Westpac and WNZL can be obtained at www.westpac.co.nz.

Singapore: This material has been prepared and issued for distribution in Singapore to institutional investors, accredited investors and expert investors (as defined in the applicable Singapore laws and regulations) only. Recipients of this material in Singapore should contact Westpac Singapore Branch in respect of any matters arising from, or in connection with, this material. Westpac Singapore Branch holds a wholesale banking licence and is subject to supervision by the Monetary Authority of Singapore.

Disclaimer continues overleaf ▶

Fiji: Unless otherwise specified, the products and services for Westpac Fiji are available from www.westpac.com.fj © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia and registered as a branch in Fiji. The liability of its members is limited.

Papua New Guinea: Unless otherwise specified, the products and services for Westpac PNG are available from www.westpac.com.pg © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia. Westpac is represented in Papua New Guinea by Westpac Bank - PNG - Limited. The liability of its members is limited.

U.S: Westpac operates in the United States of America as a federally licensed branch, regulated by the Office of the Comptroller of the Currency. Westpac is also registered with the US Commodity Futures Trading Commission ("CFTC") as a Swap Dealer, but is neither registered as, or affiliated with, a Futures Commission Merchant registered with the US CFTC. The services and products referenced above are not insured by the Federal Deposit Insurance Corporation ("FDIC"). Westpac Capital Markets, LLC ('WCM'), a wholly-owned subsidiary of Westpac, is a broker-dealer registered under the U.S. Securities Exchange Act of 1934 ('the Exchange Act') and member of the Financial Industry Regulatory Authority ('FINRA'). In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WCM other than as provided for in certain legal agreements between Westpac and WCM and obligations of WCM do not represent liabilities of Westpac.

This communication is provided for distribution to U.S. institutional investors in reliance on the exemption from registration provided by Rule 15a-6 under the Exchange Act and is not subject to all of the independence and disclosure standards applicable to debt research reports prepared for retail investors in the United States. WCM is the U.S. distributor of this communication and accepts responsibility for the contents of this communication. Transactions by U.S. customers of any securities referenced herein should be effected through WCM. All disclaimers set out with respect to Westpac apply equally to WCM. If you would like to speak to someone regarding any security mentioned herein, please contact WCM on +1 212 389 1269. Investing in any non-U.S. securities or related financial instruments mentioned in this communication may present certain risks. The securities of non-U.S. issuers may not be registered with, or be subject to the regulations of, the SEC in the United States. Information on such non-U.S. securities or related financial instruments may be limited. Non-U.S. companies may not be subject to audit and reporting standards and regulatory requirements comparable to those in effect in the United States. The value of any investment or income from any securities or related derivative instruments denominated in a currency other than U.S. dollars is subject to exchange rate fluctuations that may have a positive or adverse effect on the value of or income from such securities or related derivative instruments.

The author of this communication is employed by Westpac and is not registered or qualified as a research analyst, representative, or associated person of WCM or any other U.S. broker-dealer under the rules of FINRA, any other U.S. self-regulatory organisation, or the laws, rules or regulations of any State. Unless otherwise specifically stated, the views expressed herein are solely those of the author and may differ from the information, views or analysis expressed by Westpac and/or its affiliates.

UK: The London branch of Westpac is authorised in the United Kingdom by the Prudential Regulation Authority (PRA) and is subject to regulation by the Financial Conduct Authority (FCA) and limited regulation by the PRA (Financial Services Register number: 124586). The London branch of Westpac is registered at Companies House as a branch established in the United Kingdom (Branch No. BR000106). Details about the extent of the regulation of Westpac's London branch by the PRA are available from us on request.

This communication is not being made to or distributed to, and must not be passed on to, the general public in the United Kingdom. Rather, this communication is being made only to and is directed at (a) those persons falling within the definition of Investment Professionals (set out in Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (the "Order")); (b) those persons falling within the definition of high net worth companies, unincorporated associations etc. (set out in Article 49(2)of the Order; (c) other persons to whom it may lawfully be communicated in accordance with the Order or (d) any persons to whom it may otherwise lawfully be made (all such persons together being referred to as "relevant persons"). Any person who is not a relevant person should not act or rely on this communication or any of its contents. In the same way, the information contained in this communication is intended for "eligible counterparties" and "professional clients" as defined by the rules of the Financial Conduct Authority and is not intended for "retail clients". Westpac expressly prohibits you from passing on the information in this communication to any third party.

European Economic Area ("EEA"): This material may be distributed to you by either: (i) Westpac directly, or (ii) Westpac Europe GmbH ("WEG") under a sub-licensing arrangement. WEG has not edited or otherwise modified the content of this material. WEG is authorised in Germany by the Federal Financial Supervision Authority ('BaFin') and subject to its regulation. WEG's supervisory authorities are BaFin and the German Federal Bank ('Deutsche Bundesbank'). WEG is registered with the commercial register ('Handelsregister') of the local court of Frankfurt am Main under registration number HRB 118483. In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WEG other than as provided for in certain legal agreements (a risk transfer, sub-participation and collateral agreement) between Westpac and WEG and obligations of WEG do not represent liabilities of Westpac. Any product or service made available by WEG does not represent an offer from Westpac or any of its subsidiaries (other than WEG). All disclaimers set out with respect to Westpac apply equally to WEG.

This communication is not intended for distribution to, or use by any person or entity in any jurisdiction or country where such distribution or use would be contrary to local law or regulation.

This communication contains general commentary, research, and market colour. The communication does not constitute investment advice. The material may contain an 'investment recommendation' and/or 'information recommending or suggesting an investment', both as defined in Regulation (EU) No 596/2014 (including as applicable in the United Kingdom) ("MAR"). In accordance with the relevant provisions of MAR, reasonable care has been taken to ensure that the material has been objectively presented and that interests or conflicts of interest of the sender concerning the financial instruments to which that information relates have been disclosed.

Investment recommendations must be read alongside the specific disclosure which accompanies them and the general disclosure which can be found here. Such disclosure fulfils certain additional information requirements of MAR and associated delegated legislation and by accepting this communication you acknowledge that you are aware of the existence of such additional disclosure and its contents.

To the extent this communication comprises an investment recommendation it is classified as non-independent research. It has not been prepared in accordance with legal requirements designed to promote the independence of investment research and therefore constitutes a marketing communication. Further, this communication is not subject to any prohibition on dealing ahead of the dissemination of investment research.

Week beginning 27 July 2026

AUSTRALIA & NEW ZEALAND WEEKLY

Analysis and forecasts for this week's key releases.

In this week's edition:

Economic Insight: High on their own (estimates of) supply.

The Week That Was: Markets on edge.

Focus on New Zealand: Inflation back at a two-year high, upside risk building.

For the week ahead:

Australia: CPI, dwelling approvals, private sector credit, Q2 export and import price indices, PPI.

New Zealand: Employment indicator, business confidence, consumer confidence.

Japan: BoJ policy decision, Tokyo CPI, jobless rate, industrial production.

China: Industrial profits, NBS manufacturing PMI, NBS non-manufacturing PMI.

Euro Area: Q2 GDP, HICP inflation, unemployment rate, economic confidence.

United Kingdom: BoE policy decision.

United States: FOMC Policy Decision, Q2 GDP, Q2 employment cost index, PCE deflator, personal income.

Information contained in this report current as at 24 July 2026.

High on their own (estimates of) supply

Luci Ellis
Chief Economist, Westpac Group

- **Monthly labour market data can be noisy, so it pays not to put too much weight on one month's figures. Assessing trends over several periods is one way to cut through the noise, though this means you are partly using stale information. Measures that deal with outliers in current-period data are another.**
- **Also important is cross-checking using related data. Not only does this allow us to smooth through noise, but sometimes it reveals something about how we should interpret fluctuations in top-line data. This is clearly the case for current labour market data, which are behaving differently to the past, but exactly how we should expect when the labour market is roughly in balance.**
- **In any assessment, it is crucial to avoid excessive focus on demand-side frames of analysis. When demand and supply are roughly in balance, supply shocks and trends are at least as important as the demand-side factors that dominate when economic slack is significant. The RBA seems to be downplaying the role for short-term noise in supply in its labour market analysis, as well as taking a different view of supply trends than Treasury.**

Recent labour market data highlight how important it is not to put too much weight on one month's figures. As our colleague Ryan Wells flagged ahead of the April release, the timing of Easter dampened employment growth in the month, only to bounce back in May. Not everyone saw that coming. The June monthly number might also have a timing-related noise component to it, in the opposite direction.

Assessing trends over several periods is one way to cut through the noise, though this means you are partly using stale information. Removing outliers from the current period's data is another, as with the trimmed mean and similar measures of underlying inflation. Also useful is triangulating across a whole dataset and related data. This is one reason why the richness and detail of the ABS's labour market data are so valuable. It affords multiple ways to cross-check.

One way to cross-check is to use a different frame for the same concept. This could mean triangulating heads employment growth with growth in hours worked, or the ratio of employment to population instead of a simple growth rate. The ABS uses estimated population growth to scale up employment changes in the sample of people it surveys into an economy-wide figure. Because official population statistics are published with a lag, this scaling (and so reported employment growth) is prone to revision, especially when population growth is changing. And as one of my old bosses used to remind us, revisions to history are one of the main causes of a change in your view about the economy. The employment-to-population ratio is robust to this issue, and an important cross-check.

Even better cross-checks on employment growth can be found in measures of labour market slack. Unemployment, underemployment and job vacancies are currently a much clearer – and less noisy – through-line on the state of the labour market than employment growth has been lately. That was not the case a few months ago, when reported underemployment was surprisingly low. As another of my old bosses always reminded us, though, if the data look wrong, they probably are. Ryan highlighted in his preview of the June labour data that, after the May release, the ABS reported some systems errors that had resulted in underemployment being understated. The corrected data line up with the recent gentle upward trend in unemployment, and might be view-changing for some observers.

> **"These correlations in short-term dynamics are exactly what we should expect to see when the labour market is roughly in balance..."**

Fluctuating separately and together

The real benefits of cross-checks go beyond smoothing through noise. They reveal how we should interpret fluctuations in employment. Currently these are much more about labour supply than they are about labour demand. Each surprise on monthly employment lately has been accompanied by a broadly equivalent movement in labour force participation. Measures of slack such as unemployment have moved much less.

Indeed, these correlations in short-term dynamics are **exactly what we should expect to see when the labour market is roughly in balance**. For most of the past few decades, labour market slack has prevailed. Additional labour demand would therefore mostly draw from workers already seeking work. In that world, positive surprises on employment would mostly correlate with negative surprises on unemployment and related measures, and participation would move relatively less.

When the labour market is tighter than full employment, you would instead expect to see employment growth constrained by supply. Positive surprises on employment would only occur alongside a positive surprise on supply, that is, participation. Measures of slack such as unemployment would be flat to down in the face of such a move.

In an over-tight market, though, you would not expect to see an increase in both employment and participation also correlating with *rises* in unemployment, as we saw in June. The current pattern suggests supply and demand are roughly in balance, but with both subject to small fluctuations around rising trends. This means that sometimes employment, unemployment and participation all rise together, while sometimes they all fall together. Still other times unemployment breaks the other way, depending on which noise was larger in the month.

This pattern cuts against the traditional, demand-driven approach that pervades economic analysis in central banks and elsewhere. For example, in its May *Statement on Monetary Policy*, the RBA motivated its flat-to-down forecast for the participation rate as workers responding to dwindling job opportunities by withdrawing from active participation in the labour force. In that world, labour demand leads labour supply.

It seems a little odd to use a framing suited to a situation of labour market slack in your forecasts when you believe, as the RBA says it does, that the labour market is if anything tighter than full employment. This might be suggesting that it expects that its current forecasts of below-trend growth generate a reasonable amount of spare capacity quite soon. This is, after all, what it believes is needed to return inflation to target.

Bend to the trend

Perhaps more perplexing is how embedded a downbeat view of labour supply trends is in the RBA's published forecasts. Recall that Australia, along with most other advanced economies, has seen a rising trend in labour force participation rates for several decades. Ageing populations actually encourage this: Japan, where demographic ageing is considerably more advanced, now has a participation rate that exceeds the US. For many years, though, ageing populations were assumed to shrink the workforce and lower participation rates. This assumption was built into the RBA's forecasts for most of the 2010s and was the driving assumption behind Treasury's Intergenerational Reports (IGRs) – and even the need for them.

More recently, Treasury appears to have thrown in the towel on the declining labour participation narrative. As Ryan highlighted back in May, this year's budget incorporated a change in Treasury's view, which now has a rising trend forecast for participation almost identical to our own forecasts. This contrasts with the flat profile assumed in MYEFO and flat-to-down trend in past IGRs. This puts their view of the outlook for labour supply at odds with the RBA's.

To be fair, there is also a cyclical element to labour force participation. On top of the demand-leads-supply view that workers decide whether to search actively for work (and thus be recorded as unemployed as well as boosting their chances of getting a job) according to their perception of available opportunities, recent RBA research has shown how important cost-of-living pressures are for people's decisions around participation and hours worked. These dynamics were less salient before the pandemic, when inflation and interest rates were low and stable.

These dynamics are especially evident for younger workers (age 15–24), where the boundaries between work and study are more permeable and flexible work more common. The chart pack accompanying Ryan's note this week shows larger monthly swings in participation and underemployment for this age group than for older adults. But there is a demand-side element here, too, evident in trends by sex. In recent months, unemployment and underemployment rates have risen faster for female workers than for males. This is consistent with the relatively tougher times for consumer-facing businesses highlighted in our refreshed Westpac Business Signal report.

All of this points to the need to triangulate across data and adapt frameworks for a world that is roughly in balance but subject to considerable noise. Right now, the RBA appears to be using analytical frames suitable for a world of high slack, at the same time as believing there is no slack. If we are right about the longer-term trend in participation, the RBA may find itself back in that world before too long. But not in the near term. The risks of high inflation are front of mind now. Emerging slack will be more of a story late this year and early next year, and a consideration for the ultimate unwind of tight policy.

Cliff Notes: markets on edge

Elliot Clarke, Head of International Economics
Ryan Wells, Economist
Illiana Jain, Economist

The June Labour Force Survey offered both noise and signal. Employment surprised materially to the upside, rising 76.3k in the month. However, the gain was matched by a sizeable lift in labour supply, the participation rate bouncing 0.3ppts to 67.0%, a 13-month high.

The ABS noted in the June release that there was a large group of individuals outside the labour force with a job lined up in May, and that they began work in June. With the employment gain driven by new labour force entrants, the unemployment rate held steady at 4.4% (edging up from 4.37% to 4.43% at the second decimal place). Rising unemployment and the sharp lift in underemployment over recent months both suggest labour market slack is building steadily.

Unlike previous readings which implied a sudden loss of momentum, employment growth now looks to have been steadier over the first half of the year, albeit with significant month-to-month volatility. This is in line with our belief that any further softening was more likely to occur in the second half once the drag from higher inflation and recent interest rate rises works through the economy.

The Q2 Westpac Business Signal showcased that cost pressures are growing and consumer-facing industries are most exposed to deteriorating growth prospects. Together with weaker employment intentions from other business surveys, this points to a sluggish outlook for employment through the turn of the year when we expect the unemployment rate to peak around 5.0%.

“Rising unemployment and the sharp lift in underemployment... both suggest labour market slack is building steadily."

Offshore, the Middle East remained the market’s focus as tensions continued to ratchet higher. Overnight, President Trump stated he was close to deciding on a "massive attack" against Iran and threatened "major military punishment" for the Houthis and Iran if the Houthis attack any other ships in the Middle East after they targeted two Saudi ships a day earlier. This follows yesterday’s threat that US forces “will bomb and destroy ONE BRIDGE OR POWER PLANT, including those located next to, or in, the Capital City of Tehran” any time Iran’s military “shoots at a ship in the Strait of Hormuz”. Iran continues to hold to their position on retaliation, with like-for-like strikes on regional military installations and infrastructure threatened. Brent oil reached USD102 overnight and currently trades just under that level.

Fresh for markets today are the potential implications of the imposition of an announced 10% to 12.5% tariff by the US on 99% of its imports effective 12:01am Friday Washington time. The basis for the tariff is an assessment by US authorities of 60 countries’ restrictions on the use of forced labour in their production chain, though the tariff catches exporters to the US to almost the same degree. This measure replaces the temporary 10% tariff set to expire at 12:00am. As a result, it should have little-to-no net impact on US inflation or growth. That said, it maintains pressure on US households and businesses at a particularly inopportune time and so is a threat to sentiment.

Against that backdrop, the ECB left rates unchanged while emphasising the full inflationary impact of higher energy prices are yet to be felt and that risks remain skewed to the upside. While June inflation surprised to the downside and the ECB, as yet, has seen no evidence of secondary effects from 2026’s energy price spike, heightened uncertainty and the skew of risks favour another hike in September along with the possibility of another late in the year, if conditions do not improve.

Turning to the UK, attention centred on the first week of UK Prime Minister Andy Burnham's government. Aside from cabinet appointments, Burnham indicated he would operate within existing fiscal rules while pursuing a "new economic model" aimed at boosting growth, likely through cost-of-living measures. He has already removed VAT from household electricity bills and is expected to announce initiatives targeting youth employment and further education. Markets are anticipating a generous Budget in November, although higher-than-expected borrowing is likely to constrain policymakers.

Economic data recently received for the UK is broadly reassuring. Labour market indicators pointed to stabilisation, the unemployment rate holding at 4.9% in the three months to May and employment rising by 148k. That said, alternative measures, including the Bank of England's Decision Maker Panel, suggest the labour market is at risk of weakening further. The latest inflation data is consistent with a gradual easing in domestic pressures. Consumer prices rose 0.1% in June, slowing annual inflation from 2.8%yr to 2.6%yr. Services inflation was little changed at 3.6%yr, however, indicating that underlying price pressures remain. Taken together, the data did little to materially alter expectations for Bank of England policy.

Inflation back at a two-year high, upside risk building

Satish Ranchhod
Senior Economist

Inflation in New Zealand has risen to a two-year high, boosted by large increases in fuel and electricity costs. Under the surface, the various measures of core inflation have remained contained thus far, but they've lingered above 2% for an extended period various measures pointing to spare capacity in the economy. More recently, fuel prices have been charging higher again as tensions in the Middle East have flared, and business surveys point to the risk of a broadening in price pressures. Against that backdrop, the risks for inflation are firmly to the upside and the RBNZ is set to continue hiking the OCR through the latter part of the year.

Gassed up

New Zealand consumer prices rose 1.5% in the June quarter. That saw the annual inflation rate rising to 4.1%, up from 3.1% in the year to March and the highest level in two years.

The rise in inflation was in line with our expectations. However, it was above the RBNZ's updated July forecast which anticipated 3.9% annual inflation.

The June quarter rise in inflation was predominantly due to increases in fuel costs in the wake of the Middle East war, with petrol prices up 20% over the June quarter and diesel prices up nearly 50%.

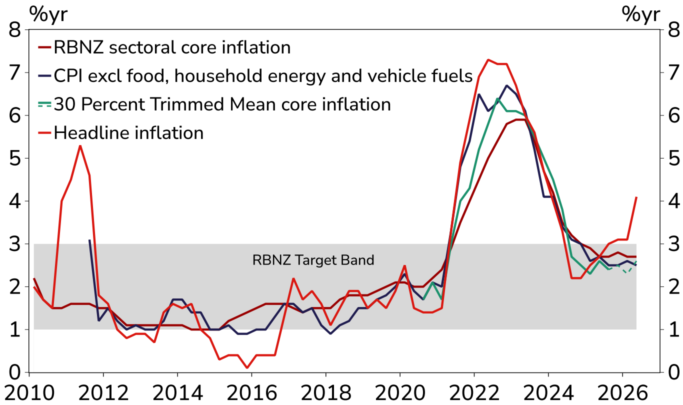
There have also been continued large increases in electricity charges, which rose 4% over the June quarter, leaving them up 12% over the past year. That was slightly lower than the 12.5% rise in the year to March. But before that, the last time we saw increases this large was 1989.

The key concern for the RBNZ is that those large increases in energy costs could spillover into a broader lift in consumer prices, with many businesses reporting sizeable increases in their operating costs over the past few months. The June quarter did see a sizeable 1.6% rise in the cost of a newly built home following very muted gains over the past year. Construction firms have reported increases in building costs in recent months, with at least some of that stemming from the increases in global oil prices. These increases have flowed through to higher transport costs, as well as higher costs for materials like PVC piping.

Core inflation contained, but not 'low'

However, while increases in fuel prices and related operating costs are flowing through to higher output prices in some specific sectors, at this stage we haven't observed evidence of any "second round" impacts that would point to a more generalised increase in inflation. Most measures of core inflation (including those that exclude the direct impacts of higher fuel costs) remained contained within the RBNZ's target band in June, and several edged back slightly.

Consumer prices and core inflation



Source: Stats NZ, RBNZ, Macrobond, Westpac Economics

While the lack-of-a-pickup in underlying inflation in the June quarter was welcome news for the RBNZ, core inflation is not 'low'. The various measures of core inflation have lingered above the 2% midpoint of the RBNZ's target range for an extended period, and some are still close to 3%. That's despite a sharp slowdown in economic growth and softness in the labour market.

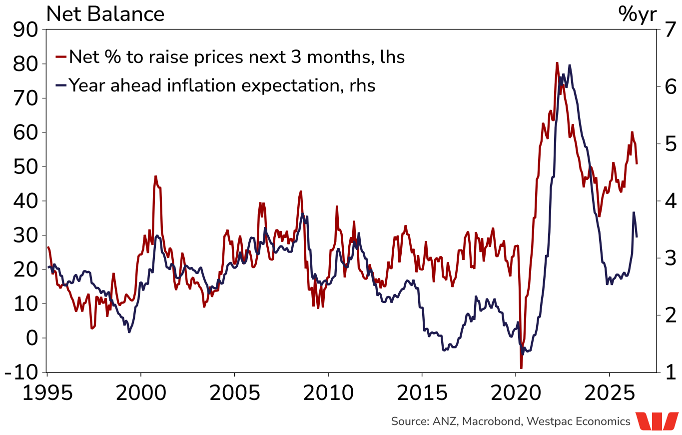
Looking under the surface at the big inflation groups, prices in the domestically oriented non-tradables group rose 3.4% in the year to June. That was a slightly smaller rise than the 3.5% increase seen in the year to March, but still firm.

Non-tradables inflation has trended down over the past couple of years as economic growth and the labour market have softened. We've also seen housing rent inflation (which is the largest single component of the CPI) slowing to its lowest level in more than two decades in response to increases in housing supply and low population growth.

However, the easing in domestic inflation looks like it has flattened off in recent quarters. We're continuing to see large increases in central and local government charges, which were up 8.3% over the past year. We're also seeing inflation in more market-oriented and labour-intensive areas holding at above average levels despite softness in the jobs market.

On the imported front, tradables prices were up 4.9% over the past year. That's up sharply from the 2.5% rise in the year to March. Higher fuel costs have been a significant driver of the rise in imported inflation. In addition, the lower New Zealand dollar is also playing an important role, with the NZD trade-weighted exchange rate down almost 4% over the past year. Excluding food and fuel costs, tradables prices were up 1.9% over the past year – the largest rise since 2023. Furthermore, given significant increases in operating costs in the wake of the Middle East war, imported inflation pressures are set to remain firm over the coming months.

Business inflation expectations



With upside risks mounting, inflation is set to outstrip the RBNZ's forecast

The outlook for inflation through the second half of the year hinges on what happens to oil prices. We've been forecasting that inflation would slow modestly to a still hot rate of 3.5% by the end of this year. However, with oil prices rising sharply as tensions have again flared up in the Middle East, the risks for inflation are firmly to the upside.

Local petrol prices have nudged slightly higher over the past couple of weeks. However, if sustained, the recent sharp rise in global oil prices could see local pump prices for 91-unleaded rising back up to around $3.20 to $3.30 ltr. Even if we saw a more modest rise back up to $3.10 ltr, overall inflation would remain around 4% through the back part of the year.

Those higher oil prices would also mean that there is a greater risk of related increases in other prices. While softness in demand has limited increases in consumer prices thus far, business surveys were already pointing to pressures on operating costs and margins before the latest rise in oil prices. The longer oil prices remain high, the more likely it is that rising cost of production will flow through to higher prices for consumers.

In its July update, which was prepared soon after the signing of the Memorandum of Understanding (MOU) between the US and Iran, the RBNZ assumed that inflation would slow to 3.3% by the September quarter. With June quarter inflation coming in ahead of their forecasts and oil prices even higher than they were before the MOU was signed, at this stage it seems increasingly likely that inflation will run well ahead of the RBNZ's expectations over the latter part of the year.

Against this increasingly worrying outlook for inflation, we expect that the RBNZ will deliver further increases in the OCR through the back part of the year. We're forecasting 25bp hikes at both the RBNZ's September and December policy meetings. However, with energy costs bubbling away and growing risk of passthrough to other prices, an additional rate hike in October can't be ruled out. Of course, much will depend on how the economy responds to the policy tightening already underway and to the renewed global uncertainty.

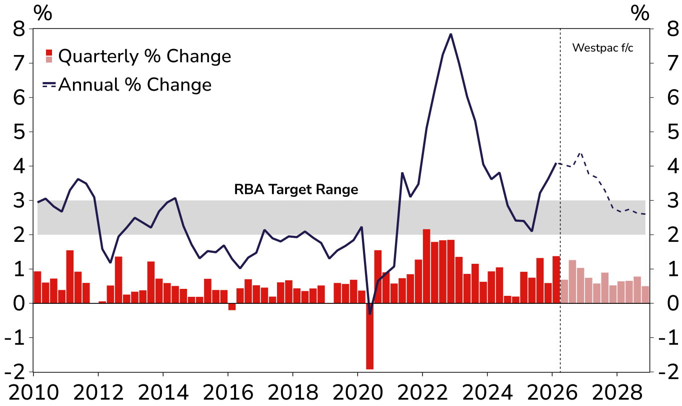
AUS: Q2 Headline CPI (%qtr)

Jul 29, Last: 1.4, Westpac f/c: 0.7
Mkt f/c: 0.7, Range: 0.6 to 1.1

Headline CPI rose 1.4%qtr in Q1, lifting annual inflation to 4.1%yr and signalling a renewed pickup in price pressures. The early impacts of the Gulf crisis were a key driver, particularly through higher automotive fuel prices.

For Q2, we expect headline CPI to increase 0.7%qtr, nudging the annual rate down to 4.0%yr. While the temporary halving of the fuel excise has weighed on the quarterly outcome, other potential sources of upside pressure, particularly holiday travel, have been softer than feared. For June, we expect the monthly CPI to rise 0.4%mth, taking annual inflation to 4.2%yr (see here for our full preview).

Headline CPI Inflation



Source: ABS, Macrobond, Westpac Economics

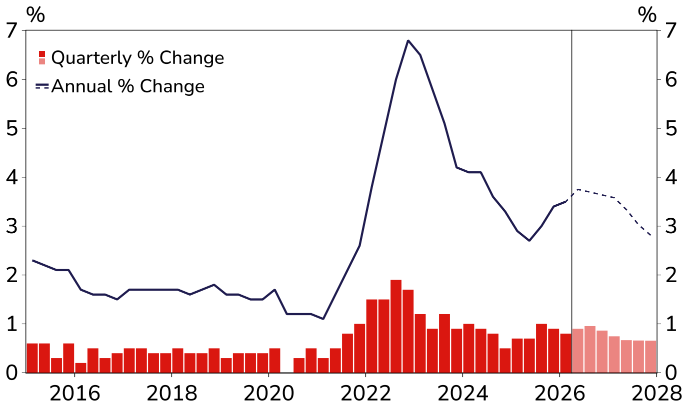
AUS: Q2 Trimmed Mean CPI (%qtr)

Jul 29, Last: 0.8, Westpac f/c: 0.9
Mkt f/c: 0.9, Range: 0.8 to 1.0

Trimmed mean inflation rose 0.8%qtr in Q1, with annual inflation up 3.5%yr. The quarter was likely too early to capture any meaningful second-round effects from the Middle East conflict, with the strength instead reflecting the demand-driven pick-up in prices that was playing out through the second half of 2025.

We expect trimmed mean inflation to be 0.9%qtr in Q2, taking the annual pace to 3.7%yr. Some spillovers from the conflict are already appearing in categories such as new dwelling purchase costs, repairs & maintenance, and meals out & takeaway. For June, we expect monthly trimmed mean inflation to rise 0.4%mth/3.7%yr.

Trimmed Mean Inflation



Source: ABS, Macrobond, Westpac Economics

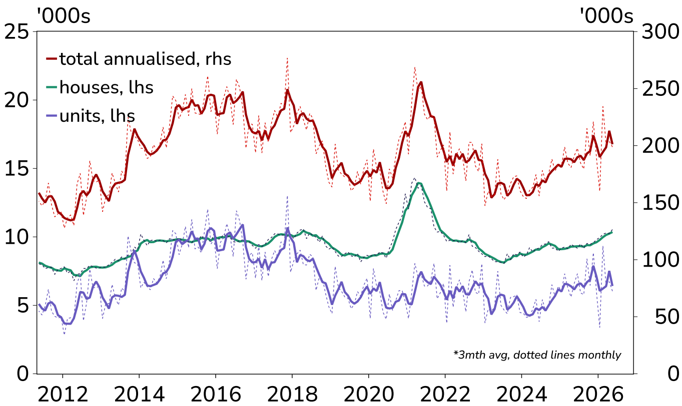
AUS: Jun Dwelling Approvals (%mth)

Jul 30, Last: –1.1, Westpac f/c: –2.0
Market f/c: -0.5, Range: -5.2 to 3.0

Dwelling approvals fell 1.1%mth in May, the annual pace easing to 5.3%yr. Approvals have settled back from the elevated levels seen in Feb but have yet to really 'roll over', with little overtly negative impact from rate hikes to date. The private detached dwelling approvals component for example continued to rise in May, up 2.8%mth and 13.2%yr.

June may start to see more of an interest-rate softening effect show through, potentially with higher building costs and uncertainty around fuel costs and tax policy changes also in the mix. We remain wary of the positive momentum coming into this and the support coming from both extremely tight supply and various government policy measures aimed at lifting new building. However, on balance, June is expected to show a clearer softening with a 2% decline in approvals.

Building approvals



Source: ABS, Macrobond, Westpac Economics

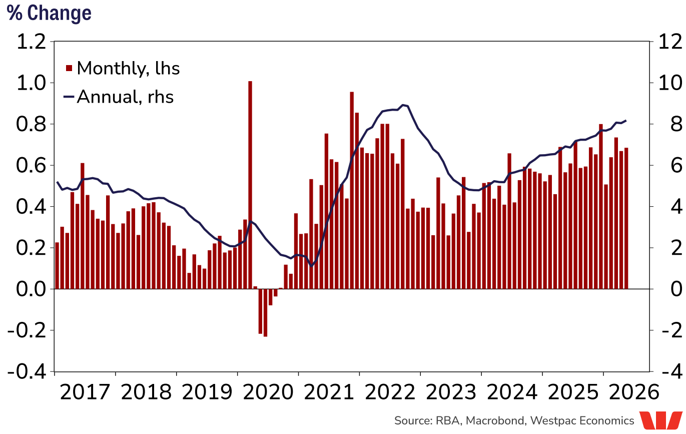
AUS: Jun Private Sector Credit (%mth)

Jul 31, Last: 0.7 Westpac f/c: 0.6
Mkt f/c: 0.6, Range: 0.3 to 0.7

The May private sector credit data surprised to the upside, with growth of 0.7%mth aligning with the average over the past twelve months. The components showed diverging trends – housing credit growth eased, while business credit growth accelerated to a five-month high.

The latest numbers are likely to show that a similar dynamic across the major categories continued in June. Higher-frequency indicators are consistent with slowing housing credit, with the tax changes announced in the federal budget acting as a major catalyst. Meanwhile, the underlying trend in business credit should remain firmer, although some payback after May's increase is possible. Overall, this suggests that a tick down to 0.6%mth in the private sector credit growth is the most likely outcome.

Private Sector Credit Growth

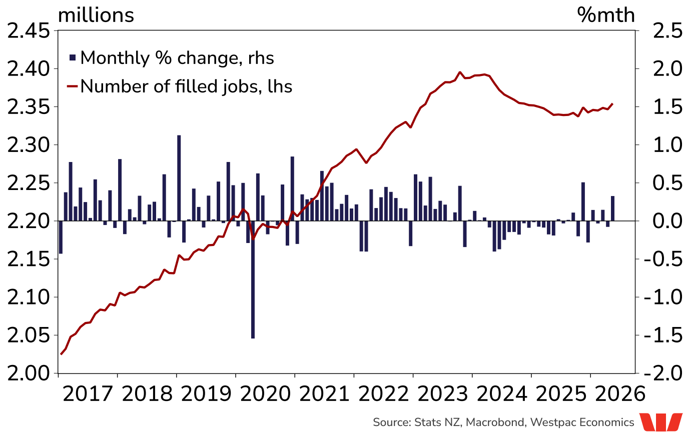


NZ: Jun Monthly Employment Indicator (%mth)

Jul 28, Last: 0.3, Westpac f/c: 0.2

The MEI has been showing a modest uptick in employment since late 2025, adding to the evidence that the New Zealand economy was regaining momentum prior to the Iran conflict. The weekly snapshots provided by Stats NZ suggest that the labour market has held its ground during the conflict, with the number of filled jobs continuing to track slightly above year-ago levels. Given that the MEI tends to be overstated on the first release, we expect to see a 0.2% rise for June initially, which is then likely to be revised closer to flat. The May increase is also likely to be revised lower.

Monthly Employment Indicator

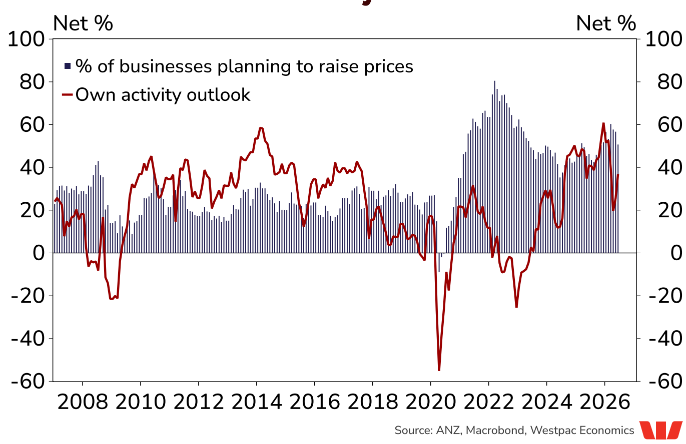


NZ: Jul ANZ Business Confidence (index)

Jul 30, Last: 36.6

Business confidence rose strongly in June, reflecting the US-Iran peace deal and the decline in oil prices at the time. The resumption in hostilities means that the headline measures of confidence are likely to head lower again for the July survey (though noting that fuel prices at the pump had not yet lifted during the survey period). The various inflation gauges will be of particular interest, given the RBNZ's concerns about the possibility of second-round price pressures. Firm's pricing intentions eased in the June survey but have remained elevated for several years.

ANZ Business Outlook survey



US: Jul FOMC meeting (%)

Jul 28-29, Last: 3.625, Mkt f/c: 3.625, WBC f/c: 3.625

In July, the FOMC is likely to focus their discussions and post-meeting communications on short and medium-term inflation risks while keeping the policy stance unchanged. Between the June and July meetings, consumer price data has been benign and the labour market broadly neutral for inflation. That said, capacity is tight, Brent oil has surged back through USD100 again this week, while the outlook for AI-related investment remains strong and, at least in the near term, price inelastic.

If the conflict in the Middle East abates again, our base expectation is that, by September, the FOMC is likely to be comfortable to look through residual price risks for the foreseeable future. But, if risks are as they are today, there is a material chance of a tightening, as market pricing suggests.

Expectations being closely monitored

Source: University of Michigan, Macrobond, Westpac Economics

US: Q2 GDP (%ann'd)

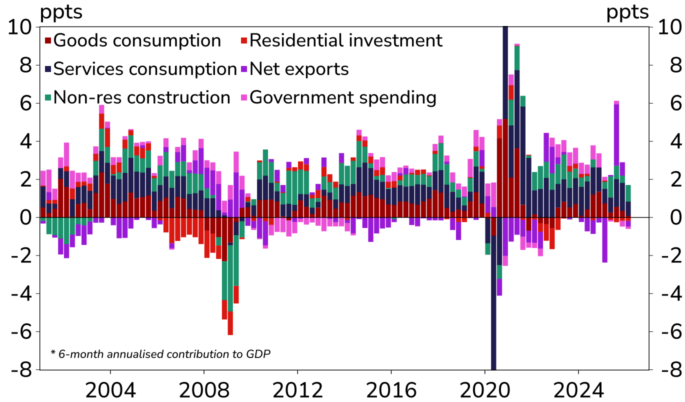
Jul 30, Last: 2.1, Mkt f/c: 2.3, WBC f/c: 1.8

Q1 GDP was lopsided, household consumption having effectively stalled and housing investment contracting while business investment surged. Business investment also had a narrow base, however, with equipment investment and intangibles related to tech driving the result.

Q2 is likely to be quite similar. On the latest partial data, the consumer remains under pressure and is cautious on discretionary spending. Business investment outside tech also remains subject to considerable headwinds and uncertainty.

We forecast a 1.8% annualised gain in Q2, broadly in line with the Atlanta Fed's nowcast, but modestly below the consensus estimate. As has been the case for recent quarterly readings, outsized volatility is likely estimate to estimate for Q2.

Consumer demand brittle



Source: BEA, Macrobond, Westpac Economics

What to watch

	For	Data/Event	Unit	Last	Market f/c	Westpac f/c	Risk/Comment
Mon 27							
Chn	Jun	Industrial Profits	%ann	21.1	–	–	Profit growth still faces demand-side headwinds.
Ger	Jul	IFO Business Climate Survey	index	85.6	86.0	–	Recovering after the energy price shock.
US	Jun	Durable Goods Orders	%mth	–4.5	1.5	–	Business investment trends in focus.
	Jul	Dallas Fed Manufacturing Survey	index	0.0	–	–	Manufacturing activity continues to face headwinds
Tue 28							
Aus		RBA Governor Bullock	–	–	–	–	Annual Anika Foundation speech, 1:05pm AEST.
NZ	Jun	Employment Indicator	%mth	0.3	–	–	Jobs have held their ground through the Iran conflict.
US	Jun	Advance Goods Trade Balance	$bn	–105.9	–100.0	–	Deteriorated sharply in May.
	May	S&P/CS Home Price Index	%mth	–0.04	–	–	US house price growth is turning negative.
	Jul	Richmond Fed Manufact Survey	index	4	–	–	Sentiment turned positive in recent months.
	Jul	Conf. Board Consumer Confidence	index	91.2	92.3	–	Consumers remain downbeat.
Wed 29							
Aus	Jun	Monthly CPI	%ann	4.0	4.0	4.2	The signing of the MoU in June helped to soften the rise...
	Jun	Monthly Trimmed Mean CPI	%ann	3.6	3.7	3.7	...but upside risks will remain front of mind for the RBA.
	Q2	Quarterly CPI	%qtr	1.4	0.7	0.7	Fuel excise cut will limit upside pressures to headline CPI ...
	Q2	Quarterly Trimmed Mean CPI	%qtr	0.8	0.9	0.9	... but underlying pressures will firm.
US	Jul	FOMC Policy Decision	%	3.625	3.625	3.625	Fed on hold, assessment of inflation in focus.
Thu 30							
Aus		RBA Assistant Governor (Economic)	–	–	–	–	Hunter fireside chat at Barrenjoey Forum, 8:40am AEST.
	Jun	Dwelling Approvals	%mth	–1.1	–0.5	–2.0	May begin to see interest rate rises have an effect.
	Q2	Export Price Index	%qtr	0.5	0.7	0.5	Commodity prices the main driver.
	Q2	Import Price Index	%qtr	0.1	–0.2	2.3	Inflationary impulse, mainly due to higher energy prices.
NZ	Jul	ANZ Business Confidence	index	36.6	–	–	Resumption of Iran conflict will weigh on confidence.
Eur	Jul	Economic Confidence	index	95.0	–	–	Likely to signal that recovery gathers pace.
	Q2	GDP	%qtr	0.0	0.2	–	Low growth, but contraction is likely to be avoided.
	Jun	Unemployment Rate	%	6.2	6.2	–	Stable labour market conditions persist.
UK	Jul	BoE Policy Decision	%	3.75	3.75	3.75	Weak labour market offsets the energy price impulse.
US	Jun	Personal Income	%mth	0.7	0.3	–	Household incomes continue to support spending.
	Jun	Personal Spending	%mth	0.7	0.4	–	Consumers remain key to growth momentum.
	Jun	PCE Deflator	%mth	0.4	–0.1	–	Inflation progress remains under scrutiny.
	Q2	GDP	%ann'd	2.1	2.3	1.8	The consumer and non-tech businesses face growing headwinds.
	Wkly	Initial Jobless Claims	000s	187	205	–	Have been broadly stable for a while.
Fri 31							
Aus	Q2	PPI	%qtr	0.4	–	–	Input costs on the rise.
	Jun	Private Sector Credit	%mth	0.7	0.6	0.6	Evidence of slower housing credit following int rate increases.
NZ	Jul	ANZ Consumer Confidence	index	91.3	–	–	Living costs incl. fuel remain major concern for households.
Jpn	Jul	Tokyo CPI	%ann	1.7	1.8	–	Leading indicator for the national prices.
	Jun	Jobless Rate	%	2.5	2.5	–	Low and stable.
	Jun	Industrial Production	%mth	0.1	1.0	–	Has been moving broadly sideways for a while.
	Jul	BoJ Policy Decision	%	1.00	1.00	–	Policy on hold after the June hike,
Chn	Jul	NBS Manufacturing PMI	index	50.3	50.1	–	Manufacturing activity appears to be broadly stable.
	Jul	NBS Non–Manufacturing PMI	index	50.2	50.0	–	Domestic demand for services in focus.
Eur	Jul	HICP Inflation	%ann	2.8	2.9	–	Looking for signs of broadening inflationary impulse.
US	Q2	Employment Cost Index	%mth	0.9	0.8	–	Stable inflationary pressures in the US labour market.
	Jul	Chicago PMI	index	56.7	–	–	Manufacturing momentum remains uneven.
	Jul	Uni. Of Michigan Sentiment	index	54.4	54.2	–	Final estimate, sentiment remains near historical lows.

Economic & financial forecasts

Interest rate forecasts

Australia	Latest (24 Jul)	Sep–26	Dec–26	Mar–27	Jun–27	Sep–27	Dec–27	Mar–28	Jun–28	Sep–28	Dec–28
Cash	4.35	4.85	4.85	4.85	4.85	4.60	4.35	4.10	3.85	3.85	3.85
90 Day BBSW	4.54	4.90	4.90	4.95	4.80	4.55	4.30	4.05	3.95	3.95	3.95
3 Year Swap	4.70	4.60	4.60	4.50	4.40	4.30	4.20	4.10	4.00	3.95	3.90
3 Year Bond	4.72	4.60	4.60	4.50	4.40	4.30	4.20	4.10	4.00	3.95	3.90
10 Year Bond	5.08	4.90	4.90	4.90	4.85	4.85	4.85	4.85	4.85	4.85	4.85
10 Year Spread to US (bps)	37	40	40	35	30	25	20	15	10	5	0
United States											
Fed Funds	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625
US 10 Year Bond	4.71	4.50	4.50	4.55	4.55	4.60	4.65	4.70	4.75	4.80	4.85
New Zealand											
Cash	2.50	2.75	3.00	3.50	3.75	4.00	4.00	4.00	4.00	3.75	3.75
90 Day Bill	2.91	3.00	3.40	3.75	4.00	4.20	4.20	4.20	4.15	3.95	3.95
2 Year Swap	3.78	3.70	3.95	4.10	4.25	4.20	4.20	4.15	4.15	4.10	4.10
10 Year Bond	4.77	4.55	4.65	4.80	5.00	5.05	5.05	5.05	5.05	5.05	5.05
10 Year Spread to US (bps)	7	5	15	25	45	45	40	35	30	25	20

Exchange rate forecasts

	Latest (24 Jul)	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28	Sep-28	Dec-28
AUD/USD	0.6977	0.71	0.72	0.72	0.73	0.73	0.73	0.73	0.72	0.72	0.72
NZD/USD	0.5781	0.59	0.60	0.62	0.64	0.65	0.66	0.66	0.66	0.66	0.66
USD/JPY	163.82	162	160	159	158	156	154	152	150	148	146
EUR/USD	1.1381	1.16	1.17	1.18	1.19	1.20	1.21	1.22	1.22	1.21	1.21
GBP/USD	1.3312	1.35	1.35	1.36	1.37	1.38	1.39	1.40	1.41	1.41	1.40
USD/CNY	6.7752	6.75	6.70	6.60	6.50	6.45	6.40	6.35	6.35	6.30	6.30
AUD/NZD	1.2076	1.20	1.19	1.16	1.14	1.12	1.11	1.10	1.10	1.10	1.10

Australian economic forecasts

	2026				2027				Calendar years			
% change	**Q1**	**Q2(f)**	**Q3(f)**	**Q4(f)**	**Q1(f)**	**Q2(f)**	**Q3(f)**	**Q4(f)**	**2025**	**2026(f)**	**2027(f)**	**2028(f)**
GDP %qtr	0.3	0.0	0.1	0.3	0.4	0.4	0.4	0.4	–	–	–	–
%yr end	2.5	1.6	1.3	0.7	0.9	1.2	1.4	1.5	2.5	0.7	1.5	2.6
Unemployment rate %	4.2	4.4	4.6	4.9	5.0	4.9	4.9	4.9	4.3	4.9	4.9	4.5
Wages (WPI) (sa) %qtr	0.8	0.8	1.0	0.8	0.8	0.8	0.8	0.8	–	–	–	–
%yr end	3.3	3.2	3.4	3.4	3.4	3.4	3.2	3.2	3.4	3.4	3.2	3.4
Headline CPI %qtr	1.4	0.7	1.3	1.0	0.7	0.6	0.9	0.5	–	–	–	–
%yr end	4.1	4.0	4.0	4.4	3.8	3.7	3.3	2.8	3.6	4.4	2.8	2.6
Trimmed Mean CPI %qtr	0.8	0.9	1.0	0.8	0.8	0.7	0.7	0.7	–	–	–	–
%yr end	3.5	3.7	3.7	3.6	3.5	3.3	3.0	2.8	3.4	3.6	2.8	2.4

New Zealand economic forecasts

	2026				2027				Calendar years			
% Change	**Q1**	**Q2(f)**	**Q3(f)**	**Q4(f)**	**Q1(f)**	**Q2(f)**	**Q3(f)**	**Q4(f)**	**2025**	**2026(f)**	**2027(f)**	**2028(f)**
GDP %qtr	0.8	–0.1	0.6	0.7	1.0	0.5	0.6	0.7	–	–	–	–
Annual avg change	0.8	1.6	1.8	1.9	2.0	2.1	2.4	2.6	0.3	1.9	2.6	3.2
Unemployment rate %	5.3	5.4	5.4	5.3	5.2	5.1	5.0	4.9	5.4	5.3	4.9	4.4
CPI %qtr	0.9	1.5	0.7	0.4	0.5	0.2	0.7	0.4	–	–	–	–
Annual change	3.1	4.1	3.7	3.5	3.1	1.8	1.9	1.9	3.1	3.5	1.9	2.0

Corporate Directory

Westpac Economics / Australia

Sydney
Level 19, 275 Kent Street
Sydney NSW 2000
Australia

E: economics@westpac.com.au

Luci Ellis
Chief Economist Westpac Group
E: luci.ellis@westpac.com.au

Matthew Hassan
Head of Australian Macro–Forecasting
E: mhassan@westpac.com.au

Elliot Clarke
Head of International Economics
E: eclarke@westpac.com.au

Sian Fenner
Head of Business and Industry Economics
E: sian.fenner@westpac.com.au

Justin Smirk
Senior Economist
E: jsmirk@westpac.com.au

Pat Bustamante
Senior Economist
E: pat.bustamante@westpac.com.au

Mantas Vanagas
Senior Economist
E: mantas.vanagas@westpac.com.au

Ryan Wells
Economist
E: ryan.wells@westpac.com.au

Illiana Jain
Economist
E: illiana.jain@westpac.com.au

Neha Sharma
Economist
E: neha.sharma1@westpac.com.au

Luka Belobrajdic
Economist
E: luka.belobrajdic@westpac.com.au

Westpac Economics / New Zealand

Auckland
Takutai on the Square
Level 8, 16 Takutai Square
Auckland, New Zealand

E: economics@westpac.co.nz

Kelly Eckhold
Chief Economist NZ
E: kelly.eckhold@westpac.co.nz

Michael Gordon
Senior Economist
E: michael.gordon@westpac.co.nz

Darren Gibbs
Senior Economist
E: darren.gibbs@westpac.co.nz

Satish Ranchhod
Senior Economist
E: satish.ranchhod@westpac.co.nz

Paul Clark
Industry Economist
E: paul.clarke@westpac.co.nz

Westpac Economics / Fiji

Suva
1 Thomson Street
Suva, Fiji

Shamal Chand
Senior Economist
E: shamal.chand@westpac.com.au

IQ

westpaciq.com.au

Things you should know

We respect your privacy: You can view the New Zealand Privacy Policy here, or the Australian Group Privacy Statement here. Each time someone visits our site, data is captured so that we can accurately evaluate the quality of our content and make improvements for you. We may at times use technology to capture data about you to help us to better understand you and your needs, including potentially for the purposes of assessing your individual reading habits and interests to allow us to provide suggestions regarding other reading material which may be suitable for you.

Disclaimer

This information has been prepared by Westpac and is intended for information purposes only. It is not intended to reflect any recommendation or financial advice and investment decisions should not be based on it. This information does not constitute an offer, a solicitation of an offer, or an inducement to subscribe for, purchase or sell any financial instrument or to enter into a legally binding contract. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice. Certain types of transactions, including those involving futures, options and high yield securities give rise to substantial risk and are not suitable for all investors. We recommend that you seek your own independent legal or financial advice before proceeding with any investment decision.

This information may contain material provided by third parties. While such material is published with the necessary permission none of Westpac or its related entities accepts any responsibility for the accuracy or completeness of any such material. Although we have made every effort to ensure this information is free from error, none of Westpac or its related entities warrants the accuracy, adequacy or completeness of this information, or otherwise endorses it in any way. Except where contrary to law, Westpac Group intend by this notice to exclude liability for this information. This information is subject to change without notice and none of Westpac or its related entities is under any obligation to update this information or correct any inaccuracy which may become apparent at a later date. This information may contain or incorporate by reference forward looking statements. The words "believe", "anticipate", "expect", "intend", "plan", "predict", "continue", "assume", "positioned", "may", "will", "should", "shall", "risk" and other similar expressions that are predictions of or indicate future events and future trends identify forward-looking statements. These forward-looking statements include all matters that are not historical facts. Past performance is not a reliable indicator of future performance, nor are forecasts of future performance. Whilst every effort has been taken to ensure that the assumptions on which any forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The ultimate outcomes may differ substantially from any forecasts.

Conflicts of Interest: In the normal course of offering banking products and services to its clients, the Westpac Group may act in several capacities (including issuer, market maker, underwriter, distributor, swap counterparty and calculation agent) simultaneously with respect to a financial instrument, giving rise to potential conflicts of interest which may impact the performance of a financial instrument. The Westpac Group may at any time transact or hold a position (including hedging and trading positions) for its own account or the account of a client in any financial instrument which may impact the performance of that financial instrument.

Author(s) disclaimer and declaration: The author(s) confirms that (a) no part of his/her compensation was, is, or will be, directly or indirectly, related to any views or (if applicable) recommendations expressed in this material; (b) this material accurately reflects his/her personal views about the financial products, companies or issuers (if applicable) and is based on sources reasonably believed to be reliable and accurate; (c) to the best of the author's knowledge, they are not in receipt of inside information and this material does not contain inside information; and (d) no other part of the Westpac Group has made any attempt to influence this material.

Further important information regarding sustainability related content: This material may contain statements relating to environmental, social and governance (ESG) topics. These are subject to known and unknown risks, and there are significant uncertainties, limitations, risks and assumptions in the metrics, modelling, data, scenarios, reporting and analysis on which the statements rely. In particular, these areas are rapidly evolving and maturing, and there are variations in approaches and common standards and practice, as well as uncertainty around future related policy and legislation. Some material may include information derived from publicly available sources that have not been independently verified. No representation or warranty is made as to the accuracy, completeness or reliability of the information. There is a risk that the analysis, estimates, judgements, assumptions, views, models, scenarios or projections used may turn out to be incorrect. These risks may cause actual outcomes to differ materially from those expressed or implied. The ESG-related statements in this material do not constitute advice, nor are they guarantees or predictions of future performance, and Westpac gives no representation, warranty or assurance (including as to the quality, accuracy or completeness of the statements). You should seek your own independent advice.

Additional country disclosures:

Australia: Westpac holds an Australian Financial Services Licence (No. 233714). You can access Westpac's Financial Services Guide here or request a copy from your Westpac point of contact. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice.

New Zealand: In New Zealand, Westpac Institutional Bank refers to the brand under which products and services are provided by either Westpac (NZ division) or Westpac New Zealand Limited (company number 1763882), the New Zealand incorporated subsidiary of Westpac ("WNZL"). Any product or service made available by WNZL does not represent an offer from Westpac or any of its subsidiaries (other than WNZL). Neither Westpac nor its other subsidiaries guarantee or otherwise support the performance of WNZL in respect of any such product. WNZL is not an authorised deposit-taking institution for the purposes of Australian prudential standards. The current disclosure statements for the New Zealand branch of Westpac and WNZL can be obtained at www.westpac.co.nz.

Singapore: This material has been prepared and issued for distribution in Singapore to institutional investors, accredited investors and expert investors (as defined in the applicable Singapore laws and regulations) only. Recipients of this material in Singapore should contact Westpac Singapore Branch in respect of any matters arising from, or in connection with, this material. Westpac Singapore Branch holds a wholesale banking licence and is subject to supervision by the Monetary Authority of Singapore.

Disclaimer continues overleaf ▶

Fiji: Unless otherwise specified, the products and services for Westpac Fiji are available from www.westpac.com.fj © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia and registered as a branch in Fiji. The liability of its members is limited.

Papua New Guinea: Unless otherwise specified, the products and services for Westpac PNG are available from www.westpac.com.pg © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia. Westpac is represented in Papua New Guinea by Westpac Bank - PNG - Limited. The liability of its members is limited.

U.S: Westpac operates in the United States of America as a federally licensed branch, regulated by the Office of the Comptroller of the Currency. Westpac is also registered with the US Commodity Futures Trading Commission ("CFTC") as a Swap Dealer, but is neither registered as, or affiliated with, a Futures Commission Merchant registered with the US CFTC. The services and products referenced above are not insured by the Federal Deposit Insurance Corporation ("FDIC"). Westpac Capital Markets, LLC ('WCM'), a wholly-owned subsidiary of Westpac, is a broker-dealer registered under the U.S. Securities Exchange Act of 1934 ('the Exchange Act') and member of the Financial Industry Regulatory Authority ('FINRA'). In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WCM other than as provided for in certain legal agreements between Westpac and WCM and obligations of WCM do not represent liabilities of Westpac.

This communication is provided for distribution to U.S. institutional investors in reliance on the exemption from registration provided by Rule 15a-6 under the Exchange Act and is not subject to all of the independence and disclosure standards applicable to debt research reports prepared for retail investors in the United States. WCM is the U.S. distributor of this communication and accepts responsibility for the contents of this communication. Transactions by U.S. customers of any securities referenced herein should be effected through WCM. All disclaimers set out with respect to Westpac apply equally to WCM. If you would like to speak to someone regarding any security mentioned herein, please contact WCM on +1 212 389 1269. Investing in any non-U.S. securities or related financial instruments mentioned in this communication may present certain risks. The securities of non-U.S. issuers may not be registered with, or be subject to the regulations of, the SEC in the United States. Information on such non-U.S. securities or related financial instruments may be limited. Non-U.S. companies may not be subject to audit and reporting standards and regulatory requirements comparable to those in effect in the United States. The value of any investment or income from any securities or related derivative instruments denominated in a currency other than U.S. dollars is subject to exchange rate fluctuations that may have a positive or adverse effect on the value of or income from such securities or related derivative instruments.

The author of this communication is employed by Westpac and is not registered or qualified as a research analyst, representative, or associated person of WCM or any other U.S. broker-dealer under the rules of FINRA, any other U.S. self-regulatory organisation, or the laws, rules or regulations of any State. Unless otherwise specifically stated, the views expressed herein are solely those of the author and may differ from the information, views or analysis expressed by Westpac and/or its affiliates.

UK: The London branch of Westpac is authorised in the United Kingdom by the Prudential Regulation Authority (PRA) and is subject to regulation by the Financial Conduct Authority (FCA) and limited regulation by the PRA (Financial Services Register number: 124586). The London branch of Westpac is registered at Companies House as a branch established in the United Kingdom (Branch No. BR000106). Details about the extent of the regulation of Westpac's London branch by the PRA are available from us on request.

This communication is not being made to or distributed to, and must not be passed on to, the general public in the United Kingdom. Rather, this communication is being made only to and is directed at (a) those persons falling within the definition of Investment Professionals (set out in Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (the "Order")); (b) those persons falling within the definition of high net worth companies, unincorporated associations etc. (set out in Article 49(2)of the Order; (c) other persons to whom it may lawfully be communicated in accordance with the Order or (d) any persons to whom it may otherwise lawfully be made (all such persons together being referred to as "relevant persons"). Any person who is not a relevant person should not act or rely on this communication or any of its contents. In the same way, the information contained in this communication is intended for "eligible counterparties" and "professional clients" as defined by the rules of the Financial Conduct Authority and is not intended for "retail clients". Westpac expressly prohibits you from passing on the information in this communication to any third party.

European Economic Area ("EEA"): This material may be distributed to you by either: (i) Westpac directly, or (ii) Westpac Europe GmbH ("WEG") under a sub-licensing arrangement. WEG has not edited or otherwise modified the content of this material. WEG is authorised in Germany by the Federal Financial Supervision Authority ('BaFin') and subject to its regulation. WEG's supervisory authorities are BaFin and the German Federal Bank ('Deutsche Bundesbank'). WEG is registered with the commercial register ('Handelsregister') of the local court of Frankfurt am Main under registration number HRB 118483. In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WEG other than as provided for in certain legal agreements (a risk transfer, sub-participation and collateral agreement) between Westpac and WEG and obligations of WEG do not represent liabilities of Westpac. Any product or service made available by WEG does not represent an offer from Westpac or any of its subsidiaries (other than WEG). All disclaimers set out with respect to Westpac apply equally to WEG.

This communication is not intended for distribution to, or use by any person or entity in any jurisdiction or country where such distribution or use would be contrary to local law or regulation.

This communication contains general commentary, research, and market colour. The communication does not constitute investment advice. The material may contain an 'investment recommendation' and/or 'information recommending or suggesting an investment', both as defined in Regulation (EU) No 596/2014 (including as applicable in the United Kingdom) ("MAR"). In accordance with the relevant provisions of MAR, reasonable care has been taken to ensure that the material has been objectively presented and that interests or conflicts of interest of the sender concerning the financial instruments to which that information relates have been disclosed.

Investment recommendations must be read alongside the specific disclosure which accompanies them and the general disclosure which can be found here. Such disclosure fulfils certain additional information requirements of MAR and associated delegated legislation and by accepting this communication you acknowledge that you are aware of the existence of such additional disclosure and its contents.

To the extent this communication comprises an investment recommendation it is classified as non-independent research. It has not been prepared in accordance with legal requirements designed to promote the independence of investment research and therefore constitutes a marketing communication. Further, this communication is not subject to any prohibition on dealing ahead of the dissemination of investment research.

June 2026
Labour Force Survey

Westpac Economics

IT TAKES A LITTLE

Key results

Employment
+76.3k
(+1.7%yr)

Unemployment Rate
4.4%
(unchanged)

Participation Rate
67.0%
(+0.3ppts)

Hours Worked
+0.2%
(+1.8%yr)

Underemployment Ratio
6.8%
(+0.2ppts)

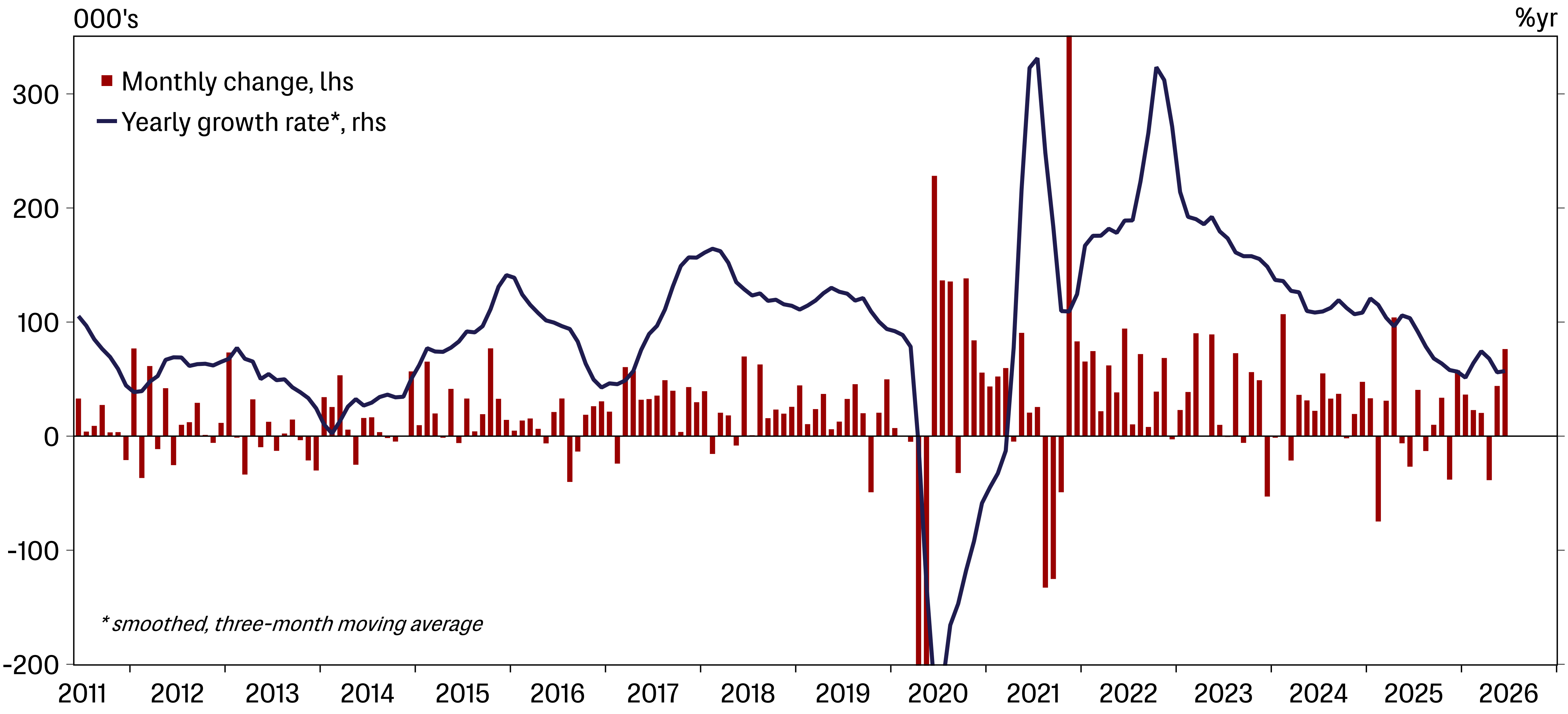
Youth Unemployment Rate
10.7%
(+0.3pts)

Employment-to-Population Ratio
64.0%
(+0.2ppts)

Underutilisation Rate
10.9%
(+0.2pts)

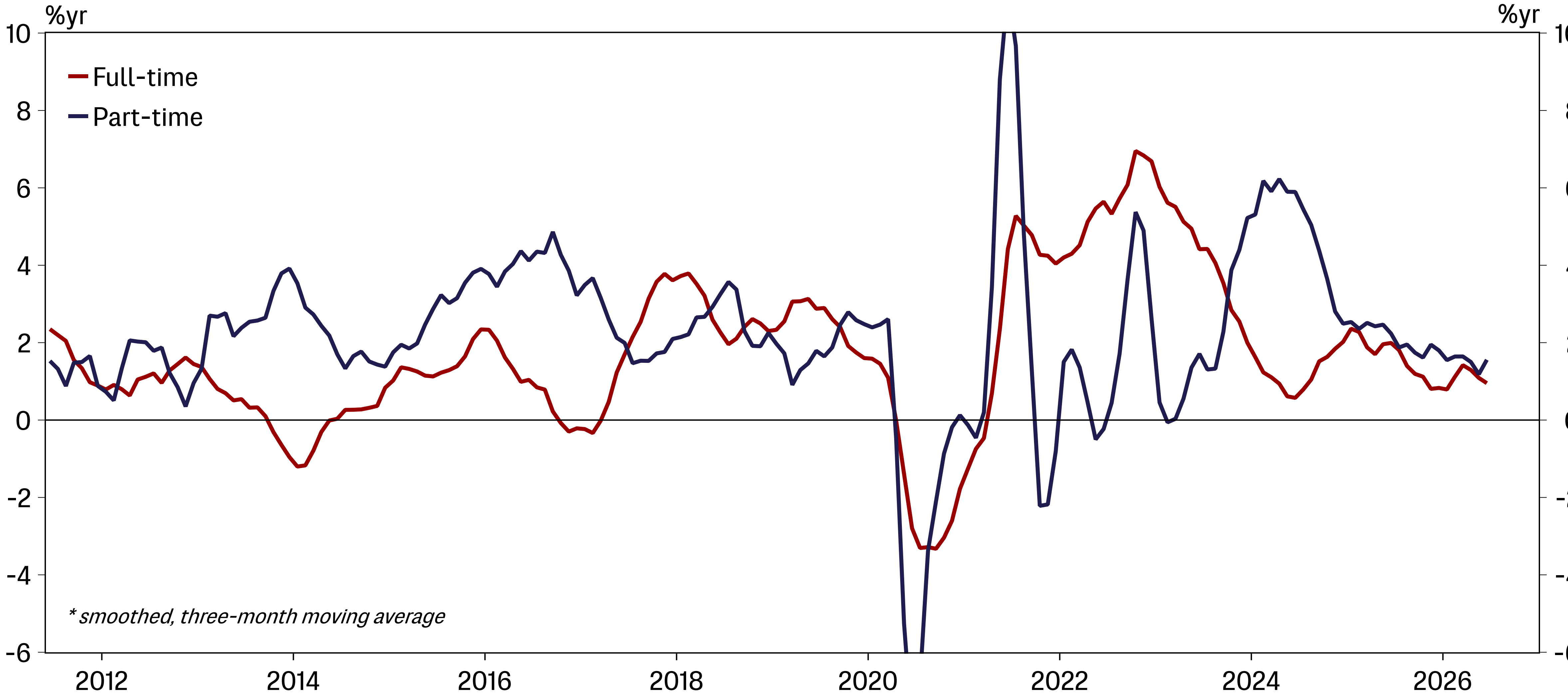
Average Hours Worked
–0.3%
(+0.1%yr)

Employment growth



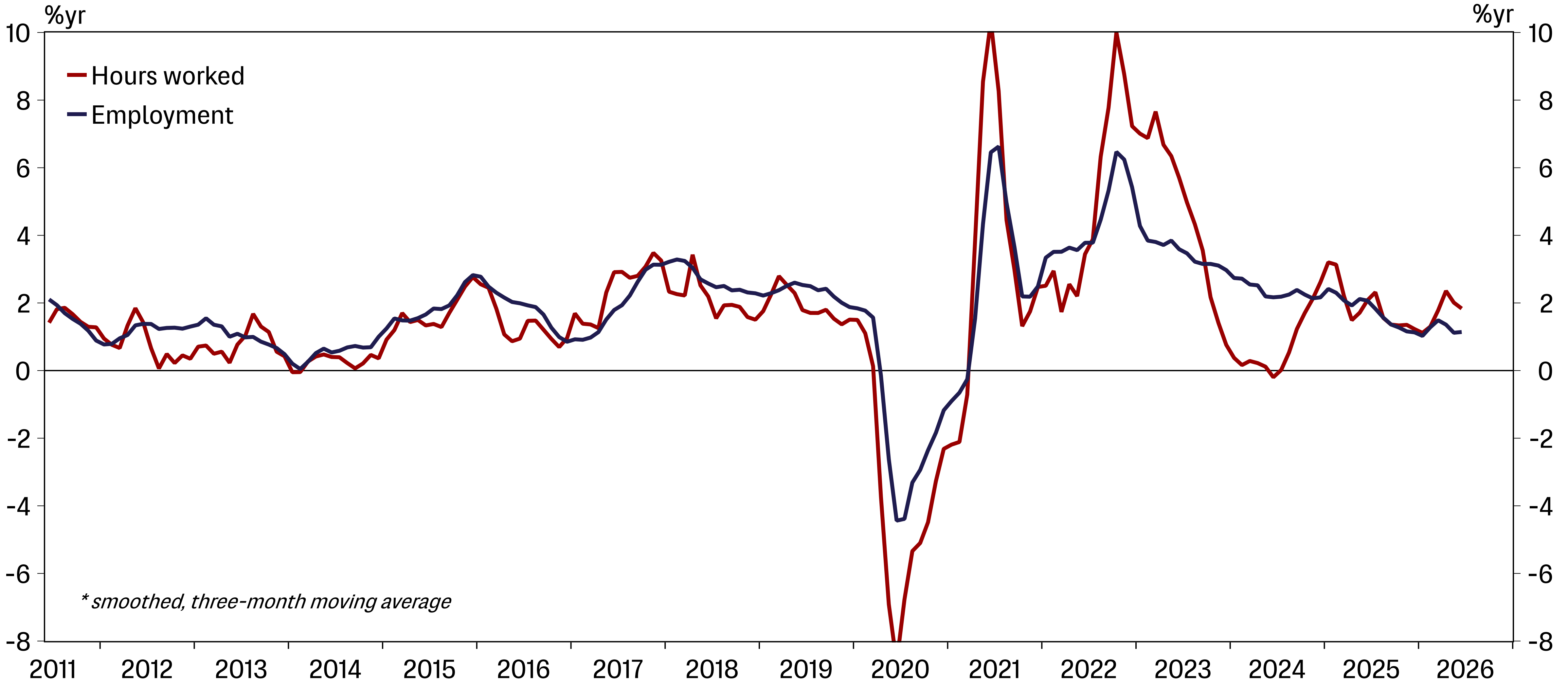
Source: ABS, Macrobond, Westpac Economics

Employment: full-time and part-time



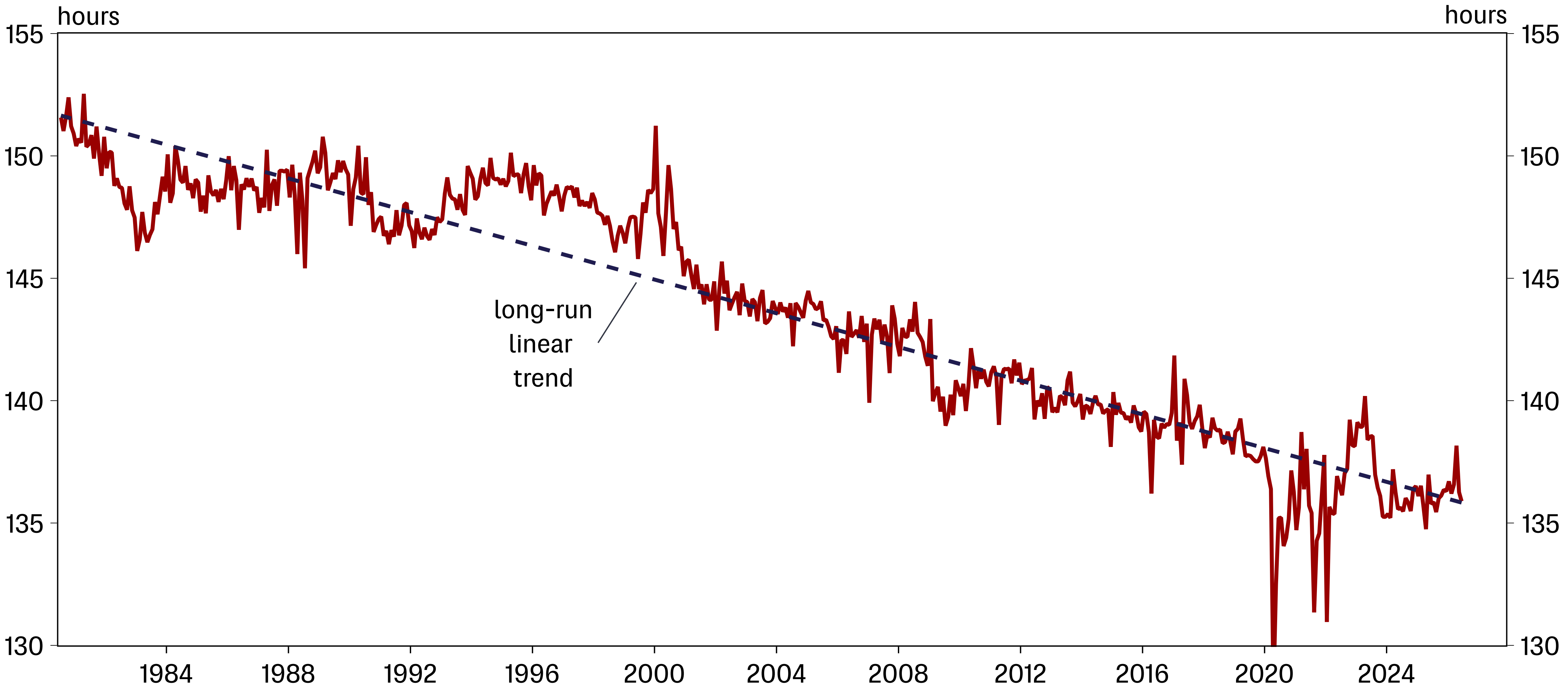
Source: ABS, Macrobond, Westpac Economics

Employment vs. hours worked



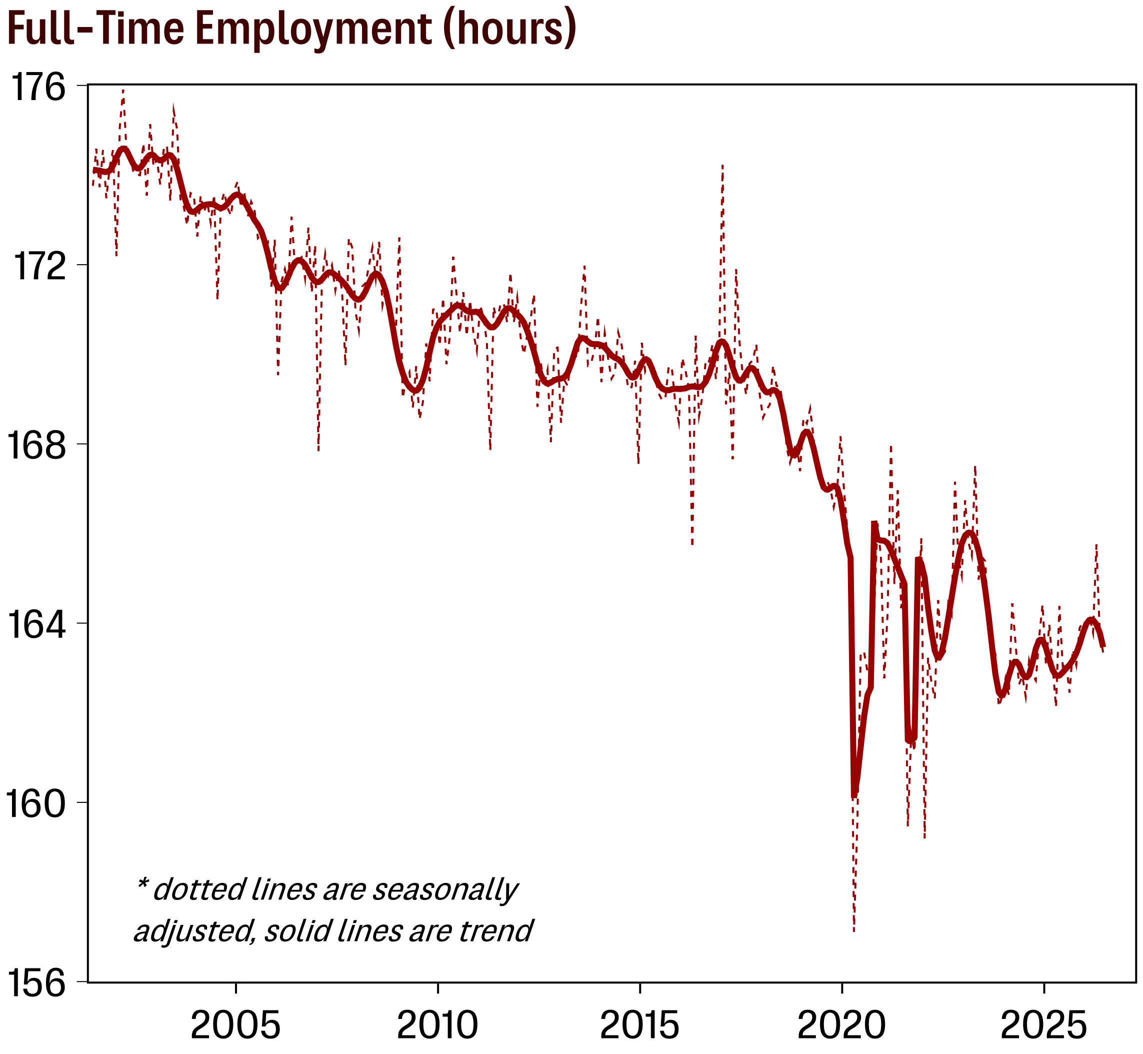
Source: ABS, Macrobond, Westpac Economics

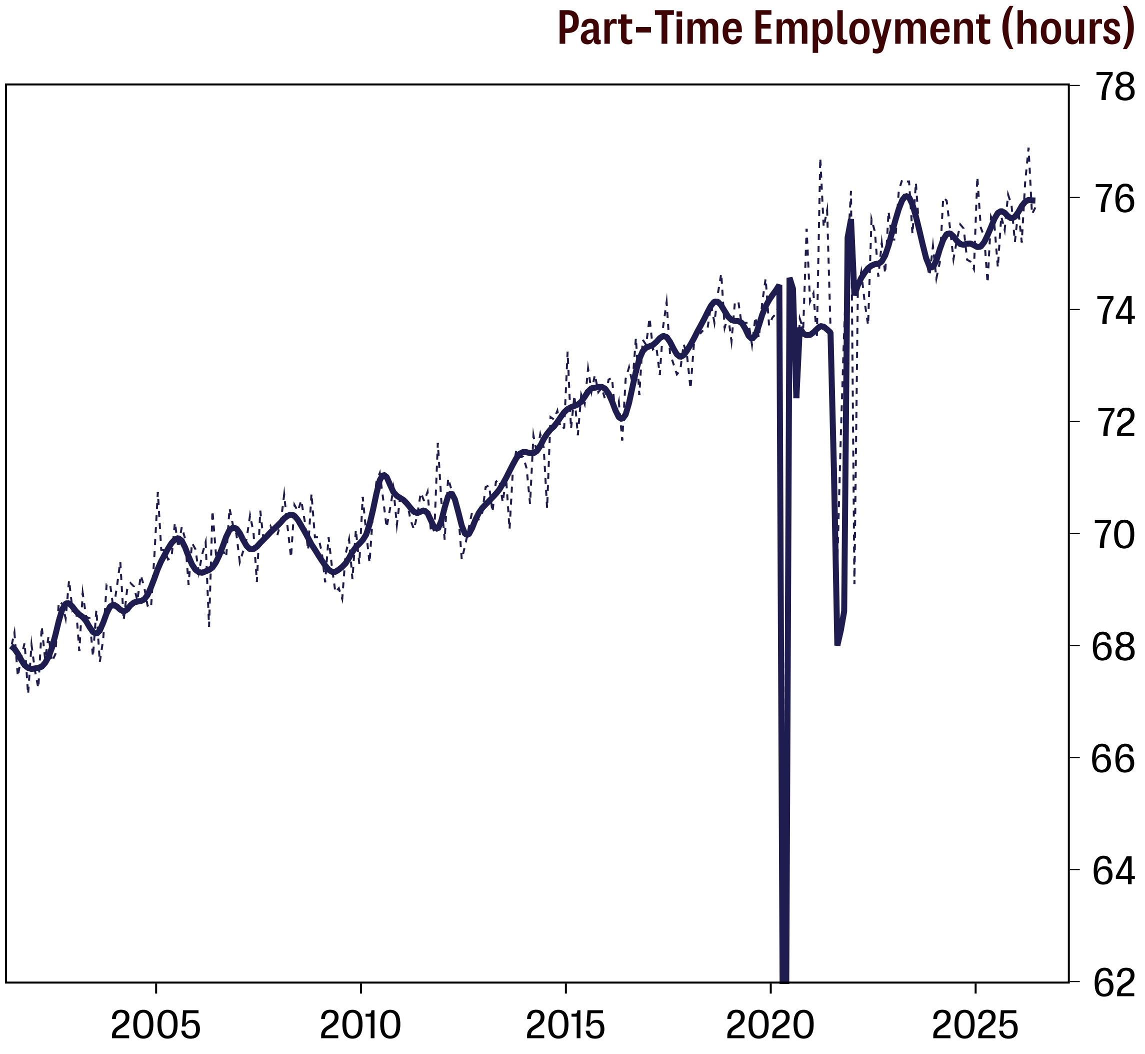
Average monthly hours worked



Source: ABS, Macrobond, Westpac Economics

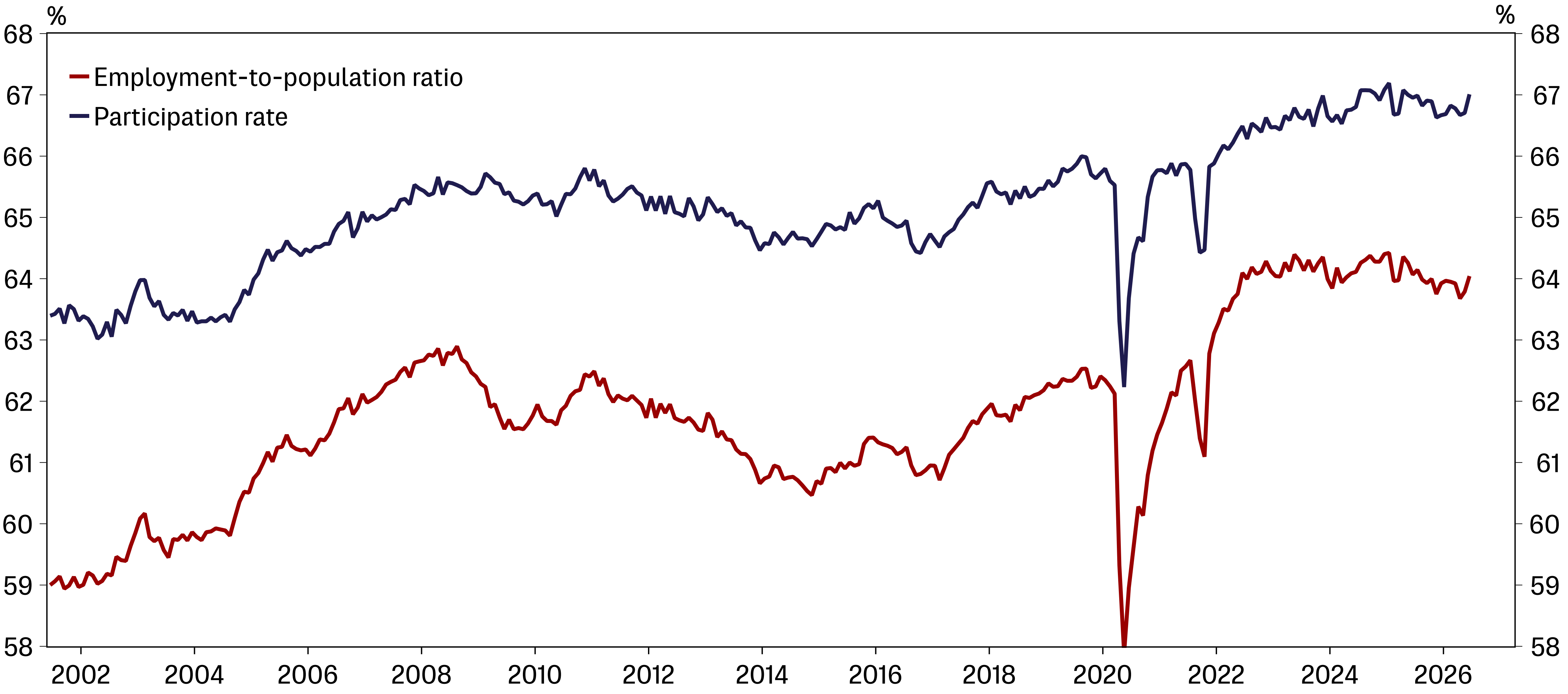
Average monthly hours worked: full-time and part-time





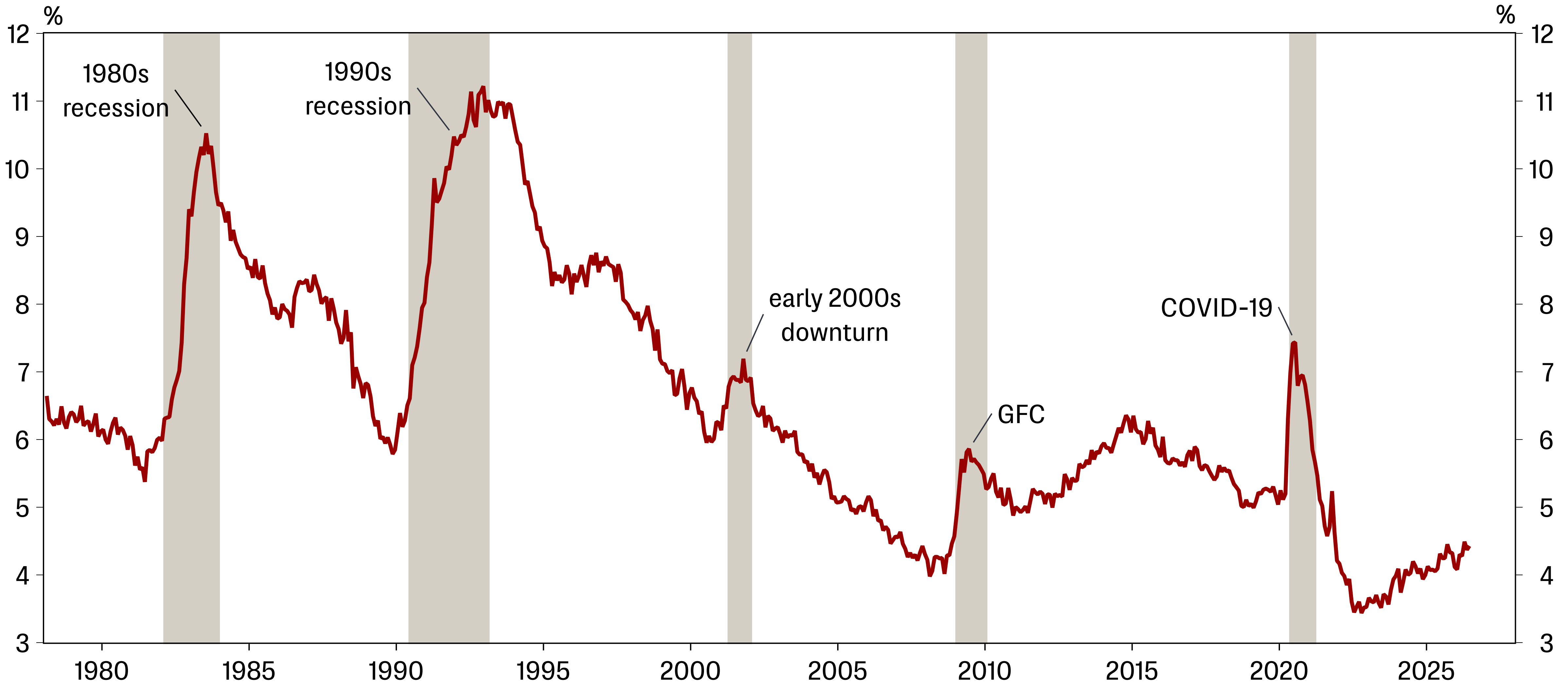
Source: ABS, Macrobond, Westpac Economics

Employment-to-population ratio and participation rate



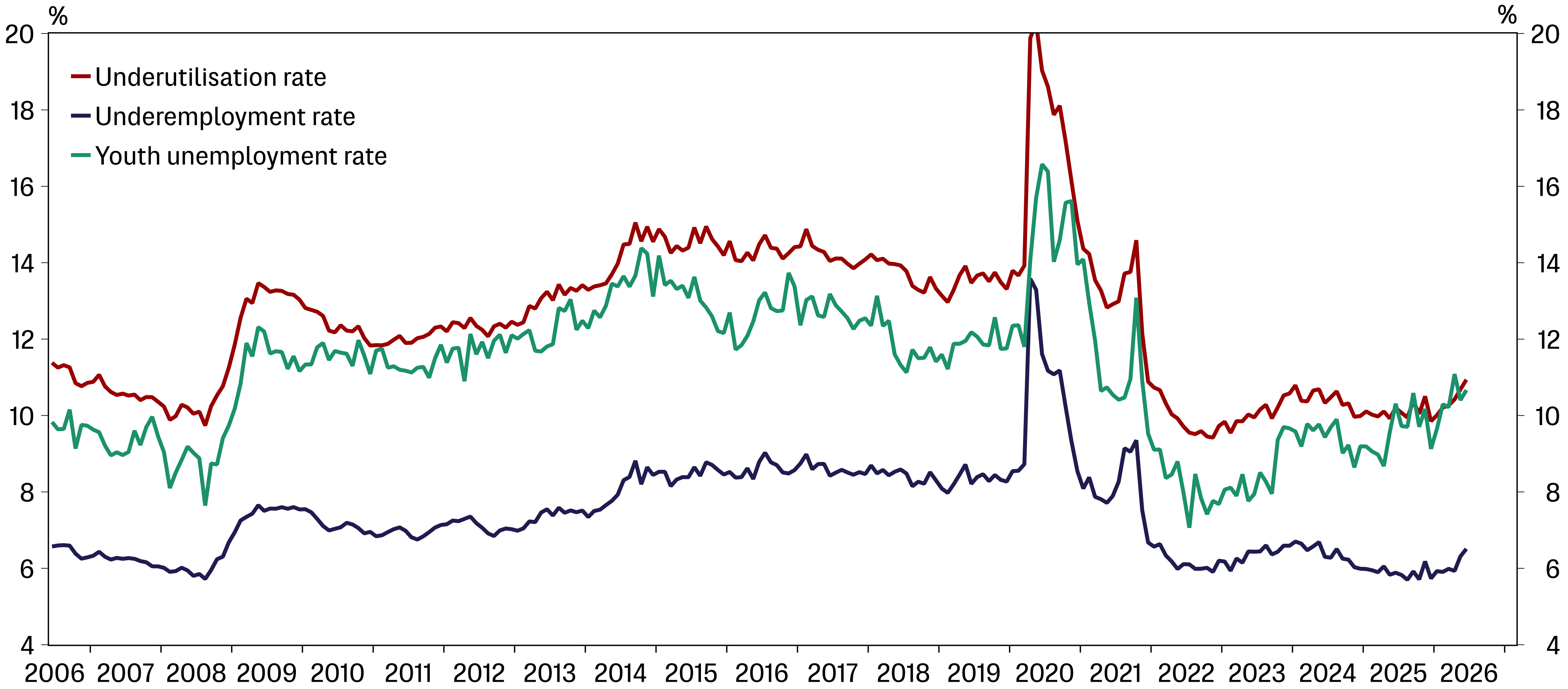
Source: ABS, Macrobond, Westpac Economics

Unemployment rate



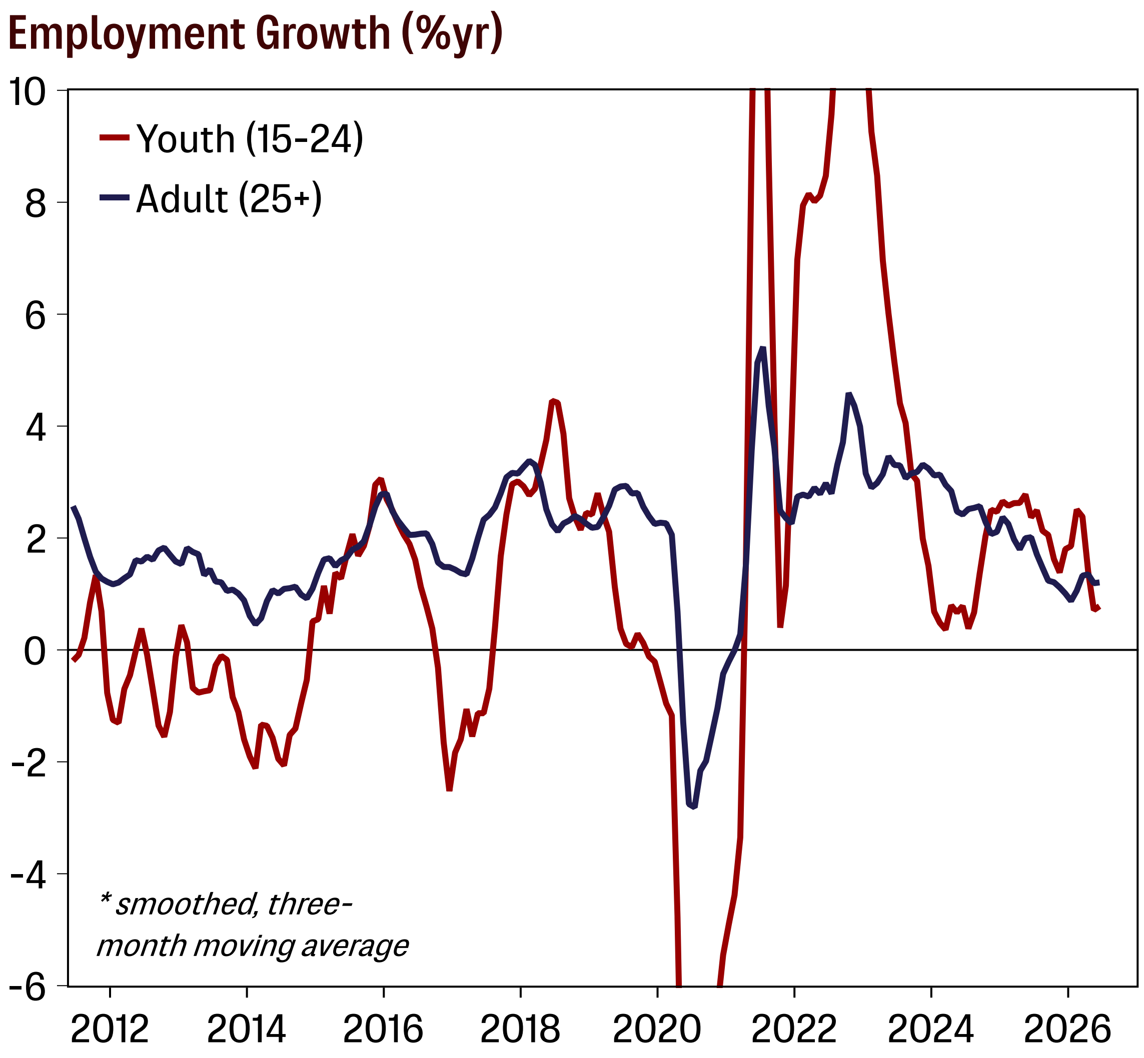
Source: ABS, Macrobond, Westpac Economics

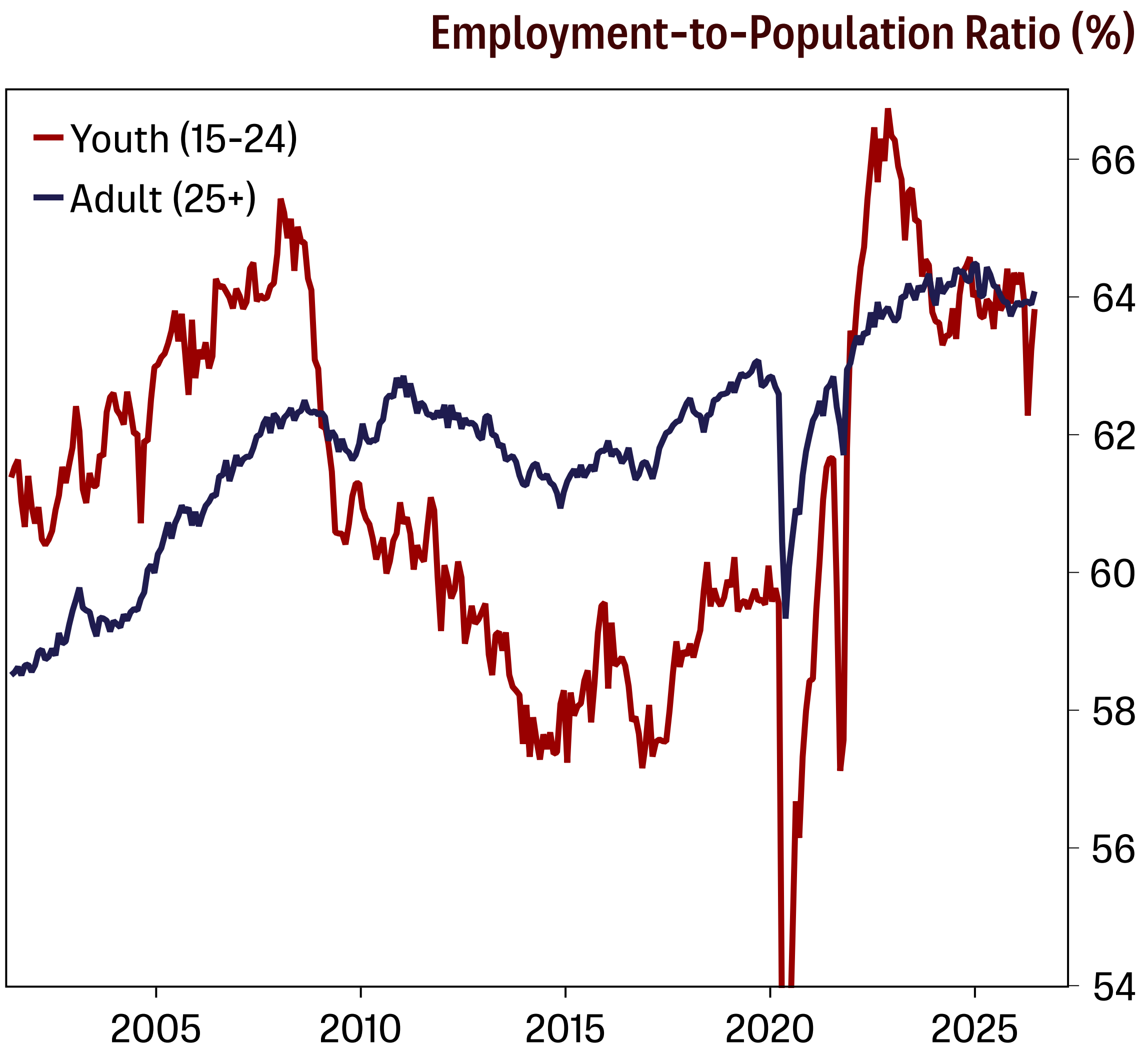
Other measures of labour market slack



Source: ABS, Macrobond, Westpac Economics

Trends by age

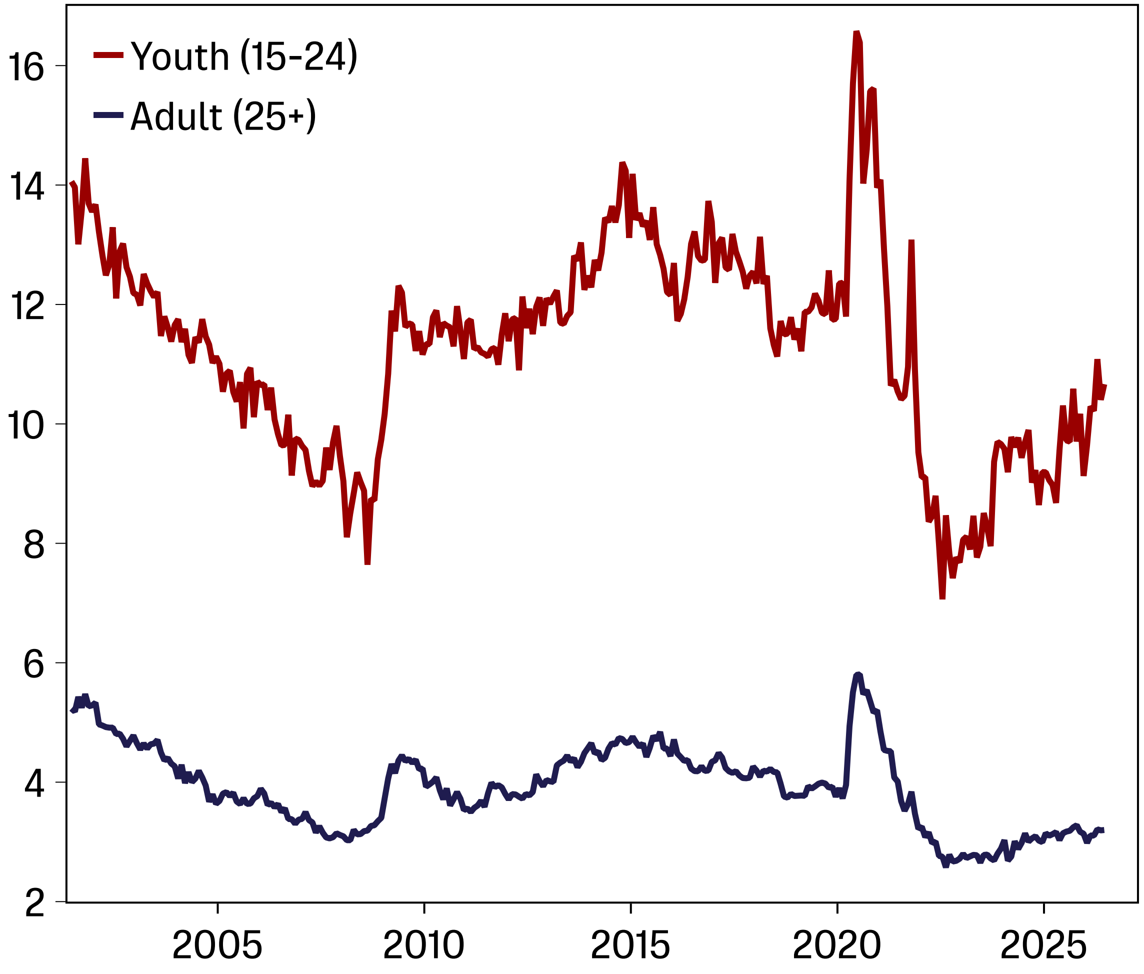




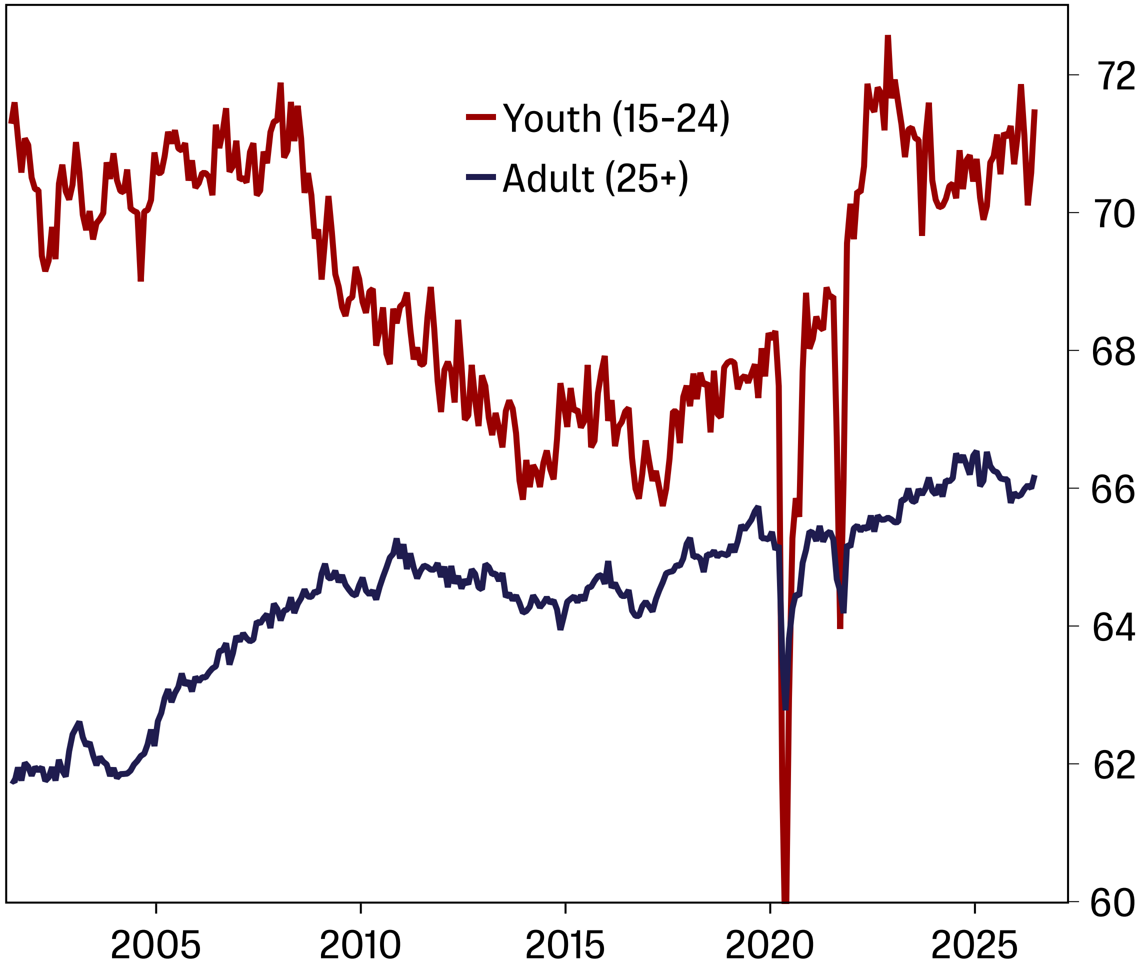
Source: ABS, Macrobond, Westpac Economics

Trends by age

Unemployment Rate (%)

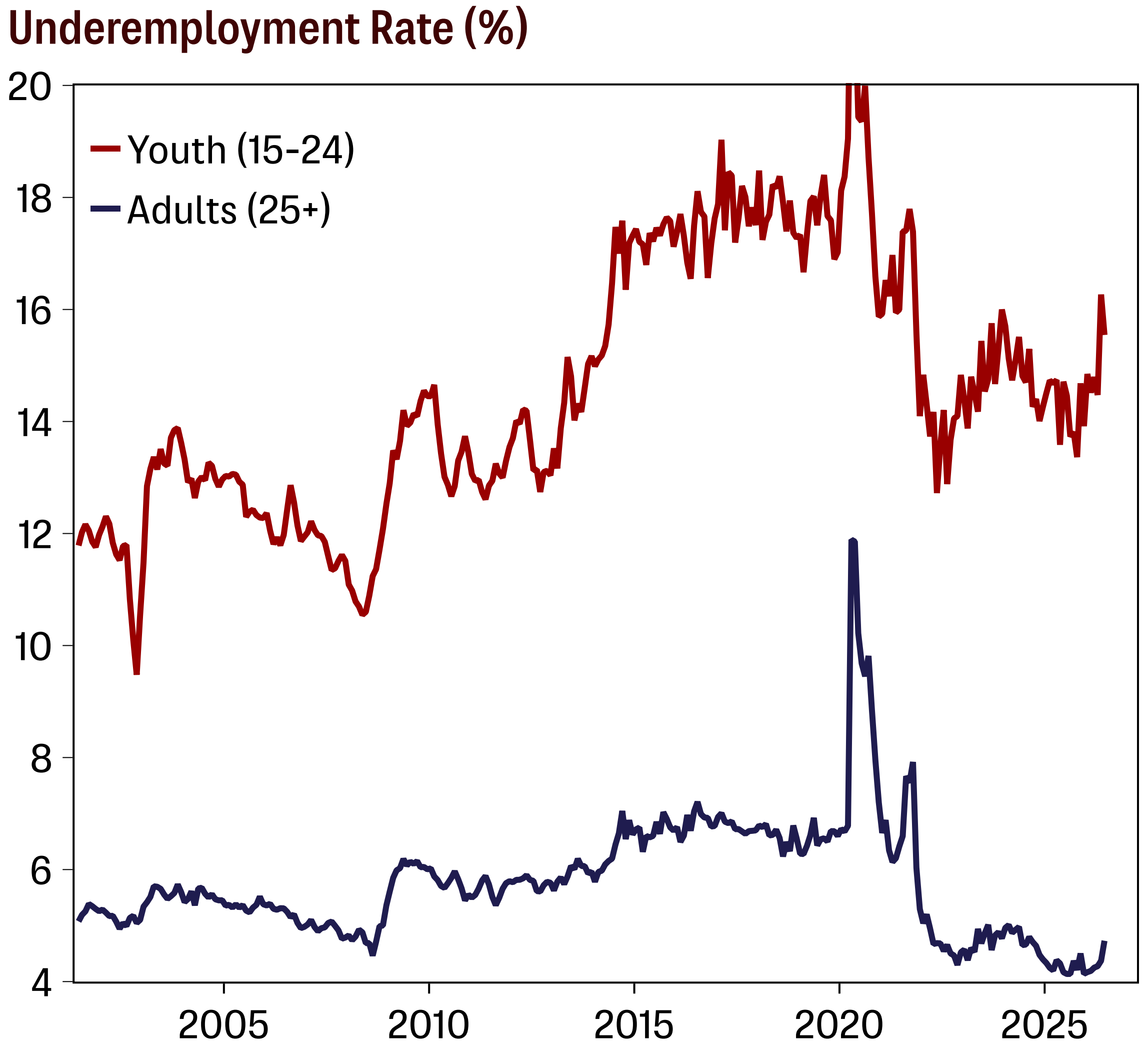


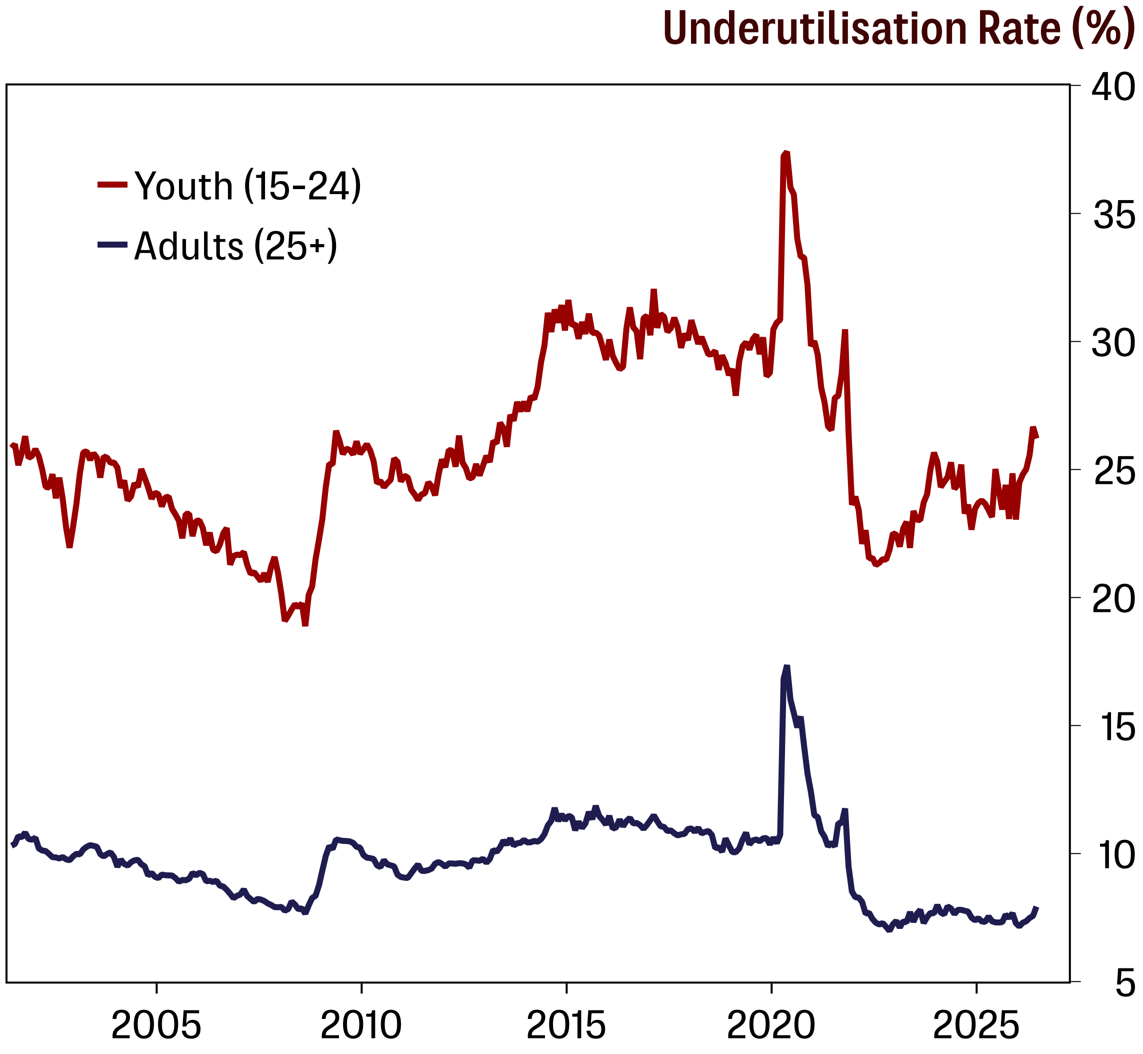
Participation Rate (%)



Source: ABS, Macrobond, Westpac Economics

Trends by age

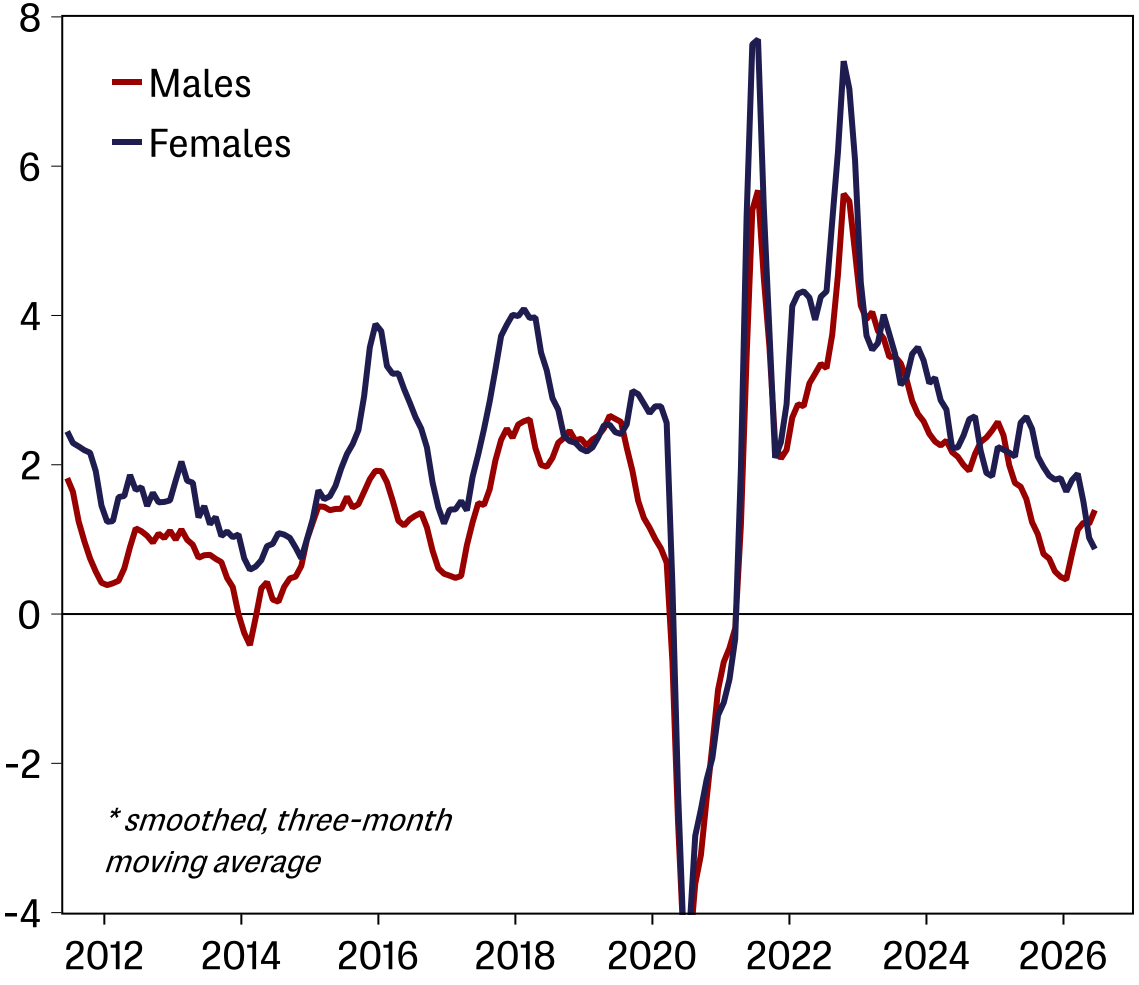




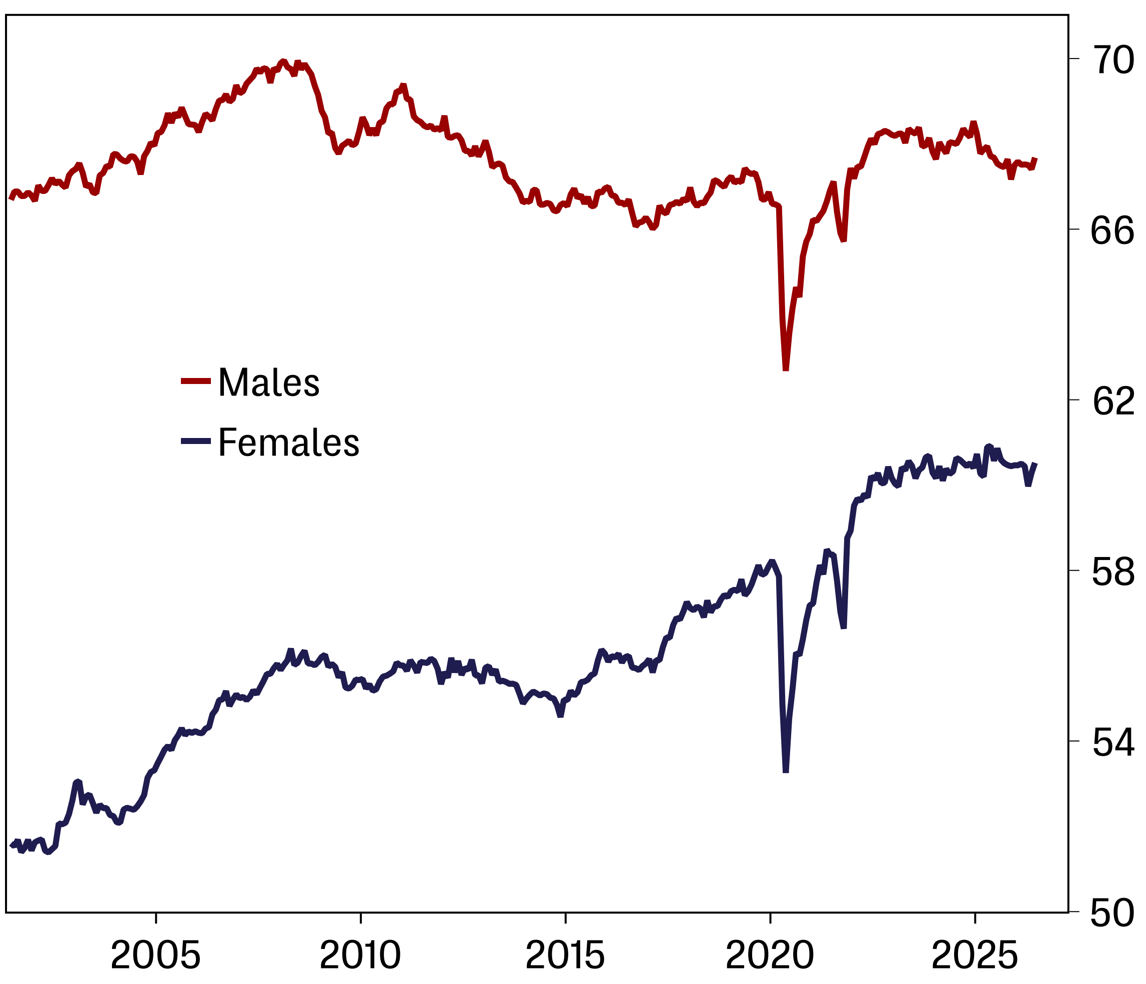
Source: ABS, Macrobond, Westpac Economics

Trends by sex

Employment Growth (%yr)

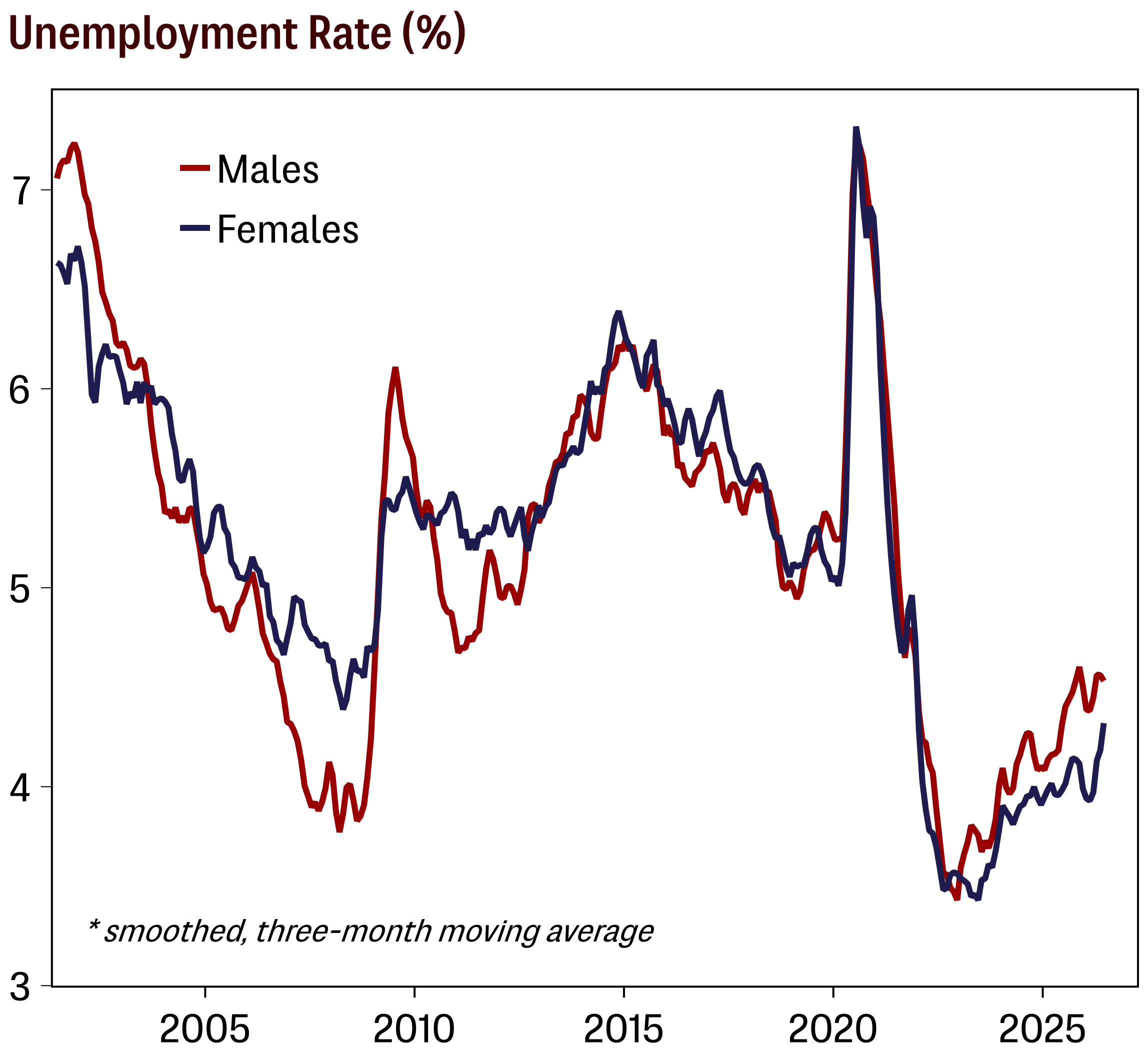


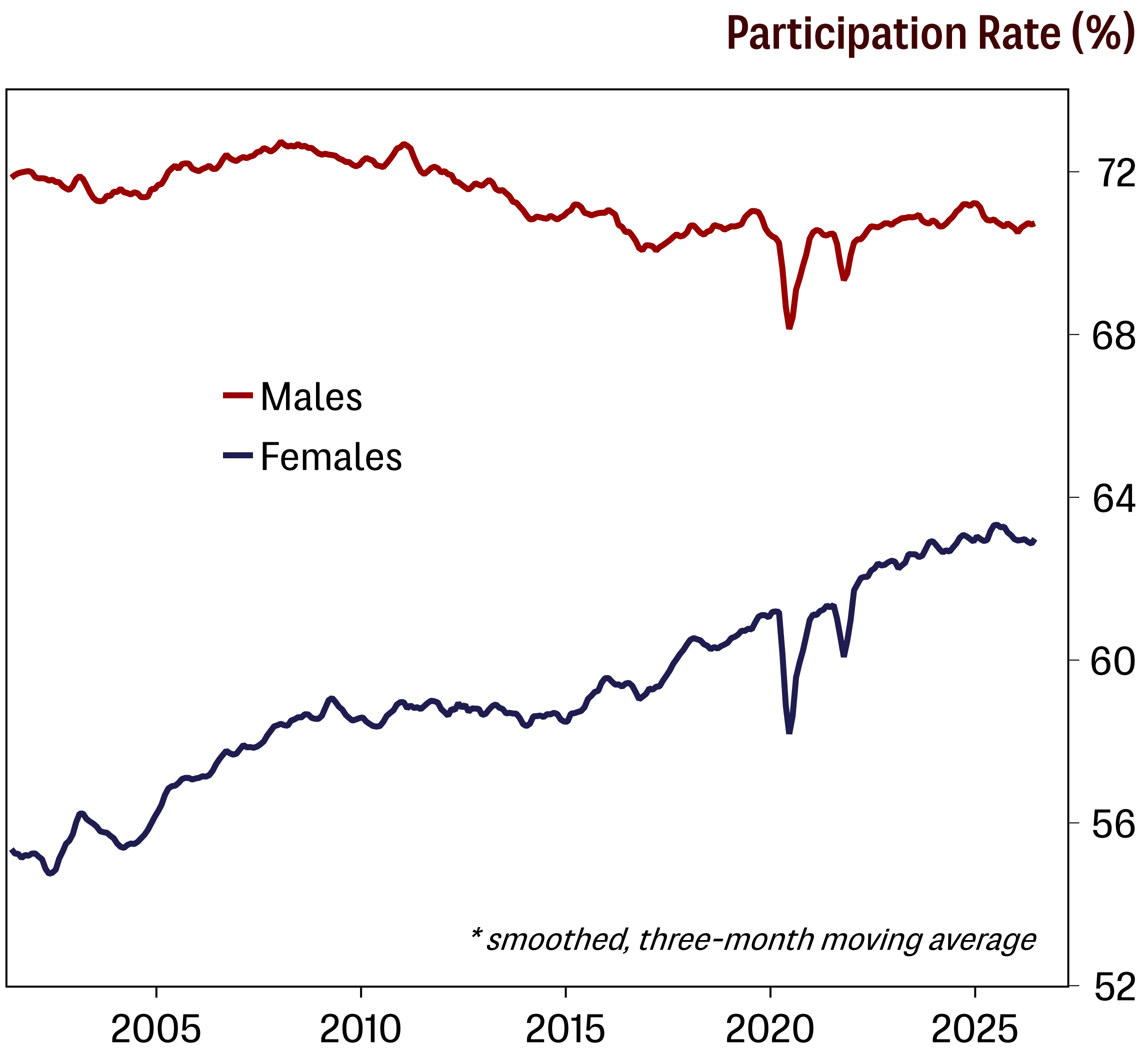
Employment-to-Population Ratio (%)



Source: ABS, Macrobond, Westpac Economics

Trends by sex

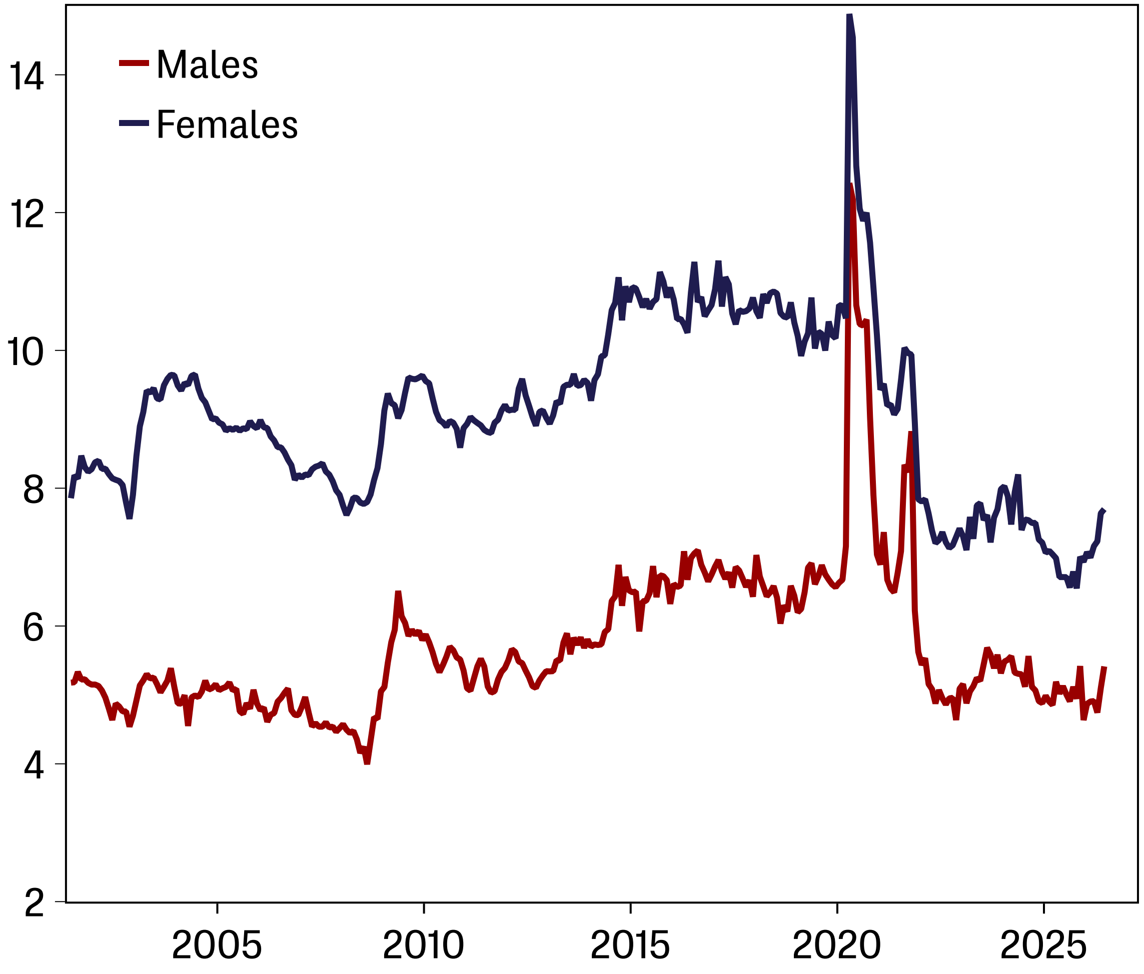




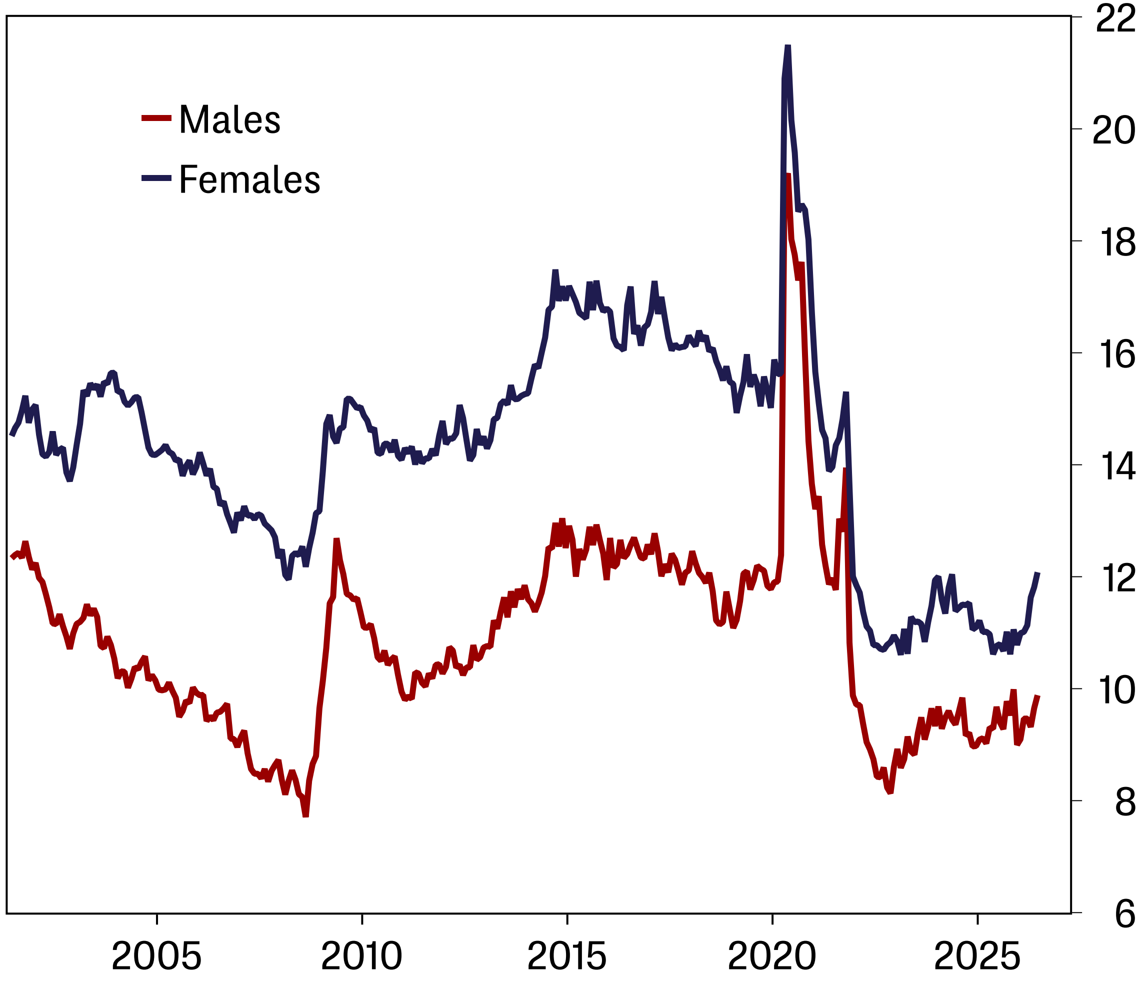
Source: ABS, Macrobond, Westpac Economics

Trends by sex

Underemployment Rate (%)



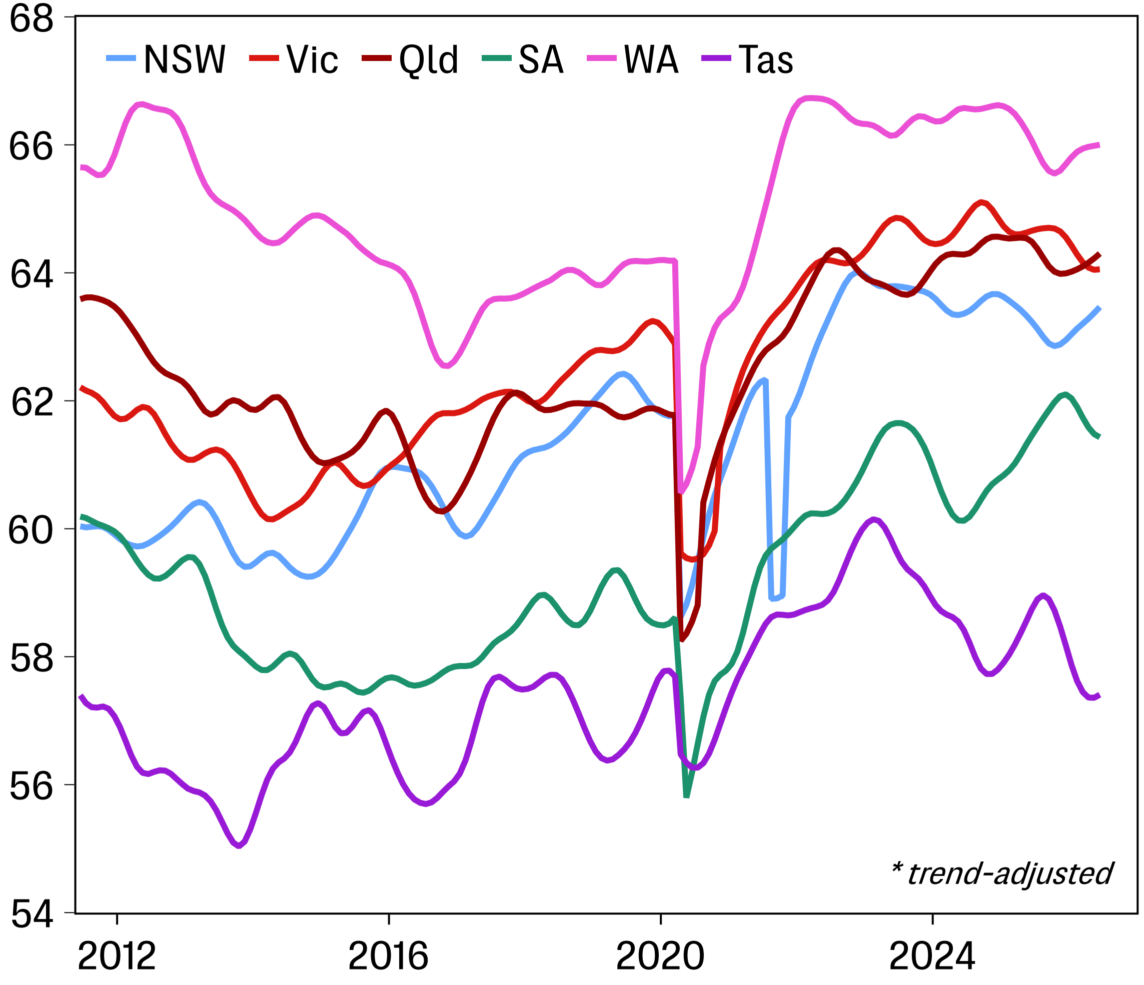
Underutilisation Rate (%)



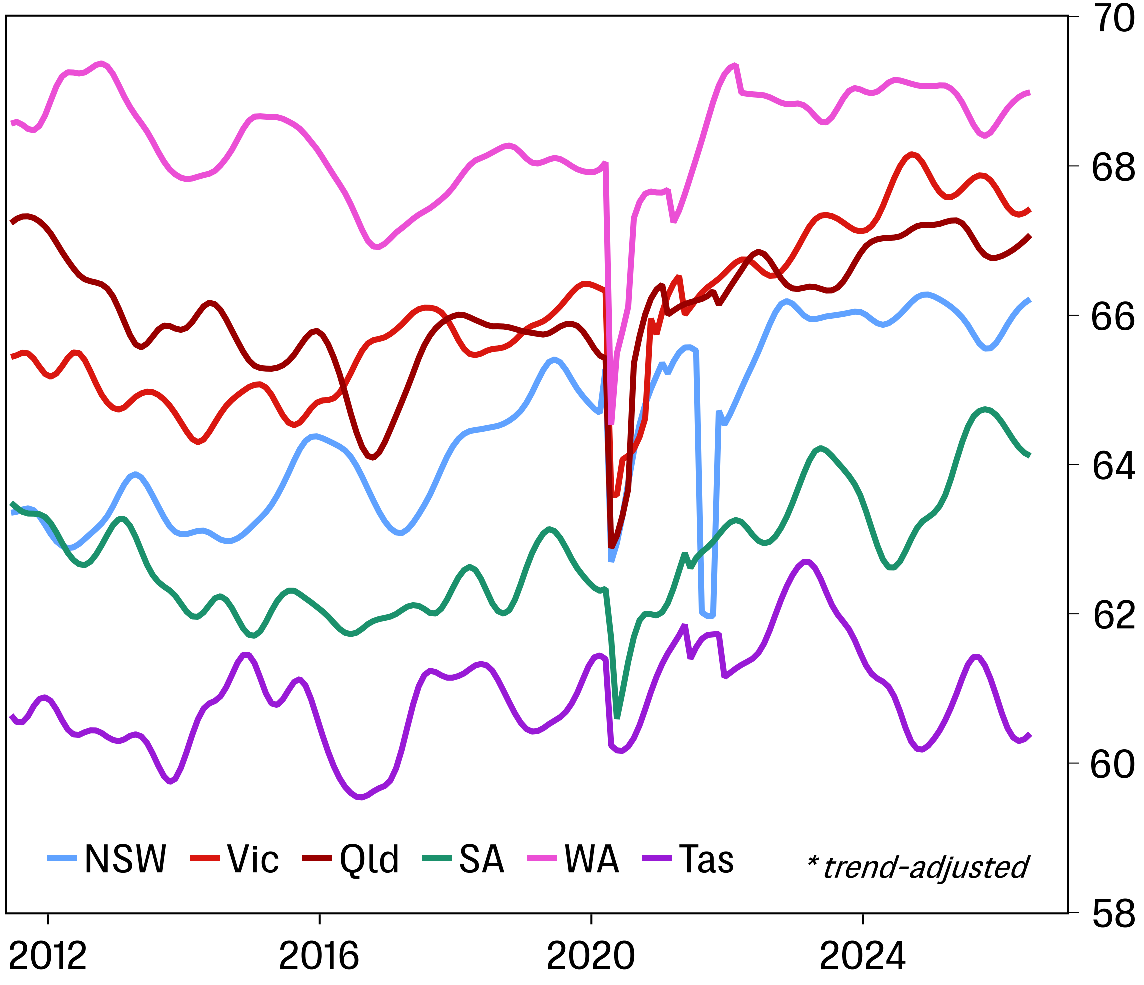
Source: ABS, Macrobond, Westpac Economics

Trends by state

Employment-to-Population Ratio (%)

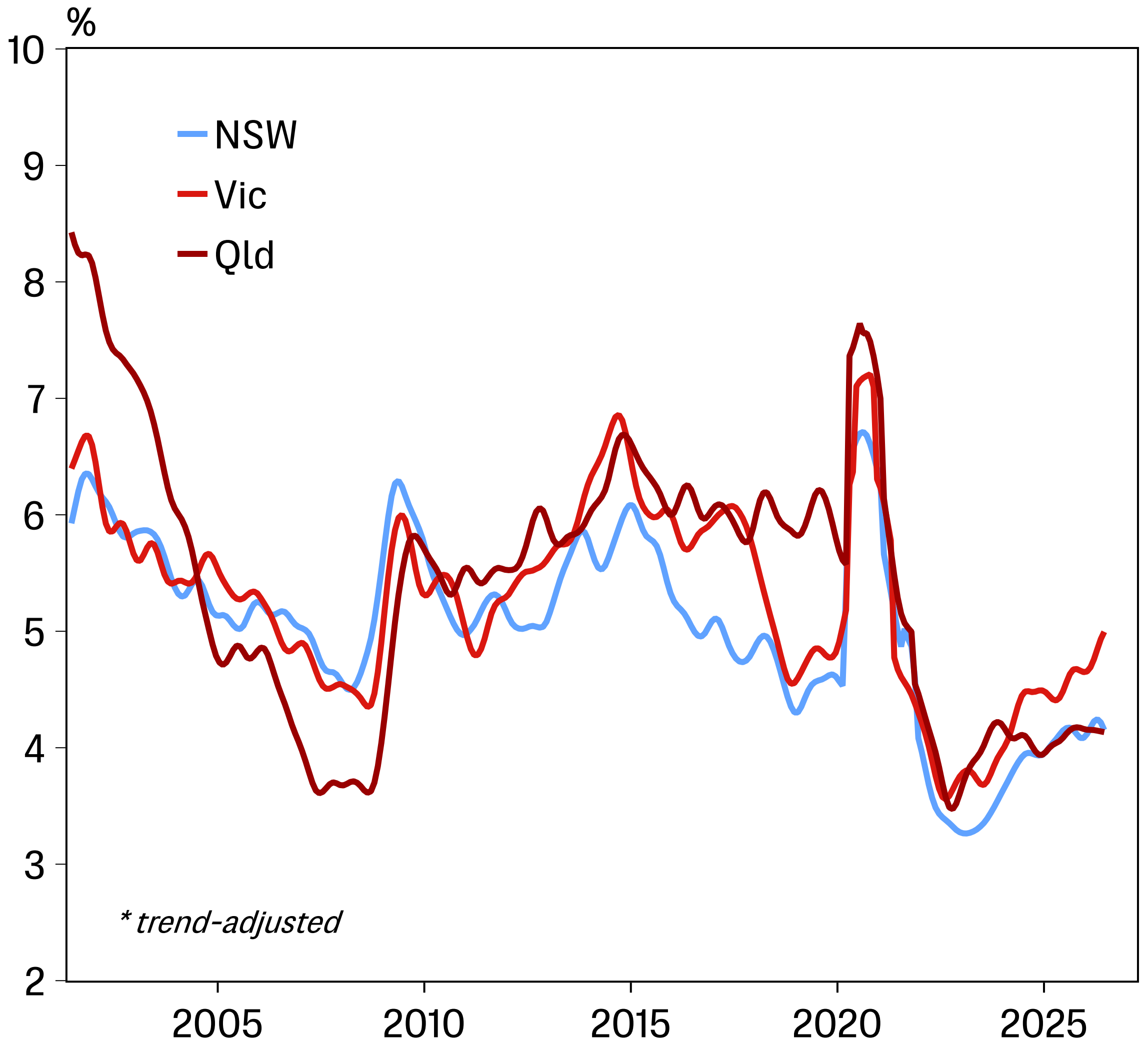


Participation Rate (%)



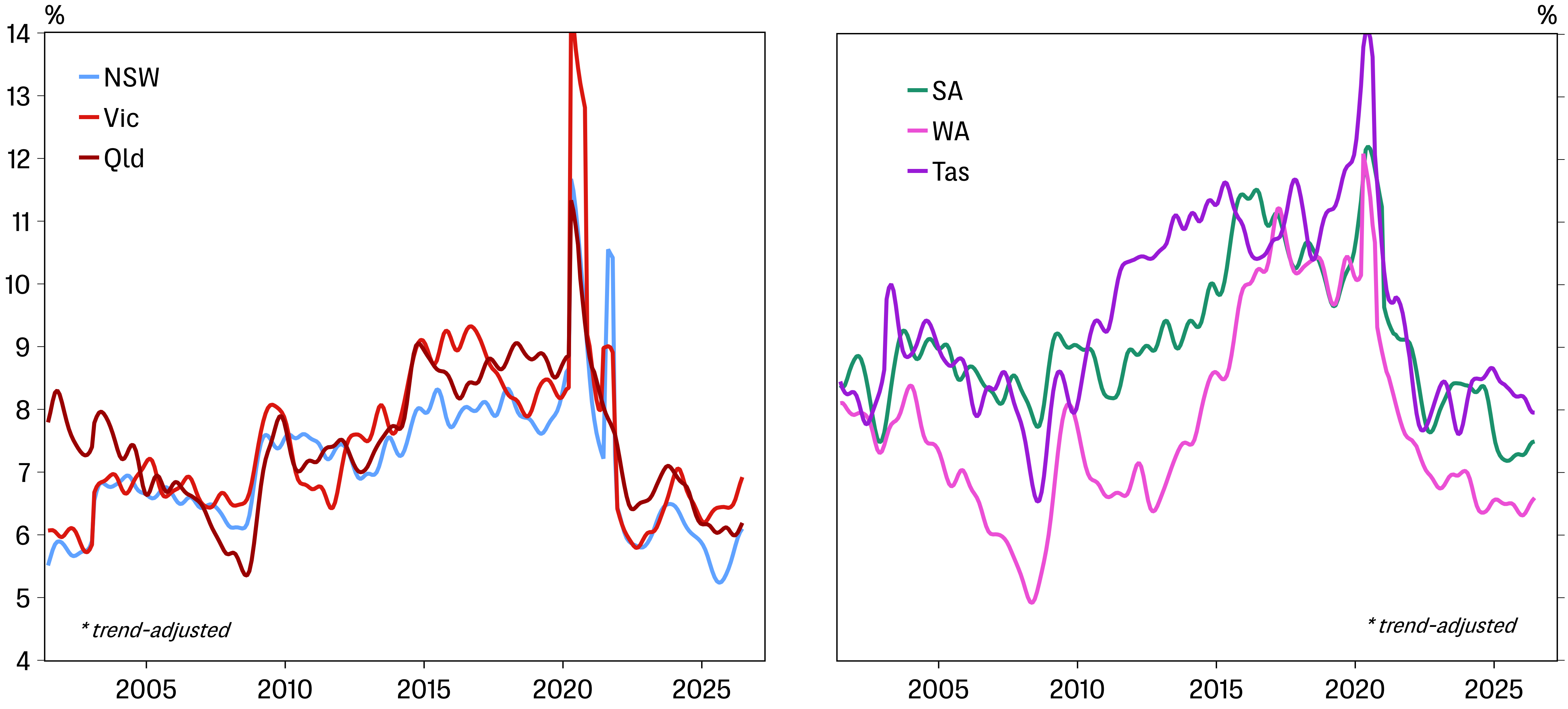
Source: ABS, Macrobond, Westpac Economics

Unemployment rate by state



Source: ABS, Macrobond, Westpac Economics

Underemployment rate by state



Source: ABS, Macrobond, Westpac Economics

Thank you!

Subscribe to Westpac IQ

Disclaimers

Disclaimer

This information has been prepared by Westpac and is intended for information purposes only. It is not intended to reflect any recommendation or financial advice and investment decisions should not be based on it. This information does not constitute an offer, a solicitation of an offer, or an inducement to subscribe for, purchase or sell any financial instrument or to enter into a legally binding contract. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice. Certain types of transactions, including those involving futures, options and high yield securities give rise to substantial risk and are not suitable for all investors. We recommend that you seek your own independent legal or financial advice before proceeding with any investment decision.

This information may contain material provided by third parties. While such material is published with the necessary permission none of Westpac or its related entities accepts any responsibility for the accuracy or completeness of any such material. Although we have made every effort to ensure this information is free from error, none of Westpac or its related entities warrants the accuracy, adequacy or completeness of this information, or otherwise endorses it in any way. Except where contrary to law, Westpac Group intend by this notice to exclude liability for this information. This information is subject to change without notice and none of Westpac or its related entities is under any obligation to update this information or correct any inaccuracy which may become apparent at a later date. This information may contain or incorporate by reference forward looking statements. The words "believe", "anticipate", "expect", "intend", "plan", "predict", "continue", "assume", "positioned", "may", "will", "should", "shall", "risk" and other similar expressions that are predictions of or indicate future events and future trends identify forward-looking statements. These forward-looking statements include all matters that are not historical facts. Past performance is not a reliable indicator of future performance, nor are forecasts of future performance. Whilst every effort has been taken to ensure that the assumptions on which any forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The ultimate outcomes may differ substantially from any forecasts.

Conflicts of Interest: In the normal course of offering banking products and services to its clients, the Westpac Group may act in several capacities (including issuer, market maker, underwriter, distributor, swap counterparty and calculation agent) simultaneously with respect to a financial instrument, giving rise to potential conflicts of interest which may impact the performance of a financial instrument. The Westpac Group may at any time transact or hold a position (including hedging and trading positions) for its own account or the account of a client in any financial instrument which may impact the performance of that financial instrument.

Author(s) disclaimer and declaration: The author(s) confirms that (a) no part of his/her compensation was, is, or will be, directly or indirectly, related to any views or (if applicable) recommendations expressed in this material; (b) this material accurately reflects his/her personal views about the financial products, companies or issuers (if applicable) and is based on sources reasonably believed to be reliable and accurate; (c) to the best of the author's knowledge, they are not in receipt of inside information and this material does not contain inside information; and (d) no other part of the Westpac Group has made any attempt to influence this material.

Further important information regarding sustainability related content: This material may contain statements relating to environmental, social and governance (ESG) topics. These are subject to known and unknown risks, and there are significant uncertainties, limitations, risks and assumptions in the metrics, modelling, data, scenarios, reporting and analysis on which the statements rely. In particular, these areas are rapidly evolving and maturing, and there are variations in approaches and common standards and practice, as well as uncertainty around future related policy and legislation. Some material may include information derived from publicly available sources that have not been independently verified. No representation or warranty is made as to the accuracy, completeness or reliability of the information. There is a risk that the analysis, estimates, judgements, assumptions, views, models, scenarios or projections used may turn out to be incorrect. These risks may cause actual outcomes to differ materially from those expressed or implied. The ESG-related statements in this material do not constitute advice, nor are they guarantees or predictions of future performance, and Westpac gives no representation, warranty or assurance (including as to the quality, accuracy or completeness of the statements). You should seek your own independent advice.

Country Disclosure

Westpac holds an Australian Financial Services Licence (No. 233714). You can access Westpac's Financial Services Guide here or request a copy from your Westpac point of contact. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice.

Offshore Disclaimers

New Zealand: In New Zealand, Westpac Institutional Bank refers to the brand under which products and services are provided by either Westpac (NZ division) or Westpac New Zealand Limited (company number 1763882), the New Zealand incorporated subsidiary of Westpac ("WNZL"). Any product or service made available by WNZL does not represent an offer from Westpac or any of its subsidiaries (other than WNZL). Neither Westpac nor its other subsidiaries guarantee or otherwise support the performance of WNZL in respect of any such product. WNZL is not an authorised deposit-taking institution for the purposes of Australian prudential standards. The current disclosure statements for the New Zealand branch of Westpac and WNZL can be obtained at www.westpac.co.nz.
Singapore: This material has been prepared and issued for distribution in Singapore to institutional investors, accredited investors and expert investors (as defined in the applicable Singapore laws and regulations) only. Recipients of this material in Singapore should contact Westpac Singapore Branch in respect of any matters arising from, or in connection with, this material. Westpac Singapore Branch holds a wholesale banking licence and is subject to supervision by the Monetary Authority of Singapore.
Fiji: Unless otherwise specified, the products and services for Westpac Fiji are available from www.westpac.com.fj © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia and registered as a branch in Fiji. The liability of its members is limited.
Papua New Guinea: Unless otherwise specified, the products and services for Westpac PNG are available from www.westpac.com.pg © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia. Westpac is represented in Papua New Guinea by Westpac Bank - PNG - Limited. The liability of its members is limited.
U.S: Westpac operates in the United States of America as a federally licensed branch, regulated by the Office of the Comptroller of the Currency. Westpac is also registered with the US Commodity Futures Trading Commission ("CFTC") as a Swap Dealer, but is neither registered as, or affiliated with, a Futures Commission Merchant registered with the US CFTC. The services and products referenced above are not insured by the Federal Deposit Insurance Corporation ("FDIC"). Westpac Capital Markets, LLC ('WCM'), a wholly-owned subsidiary of Westpac, is a broker-dealer registered under the U.S. Securities Exchange Act of 1934 ('the Exchange Act') and member of the Financial Industry Regulatory Authority ('FINRA'). In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WCM other than as provided for in certain legal agreements between Westpac and WCM and obligations of WCM do not represent liabilities of Westpac.
This communication is provided for distribution to U.S. institutional investors in reliance on the exemption from registration provided by Rule 15a-6 under the Exchange Act and is not subject to all of the independence and disclosure standards applicable to debt research reports prepared for retail investors in the United States. WCM is the U.S. distributor of this communication and accepts responsibility for the contents of this communication. Transactions by U.S. customers of any securities referenced herein should be effected through WCM. All disclaimers set out with respect to Westpac apply equally to WCM. If you would like to speak to someone regarding any security mentioned herein, please contact WCM on +1 212 389 1269. Investing in any non-U.S. securities or related financial instruments mentioned in this communication may present certain risks. The securities of non-U.S. issuers may not be registered with, or be subject to the regulations of, the SEC in the United States. Information on such non-U.S. securities or related financial instruments may be limited. Non-U.S. companies may not be subject to audit and reporting standards and regulatory requirements comparable to those in effect in the United States. The value of any investment or income from any securities or related derivative instruments denominated in a currency other than U.S. dollars is subject to exchange rate fluctuations that may have a positive or adverse effect on the value of or income from such securities or related derivative instruments.
The author of this communication is employed by Westpac and is not registered or qualified as a research analyst, representative, or associated person of WCM or any other U.S. broker-dealer under the rules of FINRA, any other U.S. self-regulatory organisation, or the laws, rules or regulations of any State. Unless otherwise specifically stated, the views expressed herein are solely those of the author and may differ from the information, views or analysis expressed by Westpac and/or its affiliates.
UK: The London branch of Westpac is authorised in the United Kingdom by the Prudential Regulation Authority (PRA) and is subject to regulation by the Financial Conduct Authority (FCA) and limited regulation by the PRA (Financial Services Register number: 124586). The London branch of Westpac is registered at Companies House as a branch established in the United Kingdom (Branch No. BR000106). Details about the extent of the regulation of Westpac's London branch by the PRA are available from us on request.
This communication is not being made to or distributed to, and must not be passed on to, the general public in the United Kingdom. Rather, this communication is being made only to and is directed at (a) those persons falling within the definition of Investment Professionals (set out in Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (the "Order")); (b) those persons falling within the definition of high net worth companies, unincorporated associations etc. (set out in Article 49(2)of the Order; (c) other persons to whom it may lawfully be communicated in accordance with the Order or (d) any persons to whom it may otherwise lawfully be made (all such persons together being referred to as "relevant persons"). Any person who is not a relevant person should not act or rely on this communication or any of its contents. In the same way, the information contained in this communication is intended for "eligible counterparties" and "professional clients" as defined by the rules of the Financial Conduct Authority and is not intended for "retail clients". Westpac expressly prohibits you from passing on the information in this communication to any third party.
European Economic Area ("EEA"): This material may be distributed to you by either: (i) Westpac directly, or (ii) Westpac Europe GmbH ("WEG") under a sub-licensing arrangement. WEG has not edited or otherwise modified the content of this material. WEG is authorised in Germany by the Federal Financial Supervision Authority ('BaFin') and subject to its regulation. WEG's supervisory authorities are BaFin and the German Federal Bank ('Deutsche Bundesbank'). WEG is registered with the commercial register ('Handelsregister') of the local court of Frankfurt am Main under registration number HRB 118483. In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WEG other than as provided for in certain legal agreements (a risk transfer, sub-participation and collateral agreement) between Westpac and WEG and obligations of WEG do not represent liabilities of Westpac. Any product or service made available by WEG does not represent an offer from Westpac or any of its subsidiaries (other than WEG). All disclaimers set out with respect to Westpac apply equally to WEG.
This communication is not intended for distribution to, or use by any person or entity in any jurisdiction or country where such distribution or use would be contrary to local law or regulation.
This communication contains general commentary, research, and market colour. The communication does not constitute investment advice. The material may contain an 'investment recommendation' and/or 'information recommending or suggesting an investment', both as defined in Regulation (EU) No 596/2014 (including as applicable in the United Kingdom) ("MAR"). In accordance with the relevant provisions of MAR, reasonable care has been taken to ensure that the material has been objectively presented and that interests or conflicts of interest of the sender concerning the financial instruments to which that information relates have been disclosed.
Investment recommendations must be read alongside the specific disclosure which accompanies them and the general disclosure which can be found here. Such disclosure fulfils certain additional information requirements of MAR and associated delegated legislation and by accepting this communication you acknowledge that you are aware of the existence of such additional disclosure and its contents.
To the extent this communication comprises an investment recommendation it is classified as non-independent research. It has not been prepared in accordance with legal requirements designed to promote the independence of investment research and therefore constitutes a marketing communication. Further, this communication is not subject to any prohibition on dealing ahead of the dissemination of investment research.

Cliff Notes: markets on edge

#cliffnotes #rba #australia #inflation #us #fomc #ecb #aud #usd

By Elliot Clarke, Ryan Wells & Illiana Jain

09:56 July 24 2026

Share

Key insights from the week that was.

The June Labour Force Survey offered both noise and signal. Employment surprised materially to the upside, rising 76.3k in the month. However, the gain was matched by a sizeable lift in labour supply, the participation rate bouncing 0.3ppts to 67.0%, a 13-month high.

The ABS noted in the June release that there was a large group of individuals outside the labour force with a job lined up in May, and that they began work in June. With the employment gain driven by new labour force entrants, the unemployment rate held steady at 4.4% (edging up from 4.37% to 4.43% at the second decimal place). Rising unemployment and the sharp lift in underemployment over recent months both suggest labour market slack is building steadily.

Unlike previous readings which implied a sudden loss of momentum, employment growth now looks to have been steadier over the first half of the year, albeit with significant month-to-month volatility. This is in line with our belief that any further softening was more likely to occur in the second half once the drag from higher inflation and recent interest rate rises works through the economy.

The Q2 Westpac Business Signal showcased that cost pressures are growing and consumer-facing industries are most exposed to deteriorating growth prospects. Together with weaker employment intentions from other business surveys, this points to a sluggish outlook for employment through the turn of the year when we expect the unemployment rate to peak around 5.0%.

Offshore, the Middle East remained the market's focus as tensions continued to ratchet higher. Overnight, President Trump stated he was close to deciding on a "massive attack" against Iran and threatened "major military punishment" for the Houthis and Iran if the Houthis attack any other ships in the Middle East after they targeted two Saudi ships a day earlier. This follows yesterday's threat that US forces "will bomb and destroy ONE BRIDGE OR POWER PLANT, including those located next to, or in, the Capital City of Tehran" any time Iran's military "shoots at a ship in the Strait of Hormuz". Iran continues to hold to their position on retaliation, with like-for-like strikes on regional military installations and infrastructure threatened. Brent oil reached USD102 overnight and currently trades just under that level.

Fresh for markets today are the potential implications of the imposition of an announced 10% to 12.5% tariff by the US on 99% of its imports effective 12:01am Friday Washington time. The basis for the tariff is an assessment by US authorities of 60 countries' restrictions on the use of forced labour in their production chain, though the tariff catches exporters to the US to almost the same degree. This measure replaces the temporary 10% tariff set to expire at 12:00am. As a result, it should have little-to-no net impact on US inflation or growth. That said, it maintains pressure on US households and businesses at a particularly inopportune time and so is a threat to sentiment.

Against that backdrop, the ECB left rates unchanged while emphasising the full inflationary impact of higher energy prices are yet to be felt and that risks remain skewed to the upside. While June inflation surprised to the downside and the ECB, as yet, has seen no evidence of secondary effects from 2026's energy price spike, heightened uncertainty and the skew of risks favour another hike in September along with the possibility of another late in the year, if conditions do not improve.

Turning to the UK, attention centred on the first week of UK Prime Minister Andy Burnham's government. Aside from cabinet appointments, Burnham indicated he would operate within existing fiscal rules while pursuing a "new economic model" aimed at boosting growth, likely through cost-of-living measures. He has already removed VAT from household electricity bills and is expected to announce initiatives targeting youth employment and further education. Markets are anticipating a generous Budget in November, although higher-than-expected borrowing is likely to constrain policymakers.

Economic data recently received for the UK is broadly reassuring. Labour market indicators pointed to stabilisation, the unemployment rate holding at 4.9% in the three months to May and employment rising by 148k. That said, alternative measures, including the Bank of England's Decision Maker Panel, suggest the labour market is at risk of weakening further. The latest inflation data is consistent with a gradual easing in domestic pressures. Consumer prices rose 0.1% in June, slowing annual inflation from 2.8%yr to 2.6%yr. Services inflation was little changed at 3.6%yr, however, indicating that underlying price pressures remain. Taken together, the data did little to materially alter expectations for Bank of England policy.

Related articles

#cliffnotes

Cliff Notes: frayed nerves

July 17 2026 • 5 mins

By Elliot Clarke, Ryan Wells & Illiana Jain

#cliffnotes

Cliff Notes: testing conditions

July 10 2026 • 5 mins

By Elliot Clarke, Ryan Wells & Illiana Jain

#cliffnotes

Cliff Notes: on the minds of policy makers

July 03 2026 • 5 mins

By Elliot Clarke, Ryan Wells & Illiana Jain

Browse topics

#aud #australia #interestrates #nzd #usd #newzealand #rates #yieldcurve
#credit #acgb #inflation #rba #semigovernment #basis #commodities
#ustreasury #fx #rbnz #jpy #abs Show more tags

Disclaimer

Things you should know

We respect your privacy: You can view the New Zealand Privacy Policy here, or the Australian Group Privacy Statement here. Each time someone visits our site, data is captured so that we can accurately evaluate the quality of our content and make improvements for you. We may at times use technology to capture data about you to help us to better understand you and your needs, including potentially for the purposes of assessing your individual reading habits and interests to allow us to provide suggestions regarding other reading material which may be suitable for you.

Disclaimer

This information has been prepared by Westpac and is intended for information purposes only. It is not intended to reflect any recommendation or financial advice and investment decisions should not be based on it. This information does not constitute an offer, a solicitation of an offer, or an inducement to subscribe for, purchase or sell any financial instrument or to enter into a legally binding contract. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice. Certain types of transactions, including those involving futures, options and high yield securities give rise to substantial risk and are not suitable for all investors. We recommend that you seek your own independent legal or financial advice before proceeding with any investment decision.

This information may contain material provided by third parties. While such material is published with the necessary permission none of Westpac or its related entities accepts any responsibility for the accuracy or completeness of any such material. Although we have made every effort to ensure this information is free from error, none of Westpac or its related entities warrants the accuracy, adequacy or completeness of this information, or otherwise endorses it in any way. Except where contrary to law, Westpac Group intend by this notice to exclude liability for this information. This information is subject to change without notice and none of Westpac or its related entities is under any obligation to update this information or correct any inaccuracy which may become apparent at a later date. This information may contain or incorporate by reference forward-looking statements. The words "believe", "anticipate", "expect", "intend", "plan", "predict", "continue", "assume", "positioned", "may", "will", "should", "shall", "risk" and other similar expressions that are predictions of or indicate future events and future trends identify forward-looking statements. These forward-

looking statements include all matters that are not historical facts. Past performance is not a reliable indicator of future performance, nor are forecasts of future performance. Whilst every effort has been taken to ensure that the assumptions on which any forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The ultimate outcomes may differ substantially from any forecasts.

Conflicts of Interest: In the normal course of offering banking products and services to its clients, the Westpac Group may act in several capacities (including issuer, market maker, underwriter, distributor, swap counterparty and calculation agent) simultaneously with respect to a financial instrument, giving rise to potential conflicts of interest which may impact the performance of a financial instrument. The Westpac Group may at any time transact or hold a position (including hedging and trading positions) for its own account or the account of a client in any financial instrument which may impact the performance of that financial instrument.

Author(s) disclaimer and declaration: The author(s) confirms that (a) no part of his/her compensation was, is, or will be, directly or indirectly, related to any views or (if applicable) recommendations expressed in this material; (b) this material accurately reflects his/her personal views about the financial products, companies or issuers (if applicable) and is based on sources reasonably believed to be reliable and accurate; (c) to the best of the author's knowledge, they are not in receipt of inside information and this material does not contain inside information; and (d) no other part of the Westpac Group has made any attempt to influence this material.

Further important information regarding sustainability-related content: This material may contain statements relating to environmental, social and governance (ESG) topics. These are subject to known and unknown risks, and there are significant uncertainties, limitations, risks and assumptions in the metrics, modelling, data, scenarios, reporting and analysis on which the statements rely. In particular, these areas are rapidly evolving and maturing, and there are variations in approaches and common standards and practice, as well as uncertainty around future related policy and legislation. Some material may include information derived from publicly available sources that have not been independently verified. No representation or warranty is made as to the accuracy, completeness or reliability of the information. There is a risk that the analysis, estimates, judgements, assumptions, views, models, scenarios or projections used may turn out to be incorrect. These risks may cause actual outcomes to differ materially from those expressed or implied. The ESG-related statements in this material do not constitute advice, nor are they guarantees or predictions of future performance, and Westpac gives no representation, warranty or assurance (including as to the quality, accuracy or completeness of the statements). You should seek your own independent advice.

Additional country disclosures:

Australia: Westpac holds an Australian Financial Services Licence (No. 233714). You can access Westpac's Financial Services Guide here or request a copy from your Westpac point of contact. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the

appropriateness of the advice.

New Zealand: In New Zealand, Westpac Institutional Bank refers to the brand under which products and services are provided by either Westpac (NZ division) or Westpac New Zealand Limited (company number 1763882), the New Zealand incorporated subsidiary of Westpac ("WNZL"). Any product or service made available by WNZL does not represent an offer from Westpac or any of its subsidiaries (other than WNZL). Neither Westpac nor its other subsidiaries guarantee or otherwise support the performance of WNZL in respect of any such product. WNZL is not an authorised deposit-taking institution for the purposes of Australian prudential standards. The current disclosure statements for the New Zealand branch of Westpac and WNZL can be obtained at the internet address www.westpac.co.nz.

Singapore: This material has been prepared and issued for distribution in Singapore to institutional investors, accredited investors and expert investors (as defined in the applicable Singapore laws and regulations) only. Recipients of this material in Singapore should contact Westpac Singapore Branch in respect of any matters arising from, or in connection with, this material. Westpac Singapore Branch holds a wholesale banking licence and is subject to supervision by the Monetary Authority of Singapore.

Fiji: Unless otherwise specified, the products and services for Westpac Fiji are available from www.westpac.com.fj © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia and registered as a branch in Fiji. The liability of its members is limited.

Papua New Guinea: Unless otherwise specified, the products and services for Westpac PNG are available from www.westpac.com.pg © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia. Westpac is represented in Papua New Guinea by Westpac Bank - PNG - Limited. The liability of its members is limited.

U.S.: Westpac operates in the United States of America as a federally licensed branch, regulated by the Office of the Comptroller of the Currency. Westpac is also registered with the US Commodity Futures Trading Commission (“CFTC”) as a Swap Dealer, but is neither registered as, or affiliated with, a Futures Commission Merchant registered with the US CFTC. The services and products referenced above are not insured by the Federal Deposit Insurance Corporation (“FDIC”). Westpac Capital Markets, LLC (‘WCM’), a wholly-owned subsidiary of Westpac, is a broker-dealer registered under the U.S. Securities Exchange Act of 1934 (‘the Exchange Act’) and member of the Financial Industry Regulatory Authority (‘FINRA’). In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WCM other than as provided for in certain legal agreements between Westpac and WCM and obligations of WCM do not represent

liabilities of Westpac.

This communication is provided for distribution to U.S. institutional investors in reliance on the exemption from registration provided by Rule 15a-6 under the Exchange Act and is not subject to all of the independence and disclosure standards applicable to debt research reports prepared for retail investors in the United States. WCM is the U.S. distributor of this communication and accepts responsibility for the contents of this communication. Transactions by U.S. customers of any securities referenced herein should be effected through WCM. All disclaimers set out with respect to Westpac apply equally to WCM. If you would like to speak to someone regarding any security mentioned herein, please contact WCM on +1 212 389 1269. Investing in any non-U.S. securities or related financial instruments mentioned in this communication may present certain risks. The securities of non-U.S. issuers may not be registered with, or be subject to the regulations of, the SEC in the United States. Information on such non-U.S. securities or related financial instruments may be limited. Non-U.S. companies may not be subject to audit and reporting standards and regulatory requirements comparable to those in effect in the United States. The value of any investment or income from any securities or related derivative instruments denominated in a currency other than U.S. dollars is subject to exchange rate fluctuations that may have a positive or adverse effect on the value of or income from such securities or related derivative instruments.

The author of this communication is employed by Westpac and is not registered or qualified as a research analyst, representative, or associated person of WCM or any other U.S. broker-dealer under the rules of FINRA, any other U.S. self-regulatory organisation, or the laws, rules or regulations of any State. Unless otherwise specifically stated, the views expressed herein are solely those of the author and may differ from the information, views or analysis expressed by Westpac and/or its affiliates.

UK: The London branch of Westpac is authorised in the United Kingdom by the Prudential Regulation Authority (PRA) and is subject to regulation by the Financial Conduct Authority (FCA) and limited regulation by the PRA (Financial Services Register number: 124586). The London branch of Westpac is registered at Companies House as a branch established in the United Kingdom (Branch No. BR000106). Details about the extent of the regulation of Westpac's London branch by the PRA are available from us on request.

This communication is not being made to or distributed to, and must not be passed on to, the general public in the United Kingdom. Rather, this communication is being made only to and is directed at (a) those persons falling within the definition of Investment Professionals (set out in Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (the "Order")); (b) those persons falling within the definition of high net worth companies, unincorporated associations etc. (set out in Article 49(2)of the Order; (c) other persons to whom it may lawfully be communicated in accordance with the Order or (d) any persons to whom it may otherwise lawfully be made (all such persons together being referred to as "relevant persons"). Any person who is not a relevant person should not act or rely on this communication or any of its contents. In the same way, the information contained in this communication is intended for "eligible counterparties" and

“professional clients” as defined by the rules of the Financial Conduct Authority and is not intended for “retail clients”. Westpac expressly prohibits you from passing on the information in this communication to any third party.

European Economic Area (“EEA”): This material may be distributed to you by either: (i) Westpac directly, or (ii) Westpac Europe GmbH (“WEG”) under a sub-licensing arrangement. WEG has not edited or otherwise modified the content of this material. WEG is authorised in Germany by the Federal Financial Supervision Authority (‘BaFin’) and subject to its regulation. WEG’s supervisory authorities are BaFin and the German Federal Bank (‘Deutsche Bundesbank’). WEG is registered with the commercial register (‘Handelsregister’) of the local court of Frankfurt am Main under registration number HRB 118483. In accordance with APRA’s Prudential Standard 222 ‘Association with Related Entities’, Westpac does not stand behind WEG other than as provided for in certain legal agreements (a risk transfer, sub-participation and collateral agreement) between Westpac and WEG and obligations of WEG do not represent liabilities of Westpac. Any product or service made available by WEG does not represent an offer from Westpac or any of its subsidiaries (other than WEG). All disclaimers set out with respect to Westpac apply equally to WEG.

This communication is not intended for distribution to, or use by any person or entity in any jurisdiction or country where such distribution or use would be contrary to local law or regulation.

This communication contains general commentary, research, and market colour. The communication does not constitute investment advice. The material may contain an ‘investment recommendation’ and/or ‘information recommending or suggesting an investment’, both as defined in Regulation (EU) No 596/2014 (including as applicable in the United Kingdom) (“MAR”). In accordance with the relevant provisions of MAR, reasonable care has been taken to ensure that the material has been objectively presented and that interests or conflicts of interest of the sender concerning the financial instruments to which that information relates have been disclosed.

Investment recommendations must be read alongside the specific disclosure which accompanies them and the general disclosure which can be found here. Such disclosure fulfils certain additional information requirements of MAR and associated delegated legislation and by accepting this communication you acknowledge that you are aware of the existence of such additional disclosure and its contents.

To the extent this communication comprises an investment recommendation it is classified as non-independent research. It has not been prepared in accordance with legal requirements designed to promote the independence of investment research and therefore constitutes a marketing communication. Further, this communication is not subject to any prohibition on dealing ahead of the dissemination of investment research.

27 July 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Market sentiment was supported by reports that Pakistan and Iran were exploring new peace talks with the US and that oil exports from the Middle East continued to flow. Over the weekend, the US paused strikes against Iran as tensions in the region continued to escalate.

On Friday, major US equity markets were mixed, while oil prices fell sharply and bond markets rallied following a 4% decline in Brent crude prices. The US dollar was broadly unchanged, while the Aussie was slightly higher against the greenback.

Markets are now pricing in a 38% chance of a US Federal Reserve rate hike this week, up from 13% a week ago.

In Australia, OIS pricing points to a terminal cash rate of around 4.65% this year, with one additional rate hike expected by December. However, this is likely to shift this week depending on the Q2 inflation outcome, which will be released later in the week.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	65.4	-0.5%
AUD/USD	0.6979	0.1%
AUD/JPY	114.35	0.2%
AUD/GBP	0.5241	0.1%
AUD/NZD	1.2073	0.0%
AUD/EUR	0.6140	0.2%
AUD/CNH	4.7274	0.1%
AUD/SGD	0.9013	0.1%
AUD/HKD	5.4764	0.2%
AUD/CAD	0.9807	-0.1%
EUR/USD	1.1370	-0.1%
USD/JPY	163.83	0.0%
USD Index	101.47	0.0%

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.40	0.02
90 day BBSY	4.59	0.04
180 day BBSY	4.93	0.07
1 year swap	4.68	-0.01
2 year swap	4.68	-0.01
3 year swap	4.66	0.01
4 year swap	4.66	-0.01
5 year swap	4.68	-0.01
6 year swap	4.72	-0.01
7 year swap	4.77	0.00
8 year swap	4.82	-0.01
9 year swap	4.86	-0.01
10 year swap	4.90	-0.01

Equities	Close	Change
S&P/ASX 200	8,772	-0.8%
S&P 500	7,412	0.0%
Japan Nikkei	64,611	-2.7%
Hang Seng	24,963	-1.0%
Euro Stoxx 50	6,281	1.1%
UK FTSE100	10,736	0.9%
VIX Index	18.58	-0.6%

Commodities	Current	Change
CRB Index	395.67	-1.1%
Gold	4052.79	0.1%
Copper	13645	0.4%
Oil (WTI futures)	89.31	-3.1%
Coal (coking)	221.00	-0.9%
Coal (thermal)	137.75	1.1%
Iron Ore	97.90	-0.3%
ACCU	36.13	-4.3%

Government Bond Yields	Close	Change
Australia		
3 year bond	4.72	0.11
10 year bond	5.09	0.10
United States		
3-month T Bill	3.81	0.00
2 year bond	4.33	-0.02
10 year bond	4.68	-0.02
Other (10 year yields)		
Germany	3.17	-0.03
Japan	2.82	0.03
UK	5.03	-0.07

Sydney Futures Exchange	Current	Change
10 yr bond	5.08	-0.04
3 yr bond	4.68	-0.04
3 mth bill rate	4.47	0.00
SPI 200	8,766	0.6%

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

Pat Bustamante
Senior Economist, Westpac Group
P: +61 468 571 786
E: pat.bustamante@westpac.com.au

Financial Markets

- Markets settled on Friday as investors responded to reports that Pakistan and Iran were exploring options to enter new peace talks with the US, alongside reports that oil was still able to flow out of the Middle East. Brent crude prices retreated from US$100 a barrel, falling 4%, its biggest one-day drop since late June.
- Over the weekend, reports suggested the US paused strikes against Iran for a second consecutive night as tensions continued to escalate in the Red Sea following clashes involving Yemen's Houthi militants and Saudi Arabia. The Houthis claimed responsibility for missile and drone attacks on Saudi Aramco-linked facilities in Jizan and Yanbu, prompting retaliatory strikes by a Saudi-led coalition.
- US equity markets were mixed. The S&P 500 finished broadly unchanged, while the Dow Jones Industrial Average rose 0.4% and the tech-heavy Nasdaq fell 0.6%. Market volatility eased, with the VIX Index falling 0.6% to 18.6. Over the week, however, key US equity indices were lower, with the S&P 500 and Dow Jones Industrial Average falling 0.6% and 0.4%, respectively, while the Nasdaq underperformed, falling 2.1%.
- European equities outperformed, supported by lower oil prices and stronger-than-expected PMI results. The Euro Stoxx 50 rose 1.1%, Germany's DAX gained 1.4% and the FTSE 100 increased 0.9%. In Asia, equities were weaker, with the Nikkei falling 2.7% and the Hang Seng declining 1.0%. Locally, the S&P/ASX 200 fell 0.8% to 8,772. SPI futures were up 0.6%, pointing to a firmer open for the Aussie market.
- Bond markets rallied modestly on the back of the falls in oil prices. In the US, the 2-year Treasury yield fell 2bps to 4.33%, while the 10-year Treasury yield declined 2bps to 4.68%. Traders are now pricing in roughly a 38% chance of a rate hike at this week's Federal Reserve meeting, up from just 13% a week ago. European yields also moved lower, with German 10-year Bund yields falling 3bps to 3.17% and UK 10-year gilt yields down 7bps to 5.03%. Japanese 10-year government bond yields rose 3bps to 2.82%.
- Australian bond yields moved higher in cash markets but lower in futures trading. The 3-year government bond yield rose 11bps to 4.72%, while the 10-year yield increased 10bps to 5.09%. However, Sydney Futures Exchange pricing showed the 3-year and 10-year futures yields both down 4bps, suggesting a stronger open for the local bond market. OIS pricing suggests a terminal cash rate of around 4.65% this year, with the market pricing in one more hike by December this year.

Today's key data and events

Time	Event	Exp	Prev
11:30	CN Industrial Profits Jun	-	21.1%
18:00	EZ M3 Money Supply Jun	-	3.2%
22:30	US Durable Goods Orders Jun Prel.	1.4%	-4.5%
0:30	US Dallas Fed Manufacturing Jul	-	0pts

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

- In foreign exchange markets, the US dollar index was broadly unchanged, while the Aussie was broadly firmer. The AUD/USD rose 0.1% to 0.6979, while the Australian dollar also gained against the Japanese yen (+0.2%), pound sterling (+0.1%), euro (+0.2%), Chinese yuan (+0.1%), Singapore dollar (+0.1%) and Hong Kong dollar (+0.2%). The trade-weighted index (TWI) eased 0.5% to 65.4, while the Australian dollar was unchanged against the New Zealand dollar and slipped 0.1% against the Canadian dollar.
- Commodity markets were generally weaker. The commodity index fell 1.1%, reflecting declines across energy and carbon markets. WTI crude oil dropped 3.1% to US$89.31/bbl following reports that Pakistan and Iran were exploring options to enter new peace talks with the US. Iron ore fell 0.3% to US$97.90/t, while coking coal declined 0.9%. Thermal coal was a notable exception, rising 1.1%. Copper increased 0.4%, supported by ongoing supply concerns, while gold edged 0.1% higher.

International Data

US new homes sales gained 1.6% in June after May's decline was revised from -7.3% to -4.3%. The current level of sales is almost 40% below the late-2020 peak.

The **US S&P manufacturing PMI** was little changed at 53.8 in July while the services measures improved from 51.2 to 53.6. A similar result was seen for the **Euro Area**, the manufacturing PMI reported at 52.0 and the services index 51.6, and the **UK**, manufacturing and services PMIs, respectively 52.8 and 51.8.

UK GfK consumer confidence improved from -23 to -17 in July, modestly below the survey's full-history average.

UK retail sales surprised materially to the upside in June, registering a 1.0% gain after a 1.2% increase in May. Activity was broad based, sales rising 1.1% in June excluding fuel. Over the year, sales are up 4.2% overall and 5.4% excluding fuel.

Local Data

The **Westpac-Now** continues to point to GDP growth of around 0.2%qtr in Q2, broadly in line with the sluggish 0.3%qtr outcome in Q1 2026. However, the Westpac Monthly Activity Index is showing tentative signs of stabilising (see here).

Corporate Directory

Westpac Economics / Australia

Sydney
Level 19, 275 Kent Street
Sydney NSW 2000
Australia

E: economics@westpac.com.au

Luci Ellis
Chief Economist Westpac Group
E: luci.ellis@westpac.com.au

Matthew Hassan
Head of Australian Macro–Forecasting
E: mhassan@westpac.com.au

Elliot Clarke
Head of International Economics
E: eclarke@westpac.com.au

Sian Fenner
Head of Business and Industry Economics
E: sian.fenner@westpac.com.au

Justin Smirk
Senior Economist
E: jsmirk@westpac.com.au

Pat Bustamante
Senior Economist
E: pat.bustamante@westpac.com.au

Mantas Vanagas
Senior Economist
E: mantas.vanagas@westpac.com.au

Ryan Wells
Economist
E: ryan.wells@westpac.com.au

Illiana Jain
Economist
E: illiana.jain@westpac.com.au

Neha Sharma
Economist
E: neha.sharma1@westpac.com.au

Luka Belobrajdic
Economist
E: luka.belobrajdic@westpac.com.au

Westpac Economics / New Zealand

Auckland
Takutai on the Square
Level 8, 16 Takutai Square
Auckland, New Zealand

E: economics@westpac.co.nz

Kelly Eckhold
Chief Economist NZ
E: kelly.eckhold@westpac.co.nz

Michael Gordon
Senior Economist
E: michael.gordon@westpac.co.nz

Darren Gibbs
Senior Economist
E: darren.gibbs@westpac.co.nz

Satish Ranchhod
Senior Economist
E: satish.ranchhod@westpac.co.nz

Paul Clark
Industry Economist
E: paul.clarke@westpac.co.nz

Westpac Economics / Fiji

Suva
1 Thomson Street
Suva, Fiji

Shamal Chand
Senior Economist
E: shamal.chand@westpac.com.au

Things you should know

We respect your privacy: You can view the New Zealand Privacy Policy here, or the Australian Group Privacy Statement here. Each time someone visits our site, data is captured so that we can accurately evaluate the quality of our content and make improvements for you. We may at times use technology to capture data about you to help us to better understand you and your needs, including potentially for the purposes of assessing your individual reading habits and interests to allow us to provide suggestions regarding other reading material which may be suitable for you.

Disclaimer

This information has been prepared by Westpac and is intended for information purposes only. It is not intended to reflect any recommendation or financial advice and investment decisions should not be based on it. This information does not constitute an offer, a solicitation of an offer, or an inducement to subscribe for, purchase or sell any financial instrument or to enter into a legally binding contract. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice. Certain types of transactions, including those involving futures, options and high yield securities give rise to substantial risk and are not suitable for all investors. We recommend that you seek your own independent legal or financial advice before proceeding with any investment decision.

This information may contain material provided by third parties. While such material is published with the necessary permission none of Westpac or its related entities accepts any responsibility for the accuracy or completeness of any such material. Although we have made every effort to ensure this information is free from error, none of Westpac or its related entities warrants the accuracy, adequacy or completeness of this information, or otherwise endorses it in any way. Except where contrary to law, Westpac Group intend by this notice to exclude liability for this information. This information is subject to change without notice and none of Westpac or its related entities is under any obligation to update this information or correct any inaccuracy which may become apparent at a later date. This information may contain or incorporate by reference forward looking statements. The words “believe”, “anticipate”, “expect”, “intend”, “plan”, “predict”, “continue”, “assume”, “positioned”, “may”, “will”, “should”, “shall”, “risk” and other similar expressions that are predictions of or indicate future events and future trends identify forward-looking statements. These forward-looking statements include all matters that are not historical facts. Past performance is not a reliable indicator of future performance, nor are forecasts of future performance. Whilst every effort has been taken to ensure that the assumptions on which any forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The ultimate outcomes may differ substantially from any forecasts.

Conflicts of Interest: In the normal course of offering banking products and services to its clients, the Westpac Group may act in several capacities (including issuer, market maker, underwriter, distributor, swap counterparty and calculation agent) simultaneously with respect to a financial instrument, giving rise to potential conflicts of interest which may impact the performance of a financial instrument. The Westpac Group may at any time transact or hold a position (including hedging and trading positions) for its own account or the account of a client in any financial instrument which may impact the performance of that financial instrument.

Author(s) disclaimer and declaration: The author(s) confirms that (a) no part of his/her compensation was, is, or will be, directly or indirectly, related to any views or (if applicable) recommendations expressed in this material; (b) this material accurately reflects his/her personal views about the financial products, companies or issuers (if applicable) and is based on sources reasonably believed to be reliable and accurate; (c) to the best of the author’s knowledge, they are not in receipt of inside information and this material does not contain inside information; and (d) no other part of the Westpac Group has made any attempt to influence this material.

Further important information regarding sustainability related content: This material may contain statements relating to environmental, social and governance (ESG) topics. These are subject to known and unknown risks, and there are significant uncertainties, limitations, risks and assumptions in the metrics, modelling, data, scenarios, reporting and analysis on which the statements rely. In particular, these areas are rapidly evolving and maturing, and there are variations in approaches and common standards and practice, as well as uncertainty around future related policy and legislation. Some material may include information derived from publicly available sources that have not been independently verified. No representation or warranty is made as to the accuracy, completeness or reliability of the information. There is a risk that the analysis, estimates, judgements, assumptions, views, models, scenarios or projections used may turn out to be incorrect. These risks may cause actual outcomes to differ materially from those expressed or implied. The ESG-related statements in this material do not constitute advice, nor are they guarantees or predictions of future performance, and Westpac gives no representation, warranty or assurance (including as to the quality, accuracy or completeness of the statements). You should seek your own independent advice.

Additional country disclosures:

Australia: Westpac holds an Australian Financial Services Licence (No. 233714). You can access Westpac’s Financial Services Guide here or request a copy from your Westpac point of contact. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice.

New Zealand: In New Zealand, Westpac Institutional Bank refers to the brand under which products and services are provided by either Westpac (NZ division) or Westpac New Zealand Limited (company number 1763882), the New Zealand incorporated subsidiary of Westpac (“WNZL”). Any product or service made available by WNZL does not represent an offer from Westpac or any of its subsidiaries (other than WNZL). Neither Westpac nor its other subsidiaries guarantee or otherwise support the performance of WNZL in respect of any such product. WNZL is not an authorised deposit-taking institution for the purposes of Australian prudential standards. The current disclosure statements for the New Zealand branch of Westpac and WNZL can be obtained at www.westpac.co.nz.

Singapore: This material has been prepared and issued for distribution in Singapore to institutional investors, accredited investors and expert investors (as defined in the applicable Singapore laws and regulations) only. Recipients of this material in Singapore should contact Westpac Singapore Branch in respect of any matters arising from, or in connection with, this material. Westpac Singapore Branch holds a wholesale banking licence and is subject to supervision by the Monetary Authority of Singapore.

Disclaimer continues overleaf ▶

Fiji: Unless otherwise specified, the products and services for Westpac Fiji are available from www.westpac.com.fj © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia and registered as a branch in Fiji. The liability of its members is limited.

Papua New Guinea: Unless otherwise specified, the products and services for Westpac PNG are available from www.westpac.com.pg © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia. Westpac is represented in Papua New Guinea by Westpac Bank - PNG - Limited. The liability of its members is limited.

U.S: Westpac operates in the United States of America as a federally licensed branch, regulated by the Office of the Comptroller of the Currency. Westpac is also registered with the US Commodity Futures Trading Commission ("CFTC") as a Swap Dealer, but is neither registered as, or affiliated with, a Futures Commission Merchant registered with the US CFTC. The services and products referenced above are not insured by the Federal Deposit Insurance Corporation ("FDIC"). Westpac Capital Markets, LLC ('WCM'), a wholly-owned subsidiary of Westpac, is a broker-dealer registered under the U.S. Securities Exchange Act of 1934 ('the Exchange Act') and member of the Financial Industry Regulatory Authority ('FINRA'). In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WCM other than as provided for in certain legal agreements between Westpac and WCM and obligations of WCM do not represent liabilities of Westpac.

This communication is provided for distribution to U.S. institutional investors in reliance on the exemption from registration provided by Rule 15a-6 under the Exchange Act and is not subject to all of the independence and disclosure standards applicable to debt research reports prepared for retail investors in the United States. WCM is the U.S. distributor of this communication and accepts responsibility for the contents of this communication. Transactions by U.S. customers of any securities referenced herein should be effected through WCM. All disclaimers set out with respect to Westpac apply equally to WCM. If you would like to speak to someone regarding any security mentioned herein, please contact WCM on +1 212 389 1269. Investing in any non-U.S. securities or related financial instruments mentioned in this communication may present certain risks. The securities of non-U.S. issuers may not be registered with, or be subject to the regulations of, the SEC in the United States. Information on such non-U.S. securities or related financial instruments may be limited. Non-U.S. companies may not be subject to audit and reporting standards and regulatory requirements comparable to those in effect in the United States. The value of any investment or income from any securities or related derivative instruments denominated in a currency other than U.S. dollars is subject to exchange rate fluctuations that may have a positive or adverse effect on the value of or income from such securities or related derivative instruments.

The author of this communication is employed by Westpac and is not registered or qualified as a research analyst, representative, or associated person of WCM or any other U.S. broker-dealer under the rules of FINRA, any other U.S. self-regulatory organisation, or the laws, rules or regulations of any State. Unless otherwise specifically stated, the views expressed herein are solely those of the author and may differ from the information, views or analysis expressed by Westpac and/or its affiliates.

UK: The London branch of Westpac is authorised in the United Kingdom by the Prudential Regulation Authority (PRA) and is subject to regulation by the Financial Conduct Authority (FCA) and limited regulation by the PRA (Financial Services Register number: 124586). The London branch of Westpac is registered at Companies House as a branch established in the United Kingdom (Branch No. BR000106). Details about the extent of the regulation of Westpac's London branch by the PRA are available from us on request.

This communication is not being made to or distributed to, and must not be passed on to, the general public in the United Kingdom. Rather, this communication is being made only to and is directed at (a) those persons falling within the definition of Investment Professionals (set out in Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (the "Order")); (b) those persons falling within the definition of high net worth companies, unincorporated associations etc. (set out in Article 49(2)of the Order; (c) other persons to whom it may lawfully be communicated in accordance with the Order or (d) any persons to whom it may otherwise lawfully be made (all such persons together being referred to as "relevant persons"). Any person who is not a relevant person should not act or rely on this communication or any of its contents. In the same way, the information contained in this communication is intended for "eligible counterparties" and "professional clients" as defined by the rules of the Financial Conduct Authority and is not intended for "retail clients". Westpac expressly prohibits you from passing on the information in this communication to any third party.

European Economic Area ("EEA"): This material may be distributed to you by either: (i) Westpac directly, or (ii) Westpac Europe GmbH ("WEG") under a sub-licensing arrangement. WEG has not edited or otherwise modified the content of this material. WEG is authorised in Germany by the Federal Financial Supervision Authority ('BaFin') and subject to its regulation. WEG's supervisory authorities are BaFin and the German Federal Bank ('Deutsche Bundesbank'). WEG is registered with the commercial register ('Handelsregister') of the local court of Frankfurt am Main under registration number HRB 118483. In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WEG other than as provided for in certain legal agreements (a risk transfer, sub-participation and collateral agreement) between Westpac and WEG and obligations of WEG do not represent liabilities of Westpac. Any product or service made available by WEG does not represent an offer from Westpac or any of its subsidiaries (other than WEG). All disclaimers set out with respect to Westpac apply equally to WEG.

This communication is not intended for distribution to, or use by any person or entity in any jurisdiction or country where such distribution or use would be contrary to local law or regulation.

This communication contains general commentary, research, and market colour. The communication does not constitute investment advice. The material may contain an 'investment recommendation' and/or 'information recommending or suggesting an investment', both as defined in Regulation (EU) No 596/2014 (including as applicable in the United Kingdom) ("MAR"). In accordance with the relevant provisions of MAR, reasonable care has been taken to ensure that the material has been objectively presented and that interests or conflicts of interest of the sender concerning the financial instruments to which that information relates have been disclosed.

Investment recommendations must be read alongside the specific disclosure which accompanies them and the general disclosure which can be found here. Such disclosure fulfils certain additional information requirements of MAR and associated delegated legislation and by accepting this communication you acknowledge that you are aware of the existence of such additional disclosure and its contents.

To the extent this communication comprises an investment recommendation it is classified as non-independent research. It has not been prepared in accordance with legal requirements designed to promote the independence of investment research and therefore constitutes a marketing communication. Further, this communication is not subject to any prohibition on dealing ahead of the dissemination of investment research.

Past performance is not a reliable indicator of future performance. The forecasts given above are predictive in character. Whilst every effort has been taken to ensure that the assumptions on which the forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The results ultimately achieved may differ substantially from these forecasts.

AI-carus?

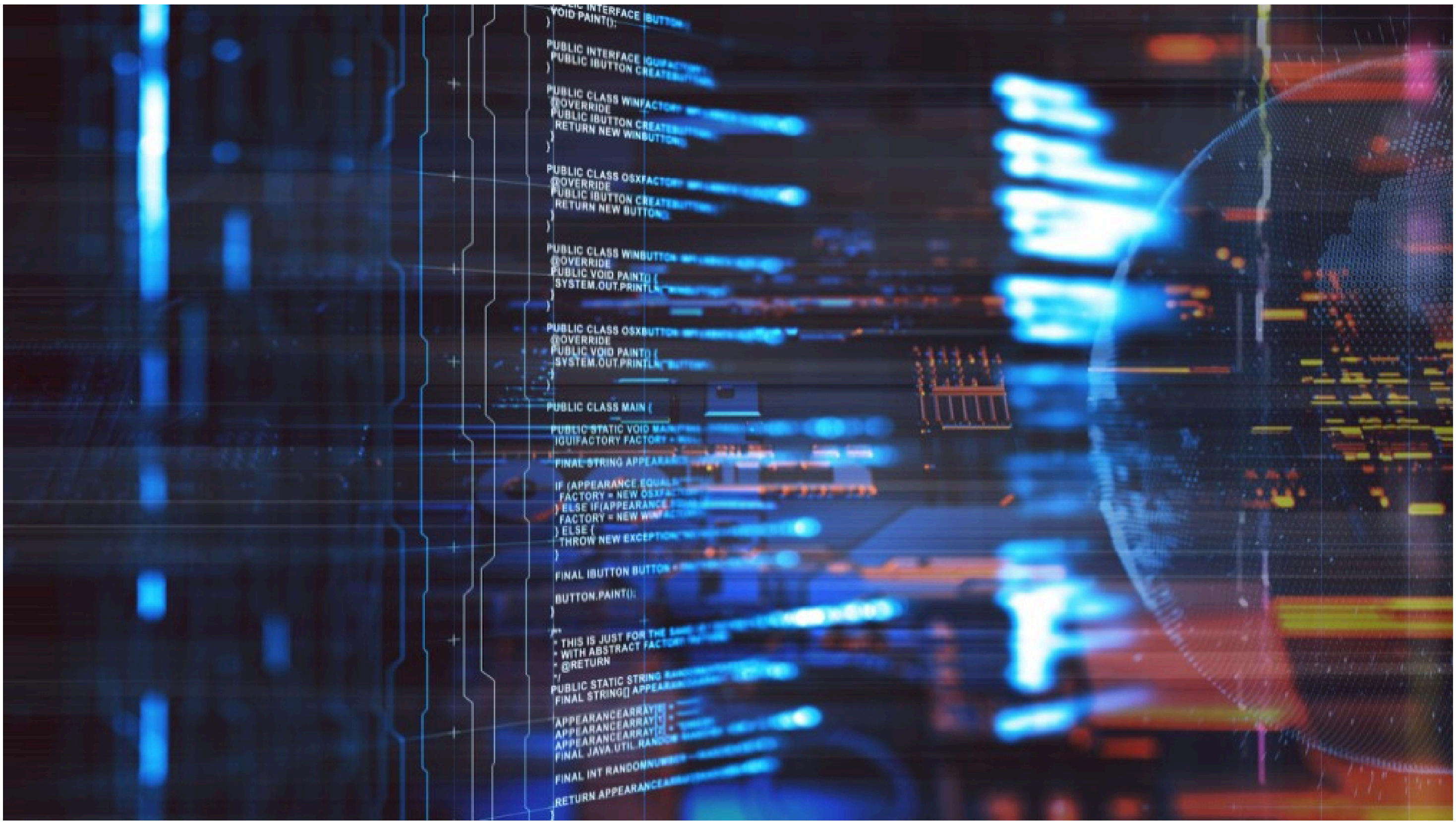
#australia #luciellis #inflation #technology

By Luci Ellis
Chief Economist Westpac Group, Westpac

08:31 July 17 2026

Share

AI is flying high. Will it fly too close to the sun and crash like Icarus in Greek myth? Physical constraints and ROI are the sunrays in this story. The likely downswing in prices and investment could be challenging but need not end in meltdown.



- Is AI a bubble? The extraordinary valuations and scale of investment raise the question. Missing, though, is the speculative behaviour of buying an asset now with the intent of resale for profit later.

- It is natural to want to look for parallels in history. Neither the late 1990s/early 2000s ‘dot com’ nor the 19th century railway booms quite match the current episode. Better analogies may be found in other price cycles stemming from investment booms, spurred by structural shifts. In the rush to build for the new technology, construction costs and end-product prices rise before eventually correcting. Time-to-build and resource constraints can create price cycles even where classic speculative behaviour is absent.
- Non-financial goals around geopolitics or a rush to build a god-like intelligence could blind investors to commercial reality and encourage investments that do not pay off. To avoid a mad flap that takes us, Icarus-like, too close to the sun, choices must be based on cost and ROI.

The exceptional valuations on AI-adjacent firms are matched only by the extraordinary scale of capital expenditure on data centres, both overseas and in Australia. The use of leverage and sometimes opaque financing structures twitch the antennae of those of us who have been through financial boom–bust cycles before. Naturally, people question the return on investment and whether this is a “bubble”. But is it?

It helps to define terms. The usual definition of a bubble is a deviation of asset prices from “fundamental” value, but this is only as good as your model of fundamentals. The distinctive feature in episodes labelled as bubbles is speculative behaviour: investors buying an asset mainly or solely because they expect its price will rise so they can resell at a profit. (In technical terms, the current price of the asset depends on expectations of future price growth). In the extreme, the market is in “Greater Fool” territory, where investors admit that they do not think the revenue warrants the price, but believe they will find a Greater Fool to buy it later.

Property assets are one of the main areas where “bubbly” boom–bust cycles can occur, because investors can use more leverage than for other assets. The asset also does not become obsolete quickly and much of the value is in the non-depreciating land or location component.

Data centres are a kind of property, and leverage is clearly being used to finance their construction. Even so, the speculative behaviour that typically characterises property bubbles is missing: nobody is making these investments in expectation of reselling data centres to make a quick buck. It is all about the expected value of the computing services these data centres will provide. Currently the “cost of compute” seems to be on the rise as the firms building the models try to shift their customer bases away from free and flat-rate subscriptions onto higher-cost pay-by-use plans. Yet everyone knows that AI can only achieve the desired returns by expanding usage, which means it needs to be cheaper than the human labour it seeks to replace. Even if investment decisions are based on expected returns on services provided by that capital, the realism of those return expectations can and should be scrutinised.

It is natural to want to look for parallels in history.

The seemingly obvious one is the ‘dot com’ boom of the late 1990s/early 2000s. But while there are some similarities to that episode, there are also important differences. Back then, the tech firms building the new technology were not so financially intertwined with the telco firms buying the spectrum, laying the fibre – and borrowing the money.

There are also similarities to the railway boom of the 19th century, except that location is not as inherent to a data centre. You can train an LLM anywhere you can access the electricity, water and construction inputs. A railway, by contrast, goes from somewhere to somewhere else, and the returns to duplicating the route decline rapidly. Put more technically, data centres do not have the same network effects or location-based natural monopoly characteristics.

Better analogies to the current AI/data centre boom can be found in other price cycles. Many boom–bust cycles start from something real and substantial. A new technology might instigate an equities boom. Opening up a new region might instigate a land boom there. The value underlying the boom remains even after the period of over-exuberance ends. We did not regret creating the Internet, or building that fibre network, or opening up regions through better transport.

What we did sometimes do, though, is pay too much for what we got. If everyone is rushing to build the infrastructure, hoping not to be the Slower Builder who ends up losing money, pressure on construction resources rises, and so do construction prices. We have seen similar cost surges during the mining boom and more recently in the cycle of infrastructure projects in the eastern seaboard states. (This is likely one reason why suppliers of construction materials were so quick to pass increased fuel and transport costs into their prices.)

Along the way, the cost of the services also rise, precisely because of the lags involved in expanding the infrastructure. There is an analogy here in things like shipping costs, which show boom–bust price cycles even though there has obviously never been a bubble in shipping services. In shipping, office property and now data centres, demand might increase but supply is fixed in the short term because it takes time to build that infrastructure. The price of the service therefore rises in the upswing phase.

This upswing phase can also spill over into related sectors, as seen this time in the broader tech sector. Export prices for Korean semiconductors have exploded in the past 6–9 months, up more than 150% over the year. Pass-through to US import prices is more muted, given lags and the usual pricing to market, but tech inflation has increased. As well as the much-publicised price increases for iPads and Macs, the CPI components covering computers and other tech goods have picked up recently in Australia and other advanced economies, to inflation rates close to the peak of the pandemic. This is a departure from their usual deflationary pulse and shows that the current inflationary environment is about more than the US–Iran conflict.

The high costs of the upswing phase nonetheless contain the seeds of their reversal. They discourage use of the underlying service, so adoption is slower than its boosters assume. They also encourage further innovations to economise on the expensive input; routing algorithms to choose the most cost-effective AI model are one example. Over time, as data centres are completed, the supply of computing power expands and its price falls. Investments that only made sense when the service's price was high will become distressed.

What worries me about the current boom is how far financial considerations seem to sit in the background. Capitalism has its drawbacks, but at least raw commercial incentives limit people's appetite to overpay for things. When all the focus is instead on geopolitical rivalries or being the first to build god-like intelligence, commercial discipline is lost. A potentially beneficial innovation wave instead risks becoming an Icarus-like mad flap that takes us too close to the sun. That is the perfect environment for a price cycle, including in the tech sector more broadly.

The end result need not be a meltdown. That depends on the debt: how much there is relative to revenues after the price downswing, who borrowed it and who lent it. The role of deep-pocketed tech firms eases some concerns. Some borrowers are substantial firms with other revenues. In addition, other tech firms who have not leveraged themselves to the data centre build-out have big enough cash piles to pick up the pieces (at discounted prices) should some projects come unstuck. Regulators will be most concerned about whether the lenders who lent to the hyperscalers and AI firms in turn funded themselves from parts of the financial system that amplify shocks through their leverage and connection to the regulated banking system.

The answer is not to regulate AI out of existence or stymie its further development – a point the federal government has clearly heeded in the PM's latest announcements. The advice I'd give now is the same as I gave a decade ago, in a different context: in the face of structural change giving rise to a boom, go in with your eyes open. Don't get ahead of yourself. And have something to catch you when you fall.

Humans have managed to transcend Greek mythology and master the art of flying without melting. Yet the message of Icarus's story endures: there are dangers when hubris goes unchecked. To avoid getting ahead of yourself, it helps to let commercial considerations shape decisions, especially around borrowing. Far better that than basing decisions on imagined scenarios that do not survive contact with real-world economics.

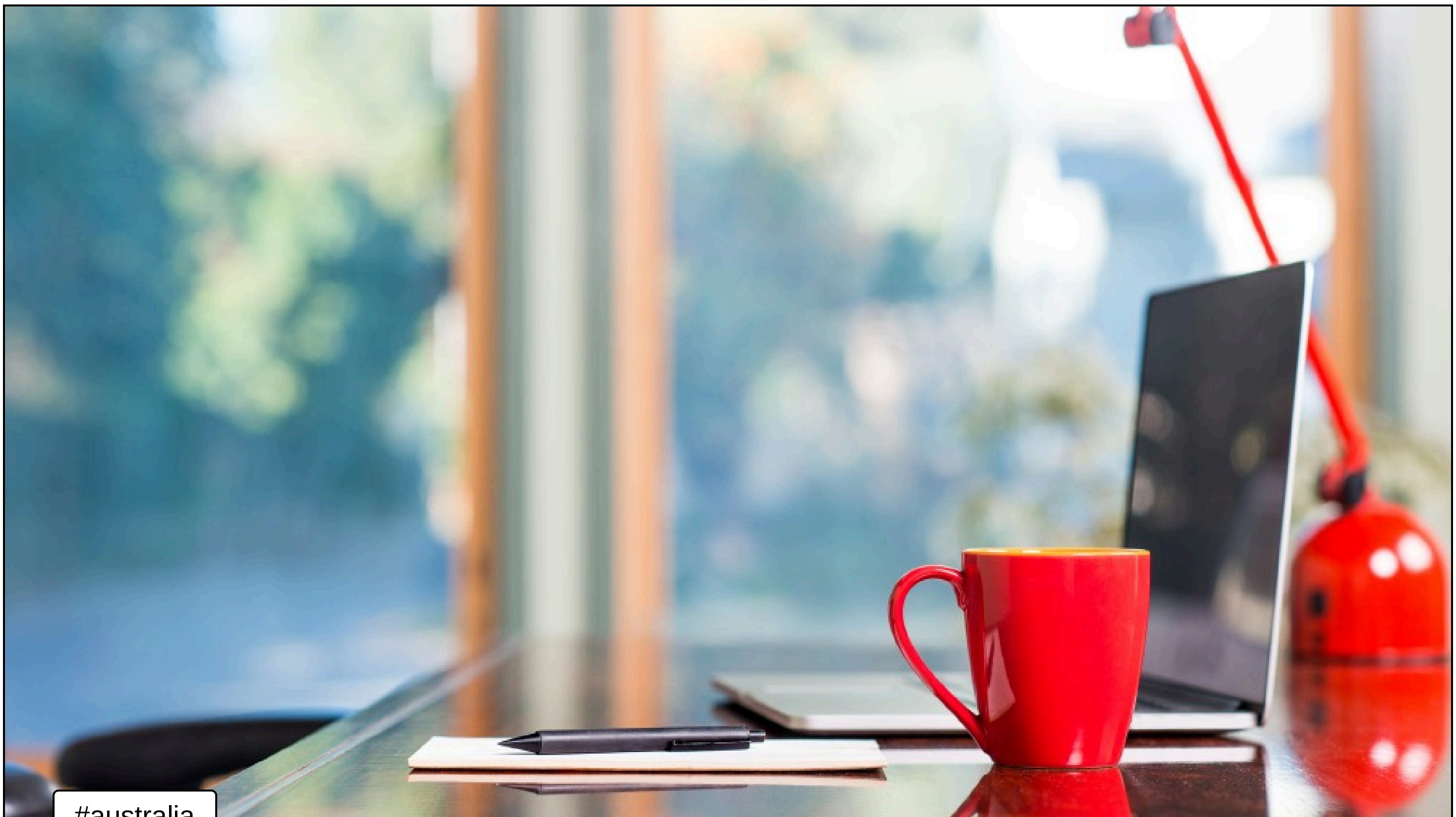
Related articles

#australia

Australia and NZ Weekly 27 July 2026

July 27 2026 • 10 mins

By Luci Ellis, Matthew Hassan, Elliot Clarke & 10 more

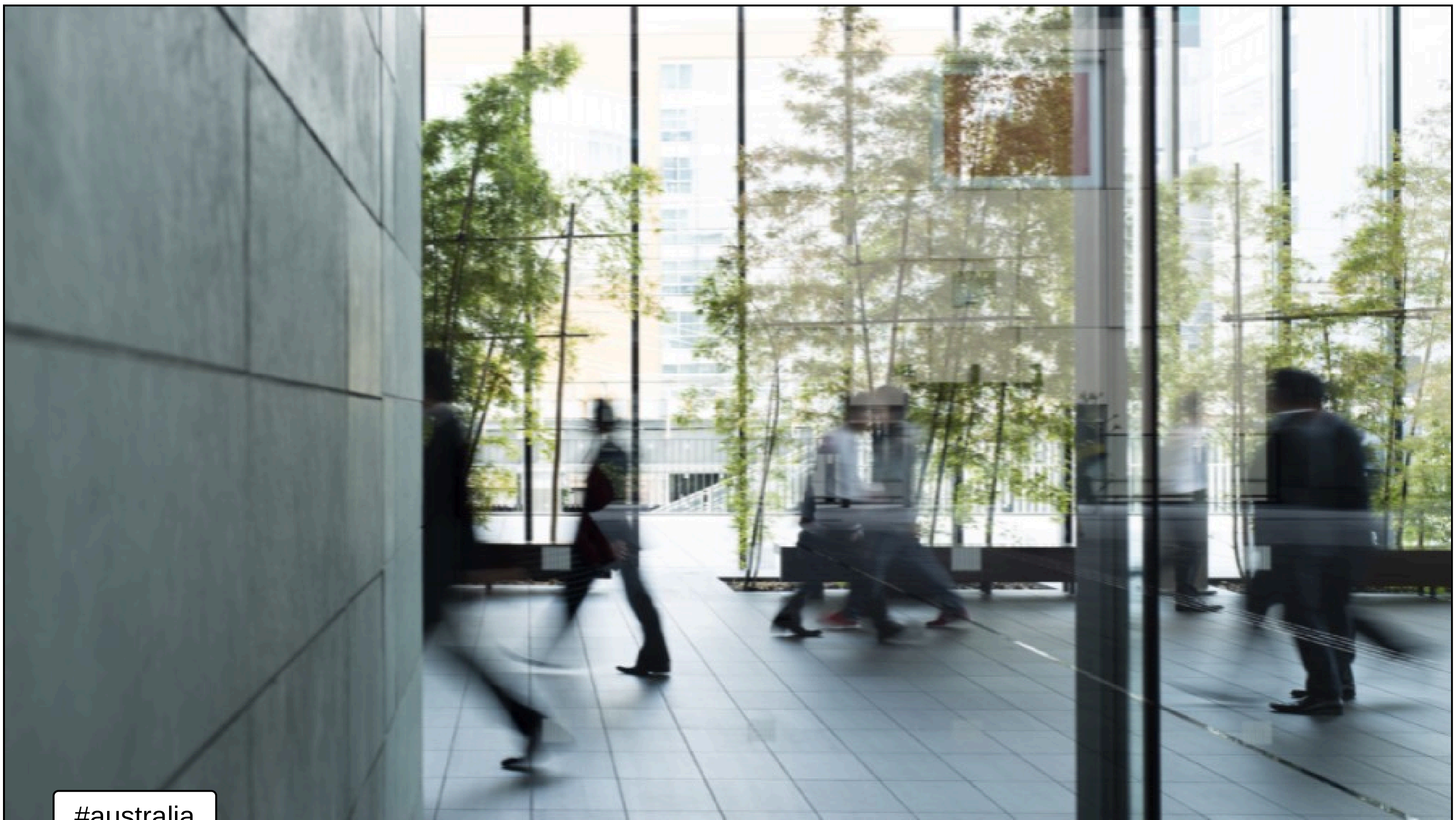


#australia

Australia and NZ Weekly 27 July 2026

July 24 2026 • 10 mins

By Luci Ellis, Matthew Hassan, Elliot Clarke & 10 more



#australia

High on their own (estimates of) supply

July 24 2026 • 4 mins

By Luci Ellis

Browse topics

#aud #australia #interestrates #nzd #usd #newzealand #rates #yieldcurve #credit #acgb #inflation #rba #semigovernment #basis #commodities

#ustreasury #fx #rbnz #jpy #abs Show more tags

Disclaimer

Things you should know

We respect your privacy: You can view the New Zealand Privacy Policy here, or the Australian Group Privacy Statement here. Each time someone visits our site, data is captured so that we can accurately evaluate the quality of our content and make improvements for you. We may at times use technology to capture data about you to help us to better understand you and your needs, including potentially for the purposes of assessing your individual reading habits and interests to allow us to provide suggestions regarding other reading material which may be suitable for you.

Disclaimer

This information has been prepared by Westpac and is intended for information purposes only. It is not intended to reflect any recommendation or financial advice and investment decisions should not be based on it. This information does not constitute an offer, a solicitation of an offer, or an inducement to subscribe for, purchase or sell any financial instrument or to enter into a legally binding contract. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice. Certain types of transactions, including those involving futures, options and high yield securities give rise to substantial risk and are not suitable for all investors. We recommend that you seek your own independent legal or financial advice before proceeding with any investment decision.

This information may contain material provided by third parties. While such material is published with the necessary permission none of Westpac or its related entities accepts any responsibility for the accuracy or completeness of any such material. Although we have made every effort to ensure this information is free from error, none of Westpac or its related entities warrants the accuracy, adequacy or completeness of this information, or otherwise endorses it in any way. Except where contrary to law, Westpac Group intend by this notice to exclude liability for this information. This information is subject to change without notice and none of Westpac or its related entities is under any obligation to update this information or correct any inaccuracy which may become apparent at a later date. This information may contain or incorporate by reference forward-looking statements. The words "believe", "anticipate", "expect", "intend", "plan", "predict", "continue", "assume", "positioned", "may", "will", "should", "shall", "risk" and other similar expressions that are predictions of or indicate future events and future trends identify forward-looking statements. These forward-

looking statements include all matters that are not historical facts. Past performance is not a reliable indicator of future performance, nor are forecasts of future performance. Whilst every effort has been taken to ensure that the assumptions on which any forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The ultimate outcomes may differ substantially from any forecasts.

Conflicts of Interest: In the normal course of offering banking products and services to its clients, the Westpac Group may act in several capacities (including issuer, market maker, underwriter, distributor, swap counterparty and calculation agent) simultaneously with respect to a financial instrument, giving rise to potential conflicts of interest which may impact the performance of a financial instrument. The Westpac Group may at any time transact or hold a position (including hedging and trading positions) for its own account or the account of a client in any financial instrument which may impact the performance of that financial instrument.

Author(s) disclaimer and declaration: The author(s) confirms that (a) no part of his/her compensation was, is, or will be, directly or indirectly, related to any views or (if applicable) recommendations expressed in this material; (b) this material accurately reflects his/her personal views about the financial products, companies or issuers (if applicable) and is based on sources reasonably believed to be reliable and accurate; (c) to the best of the author's knowledge, they are not in receipt of inside information and this material does not contain inside information; and (d) no other part of the Westpac Group has made any attempt to influence this material.

Further important information regarding sustainability-related content: This material may contain statements relating to environmental, social and governance (ESG) topics. These are subject to known and unknown risks, and there are significant uncertainties, limitations, risks and assumptions in the metrics, modelling, data, scenarios, reporting and analysis on which the statements rely. In particular, these areas are rapidly evolving and maturing, and there are variations in approaches and common standards and practice, as well as uncertainty around future related policy and legislation. Some material may include information derived from publicly available sources that have not been independently verified. No representation or warranty is made as to the accuracy, completeness or reliability of the information. There is a risk that the analysis, estimates, judgements, assumptions, views, models, scenarios or projections used may turn out to be incorrect. These risks may cause actual outcomes to differ materially from those expressed or implied. The ESG-related statements in this material do not constitute advice, nor are they guarantees or predictions of future performance, and Westpac gives no representation, warranty or assurance (including as to the quality, accuracy or completeness of the statements). You should seek your own independent advice.

Additional country disclosures:

Australia: Westpac holds an Australian Financial Services Licence (No. 233714). You can access Westpac's Financial Services Guide here or request a copy from your Westpac point of contact. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the

appropriateness of the advice.

New Zealand: In New Zealand, Westpac Institutional Bank refers to the brand under which products and services are provided by either Westpac (NZ division) or Westpac New Zealand Limited (company number 1763882), the New Zealand incorporated subsidiary of Westpac ("WNZL"). Any product or service made available by WNZL does not represent an offer from Westpac or any of its subsidiaries (other than WNZL). Neither Westpac nor its other subsidiaries guarantee or otherwise support the performance of WNZL in respect of any such product. WNZL is not an authorised deposit-taking institution for the purposes of Australian prudential standards. The current disclosure statements for the New Zealand branch of Westpac and WNZL can be obtained at the internet address www.westpac.co.nz.

Singapore: This material has been prepared and issued for distribution in Singapore to institutional investors, accredited investors and expert investors (as defined in the applicable Singapore laws and regulations) only. Recipients of this material in Singapore should contact Westpac Singapore Branch in respect of any matters arising from, or in connection with, this material. Westpac Singapore Branch holds a wholesale banking licence and is subject to supervision by the Monetary Authority of Singapore.

Fiji: Unless otherwise specified, the products and services for Westpac Fiji are available from www.westpac.com.fj © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia and registered as a branch in Fiji. The liability of its members is limited.

Papua New Guinea: Unless otherwise specified, the products and services for Westpac PNG are available from www.westpac.com.pg © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia. Westpac is represented in Papua New Guinea by Westpac Bank - PNG - Limited. The liability of its members is limited.

U.S.: Westpac operates in the United States of America as a federally licensed branch, regulated by the Office of the Comptroller of the Currency. Westpac is also registered with the US Commodity Futures Trading Commission (“CFTC”) as a Swap Dealer, but is neither registered as, or affiliated with, a Futures Commission Merchant registered with the US CFTC. The services and products referenced above are not insured by the Federal Deposit Insurance Corporation (“FDIC”). Westpac Capital Markets, LLC (‘WCM’), a wholly-owned subsidiary of Westpac, is a broker-dealer registered under the U.S. Securities Exchange Act of 1934 (‘the Exchange Act’) and member of the Financial Industry Regulatory Authority (‘FINRA’). In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WCM other than as provided for in certain legal agreements between Westpac and WCM and obligations of WCM do not represent

liabilities of Westpac.

This communication is provided for distribution to U.S. institutional investors in reliance on the exemption from registration provided by Rule 15a-6 under the Exchange Act and is not subject to all of the independence and disclosure standards applicable to debt research reports prepared for retail investors in the United States. WCM is the U.S. distributor of this communication and accepts responsibility for the contents of this communication. Transactions by U.S. customers of any securities referenced herein should be effected through WCM. All disclaimers set out with respect to Westpac apply equally to WCM. If you would like to speak to someone regarding any security mentioned herein, please contact WCM on +1 212 389 1269. Investing in any non-U.S. securities or related financial instruments mentioned in this communication may present certain risks. The securities of non-U.S. issuers may not be registered with, or be subject to the regulations of, the SEC in the United States. Information on such non-U.S. securities or related financial instruments may be limited. Non-U.S. companies may not be subject to audit and reporting standards and regulatory requirements comparable to those in effect in the United States. The value of any investment or income from any securities or related derivative instruments denominated in a currency other than U.S. dollars is subject to exchange rate fluctuations that may have a positive or adverse effect on the value of or income from such securities or related derivative instruments.

The author of this communication is employed by Westpac and is not registered or qualified as a research analyst, representative, or associated person of WCM or any other U.S. broker-dealer under the rules of FINRA, any other U.S. self-regulatory organisation, or the laws, rules or regulations of any State. Unless otherwise specifically stated, the views expressed herein are solely those of the author and may differ from the information, views or analysis expressed by Westpac and/or its affiliates.

UK: The London branch of Westpac is authorised in the United Kingdom by the Prudential Regulation Authority (PRA) and is subject to regulation by the Financial Conduct Authority (FCA) and limited regulation by the PRA (Financial Services Register number: 124586). The London branch of Westpac is registered at Companies House as a branch established in the United Kingdom (Branch No. BR000106). Details about the extent of the regulation of Westpac's London branch by the PRA are available from us on request.

This communication is not being made to or distributed to, and must not be passed on to, the general public in the United Kingdom. Rather, this communication is being made only to and is directed at (a) those persons falling within the definition of Investment Professionals (set out in Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (the "Order")); (b) those persons falling within the definition of high net worth companies, unincorporated associations etc. (set out in Article 49(2)of the Order; (c) other persons to whom it may lawfully be communicated in accordance with the Order or (d) any persons to whom it may otherwise lawfully be made (all such persons together being referred to as "relevant persons"). Any person who is not a relevant person should not act or rely on this communication or any of its contents. In the same way, the information contained in this communication is intended for "eligible counterparties" and

“professional clients” as defined by the rules of the Financial Conduct Authority and is not intended for “retail clients”. Westpac expressly prohibits you from passing on the information in this communication to any third party.

European Economic Area (“EEA”): This material may be distributed to you by either: (i) Westpac directly, or (ii) Westpac Europe GmbH (“WEG”) under a sub-licensing arrangement. WEG has not edited or otherwise modified the content of this material. WEG is authorised in Germany by the Federal Financial Supervision Authority (‘BaFin’) and subject to its regulation. WEG’s supervisory authorities are BaFin and the German Federal Bank (‘Deutsche Bundesbank’). WEG is registered with the commercial register (‘Handelsregister’) of the local court of Frankfurt am Main under registration number HRB 118483. In accordance with APRA’s Prudential Standard 222 ‘Association with Related Entities’, Westpac does not stand behind WEG other than as provided for in certain legal agreements (a risk transfer, sub-participation and collateral agreement) between Westpac and WEG and obligations of WEG do not represent liabilities of Westpac. Any product or service made available by WEG does not represent an offer from Westpac or any of its subsidiaries (other than WEG). All disclaimers set out with respect to Westpac apply equally to WEG.

This communication is not intended for distribution to, or use by any person or entity in any jurisdiction or country where such distribution or use would be contrary to local law or regulation.

This communication contains general commentary, research, and market colour. The communication does not constitute investment advice. The material may contain an ‘investment recommendation’ and/or ‘information recommending or suggesting an investment’, both as defined in Regulation (EU) No 596/2014 (including as applicable in the United Kingdom) (“MAR”). In accordance with the relevant provisions of MAR, reasonable care has been taken to ensure that the material has been objectively presented and that interests or conflicts of interest of the sender concerning the financial instruments to which that information relates have been disclosed.

Investment recommendations must be read alongside the specific disclosure which accompanies them and the general disclosure which can be found here. Such disclosure fulfils certain additional information requirements of MAR and associated delegated legislation and by accepting this communication you acknowledge that you are aware of the existence of such additional disclosure and its contents.

To the extent this communication comprises an investment recommendation it is classified as non-independent research. It has not been prepared in accordance with legal requirements designed to promote the independence of investment research and therefore constitutes a marketing communication. Further, this communication is not subject to any prohibition on dealing ahead of the dissemination of investment research.

27 July 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Market sentiment was supported by reports that Pakistan and Iran were exploring new peace talks with the US and that oil exports from the Middle East continued to flow. Over the weekend, the US paused strikes against Iran as tensions in the region continued to escalate.

On Friday, major US equity markets were mixed, while oil prices fell sharply and bond markets rallied following a 4% decline in Brent crude prices. The US dollar was broadly unchanged, while the Aussie was slightly higher against the greenback.

Markets are now pricing in a 38% chance of a US Federal Reserve rate hike this week, up from 13% a week ago.

In Australia, OIS pricing points to a terminal cash rate of around 4.65% this year, with one additional rate hike expected by December. However, this is likely to shift this week depending on the Q2 inflation outcome, which will be released later in the week.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	65.4	-0.5%
AUD/USD	0.6979	0.1%
AUD/JPY	114.35	0.2%
AUD/GBP	0.5241	0.1%
AUD/NZD	1.2073	0.0%
AUD/EUR	0.6140	0.2%
AUD/CNH	4.7274	0.1%
AUD/SGD	0.9013	0.1%
AUD/HKD	5.4764	0.2%
AUD/CAD	0.9807	-0.1%
EUR/USD	1.1370	-0.1%
USD/JPY	163.83	0.0%
USD Index	101.47	0.0%

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.40	0.02
90 day BBSY	4.59	0.04
180 day BBSY	4.93	0.07
1 year swap	4.68	-0.01
2 year swap	4.68	-0.01
3 year swap	4.66	0.01
4 year swap	4.66	-0.01
5 year swap	4.68	-0.01
6 year swap	4.72	-0.01
7 year swap	4.77	0.00
8 year swap	4.82	-0.01
9 year swap	4.86	-0.01
10 year swap	4.90	-0.01

Equities	Close	Change
S&P/ASX 200	8,772	-0.8%
S&P 500	7,412	0.0%
Japan Nikkei	64,611	-2.7%
Hang Seng	24,963	-1.0%
Euro Stoxx 50	6,281	1.1%
UK FTSE100	10,736	0.9%
VIX Index	18.58	-0.6%

Government Bond Yields	Close	Change
Australia		
3 year bond	4.72	0.11
10 year bond	5.09	0.10
United States		
3-month T Bill	3.81	0.00
2 year bond	4.33	-0.02
10 year bond	4.68	-0.02
Other (10 year yields)		
Germany	3.17	-0.03
Japan	2.82	0.03
UK	5.03	-0.07

Commodities	Current	Change
CRB Index	395.67	-1.1%
Gold	4052.79	0.1%
Copper	13645	0.4%
Oil (WTI futures)	89.31	-3.1%
Coal (coking)	221.00	-0.9%
Coal (thermal)	137.75	1.1%
Iron Ore	97.90	-0.3%
ACCU	36.13	-4.3%

Sydney Futures Exchange	Current	Change
10 yr bond	5.08	-0.04
3 yr bond	4.68	-0.04
3 mth bill rate	4.47	0.00
SPI 200	8,766	0.6%

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

Pat Bustamante
Senior Economist, Westpac Group
P: +61 468 571 786
E: pat.bustamante@westpac.com.au

Financial Markets

- Markets settled on Friday as investors responded to reports that Pakistan and Iran were exploring options to enter new peace talks with the US, alongside reports that oil was still able to flow out of the Middle East. Brent crude prices retreated from US$100 a barrel, falling 4%, its biggest one-day drop since late June.
- Over the weekend, reports suggested the US paused strikes against Iran for a second consecutive night as tensions continued to escalate in the Red Sea following clashes involving Yemen's Houthi militants and Saudi Arabia. The Houthis claimed responsibility for missile and drone attacks on Saudi Aramco-linked facilities in Jizan and Yanbu, prompting retaliatory strikes by a Saudi-led coalition.
- US equity markets were mixed. The S&P 500 finished broadly unchanged, while the Dow Jones Industrial Average rose 0.4% and the tech-heavy Nasdaq fell 0.6%. Market volatility eased, with the VIX Index falling 0.6% to 18.6. Over the week, however, key US equity indices were lower, with the S&P 500 and Dow Jones Industrial Average falling 0.6% and 0.4%, respectively, while the Nasdaq underperformed, falling 2.1%.
- European equities outperformed, supported by lower oil prices and stronger-than-expected PMI results. The Euro Stoxx 50 rose 1.1%, Germany's DAX gained 1.4% and the FTSE 100 increased 0.9%. In Asia, equities were weaker, with the Nikkei falling 2.7% and the Hang Seng declining 1.0%. Locally, the S&P/ASX 200 fell 0.8% to 8,772. SPI futures were up 0.6%, pointing to a firmer open for the Aussie market.
- Bond markets rallied modestly on the back of the falls in oil prices. In the US, the 2-year Treasury yield fell 2bps to 4.33%, while the 10-year Treasury yield declined 2bps to 4.68%. Traders are now pricing in roughly a 38% chance of a rate hike at this week's Federal Reserve meeting, up from just 13% a week ago. European yields also moved lower, with German 10-year Bund yields falling 3bps to 3.17% and UK 10-year gilt yields down 7bps to 5.03%. Japanese 10-year government bond yields rose 3bps to 2.82%.
- Australian bond yields moved higher in cash markets but lower in futures trading. The 3-year government bond yield rose 11bps to 4.72%, while the 10-year yield increased 10bps to 5.09%. However, Sydney Futures Exchange pricing showed the 3-year and 10-year futures yields both down 4bps, suggesting a stronger open for the local bond market. OIS pricing suggests a terminal cash rate of around 4.65% this year, with the market pricing in one more hike by December this year.

Today's key data and events

Time	Event	Exp	Prev
11:30	CN Industrial Profits Jun	-	21.1%
18:00	EZ M3 Money Supply Jun	-	3.2%
22:30	US Durable Goods Orders Jun Prel.	1.4%	-4.5%
0:30	US Dallas Fed Manufacturing Jul	-	0pts

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

- In foreign exchange markets, the US dollar index was broadly unchanged, while the Aussie was broadly firmer. The AUD/USD rose 0.1% to 0.6979, while the Australian dollar also gained against the Japanese yen (+0.2%), pound sterling (+0.1%), euro (+0.2%), Chinese yuan (+0.1%), Singapore dollar (+0.1%) and Hong Kong dollar (+0.2%). The trade-weighted index (TWI) eased 0.5% to 65.4, while the Australian dollar was unchanged against the New Zealand dollar and slipped 0.1% against the Canadian dollar.
- Commodity markets were generally weaker. The commodity index fell 1.1%, reflecting declines across energy and carbon markets. WTI crude oil dropped 3.1% to US$89.31/bbl following reports that Pakistan and Iran were exploring options to enter new peace talks with the US. Iron ore fell 0.3% to US$97.90/t, while coking coal declined 0.9%. Thermal coal was a notable exception, rising 1.1%. Copper increased 0.4%, supported by ongoing supply concerns, while gold edged 0.1% higher.

International Data

US new homes sales gained 1.6% in June after May's decline was revised from -7.3% to -4.3%. The current level of sales is almost 40% below the late-2020 peak.

The **US S&P manufacturing PMI** was little changed at 53.8 in July while the services measures improved from 51.2 to 53.6. A similar result was seen for the **Euro Area**, the manufacturing PMI reported at 52.0 and the services index 51.6, and the **UK**, manufacturing and services PMIs, respectively 52.8 and 51.8.

UK GfK consumer confidence improved from -23 to -17 in July, modestly below the survey's full-history average.

UK retail sales surprised materially to the upside in June, registering a 1.0% gain after a 1.2% increase in May. Activity was broad based, sales rising 1.1% in June excluding fuel. Over the year, sales are up 4.2% overall and 5.4% excluding fuel.

Local Data

The **Westpac-Now** continues to point to GDP growth of around 0.2%qtr in Q2, broadly in line with the sluggish 0.3%qtr outcome in Q1 2026. However, the Westpac Monthly Activity Index is showing tentative signs of stabilising (see here).

Corporate Directory

Westpac Economics / Australia

Sydney
Level 19, 275 Kent Street
Sydney NSW 2000
Australia

E: economics@westpac.com.au

Luci Ellis
Chief Economist Westpac Group
E: luci.ellis@westpac.com.au

Matthew Hassan
Head of Australian Macro–Forecasting
E: mhassan@westpac.com.au

Elliot Clarke
Head of International Economics
E: eclarke@westpac.com.au

Sian Fenner
Head of Business and Industry Economics
E: sian.fenner@westpac.com.au

Justin Smirk
Senior Economist
E: jsmirk@westpac.com.au

Pat Bustamante
Senior Economist
E: pat.bustamante@westpac.com.au

Mantas Vanagas
Senior Economist
E: mantas.vanagas@westpac.com.au

Ryan Wells
Economist
E: ryan.wells@westpac.com.au

Illiana Jain
Economist
E: illiana.jain@westpac.com.au

Neha Sharma
Economist
E: neha.sharma1@westpac.com.au

Luka Belobrajdic
Economist
E: luka.belobrajdic@westpac.com.au

Westpac Economics / New Zealand

Auckland
Takutai on the Square
Level 8, 16 Takutai Square
Auckland, New Zealand

E: economics@westpac.co.nz

Kelly Eckhold
Chief Economist NZ
E: kelly.eckhold@westpac.co.nz

Michael Gordon
Senior Economist
E: michael.gordon@westpac.co.nz

Darren Gibbs
Senior Economist
E: darren.gibbs@westpac.co.nz

Satish Ranchhod
Senior Economist
E: satish.ranchhod@westpac.co.nz

Paul Clark
Industry Economist
E: paul.clarke@westpac.co.nz

Westpac Economics / Fiji

Suva
1 Thomson Street
Suva, Fiji

Shamal Chand
Senior Economist
E: shamal.chand@westpac.com.au

Things you should know

We respect your privacy: You can view the New Zealand Privacy Policy here, or the Australian Group Privacy Statement here. Each time someone visits our site, data is captured so that we can accurately evaluate the quality of our content and make improvements for you. We may at times use technology to capture data about you to help us to better understand you and your needs, including potentially for the purposes of assessing your individual reading habits and interests to allow us to provide suggestions regarding other reading material which may be suitable for you.

Disclaimer

This information has been prepared by Westpac and is intended for information purposes only. It is not intended to reflect any recommendation or financial advice and investment decisions should not be based on it. This information does not constitute an offer, a solicitation of an offer, or an inducement to subscribe for, purchase or sell any financial instrument or to enter into a legally binding contract. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice. Certain types of transactions, including those involving futures, options and high yield securities give rise to substantial risk and are not suitable for all investors. We recommend that you seek your own independent legal or financial advice before proceeding with any investment decision.

This information may contain material provided by third parties. While such material is published with the necessary permission none of Westpac or its related entities accepts any responsibility for the accuracy or completeness of any such material. Although we have made every effort to ensure this information is free from error, none of Westpac or its related entities warrants the accuracy, adequacy or completeness of this information, or otherwise endorses it in any way. Except where contrary to law, Westpac Group intend by this notice to exclude liability for this information. This information is subject to change without notice and none of Westpac or its related entities is under any obligation to update this information or correct any inaccuracy which may become apparent at a later date. This information may contain or incorporate by reference forward looking statements. The words "believe", "anticipate", "expect", "intend", "plan", "predict", "continue", "assume", "positioned", "may", "will", "should", "shall", "risk" and other similar expressions that are predictions of or indicate future events and future trends identify forward-looking statements. These forward-looking statements include all matters that are not historical facts. Past performance is not a reliable indicator of future performance, nor are forecasts of future performance. Whilst every effort has been taken to ensure that the assumptions on which any forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The ultimate outcomes may differ substantially from any forecasts.

Conflicts of Interest: In the normal course of offering banking products and services to its clients, the Westpac Group may act in several capacities (including issuer, market maker, underwriter, distributor, swap counterparty and calculation agent) simultaneously with respect to a financial instrument, giving rise to potential conflicts of interest which may impact the performance of a financial instrument. The Westpac Group may at any time transact or hold a position (including hedging and trading positions) for its own account or the account of a client in any financial instrument which may impact the performance of that financial instrument.

Author(s) disclaimer and declaration: The author(s) confirms that (a) no part of his/her compensation was, is, or will be, directly or indirectly, related to any views or (if applicable) recommendations expressed in this material; (b) this material accurately reflects his/her personal views about the financial products, companies or issuers (if applicable) and is based on sources reasonably believed to be reliable and accurate; (c) to the best of the author's knowledge, they are not in receipt of inside information and this material does not contain inside information; and (d) no other part of the Westpac Group has made any attempt to influence this material.

Further important information regarding sustainability related content: This material may contain statements relating to environmental, social and governance (ESG) topics. These are subject to known and unknown risks, and there are significant uncertainties, limitations, risks and assumptions in the metrics, modelling, data, scenarios, reporting and analysis on which the statements rely. In particular, these areas are rapidly evolving and maturing, and there are variations in approaches and common standards and practice, as well as uncertainty around future related policy and legislation. Some material may include information derived from publicly available sources that have not been independently verified. No representation or warranty is made as to the accuracy, completeness or reliability of the information. There is a risk that the analysis, estimates, judgements, assumptions, views, models, scenarios or projections used may turn out to be incorrect. These risks may cause actual outcomes to differ materially from those expressed or implied. The ESG-related statements in this material do not constitute advice, nor are they guarantees or predictions of future performance, and Westpac gives no representation, warranty or assurance (including as to the quality, accuracy or completeness of the statements). You should seek your own independent advice.

Additional country disclosures:

Australia: Westpac holds an Australian Financial Services Licence (No. 233714). You can access Westpac's Financial Services Guide here or request a copy from your Westpac point of contact. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice.

New Zealand: In New Zealand, Westpac Institutional Bank refers to the brand under which products and services are provided by either Westpac (NZ division) or Westpac New Zealand Limited (company number 1763882), the New Zealand incorporated subsidiary of Westpac ("WNZL"). Any product or service made available by WNZL does not represent an offer from Westpac or any of its subsidiaries (other than WNZL). Neither Westpac nor its other subsidiaries guarantee or otherwise support the performance of WNZL in respect of any such product. WNZL is not an authorised deposit-taking institution for the purposes of Australian prudential standards. The current disclosure statements for the New Zealand branch of Westpac and WNZL can be obtained at www.westpac.co.nz.

Singapore: This material has been prepared and issued for distribution in Singapore to institutional investors, accredited investors and expert investors (as defined in the applicable Singapore laws and regulations) only. Recipients of this material in Singapore should contact Westpac Singapore Branch in respect of any matters arising from, or in connection with, this material. Westpac Singapore Branch holds a wholesale banking licence and is subject to supervision by the Monetary Authority of Singapore.

Disclaimer continues overleaf ▶

Fiji: Unless otherwise specified, the products and services for Westpac Fiji are available from www.westpac.com.fj © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia and registered as a branch in Fiji. The liability of its members is limited.

Papua New Guinea: Unless otherwise specified, the products and services for Westpac PNG are available from www.westpac.com.pg © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia. Westpac is represented in Papua New Guinea by Westpac Bank - PNG - Limited. The liability of its members is limited.

U.S: Westpac operates in the United States of America as a federally licensed branch, regulated by the Office of the Comptroller of the Currency. Westpac is also registered with the US Commodity Futures Trading Commission ("CFTC") as a Swap Dealer, but is neither registered as, or affiliated with, a Futures Commission Merchant registered with the US CFTC. The services and products referenced above are not insured by the Federal Deposit Insurance Corporation ("FDIC"). Westpac Capital Markets, LLC ('WCM'), a wholly-owned subsidiary of Westpac, is a broker-dealer registered under the U.S. Securities Exchange Act of 1934 ('the Exchange Act') and member of the Financial Industry Regulatory Authority ('FINRA'). In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WCM other than as provided for in certain legal agreements between Westpac and WCM and obligations of WCM do not represent liabilities of Westpac.

This communication is provided for distribution to U.S. institutional investors in reliance on the exemption from registration provided by Rule 15a-6 under the Exchange Act and is not subject to all of the independence and disclosure standards applicable to debt research reports prepared for retail investors in the United States. WCM is the U.S. distributor of this communication and accepts responsibility for the contents of this communication. Transactions by U.S. customers of any securities referenced herein should be effected through WCM. All disclaimers set out with respect to Westpac apply equally to WCM. If you would like to speak to someone regarding any security mentioned herein, please contact WCM on +1 212 389 1269. Investing in any non-U.S. securities or related financial instruments mentioned in this communication may present certain risks. The securities of non-U.S. issuers may not be registered with, or be subject to the regulations of, the SEC in the United States. Information on such non-U.S. securities or related financial instruments may be limited. Non-U.S. companies may not be subject to audit and reporting standards and regulatory requirements comparable to those in effect in the United States. The value of any investment or income from any securities or related derivative instruments denominated in a currency other than U.S. dollars is subject to exchange rate fluctuations that may have a positive or adverse effect on the value of or income from such securities or related derivative instruments.

The author of this communication is employed by Westpac and is not registered or qualified as a research analyst, representative, or associated person of WCM or any other U.S. broker-dealer under the rules of FINRA, any other U.S. self-regulatory organisation, or the laws, rules or regulations of any State. Unless otherwise specifically stated, the views expressed herein are solely those of the author and may differ from the information, views or analysis expressed by Westpac and/or its affiliates.

UK: The London branch of Westpac is authorised in the United Kingdom by the Prudential Regulation Authority (PRA) and is subject to regulation by the Financial Conduct Authority (FCA) and limited regulation by the PRA (Financial Services Register number: 124586). The London branch of Westpac is registered at Companies House as a branch established in the United Kingdom (Branch No. BR000106). Details about the extent of the regulation of Westpac's London branch by the PRA are available from us on request.

This communication is not being made to or distributed to, and must not be passed on to, the general public in the United Kingdom. Rather, this communication is being made only to and is directed at (a) those persons falling within the definition of Investment Professionals (set out in Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (the "Order")); (b) those persons falling within the definition of high net worth companies, unincorporated associations etc. (set out in Article 49(2)of the Order; (c) other persons to whom it may lawfully be communicated in accordance with the Order or (d) any persons to whom it may otherwise lawfully be made (all such persons together being referred to as "relevant persons"). Any person who is not a relevant person should not act or rely on this communication or any of its contents. In the same way, the information contained in this communication is intended for "eligible counterparties" and "professional clients" as defined by the rules of the Financial Conduct Authority and is not intended for "retail clients". Westpac expressly prohibits you from passing on the information in this communication to any third party.

European Economic Area ("EEA"): This material may be distributed to you by either: (i) Westpac directly, or (ii) Westpac Europe GmbH ("WEG") under a sub-licensing arrangement. WEG has not edited or otherwise modified the content of this material. WEG is authorised in Germany by the Federal Financial Supervision Authority ('BaFin') and subject to its regulation. WEG's supervisory authorities are BaFin and the German Federal Bank ('Deutsche Bundesbank'). WEG is registered with the commercial register ('Handelsregister') of the local court of Frankfurt am Main under registration number HRB 118483. In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WEG other than as provided for in certain legal agreements (a risk transfer, sub-participation and collateral agreement) between Westpac and WEG and obligations of WEG do not represent liabilities of Westpac. Any product or service made available by WEG does not represent an offer from Westpac or any of its subsidiaries (other than WEG). All disclaimers set out with respect to Westpac apply equally to WEG.

This communication is not intended for distribution to, or use by any person or entity in any jurisdiction or country where such distribution or use would be contrary to local law or regulation.

This communication contains general commentary, research, and market colour. The communication does not constitute investment advice. The material may contain an 'investment recommendation' and/or 'information recommending or suggesting an investment', both as defined in Regulation (EU) No 596/2014 (including as applicable in the United Kingdom) ("MAR"). In accordance with the relevant provisions of MAR, reasonable care has been taken to ensure that the material has been objectively presented and that interests or conflicts of interest of the sender concerning the financial instruments to which that information relates have been disclosed.

Investment recommendations must be read alongside the specific disclosure which accompanies them and the general disclosure which can be found here. Such disclosure fulfils certain additional information requirements of MAR and associated delegated legislation and by accepting this communication you acknowledge that you are aware of the existence of such additional disclosure and its contents.

To the extent this communication comprises an investment recommendation it is classified as non-independent research. It has not been prepared in accordance with legal requirements designed to promote the independence of investment research and therefore constitutes a marketing communication. Further, this communication is not subject to any prohibition on dealing ahead of the dissemination of investment research.

27 July 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Market sentiment was supported by reports that Pakistan and Iran were exploring new peace talks with the US and that oil exports from the Middle East continued to flow. Over the weekend, the US paused strikes against Iran as tensions in the region continued to escalate.

On Friday, major US equity markets were mixed, while oil prices fell sharply and bond markets rallied following a 4% decline in Brent crude prices. The US dollar was broadly unchanged, while the Aussie was slightly higher against the greenback.

Markets are now pricing in a 38% chance of a US Federal Reserve rate hike this week, up from 13% a week ago.

In Australia, OIS pricing points to a terminal cash rate of around 4.65% this year, with one additional rate hike expected by December. However, this is likely to shift this week depending on the Q2 inflation outcome, which will be released later in the week.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	65.4	-0.5%
AUD/USD	0.6979	0.1%
AUD/JPY	114.35	0.2%
AUD/GBP	0.5241	0.1%
AUD/NZD	1.2073	0.0%
AUD/EUR	0.6140	0.2%
AUD/CNH	4.7274	0.1%
AUD/SGD	0.9013	0.1%
AUD/HKD	5.4764	0.2%
AUD/CAD	0.9807	-0.1%
EUR/USD	1.1370	-0.1%
USD/JPY	163.83	0.0%
USD Index	101.47	0.0%

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.40	0.02
90 day BBSY	4.59	0.04
180 day BBSY	4.93	0.07
1 year swap	4.68	-0.01
2 year swap	4.68	-0.01
3 year swap	4.66	0.01
4 year swap	4.66	-0.01
5 year swap	4.68	-0.01
6 year swap	4.72	-0.01
7 year swap	4.77	0.00
8 year swap	4.82	-0.01
9 year swap	4.86	-0.01
10 year swap	4.90	-0.01

Equities	Close	Change
S&P/ASX 200	8,772	-0.8%
S&P 500	7,412	0.0%
Japan Nikkei	64,611	-2.7%
Hang Seng	24,963	-1.0%
Euro Stoxx 50	6,281	1.1%
UK FTSE100	10,736	0.9%
VIX Index	18.58	-0.6%

Government Bond Yields	Close	Change
Australia		
3 year bond	4.72	0.11
10 year bond	5.09	0.10
United States		
3-month T Bill	3.81	0.00
2 year bond	4.33	-0.02
10 year bond	4.68	-0.02
Other (10 year yields)		
Germany	3.17	-0.03
Japan	2.82	0.03
UK	5.03	-0.07

Commodities	Current	Change
CRB Index	395.67	-1.1%
Gold	4052.79	0.1%
Copper	13645	0.4%
Oil (WTI futures)	89.31	-3.1%
Coal (coking)	221.00	-0.9%
Coal (thermal)	137.75	1.1%
Iron Ore	97.90	-0.3%
ACCU	36.13	-4.3%

Sydney Futures Exchange	Current	Change
10 yr bond	5.08	-0.04
3 yr bond	4.68	-0.04
3 mth bill rate	4.47	0.00
SPI 200	8,766	0.6%

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

Pat Bustamante
Senior Economist, Westpac Group
P: +61 468 571 786
E: pat.bustamante@westpac.com.au

Financial Markets

- Markets settled on Friday as investors responded to reports that Pakistan and Iran were exploring options to enter new peace talks with the US, alongside reports that oil was still able to flow out of the Middle East. Brent crude prices retreated from US$100 a barrel, falling 4%, its biggest one-day drop since late June.
- Over the weekend, reports suggested the US paused strikes against Iran for a second consecutive night as tensions continued to escalate in the Red Sea following clashes involving Yemen's Houthi militants and Saudi Arabia. The Houthis claimed responsibility for missile and drone attacks on Saudi Aramco-linked facilities in Jizan and Yanbu, prompting retaliatory strikes by a Saudi-led coalition.
- US equity markets were mixed. The S&P 500 finished broadly unchanged, while the Dow Jones Industrial Average rose 0.4% and the tech-heavy Nasdaq fell 0.6%. Market volatility eased, with the VIX Index falling 0.6% to 18.6. Over the week, however, key US equity indices were lower, with the S&P 500 and Dow Jones Industrial Average falling 0.6% and 0.4%, respectively, while the Nasdaq underperformed, falling 2.1%.
- European equities outperformed, supported by lower oil prices and stronger-than-expected PMI results. The Euro Stoxx 50 rose 1.1%, Germany's DAX gained 1.4% and the FTSE 100 increased 0.9%. In Asia, equities were weaker, with the Nikkei falling 2.7% and the Hang Seng declining 1.0%. Locally, the S&P/ASX 200 fell 0.8% to 8,772. SPI futures were up 0.6%, pointing to a firmer open for the Aussie market.
- Bond markets rallied modestly on the back of the falls in oil prices. In the US, the 2-year Treasury yield fell 2bps to 4.33%, while the 10-year Treasury yield declined 2bps to 4.68%. Traders are now pricing in roughly a 38% chance of a rate hike at this week's Federal Reserve meeting, up from just 13% a week ago. European yields also moved lower, with German 10-year Bund yields falling 3bps to 3.17% and UK 10-year gilt yields down 7bps to 5.03%. Japanese 10-year government bond yields rose 3bps to 2.82%.
- Australian bond yields moved higher in cash markets but lower in futures trading. The 3-year government bond yield rose 11bps to 4.72%, while the 10-year yield increased 10bps to 5.09%. However, Sydney Futures Exchange pricing showed the 3-year and 10-year futures yields both down 4bps, suggesting a stronger open for the local bond market. OIS pricing suggests a terminal cash rate of around 4.65% this year, with the market pricing in one more hike by December this year.

Today's key data and events

Time	Event	Exp	Prev
11:30	CN Industrial Profits Jun	-	21.1%
18:00	EZ M3 Money Supply Jun	-	3.2%
22:30	US Durable Goods Orders Jun Prel.	1.4%	-4.5%
0:30	US Dallas Fed Manufacturing Jul	-	0pts

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

- In foreign exchange markets, the US dollar index was broadly unchanged, while the Aussie was broadly firmer. The AUD/USD rose 0.1% to 0.6979, while the Australian dollar also gained against the Japanese yen (+0.2%), pound sterling (+0.1%), euro (+0.2%), Chinese yuan (+0.1%), Singapore dollar (+0.1%) and Hong Kong dollar (+0.2%). The trade-weighted index (TWI) eased 0.5% to 65.4, while the Australian dollar was unchanged against the New Zealand dollar and slipped 0.1% against the Canadian dollar.
- Commodity markets were generally weaker. The commodity index fell 1.1%, reflecting declines across energy and carbon markets. WTI crude oil dropped 3.1% to US$89.31/bbl following reports that Pakistan and Iran were exploring options to enter new peace talks with the US. Iron ore fell 0.3% to US$97.90/t, while coking coal declined 0.9%. Thermal coal was a notable exception, rising 1.1%. Copper increased 0.4%, supported by ongoing supply concerns, while gold edged 0.1% higher.

International Data

US new homes sales gained 1.6% in June after May's decline was revised from -7.3% to -4.3%. The current level of sales is almost 40% below the late-2020 peak.

The **US S&P manufacturing PMI** was little changed at 53.8 in July while the services measures improved from 51.2 to 53.6. A similar result was seen for the **Euro Area**, the manufacturing PMI reported at 52.0 and the services index 51.6, and the **UK**, manufacturing and services PMIs, respectively 52.8 and 51.8.

UK GfK consumer confidence improved from -23 to -17 in July, modestly below the survey's full-history average.

UK retail sales surprised materially to the upside in June, registering a 1.0% gain after a 1.2% increase in May. Activity was broad based, sales rising 1.1% in June excluding fuel. Over the year, sales are up 4.2% overall and 5.4% excluding fuel.

Local Data

The **Westpac-Now** continues to point to GDP growth of around 0.2%qtr in Q2, broadly in line with the sluggish 0.3%qtr outcome in Q1 2026. However, the Westpac Monthly Activity Index is showing tentative signs of stabilising (see here).

Corporate Directory

Westpac Economics / Australia

Sydney
Level 19, 275 Kent Street
Sydney NSW 2000
Australia

E: economics@westpac.com.au

Luci Ellis
Chief Economist Westpac Group
E: luci.ellis@westpac.com.au

Matthew Hassan
Head of Australian Macro–Forecasting
E: mhassan@westpac.com.au

Elliot Clarke
Head of International Economics
E: eclarke@westpac.com.au

Sian Fenner
Head of Business and Industry Economics
E: sian.fenner@westpac.com.au

Justin Smirk
Senior Economist
E: jsmirk@westpac.com.au

Pat Bustamante
Senior Economist
E: pat.bustamante@westpac.com.au

Mantas Vanagas
Senior Economist
E: mantas.vanagas@westpac.com.au

Ryan Wells
Economist
E: ryan.wells@westpac.com.au

Illiana Jain
Economist
E: illiana.jain@westpac.com.au

Neha Sharma
Economist
E: neha.sharma1@westpac.com.au

Luka Belobrajdic
Economist
E: luka.belobrajdic@westpac.com.au

Westpac Economics / New Zealand

Auckland
Takutai on the Square
Level 8, 16 Takutai Square
Auckland, New Zealand

E: economics@westpac.co.nz

Kelly Eckhold
Chief Economist NZ
E: kelly.eckhold@westpac.co.nz

Michael Gordon
Senior Economist
E: michael.gordon@westpac.co.nz

Darren Gibbs
Senior Economist
E: darren.gibbs@westpac.co.nz

Satish Ranchhod
Senior Economist
E: satish.ranchhod@westpac.co.nz

Paul Clark
Industry Economist
E: paul.clarke@westpac.co.nz

Westpac Economics / Fiji

Suva
1 Thomson Street
Suva, Fiji

Shamal Chand
Senior Economist
E: shamal.chand@westpac.com.au

IQ
westpaciq.com.au

Things you should know

We respect your privacy: You can view the New Zealand Privacy Policy here, or the Australian Group Privacy Statement here. Each time someone visits our site, data is captured so that we can accurately evaluate the quality of our content and make improvements for you. We may at times use technology to capture data about you to help us to better understand you and your needs, including potentially for the purposes of assessing your individual reading habits and interests to allow us to provide suggestions regarding other reading material which may be suitable for you.

Disclaimer

This information has been prepared by Westpac and is intended for information purposes only. It is not intended to reflect any recommendation or financial advice and investment decisions should not be based on it. This information does not constitute an offer, a solicitation of an offer, or an inducement to subscribe for, purchase or sell any financial instrument or to enter into a legally binding contract. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice. Certain types of transactions, including those involving futures, options and high yield securities give rise to substantial risk and are not suitable for all investors. We recommend that you seek your own independent legal or financial advice before proceeding with any investment decision.

This information may contain material provided by third parties. While such material is published with the necessary permission none of Westpac or its related entities accepts any responsibility for the accuracy or completeness of any such material. Although we have made every effort to ensure this information is free from error, none of Westpac or its related entities warrants the accuracy, adequacy or completeness of this information, or otherwise endorses it in any way. Except where contrary to law, Westpac Group intend by this notice to exclude liability for this information. This information is subject to change without notice and none of Westpac or its related entities is under any obligation to update this information or correct any inaccuracy which may become apparent at a later date. This information may contain or incorporate by reference forward looking statements. The words "believe", "anticipate", "expect", "intend", "plan", "predict", "continue", "assume", "positioned", "may", "will", "should", "shall", "risk" and other similar expressions that are predictions of or indicate future events and future trends identify forward-looking statements. These forward-looking statements include all matters that are not historical facts. Past performance is not a reliable indicator of future performance, nor are forecasts of future performance. Whilst every effort has been taken to ensure that the assumptions on which any forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The ultimate outcomes may differ substantially from any forecasts.

Conflicts of Interest: In the normal course of offering banking products and services to its clients, the Westpac Group may act in several capacities (including issuer, market maker, underwriter, distributor, swap counterparty and calculation agent) simultaneously with respect to a financial instrument, giving rise to potential conflicts of interest which may impact the performance of a financial instrument. The Westpac Group may at any time transact or hold a position (including hedging and trading positions) for its own account or the account of a client in any financial instrument which may impact the performance of that financial instrument.

Author(s) disclaimer and declaration: The author(s) confirms that (a) no part of his/her compensation was, is, or will be, directly or indirectly, related to any views or (if applicable) recommendations expressed in this material; (b) this material accurately reflects his/her personal views about the financial products, companies or issuers (if applicable) and is based on sources reasonably believed to be reliable and accurate; (c) to the best of the author's knowledge, they are not in receipt of inside information and this material does not contain inside information; and (d) no other part of the Westpac Group has made any attempt to influence this material.

Further important information regarding sustainability related content: This material may contain statements relating to environmental, social and governance (ESG) topics. These are subject to known and unknown risks, and there are significant uncertainties, limitations, risks and assumptions in the metrics, modelling, data, scenarios, reporting and analysis on which the statements rely. In particular, these areas are rapidly evolving and maturing, and there are variations in approaches and common standards and practice, as well as uncertainty around future related policy and legislation. Some material may include information derived from publicly available sources that have not been independently verified. No representation or warranty is made as to the accuracy, completeness or reliability of the information. There is a risk that the analysis, estimates, judgements, assumptions, views, models, scenarios or projections used may turn out to be incorrect. These risks may cause actual outcomes to differ materially from those expressed or implied. The ESG-related statements in this material do not constitute advice, nor are they guarantees or predictions of future performance, and Westpac gives no representation, warranty or assurance (including as to the quality, accuracy or completeness of the statements). You should seek your own independent advice.

Additional country disclosures:

Australia: Westpac holds an Australian Financial Services Licence (No. 233714). You can access Westpac's Financial Services Guide here or request a copy from your Westpac point of contact. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice.

New Zealand: In New Zealand, Westpac Institutional Bank refers to the brand under which products and services are provided by either Westpac (NZ division) or Westpac New Zealand Limited (company number 1763882), the New Zealand incorporated subsidiary of Westpac ("WNZL"). Any product or service made available by WNZL does not represent an offer from Westpac or any of its subsidiaries (other than WNZL). Neither Westpac nor its other subsidiaries guarantee or otherwise support the performance of WNZL in respect of any such product. WNZL is not an authorised deposit-taking institution for the purposes of Australian prudential standards. The current disclosure statements for the New Zealand branch of Westpac and WNZL can be obtained at www.westpac.co.nz.

Singapore: This material has been prepared and issued for distribution in Singapore to institutional investors, accredited investors and expert investors (as defined in the applicable Singapore laws and regulations) only. Recipients of this material in Singapore should contact Westpac Singapore Branch in respect of any matters arising from, or in connection with, this material. Westpac Singapore Branch holds a wholesale banking licence and is subject to supervision by the Monetary Authority of Singapore.

Disclaimer continues overleaf ▶

Fiji: Unless otherwise specified, the products and services for Westpac Fiji are available from www.westpac.com.fj © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia and registered as a branch in Fiji. The liability of its members is limited.

Papua New Guinea: Unless otherwise specified, the products and services for Westpac PNG are available from www.westpac.com.pg © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia. Westpac is represented in Papua New Guinea by Westpac Bank - PNG - Limited. The liability of its members is limited.

U.S: Westpac operates in the United States of America as a federally licensed branch, regulated by the Office of the Comptroller of the Currency. Westpac is also registered with the US Commodity Futures Trading Commission ("CFTC") as a Swap Dealer, but is neither registered as, or affiliated with, a Futures Commission Merchant registered with the US CFTC. The services and products referenced above are not insured by the Federal Deposit Insurance Corporation ("FDIC"). Westpac Capital Markets, LLC ('WCM'), a wholly-owned subsidiary of Westpac, is a broker-dealer registered under the U.S. Securities Exchange Act of 1934 ('the Exchange Act') and member of the Financial Industry Regulatory Authority ('FINRA'). In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WCM other than as provided for in certain legal agreements between Westpac and WCM and obligations of WCM do not represent liabilities of Westpac.

This communication is provided for distribution to U.S. institutional investors in reliance on the exemption from registration provided by Rule 15a-6 under the Exchange Act and is not subject to all of the independence and disclosure standards applicable to debt research reports prepared for retail investors in the United States. WCM is the U.S. distributor of this communication and accepts responsibility for the contents of this communication. Transactions by U.S. customers of any securities referenced herein should be effected through WCM. All disclaimers set out with respect to Westpac apply equally to WCM. If you would like to speak to someone regarding any security mentioned herein, please contact WCM on +1 212 389 1269. Investing in any non-U.S. securities or related financial instruments mentioned in this communication may present certain risks. The securities of non-U.S. issuers may not be registered with, or be subject to the regulations of, the SEC in the United States. Information on such non-U.S. securities or related financial instruments may be limited. Non-U.S. companies may not be subject to audit and reporting standards and regulatory requirements comparable to those in effect in the United States. The value of any investment or income from any securities or related derivative instruments denominated in a currency other than U.S. dollars is subject to exchange rate fluctuations that may have a positive or adverse effect on the value of or income from such securities or related derivative instruments.

The author of this communication is employed by Westpac and is not registered or qualified as a research analyst, representative, or associated person of WCM or any other U.S. broker-dealer under the rules of FINRA, any other U.S. self-regulatory organisation, or the laws, rules or regulations of any State. Unless otherwise specifically stated, the views expressed herein are solely those of the author and may differ from the information, views or analysis expressed by Westpac and/or its affiliates.

UK: The London branch of Westpac is authorised in the United Kingdom by the Prudential Regulation Authority (PRA) and is subject to regulation by the Financial Conduct Authority (FCA) and limited regulation by the PRA (Financial Services Register number: 124586). The London branch of Westpac is registered at Companies House as a branch established in the United Kingdom (Branch No. BR000106). Details about the extent of the regulation of Westpac's London branch by the PRA are available from us on request.

This communication is not being made to or distributed to, and must not be passed on to, the general public in the United Kingdom. Rather, this communication is being made only to and is directed at (a) those persons falling within the definition of Investment Professionals (set out in Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (the "Order")); (b) those persons falling within the definition of high net worth companies, unincorporated associations etc. (set out in Article 49(2)of the Order; (c) other persons to whom it may lawfully be communicated in accordance with the Order or (d) any persons to whom it may otherwise lawfully be made (all such persons together being referred to as "relevant persons"). Any person who is not a relevant person should not act or rely on this communication or any of its contents. In the same way, the information contained in this communication is intended for "eligible counterparties" and "professional clients" as defined by the rules of the Financial Conduct Authority and is not intended for "retail clients". Westpac expressly prohibits you from passing on the information in this communication to any third party.

European Economic Area ("EEA"): This material may be distributed to you by either: (i) Westpac directly, or (ii) Westpac Europe GmbH ("WEG") under a sub-licensing arrangement. WEG has not edited or otherwise modified the content of this material. WEG is authorised in Germany by the Federal Financial Supervision Authority ('BaFin') and subject to its regulation. WEG's supervisory authorities are BaFin and the German Federal Bank ('Deutsche Bundesbank'). WEG is registered with the commercial register ('Handelsregister') of the local court of Frankfurt am Main under registration number HRB 118483. In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WEG other than as provided for in certain legal agreements (a risk transfer, sub-participation and collateral agreement) between Westpac and WEG and obligations of WEG do not represent liabilities of Westpac. Any product or service made available by WEG does not represent an offer from Westpac or any of its subsidiaries (other than WEG). All disclaimers set out with respect to Westpac apply equally to WEG.

This communication is not intended for distribution to, or use by any person or entity in any jurisdiction or country where such distribution or use would be contrary to local law or regulation.

This communication contains general commentary, research, and market colour. The communication does not constitute investment advice. The material may contain an 'investment recommendation' and/or 'information recommending or suggesting an investment', both as defined in Regulation (EU) No 596/2014 (including as applicable in the United Kingdom) ("MAR"). In accordance with the relevant provisions of MAR, reasonable care has been taken to ensure that the material has been objectively presented and that interests or conflicts of interest of the sender concerning the financial instruments to which that information relates have been disclosed.

Investment recommendations must be read alongside the specific disclosure which accompanies them and the general disclosure which can be found here. Such disclosure fulfils certain additional information requirements of MAR and associated delegated legislation and by accepting this communication you acknowledge that you are aware of the existence of such additional disclosure and its contents.

To the extent this communication comprises an investment recommendation it is classified as non-independent research. It has not been prepared in accordance with legal requirements designed to promote the independence of investment research and therefore constitutes a marketing communication. Further, this communication is not subject to any prohibition on dealing ahead of the dissemination of investment research.

Cliff Notes: testing conditions

#cliffnotes #rba #australia #inflation #us #fomc #ecb #aud #usd

By Elliot Clarke, Ryan Wells & Illiana Jain

09:51 July 10 2026

Share

Key insights from the week that was.

Amid a sparse local data calendar, a speech from RBA Assistant Governor (Economic) Sarah Hunter was scrutinised but had little market impact. The speech focused on supply-side shocks, such as the Middle East conflict, and the conundrum it presents for dual-mandated central banks like the RBA.

Assistant Governor Hunter reiterated the RBA's perspective that these shocks are harder to 'look through' if economic capacity is already tight when the shock occurs, firms can readily pass through costs and/or inflation expectations de-anchor. While the latter is more of a risk than a reality at present, the RBA's take on recent data suggests concern over capacity and pass-through is warranted, particularly in the construction sector. This is why the Monetary Policy Board telegraphed in its June policy decision that rate hikes remain on the table despite their decision to pause at that meeting following three successive hikes. The future scale and pace of tightening will depend on how the risks around each of these factors evolves in coming months. The upcoming Q2 CPI will prove critical in understanding the best course.

In New Zealand, the RBNZ delivered a 25bp increase at their July meeting, taking the cash rate (OCR) to 2.50%. A key argument for the hike was concern that financial conditions would have eased further if the OCR was left unchanged. The MPC seems to be comfortable with an end-2026 level for the OCR circa 2.75%-3.00% – broadly in line with the May forecasts. Our New Zealand economics team expects follow-up 25bp hikes in September and December and an unchanged sequence of 25bp increases through 2027. That means the peak OCR of 4.00% will now be reached in September 2027 instead of December.

Across in the US, the minutes of the June FOMC meeting showed participants felt a high degree of uncertainty over the outlook and wanted to consider a broad range of incoming information over successive months before determining if policy needs to be adjusted. Remaining on hold and removing previous forward guidance which favoured additional easing from the statement were consensus opinions.

On the balance of risks, the discussion amongst members points to a majority view that price risks had risen and labour market uncertainties receded since April. However, following June's decision, energy prices jolted lower and nonfarm payrolls growth moderated again. The disconnect between payrolls and household survey employment also continues to grow, the latter in outright decline. Growth in consumer demand is also materially below trend and looks set to remain soft, limiting the ability of firms to pass through cost increases.

Still, price risks remain. Midweek, President Trump stated he believed the ceasefire with Iran was "over" but did not stop negotiators from continuing to engage. This followed strikes on around 80 Iranian military targets by the US in response to 3 ships being hit by projectiles in the Strait. Another 90 sites were hit in a second day of strikes, and Iran retaliated against US military assets in the region on both occasions.

President Trump has made clear he intends to order additional strikes in scale every time Iran threatens shipping on the Omani side of the Strait, which Iran has done to force shipping through the lanes it controls. A renewed blockade of Iranian cargo was also threatened by President Trump, with a view to increasing domestic pressure and restricting Iran's ability to sell oil into global markets. However, President Trump also felt this escalation would prove short lived. Brent oil rose close to USD81 initially but has since eased back to around USD76. This compares to a low of USD71 early in the week.

Data received in the US and elsewhere in the northern hemisphere this week was secondary in significance and broadly in line with recent trends. Most notable was the ISM services index which reported a deterioration in new orders but also a pairing of input price pressures and improvement in employment, albeit for the latter only to near the 20-year average after three successive contractionary readings.

China's headline and core inflation rates meanwhile stabilised around 1.0%yr in June as producer price inflation edged up to 4.1%yr. Weak domestic demand continues to limit Chinese firms' ability to pass through higher production costs, which have primarily been driven by energy prices. Excess capacity and cautious consumers are likely to restrict consumer inflation in the absence of targeted (and effective) fiscal support.

Related articles

#cliffnotes

Cliff Notes: markets on edge

July 24 2026 • 5 mins

By Elliot Clarke, Ryan Wells & Illiana Jain

#cliffnotes

Cliff Notes: frayed nerves

July 17 2026 • 5 mins

By Elliot Clarke, Ryan Wells & Illiana Jain

#cliffnotes

Cliff Notes: on the minds of policy makers

July 03 2026 • 5 mins

By Elliot Clarke, Ryan Wells & Illiana Jain

Browse topics

#aud #australia #interestrates #nzd #usd #newzealand #rates #yieldcurve #credit #acgb #inflation #rba #semigovernment #basis #commodities #ustreasury #fx #rbnz #jpy #abs

Show more tags

Disclaimer

Things you should know

We respect your privacy: You can view the New Zealand Privacy Policy here, or the Australian Group Privacy Statement here. Each time someone visits our site, data is captured so that we can accurately evaluate the quality of our content and make improvements for you. We may at times use technology to capture data about you to help us to better understand you and your needs, including potentially for the purposes of assessing your individual reading habits and interests to allow us to provide suggestions regarding other reading material which may be suitable for you.

Disclaimer

This information has been prepared by Westpac and is intended for information purposes only. It is not intended to reflect any recommendation or financial advice and investment decisions should not be based on it. This information does not constitute an offer, a solicitation of an offer, or an inducement to subscribe for, purchase or sell any financial instrument or to enter into a legally binding contract. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice. Certain types of transactions, including those involving futures, options and high yield securities give rise to substantial risk and are not suitable for all investors. We recommend that you seek your own independent legal or financial advice before proceeding with any investment decision.

This information may contain material provided by third parties. While such material is published with the necessary permission none of Westpac or its related entities accepts any responsibility for the accuracy or completeness of any such material. Although we have made every effort to ensure this information is free from error, none of Westpac or its related entities warrants the accuracy, adequacy or completeness of this information, or otherwise endorses it in any way. Except where contrary to law, Westpac Group intend by this notice to exclude liability for this information. This information is subject to change without notice and none of Westpac or its related entities is under any obligation to update this information or correct any inaccuracy which may become apparent at a later date. This information may contain or incorporate by reference forward-looking statements. The words “believe”, “anticipate”, “expect”, “intend”, “plan”, “predict”, “continue”, “assume”, “positioned”, “may”, “will”, “should”, “shall”, “risk” and other similar expressions that are predictions of or indicate future events and future trends identify forward-looking statements. These forward-

looking statements include all matters that are not historical facts. Past performance is not a reliable indicator of future performance, nor are forecasts of future performance. Whilst every effort has been taken to ensure that the assumptions on which any forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The ultimate outcomes may differ substantially from any forecasts.

Conflicts of Interest: In the normal course of offering banking products and services to its clients, the Westpac Group may act in several capacities (including issuer, market maker, underwriter, distributor, swap counterparty and calculation agent) simultaneously with respect to a financial instrument, giving rise to potential conflicts of interest which may impact the performance of a financial instrument. The Westpac Group may at any time transact or hold a position (including hedging and trading positions) for its own account or the account of a client in any financial instrument which may impact the performance of that financial instrument.

Author(s) disclaimer and declaration: The author(s) confirms that (a) no part of his/her compensation was, is, or will be, directly or indirectly, related to any views or (if applicable) recommendations expressed in this material; (b) this material accurately reflects his/her personal views about the financial products, companies or issuers (if applicable) and is based on sources reasonably believed to be reliable and accurate; (c) to the best of the author's knowledge, they are not in receipt of inside information and this material does not contain inside information; and (d) no other part of the Westpac Group has made any attempt to influence this material.

Further important information regarding sustainability-related content: This material may contain statements relating to environmental, social and governance (ESG) topics. These are subject to known and unknown risks, and there are significant uncertainties, limitations, risks and assumptions in the metrics, modelling, data, scenarios, reporting and analysis on which the statements rely. In particular, these areas are rapidly evolving and maturing, and there are variations in approaches and common standards and practice, as well as uncertainty around future related policy and legislation. Some material may include information derived from publicly available sources that have not been independently verified. No representation or warranty is made as to the accuracy, completeness or reliability of the information. There is a risk that the analysis, estimates, judgements, assumptions, views, models, scenarios or projections used may turn out to be incorrect. These risks may cause actual outcomes to differ materially from those expressed or implied. The ESG-related statements in this material do not constitute advice, nor are they guarantees or predictions of future performance, and Westpac gives no representation, warranty or assurance (including as to the quality, accuracy or completeness of the statements). You should seek your own independent advice.

Additional country disclosures:

Australia: Westpac holds an Australian Financial Services Licence (No. 233714). You can access Westpac's Financial Services Guide here or request a copy from your Westpac point of contact. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the

appropriateness of the advice.

New Zealand: In New Zealand, Westpac Institutional Bank refers to the brand under which products and services are provided by either Westpac (NZ division) or Westpac New Zealand Limited (company number 1763882), the New Zealand incorporated subsidiary of Westpac ("WNZL"). Any product or service made available by WNZL does not represent an offer from Westpac or any of its subsidiaries (other than WNZL). Neither Westpac nor its other subsidiaries guarantee or otherwise support the performance of WNZL in respect of any such product. WNZL is not an authorised deposit-taking institution for the purposes of Australian prudential standards. The current disclosure statements for the New Zealand branch of Westpac and WNZL can be obtained at the internet address www.westpac.co.nz.

Singapore: This material has been prepared and issued for distribution in Singapore to institutional investors, accredited investors and expert investors (as defined in the applicable Singapore laws and regulations) only. Recipients of this material in Singapore should contact Westpac Singapore Branch in respect of any matters arising from, or in connection with, this material. Westpac Singapore Branch holds a wholesale banking licence and is subject to supervision by the Monetary Authority of Singapore.

Fiji: Unless otherwise specified, the products and services for Westpac Fiji are available from www.westpac.com.fj © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia and registered as a branch in Fiji. The liability of its members is limited.

Papua New Guinea: Unless otherwise specified, the products and services for Westpac PNG are available from www.westpac.com.pg © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia. Westpac is represented in Papua New Guinea by Westpac Bank - PNG - Limited. The liability of its members is limited.

U.S.: Westpac operates in the United States of America as a federally licensed branch, regulated by the Office of the Comptroller of the Currency. Westpac is also registered with the US Commodity Futures Trading Commission ("CFTC") as a Swap Dealer, but is neither registered as, or affiliated with, a Futures Commission Merchant registered with the US CFTC. The services and products referenced above are not insured by the Federal Deposit Insurance Corporation ("FDIC"). Westpac Capital Markets, LLC ('WCM'), a wholly-owned subsidiary of Westpac, is a broker-dealer registered under the U.S. Securities Exchange Act of 1934 ('the Exchange Act') and member of the Financial Industry Regulatory Authority ('FINRA'). In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WCM other than as provided for in certain legal agreements between Westpac and WCM and obligations of WCM do not represent

liabilities of Westpac.

This communication is provided for distribution to U.S. institutional investors in reliance on the exemption from registration provided by Rule 15a-6 under the Exchange Act and is not subject to all of the independence and disclosure standards applicable to debt research reports prepared for retail investors in the United States. WCM is the U.S. distributor of this communication and accepts responsibility for the contents of this communication. Transactions by U.S. customers of any securities referenced herein should be effected through WCM. All disclaimers set out with respect to Westpac apply equally to WCM. If you would like to speak to someone regarding any security mentioned herein, please contact WCM on +1 212 389 1269. Investing in any non-U.S. securities or related financial instruments mentioned in this communication may present certain risks. The securities of non-U.S. issuers may not be registered with, or be subject to the regulations of, the SEC in the United States. Information on such non-U.S. securities or related financial instruments may be limited. Non-U.S. companies may not be subject to audit and reporting standards and regulatory requirements comparable to those in effect in the United States. The value of any investment or income from any securities or related derivative instruments denominated in a currency other than U.S. dollars is subject to exchange rate fluctuations that may have a positive or adverse effect on the value of or income from such securities or related derivative instruments.

The author of this communication is employed by Westpac and is not registered or qualified as a research analyst, representative, or associated person of WCM or any other U.S. broker-dealer under the rules of FINRA, any other U.S. self-regulatory organisation, or the laws, rules or regulations of any State. Unless otherwise specifically stated, the views expressed herein are solely those of the author and may differ from the information, views or analysis expressed by Westpac and/or its affiliates.

UK: The London branch of Westpac is authorised in the United Kingdom by the Prudential Regulation Authority (PRA) and is subject to regulation by the Financial Conduct Authority (FCA) and limited regulation by the PRA (Financial Services Register number: 124586). The London branch of Westpac is registered at Companies House as a branch established in the United Kingdom (Branch No. BR000106). Details about the extent of the regulation of Westpac's London branch by the PRA are available from us on request.

This communication is not being made to or distributed to, and must not be passed on to, the general public in the United Kingdom. Rather, this communication is being made only to and is directed at (a) those persons falling within the definition of Investment Professionals (set out in Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (the "Order")); (b) those persons falling within the definition of high net worth companies, unincorporated associations etc. (set out in Article 49(2)of the Order; (c) other persons to whom it may lawfully be communicated in accordance with the Order or (d) any persons to whom it may otherwise lawfully be made (all such persons together being referred to as "relevant persons"). Any person who is not a relevant person should not act or rely on this communication or any of its contents. In the same way, the information contained in this communication is intended for "eligible counterparties" and

“professional clients” as defined by the rules of the Financial Conduct Authority and is not intended for “retail clients”. Westpac expressly prohibits you from passing on the information in this communication to any third party.

European Economic Area (“EEA”): This material may be distributed to you by either: (i) Westpac directly, or (ii) Westpac Europe GmbH (“WEG”) under a sub-licensing arrangement. WEG has not edited or otherwise modified the content of this material. WEG is authorised in Germany by the Federal Financial Supervision Authority (‘BaFin’) and subject to its regulation. WEG’s supervisory authorities are BaFin and the German Federal Bank (‘Deutsche Bundesbank’). WEG is registered with the commercial register (‘Handelsregister’) of the local court of Frankfurt am Main under registration number HRB 118483. In accordance with APRA’s Prudential Standard 222 ‘Association with Related Entities’, Westpac does not stand behind WEG other than as provided for in certain legal agreements (a risk transfer, sub-participation and collateral agreement) between Westpac and WEG and obligations of WEG do not represent liabilities of Westpac. Any product or service made available by WEG does not represent an offer from Westpac or any of its subsidiaries (other than WEG). All disclaimers set out with respect to Westpac apply equally to WEG.

This communication is not intended for distribution to, or use by any person or entity in any jurisdiction or country where such distribution or use would be contrary to local law or regulation.

This communication contains general commentary, research, and market colour. The communication does not constitute investment advice. The material may contain an ‘investment recommendation’ and/or ‘information recommending or suggesting an investment’, both as defined in Regulation (EU) No 596/2014 (including as applicable in the United Kingdom) (“MAR”). In accordance with the relevant provisions of MAR, reasonable care has been taken to ensure that the material has been objectively presented and that interests or conflicts of interest of the sender concerning the financial instruments to which that information relates have been disclosed.

Investment recommendations must be read alongside the specific disclosure which accompanies them and the general disclosure which can be found here. Such disclosure fulfils certain additional information requirements of MAR and associated delegated legislation and by accepting this communication you acknowledge that you are aware of the existence of such additional disclosure and its contents.

To the extent this communication comprises an investment recommendation it is classified as non-independent research. It has not been prepared in accordance with legal requirements designed to promote the independence of investment research and therefore constitutes a marketing communication. Further, this communication is not subject to any prohibition on dealing ahead of the dissemination of investment research.

27 July 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Market sentiment was supported by reports that Pakistan and Iran were exploring new peace talks with the US and that oil exports from the Middle East continued to flow. Over the weekend, the US paused strikes against Iran as tensions in the region continued to escalate.

On Friday, major US equity markets were mixed, while oil prices fell sharply and bond markets rallied following a 4% decline in Brent crude prices. The US dollar was broadly unchanged, while the Aussie was slightly higher against the greenback.

Markets are now pricing in a 38% chance of a US Federal Reserve rate hike this week, up from 13% a week ago.

In Australia, OIS pricing points to a terminal cash rate of around 4.65% this year, with one additional rate hike expected by December. However, this is likely to shift this week depending on the Q2 inflation outcome, which will be released later in the week.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	65.4	-0.5%
AUD/USD	0.6979	0.1%
AUD/JPY	114.35	0.2%
AUD/GBP	0.5241	0.1%
AUD/NZD	1.2073	0.0%
AUD/EUR	0.6140	0.2%
AUD/CNH	4.7274	0.1%
AUD/SGD	0.9013	0.1%
AUD/HKD	5.4764	0.2%
AUD/CAD	0.9807	-0.1%
EUR/USD	1.1370	-0.1%
USD/JPY	163.83	0.0%
USD Index	101.47	0.0%

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.40	0.02
90 day BBSY	4.59	0.04
180 day BBSY	4.93	0.07
1 year swap	4.68	-0.01
2 year swap	4.68	-0.01
3 year swap	4.66	0.01
4 year swap	4.66	-0.01
5 year swap	4.68	-0.01
6 year swap	4.72	-0.01
7 year swap	4.77	0.00
8 year swap	4.82	-0.01
9 year swap	4.86	-0.01
10 year swap	4.90	-0.01

Equities	Close	Change
S&P/ASX 200	8,772	-0.8%
S&P 500	7,412	0.0%
Japan Nikkei	64,611	-2.7%
Hang Seng	24,963	-1.0%
Euro Stoxx 50	6,281	1.1%
UK FTSE100	10,736	0.9%
VIX Index	18.58	-0.6%

Commodities	Current	Change
CRB Index	395.67	-1.1%
Gold	4052.79	0.1%
Copper	13645	0.4%
Oil (WTI futures)	89.31	-3.1%
Coal (coking)	221.00	-0.9%
Coal (thermal)	137.75	1.1%
Iron Ore	97.90	-0.3%
ACCU	36.13	-4.3%

Government Bond Yields	Close	Change
Australia		
3 year bond	4.72	0.11
10 year bond	5.09	0.10
United States		
3-month T Bill	3.81	0.00
2 year bond	4.33	-0.02
10 year bond	4.68	-0.02
Other (10 year yields)		
Germany	3.17	-0.03
Japan	2.82	0.03
UK	5.03	-0.07

Sydney Futures Exchange	Current	Change
10 yr bond	5.08	-0.04
3 yr bond	4.68	-0.04
3 mth bill rate	4.47	0.00
SPI 200	8,766	0.6%

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

Pat Bustamante
Senior Economist, Westpac Group
P: +61 468 571 786
E: pat.bustamante@westpac.com.au

Financial Markets

- Markets settled on Friday as investors responded to reports that Pakistan and Iran were exploring options to enter new peace talks with the US, alongside reports that oil was still able to flow out of the Middle East. Brent crude prices retreated from US$100 a barrel, falling 4%, its biggest one-day drop since late June.
- Over the weekend, reports suggested the US paused strikes against Iran for a second consecutive night as tensions continued to escalate in the Red Sea following clashes involving Yemen's Houthi militants and Saudi Arabia. The Houthis claimed responsibility for missile and drone attacks on Saudi Aramco-linked facilities in Jizan and Yanbu, prompting retaliatory strikes by a Saudi-led coalition.
- US equity markets were mixed. The S&P 500 finished broadly unchanged, while the Dow Jones Industrial Average rose 0.4% and the tech-heavy Nasdaq fell 0.6%. Market volatility eased, with the VIX Index falling 0.6% to 18.6. Over the week, however, key US equity indices were lower, with the S&P 500 and Dow Jones Industrial Average falling 0.6% and 0.4%, respectively, while the Nasdaq underperformed, falling 2.1%.
- European equities outperformed, supported by lower oil prices and stronger-than-expected PMI results. The Euro Stoxx 50 rose 1.1%, Germany's DAX gained 1.4% and the FTSE 100 increased 0.9%. In Asia, equities were weaker, with the Nikkei falling 2.7% and the Hang Seng declining 1.0%. Locally, the S&P/ASX 200 fell 0.8% to 8,772. SPI futures were up 0.6%, pointing to a firmer open for the Aussie market.
- Bond markets rallied modestly on the back of the falls in oil prices. In the US, the 2-year Treasury yield fell 2bps to 4.33%, while the 10-year Treasury yield declined 2bps to 4.68%. Traders are now pricing in roughly a 38% chance of a rate hike at this week's Federal Reserve meeting, up from just 13% a week ago. European yields also moved lower, with German 10-year Bund yields falling 3bps to 3.17% and UK 10-year gilt yields down 7bps to 5.03%. Japanese 10-year government bond yields rose 3bps to 2.82%.
- Australian bond yields moved higher in cash markets but lower in futures trading. The 3-year government bond yield rose 11bps to 4.72%, while the 10-year yield increased 10bps to 5.09%. However, Sydney Futures Exchange pricing showed the 3-year and 10-year futures yields both down 4bps, suggesting a stronger open for the local bond market. OIS pricing suggests a terminal cash rate of around 4.65% this year, with the market pricing in one more hike by December this year.

Today's key data and events

Time	Event	Exp	Prev
11:30	CN Industrial Profits Jun	-	21.1%
18:00	EZ M3 Money Supply Jun	-	3.2%
22:30	US Durable Goods Orders Jun Prel.	1.4%	-4.5%
0:30	US Dallas Fed Manufacturing Jul	-	0pts

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

- In foreign exchange markets, the US dollar index was broadly unchanged, while the Aussie was broadly firmer. The AUD/USD rose 0.1% to 0.6979, while the Australian dollar also gained against the Japanese yen (+0.2%), pound sterling (+0.1%), euro (+0.2%), Chinese yuan (+0.1%), Singapore dollar (+0.1%) and Hong Kong dollar (+0.2%). The trade-weighted index (TWI) eased 0.5% to 65.4, while the Australian dollar was unchanged against the New Zealand dollar and slipped 0.1% against the Canadian dollar.
- Commodity markets were generally weaker. The commodity index fell 1.1%, reflecting declines across energy and carbon markets. WTI crude oil dropped 3.1% to US$89.31/bbl following reports that Pakistan and Iran were exploring options to enter new peace talks with the US. Iron ore fell 0.3% to US$97.90/t, while coking coal declined 0.9%. Thermal coal was a notable exception, rising 1.1%. Copper increased 0.4%, supported by ongoing supply concerns, while gold edged 0.1% higher.

International Data

US new homes sales gained 1.6% in June after May's decline was revised from -7.3% to -4.3%. The current level of sales is almost 40% below the late-2020 peak.

The **US S&P manufacturing PMI** was little changed at 53.8 in July while the services measures improved from 51.2 to 53.6. A similar result was seen for the **Euro Area**, the manufacturing PMI reported at 52.0 and the services index 51.6, and the **UK**, manufacturing and services PMIs, respectively 52.8 and 51.8.

UK GfK consumer confidence improved from -23 to -17 in July, modestly below the survey's full-history average.

UK retail sales surprised materially to the upside in June, registering a 1.0% gain after a 1.2% increase in May. Activity was broad based, sales rising 1.1% in June excluding fuel. Over the year, sales are up 4.2% overall and 5.4% excluding fuel.

Local Data

The **Westpac-Now** continues to point to GDP growth of around 0.2%qtr in Q2, broadly in line with the sluggish 0.3%qtr outcome in Q1 2026. However, the Westpac Monthly Activity Index is showing tentative signs of stabilising (see here).

Corporate Directory

Westpac Economics / Australia

Sydney
Level 19, 275 Kent Street
Sydney NSW 2000
Australia

E: economics@westpac.com.au

Luci Ellis
Chief Economist Westpac Group
E: luci.ellis@westpac.com.au

Matthew Hassan
Head of Australian Macro–Forecasting
E: mhassan@westpac.com.au

Elliot Clarke
Head of International Economics
E: eclarke@westpac.com.au

Sian Fenner
Head of Business and Industry Economics
E: sian.fenner@westpac.com.au

Justin Smirk
Senior Economist
E: jsmirk@westpac.com.au

Pat Bustamante
Senior Economist
E: pat.bustamante@westpac.com.au

Mantas Vanagas
Senior Economist
E: mantas.vanagas@westpac.com.au

Ryan Wells
Economist
E: ryan.wells@westpac.com.au

Illiana Jain
Economist
E: illiana.jain@westpac.com.au

Neha Sharma
Economist
E: neha.sharma1@westpac.com.au

Luka Belobrajdic
Economist
E: luka.belobrajdic@westpac.com.au

Westpac Economics / New Zealand

Auckland
Takutai on the Square
Level 8, 16 Takutai Square
Auckland, New Zealand

E: economics@westpac.co.nz

Kelly Eckhold
Chief Economist NZ
E: kelly.eckhold@westpac.co.nz

Michael Gordon
Senior Economist
E: michael.gordon@westpac.co.nz

Darren Gibbs
Senior Economist
E: darren.gibbs@westpac.co.nz

Satish Ranchhod
Senior Economist
E: satish.ranchhod@westpac.co.nz

Paul Clark
Industry Economist
E: paul.clarke@westpac.co.nz

Westpac Economics / Fiji

Suva
1 Thomson Street
Suva, Fiji

Shamal Chand
Senior Economist
E: shamal.chand@westpac.com.au

Things you should know

We respect your privacy: You can view the New Zealand Privacy Policy here, or the Australian Group Privacy Statement here. Each time someone visits our site, data is captured so that we can accurately evaluate the quality of our content and make improvements for you. We may at times use technology to capture data about you to help us to better understand you and your needs, including potentially for the purposes of assessing your individual reading habits and interests to allow us to provide suggestions regarding other reading material which may be suitable for you.

Disclaimer

This information has been prepared by Westpac and is intended for information purposes only. It is not intended to reflect any recommendation or financial advice and investment decisions should not be based on it. This information does not constitute an offer, a solicitation of an offer, or an inducement to subscribe for, purchase or sell any financial instrument or to enter into a legally binding contract. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice. Certain types of transactions, including those involving futures, options and high yield securities give rise to substantial risk and are not suitable for all investors. We recommend that you seek your own independent legal or financial advice before proceeding with any investment decision.

This information may contain material provided by third parties. While such material is published with the necessary permission none of Westpac or its related entities accepts any responsibility for the accuracy or completeness of any such material. Although we have made every effort to ensure this information is free from error, none of Westpac or its related entities warrants the accuracy, adequacy or completeness of this information, or otherwise endorses it in any way. Except where contrary to law, Westpac Group intend by this notice to exclude liability for this information. This information is subject to change without notice and none of Westpac or its related entities is under any obligation to update this information or correct any inaccuracy which may become apparent at a later date. This information may contain or incorporate by reference forward looking statements. The words “believe”, “anticipate”, “expect”, “intend”, “plan”, “predict”, “continue”, “assume”, “positioned”, “may”, “will”, “should”, “shall”, “risk” and other similar expressions that are predictions of or indicate future events and future trends identify forward-looking statements. These forward-looking statements include all matters that are not historical facts. Past performance is not a reliable indicator of future performance, nor are forecasts of future performance. Whilst every effort has been taken to ensure that the assumptions on which any forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The ultimate outcomes may differ substantially from any forecasts.

Conflicts of Interest: In the normal course of offering banking products and services to its clients, the Westpac Group may act in several capacities (including issuer, market maker, underwriter, distributor, swap counterparty and calculation agent) simultaneously with respect to a financial instrument, giving rise to potential conflicts of interest which may impact the performance of a financial instrument. The Westpac Group may at any time transact or hold a position (including hedging and trading positions) for its own account or the account of a client in any financial instrument which may impact the performance of that financial instrument.

Author(s) disclaimer and declaration: The author(s) confirms that (a) no part of his/her compensation was, is, or will be, directly or indirectly, related to any views or (if applicable) recommendations expressed in this material; (b) this material accurately reflects his/her personal views about the financial products, companies or issuers (if applicable) and is based on sources reasonably believed to be reliable and accurate; (c) to the best of the author’s knowledge, they are not in receipt of inside information and this material does not contain inside information; and (d) no other part of the Westpac Group has made any attempt to influence this material.

Further important information regarding sustainability related content: This material may contain statements relating to environmental, social and governance (ESG) topics. These are subject to known and unknown risks, and there are significant uncertainties, limitations, risks and assumptions in the metrics, modelling, data, scenarios, reporting and analysis on which the statements rely. In particular, these areas are rapidly evolving and maturing, and there are variations in approaches and common standards and practice, as well as uncertainty around future related policy and legislation. Some material may include information derived from publicly available sources that have not been independently verified. No representation or warranty is made as to the accuracy, completeness or reliability of the information. There is a risk that the analysis, estimates, judgements, assumptions, views, models, scenarios or projections used may turn out to be incorrect. These risks may cause actual outcomes to differ materially from those expressed or implied. The ESG-related statements in this material do not constitute advice, nor are they guarantees or predictions of future performance, and Westpac gives no representation, warranty or assurance (including as to the quality, accuracy or completeness of the statements). You should seek your own independent advice.

Additional country disclosures:

Australia: Westpac holds an Australian Financial Services Licence (No. 233714). You can access Westpac’s Financial Services Guide here or request a copy from your Westpac point of contact. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice.

New Zealand: In New Zealand, Westpac Institutional Bank refers to the brand under which products and services are provided by either Westpac (NZ division) or Westpac New Zealand Limited (company number 1763882), the New Zealand incorporated subsidiary of Westpac (“WNZL”). Any product or service made available by WNZL does not represent an offer from Westpac or any of its subsidiaries (other than WNZL). Neither Westpac nor its other subsidiaries guarantee or otherwise support the performance of WNZL in respect of any such product. WNZL is not an authorised deposit-taking institution for the purposes of Australian prudential standards. The current disclosure statements for the New Zealand branch of Westpac and WNZL can be obtained at www.westpac.co.nz.

Singapore: This material has been prepared and issued for distribution in Singapore to institutional investors, accredited investors and expert investors (as defined in the applicable Singapore laws and regulations) only. Recipients of this material in Singapore should contact Westpac Singapore Branch in respect of any matters arising from, or in connection with, this material. Westpac Singapore Branch holds a wholesale banking licence and is subject to supervision by the Monetary Authority of Singapore.

Disclaimer continues overleaf ▶

Fiji: Unless otherwise specified, the products and services for Westpac Fiji are available from www.westpac.com.fj © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia and registered as a branch in Fiji. The liability of its members is limited.

Papua New Guinea: Unless otherwise specified, the products and services for Westpac PNG are available from www.westpac.com.pg © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia. Westpac is represented in Papua New Guinea by Westpac Bank - PNG - Limited. The liability of its members is limited.

U.S: Westpac operates in the United States of America as a federally licensed branch, regulated by the Office of the Comptroller of the Currency. Westpac is also registered with the US Commodity Futures Trading Commission ("CFTC") as a Swap Dealer, but is neither registered as, or affiliated with, a Futures Commission Merchant registered with the US CFTC. The services and products referenced above are not insured by the Federal Deposit Insurance Corporation ("FDIC"). Westpac Capital Markets, LLC ('WCM'), a wholly-owned subsidiary of Westpac, is a broker-dealer registered under the U.S. Securities Exchange Act of 1934 ('the Exchange Act') and member of the Financial Industry Regulatory Authority ('FINRA'). In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WCM other than as provided for in certain legal agreements between Westpac and WCM and obligations of WCM do not represent liabilities of Westpac.

This communication is provided for distribution to U.S. institutional investors in reliance on the exemption from registration provided by Rule 15a-6 under the Exchange Act and is not subject to all of the independence and disclosure standards applicable to debt research reports prepared for retail investors in the United States. WCM is the U.S. distributor of this communication and accepts responsibility for the contents of this communication. Transactions by U.S. customers of any securities referenced herein should be effected through WCM. All disclaimers set out with respect to Westpac apply equally to WCM. If you would like to speak to someone regarding any security mentioned herein, please contact WCM on +1 212 389 1269. Investing in any non-U.S. securities or related financial instruments mentioned in this communication may present certain risks. The securities of non-U.S. issuers may not be registered with, or be subject to the regulations of, the SEC in the United States. Information on such non-U.S. securities or related financial instruments may be limited. Non-U.S. companies may not be subject to audit and reporting standards and regulatory requirements comparable to those in effect in the United States. The value of any investment or income from any securities or related derivative instruments denominated in a currency other than U.S. dollars is subject to exchange rate fluctuations that may have a positive or adverse effect on the value of or income from such securities or related derivative instruments.

The author of this communication is employed by Westpac and is not registered or qualified as a research analyst, representative, or associated person of WCM or any other U.S. broker-dealer under the rules of FINRA, any other U.S. self-regulatory organisation, or the laws, rules or regulations of any State. Unless otherwise specifically stated, the views expressed herein are solely those of the author and may differ from the information, views or analysis expressed by Westpac and/or its affiliates.

UK: The London branch of Westpac is authorised in the United Kingdom by the Prudential Regulation Authority (PRA) and is subject to regulation by the Financial Conduct Authority (FCA) and limited regulation by the PRA (Financial Services Register number: 124586). The London branch of Westpac is registered at Companies House as a branch established in the United Kingdom (Branch No. BR000106). Details about the extent of the regulation of Westpac's London branch by the PRA are available from us on request.

This communication is not being made to or distributed to, and must not be passed on to, the general public in the United Kingdom. Rather, this communication is being made only to and is directed at (a) those persons falling within the definition of Investment Professionals (set out in Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (the "Order")); (b) those persons falling within the definition of high net worth companies, unincorporated associations etc. (set out in Article 49(2)of the Order; (c) other persons to whom it may lawfully be communicated in accordance with the Order or (d) any persons to whom it may otherwise lawfully be made (all such persons together being referred to as "relevant persons"). Any person who is not a relevant person should not act or rely on this communication or any of its contents. In the same way, the information contained in this communication is intended for "eligible counterparties" and "professional clients" as defined by the rules of the Financial Conduct Authority and is not intended for "retail clients". Westpac expressly prohibits you from passing on the information in this communication to any third party.

European Economic Area ("EEA"): This material may be distributed to you by either: (i) Westpac directly, or (ii) Westpac Europe GmbH ("WEG") under a sub-licensing arrangement. WEG has not edited or otherwise modified the content of this material. WEG is authorised in Germany by the Federal Financial Supervision Authority ('BaFin') and subject to its regulation. WEG's supervisory authorities are BaFin and the German Federal Bank ('Deutsche Bundesbank'). WEG is registered with the commercial register ('Handelsregister') of the local court of Frankfurt am Main under registration number HRB 118483. In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WEG other than as provided for in certain legal agreements (a risk transfer, sub-participation and collateral agreement) between Westpac and WEG and obligations of WEG do not represent liabilities of Westpac. Any product or service made available by WEG does not represent an offer from Westpac or any of its subsidiaries (other than WEG). All disclaimers set out with respect to Westpac apply equally to WEG.

This communication is not intended for distribution to, or use by any person or entity in any jurisdiction or country where such distribution or use would be contrary to local law or regulation.

This communication contains general commentary, research, and market colour. The communication does not constitute investment advice. The material may contain an 'investment recommendation' and/or 'information recommending or suggesting an investment', both as defined in Regulation (EU) No 596/2014 (including as applicable in the United Kingdom) ("MAR"). In accordance with the relevant provisions of MAR, reasonable care has been taken to ensure that the material has been objectively presented and that interests or conflicts of interest of the sender concerning the financial instruments to which that information relates have been disclosed.

Investment recommendations must be read alongside the specific disclosure which accompanies them and the general disclosure which can be found here. Such disclosure fulfils certain additional information requirements of MAR and associated delegated legislation and by accepting this communication you acknowledge that you are aware of the existence of such additional disclosure and its contents.

To the extent this communication comprises an investment recommendation it is classified as non-independent research. It has not been prepared in accordance with legal requirements designed to promote the independence of investment research and therefore constitutes a marketing communication. Further, this communication is not subject to any prohibition on dealing ahead of the dissemination of investment research.

24 July 2026

JUNE CPI PREVIEW

Quarterly trimmed mean in focus

Key points

- We expect June CPI to rise 0.4%mth, lifting the annual pace to 4.2%yr from 4.0%yr in May. On a seasonally adjusted basis, we expect a 0.2%mth increase.
- Monthly trimmed mean inflation is forecast to be 0.4%mth, taking the annual pace to 3.7%yr. However, market attention will be firmly on the quarterly trimmed mean, which we expect to rise 0.9%qtr and lift the annual pace to 3.7%yr.
- Recreation & culture and housing are expected to be the key drivers of the monthly outcome, reflecting higher holiday travel, rents and new dwelling purchase costs. These gains are expected to be partly offset by a sharp decline in automotive fuel prices.
- Risks remain two-sided, with holiday travel and stronger-than-expected EOFY discounting posing downside risks, while housing and domestic market services could again surprise to the upside.

Breakdown: Q2 Quarterly & June Monthly CPI

	Q2	Apr	May	Jun
	Qtr fcs	Mth	Mth	Mth fcs
Item	% qtr	% mth	% mth	% mth
Food	**0.9**	**0.1**	**0.6**	**0.2**
of which, bread & cereals	–0.3	–0.3	0.2	0.0
of which, meat & seafood	0.8	–0.3	1.1	–0.4
of which, dairy & related prod.	1.7	–0.2	2.3	0.1
of which, fruit & vegetables	3.8	0.7	1.1	2.0
of which, food products nec	–0.6	0.2	–0.9	0.2
of which, non–alcohol bev.	1.0	–0.7	1.5	0.5
Alcohol & tobacco	**0.6**	**–0.5**	**0.9**	**–0.1**
of which, alcohol	0.2	–1.0	1.3	–0.3
of which, tobacco	1.7	0.7	–0.1	0.4
Clothing & footwear	**1.2**	**3.9**	**–2.9**	**–0.7**
of which, garments	1.3	4.8	–3.3	–1.6
Housing	**0.9**	**0.2**	**0.5**	**0.5**
of which, rents	0.8	0.2	0.4	0.4
of which, house purchases	1.9	0.7	0.9	0.7
of which, electricity	0.1	–0.9	0.9	0.0
of which, gas & other fuels	–1.6	–0.6	–3.1	3.3
H/hold contents & services	**0.3**	**–0.3**	**0.3**	**–1.0**
Health	**2.2**	**2.6**	**–0.5**	**0.0**
Transportation	**–0.7**	**–2.7**	**–3.9**	**–2.6**
of which, auto fuel	–1.9	–7.0	–11.9	–10.2
Communication	**0.6**	**0.4**	**0.2**	**–0.9**
Recreation	**0.3**	**2.6**	**–3.1**	**4.4**
of which, holiday travel	0.4	5.5	-6.9	8.1
Education	**0.3**	**0.0**	**0.0**	**0.0**
Financial & insurance services	**0.9**	**0.1**	**0.2**	**0.5**
CPI: All groups	**0.7**	**0.4**	**–0.7**	**0.4**
CPI: Trimmed mean	**0.9**	**0.3**	**0.4**	**0.4**

Sources: ABS, Westpac Banking Corporation

A story of persistence

Neha Sharma
Economist

Underlying price pressures will be firm in June ...

The May monthly CPI provided a mixed read on price pressures in the economy. Headline CPI came in below our expectations, falling 0.7%mth, largely on account of weaker-than-expected holiday travel and clothing & footwear prices. Meanwhile, the monthly trimmed mean (TM) was in line with our expectations rising 0.4%mth – the second strongest read in the monthly series' short history. Even within this, there were several surprises, including firmer reads for new dwelling purchase costs, rents and several market services categories such as restaurant meals and repair costs.

The June data will overlap a period of easing tensions in the Middle East. A ceasefire was in place, with a memorandum of understanding signed between the US and Iran helping to calm concerns around further oil price spikes and other supply chain pressures. Consistent with this, survey measures pointed to a moderation in cost pressures, with purchase and output price growth slowing to 2.0%qtr and 0.6%qtr, respectively (see here). Average announced price increases for construction materials also continued to ease, declining from 17% in May to 11% in June, 9% in July and 7% in August. Meanwhile, consumer's year-ahead inflation expectations also nudged lower and have reached around pre-conflict levels, though they remain elevated at 4.7%. Although these are promising signs of moderation, the recent re-escalation in hostilities will keep upside risks to inflation front of mind for the RBA.

... but all focus will be on the quarterly outcome

We expect the June monthly CPI to rise 0.4%mth, taking the annual pace to 4.2%yr from 4.0%yr in May. On a seasonally adjusted basis, we expect a 0.2%mth lift. We estimate monthly TM inflation to rise 0.4%mth, taking the annual pace to 3.7%yr from 3.6%yr in May.

The largest contributors to the monthly print are recreation & culture (+0.6ppts) and housing (+0.1ppt). Partly offsetting these are transport (–0.3ppts) and household furnishings (–0.1ppt).

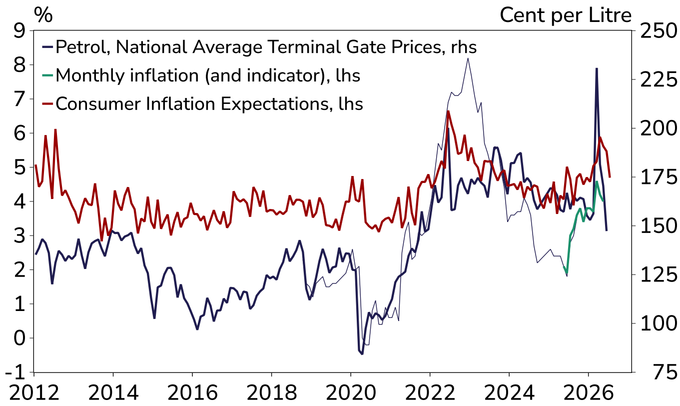
The policy-relevant quarterly TM, which is calculated on a pre-October 2025 basis, will be the focus of next week's release. We expect TM inflation to be 0.9%qtr (0.91%qtr to 2dp) in Q2, lifting the annual pace to 3.7%yr (see page 4 for more information). For the quarterly headline CPI print, we expect a 0.7%qtr lift in Q2, easing the annual pace to 4.0%yr.

Breakdown Monthly CPI Indicator

Item	Mar Mth %yr	Apr Mth %yr	May Mth %yr	Jun Mth fcs %yr
Food	**3.1**	**2.8**	**3.3**	**3.1**
of which, bread & cereals	0.6	0.7	1.5	1.7
of which, meat & seafood	4.8	5.0	5.4	5.2
of which, dairy prod.	2.5	2.3	5.2	5.1
of which, fruit & vegetables	1.8	0.1	2.0	1.7
of which, food products	2.9	2.2	1.6	1.8
of which, non–alcohol bev.	2.2	2.0	1.5	1.6
Alcohol & tobacco	**4.4**	**4.3**	**4.7**	**4.8**
of which, alcohol	1.7	1.6	2.2	2.0
of which, tobacco	11.2	10.7	10.9	11.6
Clothing & footwear	**7.1**	**5.9**	**5.0**	**5.2**
of which, garments	4.3	3.1	2.1	3.1
Housing	**6.5**	**6.3**	**6.5**	**6.9**
of which, rents	3.7	3.5	3.6	3.7
of which, house purchases	4.5	4.7	5.6	6.1
of which, electricity	25.4	22.5	21.1	21.6
of which, gas & other fuels	5.7	5.7	4.9	7.8
H/hold contents & services	**1.4**	**1.2**	**1.7**	**1.8**
Health	**3.0**	**4.0**	**3.8**	**3.8**
Transportation	**8.9**	**6.6**	**3.3**	**0.2**
of which, auto fuel	24.2	18.6	7.7	–6.6
Communication	**1.4**	**1.5**	**2.1**	**2.0**
Recreation	**2.8**	**2.5**	**2.4**	**6.0**
of which, holiday travel	2.2	1.7	1.9	7.5
Education	**4.8**	**4.8**	**4.8**	**4.8**
Financial & insurance	**2.8**	**3.0**	**3.2**	**3.2**
CPI: All groups	**4.6**	**4.2**	**4.0**	**4.2**
CPI: Trimmed mean	**3.7**	**3.4**	**3.6**	**3.7**

Sources: ABS, Westpac Banking Corporation

Consumer inflation expectations



Source: Melbourne Institute of Applied Economic & Social Research, AIP, ABS, Macrobond, Westpac Economics

Key details

Food & non-alcoholic beverages are expected to rise 0.2%mth in June, driven by a 2.0%mth increase in fruit & vegetable prices. Meals out & takeaway is expected to lift a more modest 0.1%mth, following the strong 0.5%mth rise in May, which the ABS attributed to higher ingredient and labour costs. Looking ahead, we continue to expect food inflation to pick up as the effects of El Niño, together with higher fertiliser, diesel and wage costs, increasingly flow through to both grocery and dining-out prices. We expect food inflation to lift from 3.9%yr in June to 4.7%yr by year-end.

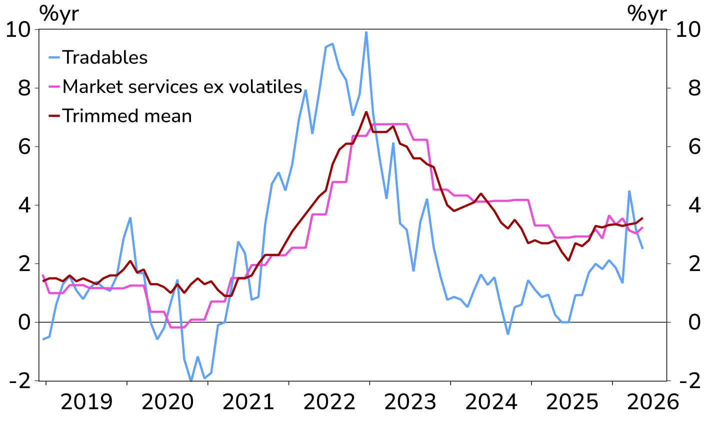
Transport is expected to fall 2.6%mth in June, driven by a 10.2%mth decline in automotive fuel. Retail petrol and diesel prices continued to ease over the month, averaging $1.60/l and $1.85/l, respectively. Petrol prices fell below pre-conflict levels, while diesel prices remained modestly higher. June also marked the final month of the 32c/l fuel excise reduction, before a one-month reduced discount of 16c/l came into effect in July. Urban transport fares are expected to contribute modestly, reflecting Vic's move to half-price public transport in June following a period of free public transport over April–May.

Housing is expected to rise 0.5%mth.

- Rents are expected to rise 0.4%mth in June, matching the increase recorded in May and lifting annual rent inflation to 3.7%yr. We continue to expect upward pressure on rents in the months ahead, with advertised rent growth still running well ahead of CPI rents and vacancy rates remaining historically tight. Our forecasts have rent inflation peaking at 4.0%yr in October. However, affordability constraints and a softening labour market may limit the extent of the acceleration.
- New dwelling purchases are expected to rise 0.7%mth in June, following gains of 0.9%mth and 0.7%mth over the previous two months. This would lift annual inflation to 6.1%yr, the highest rate in almost three years. As noted last month, competition for labour and materials from non-residential construction is likely to add to cost pressures over the year ahead. However, a more pronounced downturn in established housing markets could limit the extent to which developers are able to maintain margins by passing through higher costs to new builds.

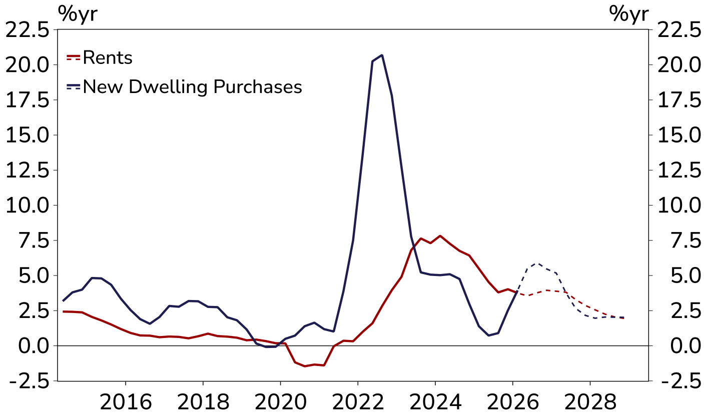
Recreation & culture is expected to rise 4.4%mth in June, driven primarily by an 8.1%mth increase in holiday travel. Holiday travel has been the key source of forecast misses recently, with higher airline operating and jet fuel costs not flowing through to travel prices as strongly as anticipated. Apple also announced price increases for some hardware and subscription services, reflecting higher memory and storage chip costs associated with the AI-driven surge in demand. However, given the late in the month timing of these changes, we expect most of the impact to be reflected in the July CPI.

Inflation: analytical measures



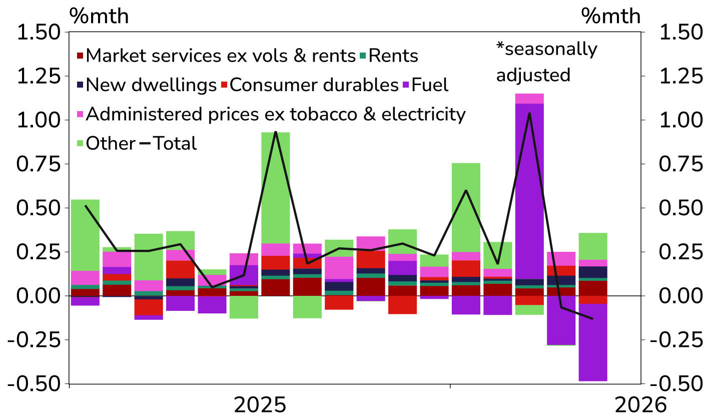
Source: ABS, Macrobond, Westpac Economics

Housing inflation with forecasts



Source: ABS, Macrobond, Westpac Economics

Contribution to monthly CPI inflation



Source: ABS, Macrobond, Westpac Economics

Risks to June baseline

Holiday travel remains the key risk, having been the largest source of forecast misses in recent months. Airline fares have proven less responsive to higher jet fuel costs than historical relationships would suggest, raising the possibility that holiday travel prices could again be weaker-than-expected. International experience has also been mixed, with some countries, including the US and South Korea, recording sharp increases in airfares, while outcomes in others, like New Zealand, have been benign. Deeper-than-expected discounting in clothing, footwear and household furnishings during end-of-financial-year sales also presents a downside risk.

On the upside, housing inflation could again surprise. Capacity constraints in residential construction and strong growth in advertised rents may flow through to CPI housing more quickly than anticipated, as has been the case recently. Domestic market services inflation is another source of upside risk, with the strong pass-through of higher operating costs seen in May potentially recurring in June.

Quarterly profile

We released updated forecasts in our latest *Market Outlook* on 10 July (see here). The revised inflation outlook is softer than what we expected back in June, but still above the RBA's May SMP profile.

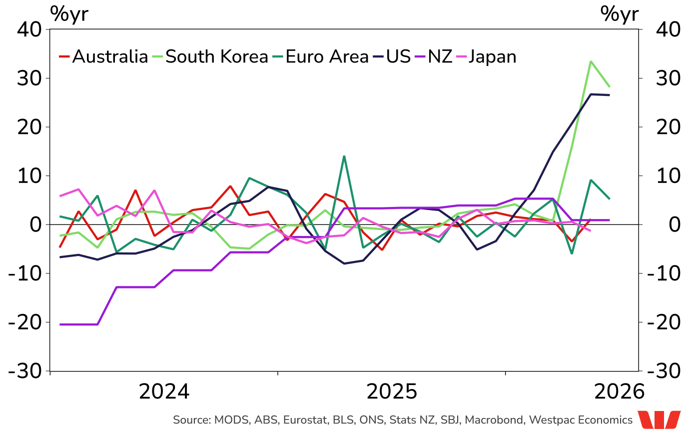
Q2 TM inflation was revised down slightly to 0.9%qtr. The downward revision primarily reflects softer outcomes for at-home food, motor vehicles and garments, partly offset by upward revisions to rents and new dwelling purchase costs.

We also lowered our Q3 and Q4 TM forecasts by 0.1ppt, to 1.0%qtr and 0.8%qtr respectively. As a result, TM inflation is now expected to peak in Q2 before easing to 3.6%yr by end-2026. Food, housing and market services remain the key areas of inflation pressure for the remainder of the year.

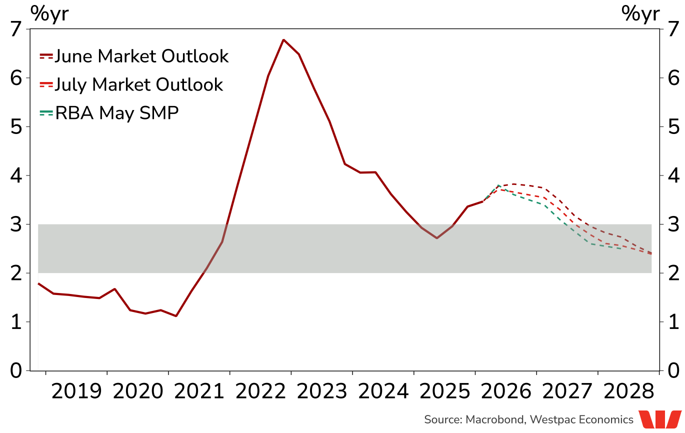
The recent re-escalation in the Middle East does not pose a material risk to our near-term inflation outlook. Periodic flare-ups in the conflict have been incorporated into our baseline forecasts for some time. Volatile moves in oil prices across July have on aggregate broadly tracked our assumptions (see here). However, given we are only a few weeks into Q3 and the conflict appears to be escalating, the balance of risks could shift.

We now expect faster disinflation from mid-2027 onwards as higher interest rates, sluggish economic growth and weaker labour market outcomes begin to impact and bring supply and demand into better balance. This will see TM inflation reach the mid-point of the RBA's target band by Q3 2028, a quarter earlier than previously envisaged, dipping below the mid-point by end-2028.

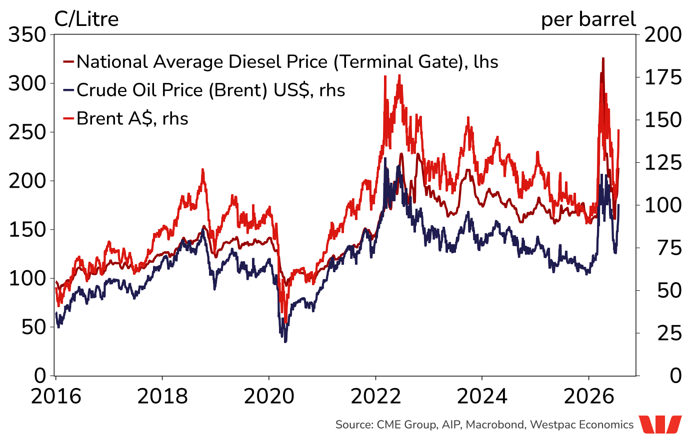
International travel inflation



Trimmed mean forecast revisions



Oil and Diesel Prices



Corporate Directory

Westpac Economics / Australia

Sydney
Level 19, 275 Kent Street
Sydney NSW 2000
Australia

E: economics@westpac.com.au

Luci Ellis
Chief Economist Westpac Group
E: luci.ellis@westpac.com.au

Matthew Hassan
Head of Australian Macro–Forecasting
E: mhassan@westpac.com.au

Elliot Clarke
Head of International Economics
E: eclarke@westpac.com.au

Sian Fenner
Head of Business and Industry Economics
E: sian.fenner@westpac.com.au

Justin Smirk
Senior Economist
E: jsmirk@westpac.com.au

Pat Bustamante
Senior Economist
E: pat.bustamante@westpac.com.au

Mantas Vanagas
Senior Economist
E: mantas.vanagas@westpac.com.au

Ryan Wells
Economist
E: ryan.wells@westpac.com.au

Illiana Jain
Economist
E: illiana.jain@westpac.com.au

Neha Sharma
Economist
E: neha.sharma1@westpac.com.au

Luka Belobrajdic
Economist
E: luka.belobrajdic@westpac.com.au

Westpac Economics / New Zealand

Auckland
Takutai on the Square
Level 8, 16 Takutai Square
Auckland, New Zealand

E: economics@westpac.co.nz

Kelly Eckhold
Chief Economist NZ
E: kelly.eckhold@westpac.co.nz

Michael Gordon
Senior Economist
E: michael.gordon@westpac.co.nz

Darren Gibbs
Senior Economist
E: darren.gibbs@westpac.co.nz

Satish Ranchhod
Senior Economist
E: satish.ranchhod@westpac.co.nz

Paul Clark
Industry Economist
E: paul.clarke@westpac.co.nz

Westpac Economics / Fiji

Suva
1 Thomson Street
Suva, Fiji

Shamal Chand
Senior Economist
E: shamal.chand@westpac.com.au

IQ

westpaciq.com.au

Things you should know

We respect your privacy: You can view the New Zealand Privacy Policy here, or the Australian Group Privacy Statement here. Each time someone visits our site, data is captured so that we can accurately evaluate the quality of our content and make improvements for you. We may at times use technology to capture data about you to help us to better understand you and your needs, including potentially for the purposes of assessing your individual reading habits and interests to allow us to provide suggestions regarding other reading material which may be suitable for you.

This information, unless specifically indicated otherwise, is under copyright of the Westpac Group. None of the material, nor its contents, nor any copy of it, may be altered in any way, transmitted to, copied of distributed to any other party without the prior written permission of the Westpac Group.

Disclaimer

This information has been prepared by Westpac and is intended for information purposes only. It is not intended to reflect any recommendation or financial advice and investment decisions should not be based on it. This information does not constitute an offer, a solicitation of an offer, or an inducement to subscribe for, purchase or sell any financial instrument or to enter into a legally binding contract. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice. Certain types of transactions, including those involving futures, options and high yield securities give rise to substantial risk and are not suitable for all investors. We recommend that you seek your own independent legal or financial advice before proceeding with any investment decision.

This information may contain material provided by third parties. While such material is published with the necessary permission none of Westpac or its related entities accepts any responsibility for the accuracy or completeness of any such material. Although we have made every effort to ensure this information is free from error, none of Westpac or its related entities warrants the accuracy, adequacy or completeness of this information, or otherwise endorses it in any way. Except where contrary to law, Westpac Group intend by this notice to exclude liability for this information. This information is subject to change without notice and none of Westpac or its related entities is under any obligation to update this information or correct any inaccuracy which may become apparent at a later date. This information may contain or incorporate by reference forward looking statements. The words "believe", "anticipate", "expect", "intend", "plan", "predict", "continue", "assume", "positioned", "may", "will", "should", "shall", "risk" and other similar expressions that are predictions of or indicate future events and future trends identify forward-looking statements. These forward-looking statements include all matters that are not historical facts. Past performance is not a reliable indicator of future performance, nor are forecasts of future performance. Whilst every effort has been taken to ensure that the assumptions on which any forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The ultimate outcomes may differ substantially from any forecasts.

Conflicts of Interest: In the normal course of offering banking products and services to its clients, the Westpac Group may act in several capacities (including issuer, market maker, underwriter, distributor, swap counterparty and calculation agent) simultaneously with respect to a financial instrument, giving rise to potential conflicts of interest which may impact the performance of a financial instrument. The Westpac Group may at any time transact or hold a position (including hedging and trading positions) for its own account or the account of a client in any financial instrument which may impact the performance of that financial instrument.

Author(s) disclaimer and declaration: The author(s) confirms that (a) no part of his/her compensation was, is, or will be, directly or indirectly, related to any views or (if applicable) recommendations expressed in this material; (b) this material accurately reflects his/her personal views about the financial products, companies or issuers (if applicable) and is based on sources reasonably believed to be reliable and accurate; (c) to the best of the author's knowledge, they are not in receipt of inside information and this material does not contain inside information; and (d) no other part of the Westpac Group has made any attempt to influence this material.

Further important information regarding sustainability related content: This material may contain statements relating to environmental, social and governance (ESG) topics. These are subject to known and unknown risks, and there are significant uncertainties, limitations, risks and assumptions in the metrics, modelling, data, scenarios, reporting and analysis on which the statements rely. In particular, these areas are rapidly evolving and maturing, and there are variations in approaches and common standards and practice, as well as uncertainty around future related policy and legislation. Some material may include information derived from publicly available sources that have not been independently verified. No representation or warranty is made as to the accuracy, completeness or reliability of the information. There is a risk that the analysis, estimates, judgements, assumptions, views, models, scenarios or projections used may turn out to be incorrect. These risks may cause actual outcomes to differ materially from those expressed or implied. The ESG-related statements in this material do not constitute advice, nor are they guarantees or predictions of future performance, and Westpac gives no representation, warranty or assurance (including as to the quality, accuracy or completeness of the statements). You should seek your own independent advice.

Additional country disclosures:

Australia: Westpac holds an Australian Financial Services Licence (No. 233714). You can access Westpac's Financial Services Guide here or request a copy from your Westpac point of contact. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice.

New Zealand: In New Zealand, Westpac Institutional Bank refers to the brand under which products and services are provided by either Westpac (NZ division) or Westpac New Zealand Limited (company number 1763882), the New Zealand incorporated subsidiary of Westpac ("WNZL"). Any product or service made available by WNZL does not represent an offer from Westpac or any of its subsidiaries (other than WNZL). Neither Westpac nor its other subsidiaries guarantee or otherwise support the performance of WNZL in respect of any such product. WNZL is not an authorised deposit-taking institution for the purposes of Australian prudential standards. The current disclosure statements for the New Zealand branch of Westpac and WNZL can be obtained at www.westpac.co.nz.

Singapore: This material has been prepared and issued for distribution in Singapore to institutional investors, accredited investors and expert investors (as defined in the applicable Singapore laws and regulations) only. Recipients of this material in Singapore should contact Westpac Singapore Branch in respect of any matters arising from, or in connection with, this material. Westpac Singapore Branch holds a wholesale banking licence and is subject to supervision by the Monetary Authority of Singapore.

Disclaimer continues overleaf ▶

Fiji: Unless otherwise specified, the products and services for Westpac Fiji are available from www.westpac.com.fj © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia and registered as a branch in Fiji. The liability of its members is limited.

Papua New Guinea: Unless otherwise specified, the products and services for Westpac PNG are available from www.westpac.com.pg © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia. Westpac is represented in Papua New Guinea by Westpac Bank - PNG - Limited. The liability of its members is limited.

U.S: Westpac operates in the United States of America as a federally licensed branch, regulated by the Office of the Comptroller of the Currency. Westpac is also registered with the US Commodity Futures Trading Commission ("CFTC") as a Swap Dealer, but is neither registered as, or affiliated with, a Futures Commission Merchant registered with the US CFTC. The services and products referenced above are not insured by the Federal Deposit Insurance Corporation ("FDIC"). Westpac Capital Markets, LLC ('WCM'), a wholly-owned subsidiary of Westpac, is a broker-dealer registered under the U.S. Securities Exchange Act of 1934 ('the Exchange Act') and member of the Financial Industry Regulatory Authority ('FINRA'). In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WCM other than as provided for in certain legal agreements between Westpac and WCM and obligations of WCM do not represent liabilities of Westpac.

This communication is provided for distribution to U.S. institutional investors in reliance on the exemption from registration provided by Rule 15a-6 under the Exchange Act and is not subject to all of the independence and disclosure standards applicable to debt research reports prepared for retail investors in the United States. WCM is the U.S. distributor of this communication and accepts responsibility for the contents of this communication. Transactions by U.S. customers of any securities referenced herein should be effected through WCM. All disclaimers set out with respect to Westpac apply equally to WCM. If you would like to speak to someone regarding any security mentioned herein, please contact WCM on +1 212 389 1269. Investing in any non-U.S. securities or related financial instruments mentioned in this communication may present certain risks. The securities of non-U.S. issuers may not be registered with, or be subject to the regulations of, the SEC in the United States. Information on such non-U.S. securities or related financial instruments may be limited. Non-U.S. companies may not be subject to audit and reporting standards and regulatory requirements comparable to those in effect in the United States. The value of any investment or income from any securities or related derivative instruments denominated in a currency other than U.S. dollars is subject to exchange rate fluctuations that may have a positive or adverse effect on the value of or income from such securities or related derivative instruments.

The author of this communication is employed by Westpac and is not registered or qualified as a research analyst, representative, or associated person of WCM or any other U.S. broker-dealer under the rules of FINRA, any other U.S. self-regulatory organisation, or the laws, rules or regulations of any State. Unless otherwise specifically stated, the views expressed herein are solely those of the author and may differ from the information, views or analysis expressed by Westpac and/or its affiliates.

UK: The London branch of Westpac is authorised in the United Kingdom by the Prudential Regulation Authority (PRA) and is subject to regulation by the Financial Conduct Authority (FCA) and limited regulation by the PRA (Financial Services Register number: 124586). The London branch of Westpac is registered at Companies House as a branch established in the United Kingdom (Branch No. BR000106). Details about the extent of the regulation of Westpac's London branch by the PRA are available from us on request.

This communication is not being made to or distributed to, and must not be passed on to, the general public in the United Kingdom. Rather, this communication is being made only to and is directed at (a) those persons falling within the definition of Investment Professionals (set out in Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (the "Order")); (b) those persons falling within the definition of high net worth companies, unincorporated associations etc. (set out in Article 49(2)of the Order; (c) other persons to whom it may lawfully be communicated in accordance with the Order or (d) any persons to whom it may otherwise lawfully be made (all such persons together being referred to as "relevant persons"). Any person who is not a relevant person should not act or rely on this communication or any of its contents. In the same way, the information contained in this communication is intended for "eligible counterparties" and "professional clients" as defined by the rules of the Financial Conduct Authority and is not intended for "retail clients". Westpac expressly prohibits you from passing on the information in this communication to any third party.

European Economic Area ("EEA"): This material may be distributed to you by either: (i) Westpac directly, or (ii) Westpac Europe GmbH ("WEG") under a sub-licensing arrangement. WEG has not edited or otherwise modified the content of this material. WEG is authorised in Germany by the Federal Financial Supervision Authority ('BaFin') and subject to its regulation. WEG's supervisory authorities are BaFin and the German Federal Bank ('Deutsche Bundesbank'). WEG is registered with the commercial register ('Handelsregister') of the local court of Frankfurt am Main under registration number HRB 118483. In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WEG other than as provided for in certain legal agreements (a risk transfer, sub-participation and collateral agreement) between Westpac and WEG and obligations of WEG do not represent liabilities of Westpac. Any product or service made available by WEG does not represent an offer from Westpac or any of its subsidiaries (other than WEG). All disclaimers set out with respect to Westpac apply equally to WEG.

This communication is not intended for distribution to, or use by any person or entity in any jurisdiction or country where such distribution or use would be contrary to local law or regulation.

This communication contains general commentary, research, and market colour. The communication does not constitute investment advice. The material may contain an 'investment recommendation' and/or 'information recommending or suggesting an investment', both as defined in Regulation (EU) No 596/2014 (including as applicable in the United Kingdom) ("MAR"). In accordance with the relevant provisions of MAR, reasonable care has been taken to ensure that the material has been objectively presented and that interests or conflicts of interest of the sender concerning the financial instruments to which that information relates have been disclosed.

Investment recommendations must be read alongside the specific disclosure which accompanies them and the general disclosure which can be found here. Such disclosure fulfils certain additional information requirements of MAR and associated delegated legislation and by accepting this communication you acknowledge that you are aware of the existence of such additional disclosure and its contents.

To the extent this communication comprises an investment recommendation it is classified as non-independent research. It has not been prepared in accordance with legal requirements designed to promote the independence of investment research and therefore constitutes a marketing communication. Further, this communication is not subject to any prohibition on dealing ahead of the dissemination of investment research.

27 July 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Market sentiment was supported by reports that Pakistan and Iran were exploring new peace talks with the US and that oil exports from the Middle East continued to flow. Over the weekend, the US paused strikes against Iran as tensions in the region continued to escalate.

On Friday, major US equity markets were mixed, while oil prices fell sharply and bond markets rallied following a 4% decline in Brent crude prices. The US dollar was broadly unchanged, while the Aussie was slightly higher against the greenback.

Markets are now pricing in a 38% chance of a US Federal Reserve rate hike this week, up from 13% a week ago.

In Australia, OIS pricing points to a terminal cash rate of around 4.65% this year, with one additional rate hike expected by December. However, this is likely to shift this week depending on the Q2 inflation outcome, which will be released later in the week.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	65.4	-0.5%
AUD/USD	0.6979	0.1%
AUD/JPY	114.35	0.2%
AUD/GBP	0.5241	0.1%
AUD/NZD	1.2073	0.0%
AUD/EUR	0.6140	0.2%
AUD/CNH	4.7274	0.1%
AUD/SGD	0.9013	0.1%
AUD/HKD	5.4764	0.2%
AUD/CAD	0.9807	-0.1%
EUR/USD	1.1370	-0.1%
USD/JPY	163.83	0.0%
USD Index	101.47	0.0%

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.40	0.02
90 day BBSY	4.59	0.04
180 day BBSY	4.93	0.07
1 year swap	4.68	-0.01
2 year swap	4.68	-0.01
3 year swap	4.66	0.01
4 year swap	4.66	-0.01
5 year swap	4.68	-0.01
6 year swap	4.72	-0.01
7 year swap	4.77	0.00
8 year swap	4.82	-0.01
9 year swap	4.86	-0.01
10 year swap	4.90	-0.01

Equities	Close	Change
S&P/ASX 200	8,772	-0.8%
S&P 500	7,412	0.0%
Japan Nikkei	64,611	-2.7%
Hang Seng	24,963	-1.0%
Euro Stoxx 50	6,281	1.1%
UK FTSE100	10,736	0.9%
VIX Index	18.58	-0.6%

Commodities	Current	Change
CRB Index	395.67	-1.1%
Gold	4052.79	0.1%
Copper	13645	0.4%
Oil (WTI futures)	89.31	-3.1%
Coal (coking)	221.00	-0.9%
Coal (thermal)	137.75	1.1%
Iron Ore	97.90	-0.3%
ACCU	36.13	-4.3%

Government Bond Yields	Close	Change
Australia		
3 year bond	4.72	0.11
10 year bond	5.09	0.10
United States		
3-month T Bill	3.81	0.00
2 year bond	4.33	-0.02
10 year bond	4.68	-0.02
Other (10 year yields)		
Germany	3.17	-0.03
Japan	2.82	0.03
UK	5.03	-0.07

Sydney Futures Exchange	Current	Change
10 yr bond	5.08	-0.04
3 yr bond	4.68	-0.04
3 mth bill rate	4.47	0.00
SPI 200	8,766	0.6%

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

Pat Bustamante
Senior Economist, Westpac Group
P: +61 468 571 786
E: pat.bustamante@westpac.com.au

Financial Markets

- Markets settled on Friday as investors responded to reports that Pakistan and Iran were exploring options to enter new peace talks with the US, alongside reports that oil was still able to flow out of the Middle East. Brent crude prices retreated from US$100 a barrel, falling 4%, its biggest one-day drop since late June.
- Over the weekend, reports suggested the US paused strikes against Iran for a second consecutive night as tensions continued to escalate in the Red Sea following clashes involving Yemen's Houthi militants and Saudi Arabia. The Houthis claimed responsibility for missile and drone attacks on Saudi Aramco-linked facilities in Jizan and Yanbu, prompting retaliatory strikes by a Saudi-led coalition.
- US equity markets were mixed. The S&P 500 finished broadly unchanged, while the Dow Jones Industrial Average rose 0.4% and the tech-heavy Nasdaq fell 0.6%. Market volatility eased, with the VIX Index falling 0.6% to 18.6. Over the week, however, key US equity indices were lower, with the S&P 500 and Dow Jones Industrial Average falling 0.6% and 0.4%, respectively, while the Nasdaq underperformed, falling 2.1%.
- European equities outperformed, supported by lower oil prices and stronger-than-expected PMI results. The Euro Stoxx 50 rose 1.1%, Germany's DAX gained 1.4% and the FTSE 100 increased 0.9%. In Asia, equities were weaker, with the Nikkei falling 2.7% and the Hang Seng declining 1.0%. Locally, the S&P/ASX 200 fell 0.8% to 8,772. SPI futures were up 0.6%, pointing to a firmer open for the Aussie market.
- Bond markets rallied modestly on the back of the falls in oil prices. In the US, the 2-year Treasury yield fell 2bps to 4.33%, while the 10-year Treasury yield declined 2bps to 4.68%. Traders are now pricing in roughly a 38% chance of a rate hike at this week's Federal Reserve meeting, up from just 13% a week ago. European yields also moved lower, with German 10-year Bund yields falling 3bps to 3.17% and UK 10-year gilt yields down 7bps to 5.03%. Japanese 10-year government bond yields rose 3bps to 2.82%.
- Australian bond yields moved higher in cash markets but lower in futures trading. The 3-year government bond yield rose 11bps to 4.72%, while the 10-year yield increased 10bps to 5.09%. However, Sydney Futures Exchange pricing showed the 3-year and 10-year futures yields both down 4bps, suggesting a stronger open for the local bond market. OIS pricing suggests a terminal cash rate of around 4.65% this year, with the market pricing in one more hike by December this year.

Today's key data and events

Time	Event	Exp	Prev
11:30	CN Industrial Profits Jun	-	21.1%
18:00	EZ M3 Money Supply Jun	-	3.2%
22:30	US Durable Goods Orders Jun Prel.	1.4%	-4.5%
0:30	US Dallas Fed Manufacturing Jul	-	0pts

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

- In foreign exchange markets, the US dollar index was broadly unchanged, while the Aussie was broadly firmer. The AUD/USD rose 0.1% to 0.6979, while the Australian dollar also gained against the Japanese yen (+0.2%), pound sterling (+0.1%), euro (+0.2%), Chinese yuan (+0.1%), Singapore dollar (+0.1%) and Hong Kong dollar (+0.2%). The trade-weighted index (TWI) eased 0.5% to 65.4, while the Australian dollar was unchanged against the New Zealand dollar and slipped 0.1% against the Canadian dollar.
- Commodity markets were generally weaker. The commodity index fell 1.1%, reflecting declines across energy and carbon markets. WTI crude oil dropped 3.1% to US$89.31/bbl following reports that Pakistan and Iran were exploring options to enter new peace talks with the US. Iron ore fell 0.3% to US$97.90/t, while coking coal declined 0.9%. Thermal coal was a notable exception, rising 1.1%. Copper increased 0.4%, supported by ongoing supply concerns, while gold edged 0.1% higher.

International Data

US new homes sales gained 1.6% in June after May's decline was revised from -7.3% to -4.3%. The current level of sales is almost 40% below the late-2020 peak.

The **US S&P manufacturing PMI** was little changed at 53.8 in July while the services measures improved from 51.2 to 53.6. A similar result was seen for the **Euro Area**, the manufacturing PMI reported at 52.0 and the services index 51.6, and the **UK**, manufacturing and services PMIs, respectively 52.8 and 51.8.

UK GfK consumer confidence improved from -23 to -17 in July, modestly below the survey's full-history average.

UK retail sales surprised materially to the upside in June, registering a 1.0% gain after a 1.2% increase in May. Activity was broad based, sales rising 1.1% in June excluding fuel. Over the year, sales are up 4.2% overall and 5.4% excluding fuel.

Local Data

The **Westpac-Now** continues to point to GDP growth of around 0.2%qtr in Q2, broadly in line with the sluggish 0.3%qtr outcome in Q1 2026. However, the Westpac Monthly Activity Index is showing tentative signs of stabilising (see here).

Corporate Directory

Westpac Economics / Australia

Sydney
Level 19, 275 Kent Street
Sydney NSW 2000
Australia

E: economics@westpac.com.au

Luci Ellis
Chief Economist Westpac Group
E: luci.ellis@westpac.com.au

Matthew Hassan
Head of Australian Macro–Forecasting
E: mhassan@westpac.com.au

Elliot Clarke
Head of International Economics
E: eclarke@westpac.com.au

Sian Fenner
Head of Business and Industry Economics
E: sian.fenner@westpac.com.au

Justin Smirk
Senior Economist
E: jsmirk@westpac.com.au

Pat Bustamante
Senior Economist
E: pat.bustamante@westpac.com.au

Mantas Vanagas
Senior Economist
E: mantas.vanagas@westpac.com.au

Ryan Wells
Economist
E: ryan.wells@westpac.com.au

Illiana Jain
Economist
E: illiana.jain@westpac.com.au

Neha Sharma
Economist
E: neha.sharma1@westpac.com.au

Luka Belobrajdic
Economist
E: luka.belobrajdic@westpac.com.au

Westpac Economics / New Zealand

Auckland
Takutai on the Square
Level 8, 16 Takutai Square
Auckland, New Zealand

E: economics@westpac.co.nz

Kelly Eckhold
Chief Economist NZ
E: kelly.eckhold@westpac.co.nz

Michael Gordon
Senior Economist
E: michael.gordon@westpac.co.nz

Darren Gibbs
Senior Economist
E: darren.gibbs@westpac.co.nz

Satish Ranchhod
Senior Economist
E: satish.ranchhod@westpac.co.nz

Paul Clark
Industry Economist
E: paul.clarke@westpac.co.nz

Westpac Economics / Fiji

Suva
1 Thomson Street
Suva, Fiji

Shamal Chand
Senior Economist
E: shamal.chand@westpac.com.au

Things you should know

We respect your privacy: You can view the New Zealand Privacy Policy here, or the Australian Group Privacy Statement here. Each time someone visits our site, data is captured so that we can accurately evaluate the quality of our content and make improvements for you. We may at times use technology to capture data about you to help us to better understand you and your needs, including potentially for the purposes of assessing your individual reading habits and interests to allow us to provide suggestions regarding other reading material which may be suitable for you.

Disclaimer

This information has been prepared by Westpac and is intended for information purposes only. It is not intended to reflect any recommendation or financial advice and investment decisions should not be based on it. This information does not constitute an offer, a solicitation of an offer, or an inducement to subscribe for, purchase or sell any financial instrument or to enter into a legally binding contract. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice. Certain types of transactions, including those involving futures, options and high yield securities give rise to substantial risk and are not suitable for all investors. We recommend that you seek your own independent legal or financial advice before proceeding with any investment decision.

This information may contain material provided by third parties. While such material is published with the necessary permission none of Westpac or its related entities accepts any responsibility for the accuracy or completeness of any such material. Although we have made every effort to ensure this information is free from error, none of Westpac or its related entities warrants the accuracy, adequacy or completeness of this information, or otherwise endorses it in any way. Except where contrary to law, Westpac Group intend by this notice to exclude liability for this information. This information is subject to change without notice and none of Westpac or its related entities is under any obligation to update this information or correct any inaccuracy which may become apparent at a later date. This information may contain or incorporate by reference forward looking statements. The words "believe", "anticipate", "expect", "intend", "plan", "predict", "continue", "assume", "positioned", "may", "will", "should", "shall", "risk" and other similar expressions that are predictions of or indicate future events and future trends identify forward-looking statements. These forward-looking statements include all matters that are not historical facts. Past performance is not a reliable indicator of future performance, nor are forecasts of future performance. Whilst every effort has been taken to ensure that the assumptions on which any forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The ultimate outcomes may differ substantially from any forecasts.

Conflicts of Interest: In the normal course of offering banking products and services to its clients, the Westpac Group may act in several capacities (including issuer, market maker, underwriter, distributor, swap counterparty and calculation agent) simultaneously with respect to a financial instrument, giving rise to potential conflicts of interest which may impact the performance of a financial instrument. The Westpac Group may at any time transact or hold a position (including hedging and trading positions) for its own account or the account of a client in any financial instrument which may impact the performance of that financial instrument.

Author(s) disclaimer and declaration: The author(s) confirms that (a) no part of his/her compensation was, is, or will be, directly or indirectly, related to any views or (if applicable) recommendations expressed in this material; (b) this material accurately reflects his/her personal views about the financial products, companies or issuers (if applicable) and is based on sources reasonably believed to be reliable and accurate; (c) to the best of the author's knowledge, they are not in receipt of inside information and this material does not contain inside information; and (d) no other part of the Westpac Group has made any attempt to influence this material.

Further important information regarding sustainability related content: This material may contain statements relating to environmental, social and governance (ESG) topics. These are subject to known and unknown risks, and there are significant uncertainties, limitations, risks and assumptions in the metrics, modelling, data, scenarios, reporting and analysis on which the statements rely. In particular, these areas are rapidly evolving and maturing, and there are variations in approaches and common standards and practice, as well as uncertainty around future related policy and legislation. Some material may include information derived from publicly available sources that have not been independently verified. No representation or warranty is made as to the accuracy, completeness or reliability of the information. There is a risk that the analysis, estimates, judgements, assumptions, views, models, scenarios or projections used may turn out to be incorrect. These risks may cause actual outcomes to differ materially from those expressed or implied. The ESG-related statements in this material do not constitute advice, nor are they guarantees or predictions of future performance, and Westpac gives no representation, warranty or assurance (including as to the quality, accuracy or completeness of the statements). You should seek your own independent advice.

Additional country disclosures:

Australia: Westpac holds an Australian Financial Services Licence (No. 233714). You can access Westpac's Financial Services Guide here or request a copy from your Westpac point of contact. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice.

New Zealand: In New Zealand, Westpac Institutional Bank refers to the brand under which products and services are provided by either Westpac (NZ division) or Westpac New Zealand Limited (company number 1763882), the New Zealand incorporated subsidiary of Westpac ("WNZL"). Any product or service made available by WNZL does not represent an offer from Westpac or any of its subsidiaries (other than WNZL). Neither Westpac nor its other subsidiaries guarantee or otherwise support the performance of WNZL in respect of any such product. WNZL is not an authorised deposit-taking institution for the purposes of Australian prudential standards. The current disclosure statements for the New Zealand branch of Westpac and WNZL can be obtained at www.westpac.co.nz.

Singapore: This material has been prepared and issued for distribution in Singapore to institutional investors, accredited investors and expert investors (as defined in the applicable Singapore laws and regulations) only. Recipients of this material in Singapore should contact Westpac Singapore Branch in respect of any matters arising from, or in connection with, this material. Westpac Singapore Branch holds a wholesale banking licence and is subject to supervision by the Monetary Authority of Singapore.

Disclaimer continues overleaf ▶

Past performance is not a reliable indicator of future performance. The forecasts given above are predictive in character. Whilst every effort has been taken to ensure that the assumptions on which the forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The results ultimately achieved may differ substantially from these forecasts.

Fiji: Unless otherwise specified, the products and services for Westpac Fiji are available from www.westpac.com.fj © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia and registered as a branch in Fiji. The liability of its members is limited.

Papua New Guinea: Unless otherwise specified, the products and services for Westpac PNG are available from www.westpac.com.pg © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia. Westpac is represented in Papua New Guinea by Westpac Bank - PNG - Limited. The liability of its members is limited.

U.S: Westpac operates in the United States of America as a federally licensed branch, regulated by the Office of the Comptroller of the Currency. Westpac is also registered with the US Commodity Futures Trading Commission ("CFTC") as a Swap Dealer, but is neither registered as, or affiliated with, a Futures Commission Merchant registered with the US CFTC. The services and products referenced above are not insured by the Federal Deposit Insurance Corporation ("FDIC"). Westpac Capital Markets, LLC ('WCM'), a wholly-owned subsidiary of Westpac, is a broker-dealer registered under the U.S. Securities Exchange Act of 1934 ('the Exchange Act') and member of the Financial Industry Regulatory Authority ('FINRA'). In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WCM other than as provided for in certain legal agreements between Westpac and WCM and obligations of WCM do not represent liabilities of Westpac.

This communication is provided for distribution to U.S. institutional investors in reliance on the exemption from registration provided by Rule 15a-6 under the Exchange Act and is not subject to all of the independence and disclosure standards applicable to debt research reports prepared for retail investors in the United States. WCM is the U.S. distributor of this communication and accepts responsibility for the contents of this communication. Transactions by U.S. customers of any securities referenced herein should be effected through WCM. All disclaimers set out with respect to Westpac apply equally to WCM. If you would like to speak to someone regarding any security mentioned herein, please contact WCM on +1 212 389 1269. Investing in any non-U.S. securities or related financial instruments mentioned in this communication may present certain risks. The securities of non-U.S. issuers may not be registered with, or be subject to the regulations of, the SEC in the United States. Information on such non-U.S. securities or related financial instruments may be limited. Non-U.S. companies may not be subject to audit and reporting standards and regulatory requirements comparable to those in effect in the United States. The value of any investment or income from any securities or related derivative instruments denominated in a currency other than U.S. dollars is subject to exchange rate fluctuations that may have a positive or adverse effect on the value of or income from such securities or related derivative instruments.

The author of this communication is employed by Westpac and is not registered or qualified as a research analyst, representative, or associated person of WCM or any other U.S. broker-dealer under the rules of FINRA, any other U.S. self-regulatory organisation, or the laws, rules or regulations of any State. Unless otherwise specifically stated, the views expressed herein are solely those of the author and may differ from the information, views or analysis expressed by Westpac and/or its affiliates.

UK: The London branch of Westpac is authorised in the United Kingdom by the Prudential Regulation Authority (PRA) and is subject to regulation by the Financial Conduct Authority (FCA) and limited regulation by the PRA (Financial Services Register number: 124586). The London branch of Westpac is registered at Companies House as a branch established in the United Kingdom (Branch No. BR000106). Details about the extent of the regulation of Westpac's London branch by the PRA are available from us on request.

This communication is not being made to or distributed to, and must not be passed on to, the general public in the United Kingdom. Rather, this communication is being made only to and is directed at (a) those persons falling within the definition of Investment Professionals (set out in Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (the "Order")); (b) those persons falling within the definition of high net worth companies, unincorporated associations etc. (set out in Article 49(2)of the Order; (c) other persons to whom it may lawfully be communicated in accordance with the Order or (d) any persons to whom it may otherwise lawfully be made (all such persons together being referred to as "relevant persons"). Any person who is not a relevant person should not act or rely on this communication or any of its contents. In the same way, the information contained in this communication is intended for "eligible counterparties" and "professional clients" as defined by the rules of the Financial Conduct Authority and is not intended for "retail clients". Westpac expressly prohibits you from passing on the information in this communication to any third party.

European Economic Area ("EEA"): This material may be distributed to you by either: (i) Westpac directly, or (ii) Westpac Europe GmbH ("WEG") under a sub-licensing arrangement. WEG has not edited or otherwise modified the content of this material. WEG is authorised in Germany by the Federal Financial Supervision Authority ('BaFin') and subject to its regulation. WEG's supervisory authorities are BaFin and the German Federal Bank ('Deutsche Bundesbank'). WEG is registered with the commercial register ('Handelsregister') of the local court of Frankfurt am Main under registration number HRB 118483. In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WEG other than as provided for in certain legal agreements (a risk transfer, sub-participation and collateral agreement) between Westpac and WEG and obligations of WEG do not represent liabilities of Westpac. Any product or service made available by WEG does not represent an offer from Westpac or any of its subsidiaries (other than WEG). All disclaimers set out with respect to Westpac apply equally to WEG.

This communication is not intended for distribution to, or use by any person or entity in any jurisdiction or country where such distribution or use would be contrary to local law or regulation.

This communication contains general commentary, research, and market colour. The communication does not constitute investment advice. The material may contain an 'investment recommendation' and/or 'information recommending or suggesting an investment', both as defined in Regulation (EU) No 596/2014 (including as applicable in the United Kingdom) ("MAR"). In accordance with the relevant provisions of MAR, reasonable care has been taken to ensure that the material has been objectively presented and that interests or conflicts of interest of the sender concerning the financial instruments to which that information relates have been disclosed.

Investment recommendations must be read alongside the specific disclosure which accompanies them and the general disclosure which can be found here. Such disclosure fulfils certain additional information requirements of MAR and associated delegated legislation and by accepting this communication you acknowledge that you are aware of the existence of such additional disclosure and its contents.

To the extent this communication comprises an investment recommendation it is classified as non-independent research. It has not been prepared in accordance with legal requirements designed to promote the independence of investment research and therefore constitutes a marketing communication. Further, this communication is not subject to any prohibition on dealing ahead of the dissemination of investment research.

Cliff Notes: frayed nerves

#cliffnotes #rba #australia #inflation #us #fomc #ecb #aud #usd

By Elliot Clarke, Ryan Wells & Illiana Jain

10:44 July 17 2026

Share

Key insights from the week that was.

The Westpac–MI Consumer Sentiment Index rose 4.1% in July; but at 83.9, the index is still in the bottom decile of historical outcomes, pointing to deep pessimism. Lower fuel prices have provided some breathing room, contributing to a less-negative assessment of 'family finances vs a year ago' (+5.6%) and 'family finances next 12mths' (+13.4%). Consumers remain sensitive to developments in the Middle East, however, last week's re-escalation of the conflict resulting in a progressive deterioration in daily responses while the survey was in the field.

Views on the economic outlook are weak and little changed, the one- and five-years ahead sub-indexes lifting just 0.6% and 0.7% in the month; more encouragingly, concerns over the jobs outlook have eased. Most consumers still expect mortgage rates to rise over the next year, though the share has declined from 66% to 60%, with a rising proportion reporting uncertainty about where rates are headed. Ultimately, the survey reported a reprieve from worst-case fears but is also evidence of the scale of challenges ahead.

The latest NAB business survey echoed similar themes. Business confidence continued to retrace the sharp falls seen at the onset of the Middle East conflict, rising +9pts to a less-pessimistic reading of –5. Lower fuel prices contributed to slower growth in purchase costs and final prices, but the cumulative impact of these pressures have weighted on capital expenditure plans and labour demand. Business conditions remain subdued, holding at +3 for a third consecutive month having weakened earlier in 2026. This is consistent with sluggish activity growth as households and businesses approach the outlook with caution.

Offshore, US inflation data was supportive of interest rates remaining on hold in coming months. Headline prices fell 0.4% in June as energy prices responded to the Middle East ceasefire agreed mid-month, pulling annual inflation down from 4.2%yr to 3.5%yr. Of greater significance for monetary policy, however, was the flat monthly read for core inflation, 2.6%yr.

Members of the FOMC want to see further evidence of disinflation towards the 2.0%yr target. In our view, the multi-month trends are consistent with such an out-turn, with core goods prices broadly unchanged year-to-date and core services inflation averaging just below 0.3% per month. The June PPI report corroborates this view, headline producer prices falling 0.3%, while May was revised down sharply from 1.1% to 0.6%. Ex food and energy, prices rose a modest 0.2%mth, and the prior month's gain was revised lower from 0.4% to 0.1%. The latest readings on consumer demand are also consistent with inflation returning to target, nominal control group retail sales up a modest 0.5% in June after a 0.8% gain in May, and the latest Beige Book also pointing to consumer demand being constrained by cost-of-living pressures. The duration and severity of the renewed conflict in the Middle East will be critical to the US growth outlook given University of Michigan consumer sentiment remains stuck near multi-decade lows.

Over in Asia, China's Q2 GDP and June activity data provided a mixed read on their economy. Q2 GDP met expectations at 0.9%qtr, although the annual rate disappointed at 4.3%yr. Year-to-date, growth remains broadly consistent with our expectation of 4.7%, but such an outcome would be at the lower end of authorities' 4.5–5.0% full-year target. The industrial sector continues to drive aggregate momentum, production growth rebounding to 5.3%yr in June from around 4.0%yr through April and May. But the domestic growth story remains fragile, primarily owing to declining investment, -5.7%ytd in June. Retail sales growth recovered from -0.6%yr in May to 1.0%yr in June, though that still leaves it at the lower end of the historical rage. Together, the state of domestic investment and household consumption call for urgent pro-active stimulus to support cyclical momentum as well as structural change to help the gains of trade flow to the wider economy.

The Bank of Korea raised rates by 25bp this week and signalled further tightening is likely. Inflation remains elevated, due to a combination of higher energy, exchange rate and food costs alongside resilient domestic demand. But the BoK's greater challenge is managing an increasingly two-speed economy, with tech-related sectors benefiting directly from the AI and data centre investment boom while others wait for those gains to spill over. For now, policymakers appear comfortable leaning against inflation and expecting the benefits of AI production and investment to broaden; although, in the interim, this leaves Korea exposed should enthusiasm around AI turn. Investment and the implications for growth and policy is a focus of this month's edition of The Wrap on Asia; and, with a particular focus on AI investment, Chief Economist Luci Ellis' weekly essay.

Related articles

#cliffnotes

Cliff Notes: markets on edge

July 24 2026 • 5 mins

By Elliot Clarke, Ryan Wells & Illiana Jain

#cliffnotes

Cliff Notes: testing conditions

July 10 2026 • 5 mins

By Elliot Clarke, Ryan Wells & Illiana Jain

#cliffnotes

Cliff Notes: on the minds of policy makers

July 03 2026 • 5 mins

By Elliot Clarke, Ryan Wells & Illiana Jain

Browse topics

#aud #australia #interestrates #nzd #usd #newzealand #rates #yieldcurve

#credit #acgb #inflation #rba #semigovernment #basis #commodities

#ustreasury #fx #rbnz #jpy #abs Show more tags

Disclaimer

Things you should know

We respect your privacy: You can view the New Zealand Privacy Policy here, or the Australian Group Privacy Statement here. Each time someone visits our site, data is captured so that we can accurately evaluate the quality of our content and make improvements for you. We may at times use technology to capture data about you to help us to better understand you and your needs, including potentially for the purposes of assessing your individual reading habits and interests to allow us to provide suggestions regarding other reading material which may be suitable for you.

Disclaimer

This information has been prepared by Westpac and is intended for information purposes only. It is not intended to reflect any recommendation or financial advice and investment decisions should not be based on it. This information does not constitute an offer, a solicitation of an offer, or an inducement to subscribe for, purchase or sell any financial instrument or to enter into a legally binding contract. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice. Certain types of transactions, including those involving futures, options and high yield securities give rise to substantial risk and are not suitable for all investors. We recommend that you seek your own independent legal or financial advice before proceeding with any investment decision.

This information may contain material provided by third parties. While such material is published with the necessary permission none of Westpac or its related entities accepts any responsibility for the accuracy or completeness of any such material. Although we have made every effort to ensure this information is free from error, none of Westpac or its related entities warrants the accuracy, adequacy or completeness of this information, or otherwise endorses it in any way. Except where contrary to law, Westpac Group intend by this notice to exclude liability for this information. This information is subject to change without notice and none of Westpac or its related entities is under any obligation to update this information or correct any inaccuracy which may become apparent at a later date. This information may contain or incorporate by reference forward-looking statements. The words “believe”, “anticipate”, “expect”, “intend”, “plan”, “predict”, “continue”, “assume”, “positioned”, “may”, “will”, “should”, “shall”, “risk” and other similar expressions that are predictions of or indicate future events and future trends identify forward-looking statements. These forward-

looking statements include all matters that are not historical facts. Past performance is not a reliable indicator of future performance, nor are forecasts of future performance. Whilst every effort has been taken to ensure that the assumptions on which any forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The ultimate outcomes may differ substantially from any forecasts.

Conflicts of Interest: In the normal course of offering banking products and services to its clients, the Westpac Group may act in several capacities (including issuer, market maker, underwriter, distributor, swap counterparty and calculation agent) simultaneously with respect to a financial instrument, giving rise to potential conflicts of interest which may impact the performance of a financial instrument. The Westpac Group may at any time transact or hold a position (including hedging and trading positions) for its own account or the account of a client in any financial instrument which may impact the performance of that financial instrument.

Author(s) disclaimer and declaration: The author(s) confirms that (a) no part of his/her compensation was, is, or will be, directly or indirectly, related to any views or (if applicable) recommendations expressed in this material; (b) this material accurately reflects his/her personal views about the financial products, companies or issuers (if applicable) and is based on sources reasonably believed to be reliable and accurate; (c) to the best of the author's knowledge, they are not in receipt of inside information and this material does not contain inside information; and (d) no other part of the Westpac Group has made any attempt to influence this material.

Further important information regarding sustainability-related content: This material may contain statements relating to environmental, social and governance (ESG) topics. These are subject to known and unknown risks, and there are significant uncertainties, limitations, risks and assumptions in the metrics, modelling, data, scenarios, reporting and analysis on which the statements rely. In particular, these areas are rapidly evolving and maturing, and there are variations in approaches and common standards and practice, as well as uncertainty around future related policy and legislation. Some material may include information derived from publicly available sources that have not been independently verified. No representation or warranty is made as to the accuracy, completeness or reliability of the information. There is a risk that the analysis, estimates, judgements, assumptions, views, models, scenarios or projections used may turn out to be incorrect. These risks may cause actual outcomes to differ materially from those expressed or implied. The ESG-related statements in this material do not constitute advice, nor are they guarantees or predictions of future performance, and Westpac gives no representation, warranty or assurance (including as to the quality, accuracy or completeness of the statements). You should seek your own independent advice.

Additional country disclosures:

Australia: Westpac holds an Australian Financial Services Licence (No. 233714). You can access Westpac's Financial Services Guide here or request a copy from your Westpac point of contact. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the

appropriateness of the advice.

New Zealand: In New Zealand, Westpac Institutional Bank refers to the brand under which products and services are provided by either Westpac (NZ division) or Westpac New Zealand Limited (company number 1763882), the New Zealand incorporated subsidiary of Westpac ("WNZL"). Any product or service made available by WNZL does not represent an offer from Westpac or any of its subsidiaries (other than WNZL). Neither Westpac nor its other subsidiaries guarantee or otherwise support the performance of WNZL in respect of any such product. WNZL is not an authorised deposit-taking institution for the purposes of Australian prudential standards. The current disclosure statements for the New Zealand branch of Westpac and WNZL can be obtained at the internet address www.westpac.co.nz.

Singapore: This material has been prepared and issued for distribution in Singapore to institutional investors, accredited investors and expert investors (as defined in the applicable Singapore laws and regulations) only. Recipients of this material in Singapore should contact Westpac Singapore Branch in respect of any matters arising from, or in connection with, this material. Westpac Singapore Branch holds a wholesale banking licence and is subject to supervision by the Monetary Authority of Singapore.

Fiji: Unless otherwise specified, the products and services for Westpac Fiji are available from www.westpac.com.fj © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia and registered as a branch in Fiji. The liability of its members is limited.

Papua New Guinea: Unless otherwise specified, the products and services for Westpac PNG are available from www.westpac.com.pg © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia. Westpac is represented in Papua New Guinea by Westpac Bank - PNG - Limited. The liability of its members is limited.

U.S.: Westpac operates in the United States of America as a federally licensed branch, regulated by the Office of the Comptroller of the Currency. Westpac is also registered with the US Commodity Futures Trading Commission ("CFTC") as a Swap Dealer, but is neither registered as, or affiliated with, a Futures Commission Merchant registered with the US CFTC. The services and products referenced above are not insured by the Federal Deposit Insurance Corporation ("FDIC"). Westpac Capital Markets, LLC ('WCM'), a wholly-owned subsidiary of Westpac, is a broker-dealer registered under the U.S. Securities Exchange Act of 1934 ('the Exchange Act') and member of the Financial Industry Regulatory Authority ('FINRA'). In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WCM other than as provided for in certain legal agreements between Westpac and WCM and obligations of WCM do not represent

liabilities of Westpac.

This communication is provided for distribution to U.S. institutional investors in reliance on the exemption from registration provided by Rule 15a-6 under the Exchange Act and is not subject to all of the independence and disclosure standards applicable to debt research reports prepared for retail investors in the United States. WCM is the U.S. distributor of this communication and accepts responsibility for the contents of this communication. Transactions by U.S. customers of any securities referenced herein should be effected through WCM. All disclaimers set out with respect to Westpac apply equally to WCM. If you would like to speak to someone regarding any security mentioned herein, please contact WCM on +1 212 389 1269. Investing in any non-U.S. securities or related financial instruments mentioned in this communication may present certain risks. The securities of non-U.S. issuers may not be registered with, or be subject to the regulations of, the SEC in the United States. Information on such non-U.S. securities or related financial instruments may be limited. Non-U.S. companies may not be subject to audit and reporting standards and regulatory requirements comparable to those in effect in the United States. The value of any investment or income from any securities or related derivative instruments denominated in a currency other than U.S. dollars is subject to exchange rate fluctuations that may have a positive or adverse effect on the value of or income from such securities or related derivative instruments.

The author of this communication is employed by Westpac and is not registered or qualified as a research analyst, representative, or associated person of WCM or any other U.S. broker-dealer under the rules of FINRA, any other U.S. self-regulatory organisation, or the laws, rules or regulations of any State. Unless otherwise specifically stated, the views expressed herein are solely those of the author and may differ from the information, views or analysis expressed by Westpac and/or its affiliates.

UK: The London branch of Westpac is authorised in the United Kingdom by the Prudential Regulation Authority (PRA) and is subject to regulation by the Financial Conduct Authority (FCA) and limited regulation by the PRA (Financial Services Register number: 124586). The London branch of Westpac is registered at Companies House as a branch established in the United Kingdom (Branch No. BR000106). Details about the extent of the regulation of Westpac's London branch by the PRA are available from us on request.

This communication is not being made to or distributed to, and must not be passed on to, the general public in the United Kingdom. Rather, this communication is being made only to and is directed at (a) those persons falling within the definition of Investment Professionals (set out in Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (the "Order")); (b) those persons falling within the definition of high net worth companies, unincorporated associations etc. (set out in Article 49(2)of the Order; (c) other persons to whom it may lawfully be communicated in accordance with the Order or (d) any persons to whom it may otherwise lawfully be made (all such persons together being referred to as "relevant persons"). Any person who is not a relevant person should not act or rely on this communication or any of its contents. In the same way, the information contained in this communication is intended for "eligible counterparties" and

"professional clients" as defined by the rules of the Financial Conduct Authority and is not intended for "retail clients". Westpac expressly prohibits you from passing on the information in this communication to any third party.

European Economic Area ("EEA"): This material may be distributed to you by either: (i) Westpac directly, or (ii) Westpac Europe GmbH ("WEG") under a sub-licensing arrangement. WEG has not edited or otherwise modified the content of this material. WEG is authorised in Germany by the Federal Financial Supervision Authority ('BaFin') and subject to its regulation. WEG's supervisory authorities are BaFin and the German Federal Bank ('Deutsche Bundesbank'). WEG is registered with the commercial register ('Handelsregister') of the local court of Frankfurt am Main under registration number HRB 118483. In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WEG other than as provided for in certain legal agreements (a risk transfer, sub-participation and collateral agreement) between Westpac and WEG and obligations of WEG do not represent liabilities of Westpac. Any product or service made available by WEG does not represent an offer from Westpac or any of its subsidiaries (other than WEG). All disclaimers set out with respect to Westpac apply equally to WEG.

This communication is not intended for distribution to, or use by any person or entity in any jurisdiction or country where such distribution or use would be contrary to local law or regulation.

This communication contains general commentary, research, and market colour. The communication does not constitute investment advice. The material may contain an 'investment recommendation' and/or 'information recommending or suggesting an investment', both as defined in Regulation (EU) No 596/2014 (including as applicable in the United Kingdom) ("MAR"). In accordance with the relevant provisions of MAR, reasonable care has been taken to ensure that the material has been objectively presented and that interests or conflicts of interest of the sender concerning the financial instruments to which that information relates have been disclosed.

Investment recommendations must be read alongside the specific disclosure which accompanies them and the general disclosure which can be found here. Such disclosure fulfils certain additional information requirements of MAR and associated delegated legislation and by accepting this communication you acknowledge that you are aware of the existence of such additional disclosure and its contents.

To the extent this communication comprises an investment recommendation it is classified as non-independent research. It has not been prepared in accordance with legal requirements designed to promote the independence of investment research and therefore constitutes a marketing communication. Further, this communication is not subject to any prohibition on dealing ahead of the dissemination of investment research.

27 July 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Market sentiment was supported by reports that Pakistan and Iran were exploring new peace talks with the US and that oil exports from the Middle East continued to flow. Over the weekend, the US paused strikes against Iran as tensions in the region continued to escalate.

On Friday, major US equity markets were mixed, while oil prices fell sharply and bond markets rallied following a 4% decline in Brent crude prices. The US dollar was broadly unchanged, while the Aussie was slightly higher against the greenback.

Markets are now pricing in a 38% chance of a US Federal Reserve rate hike this week, up from 13% a week ago.

In Australia, OIS pricing points to a terminal cash rate of around 4.65% this year, with one additional rate hike expected by December. However, this is likely to shift this week depending on the Q2 inflation outcome, which will be released later in the week.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	65.4	-0.5%
AUD/USD	0.6979	0.1%
AUD/JPY	114.35	0.2%
AUD/GBP	0.5241	0.1%
AUD/NZD	1.2073	0.0%
AUD/EUR	0.6140	0.2%
AUD/CNH	4.7274	0.1%
AUD/SGD	0.9013	0.1%
AUD/HKD	5.4764	0.2%
AUD/CAD	0.9807	-0.1%
EUR/USD	1.1370	-0.1%
USD/JPY	163.83	0.0%
USD Index	101.47	0.0%

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.40	0.02
90 day BBSY	4.59	0.04
180 day BBSY	4.93	0.07
1 year swap	4.68	-0.01
2 year swap	4.68	-0.01
3 year swap	4.66	0.01
4 year swap	4.66	-0.01
5 year swap	4.68	-0.01
6 year swap	4.72	-0.01
7 year swap	4.77	0.00
8 year swap	4.82	-0.01
9 year swap	4.86	-0.01
10 year swap	4.90	-0.01

Equities	Close	Change
S&P/ASX 200	8,772	-0.8%
S&P 500	7,412	0.0%
Japan Nikkei	64,611	-2.7%
Hang Seng	24,963	-1.0%
Euro Stoxx 50	6,281	1.1%
UK FTSE100	10,736	0.9%
VIX Index	18.58	-0.6%

Commodities	Current	Change
CRB Index	395.67	-1.1%
Gold	4052.79	0.1%
Copper	13645	0.4%
Oil (WTI futures)	89.31	-3.1%
Coal (coking)	221.00	-0.9%
Coal (thermal)	137.75	1.1%
Iron Ore	97.90	-0.3%
ACCU	36.13	-4.3%

Government Bond Yields	Close	Change
Australia		
3 year bond	4.72	0.11
10 year bond	5.09	0.10
United States		
3-month T Bill	3.81	0.00
2 year bond	4.33	-0.02
10 year bond	4.68	-0.02
Other (10 year yields)		
Germany	3.17	-0.03
Japan	2.82	0.03
UK	5.03	-0.07

Sydney Futures Exchange	Current	Change
10 yr bond	5.08	-0.04
3 yr bond	4.68	-0.04
3 mth bill rate	4.47	0.00
SPI 200	8,766	0.6%

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

Pat Bustamante
Senior Economist, Westpac Group
P: +61 468 571 786
E: pat.bustamante@westpac.com.au

Financial Markets

- Markets settled on Friday as investors responded to reports that Pakistan and Iran were exploring options to enter new peace talks with the US, alongside reports that oil was still able to flow out of the Middle East. Brent crude prices retreated from US$100 a barrel, falling 4%, its biggest one-day drop since late June.
- Over the weekend, reports suggested the US paused strikes against Iran for a second consecutive night as tensions continued to escalate in the Red Sea following clashes involving Yemen's Houthi militants and Saudi Arabia. The Houthis claimed responsibility for missile and drone attacks on Saudi Aramco-linked facilities in Jizan and Yanbu, prompting retaliatory strikes by a Saudi-led coalition.
- US equity markets were mixed. The S&P 500 finished broadly unchanged, while the Dow Jones Industrial Average rose 0.4% and the tech-heavy Nasdaq fell 0.6%. Market volatility eased, with the VIX Index falling 0.6% to 18.6. Over the week, however, key US equity indices were lower, with the S&P 500 and Dow Jones Industrial Average falling 0.6% and 0.4%, respectively, while the Nasdaq underperformed, falling 2.1%.
- European equities outperformed, supported by lower oil prices and stronger-than-expected PMI results. The Euro Stoxx 50 rose 1.1%, Germany's DAX gained 1.4% and the FTSE 100 increased 0.9%. In Asia, equities were weaker, with the Nikkei falling 2.7% and the Hang Seng declining 1.0%. Locally, the S&P/ASX 200 fell 0.8% to 8,772. SPI futures were up 0.6%, pointing to a firmer open for the Aussie market.
- Bond markets rallied modestly on the back of the falls in oil prices. In the US, the 2-year Treasury yield fell 2bps to 4.33%, while the 10-year Treasury yield declined 2bps to 4.68%. Traders are now pricing in roughly a 38% chance of a rate hike at this week's Federal Reserve meeting, up from just 13% a week ago. European yields also moved lower, with German 10-year Bund yields falling 3bps to 3.17% and UK 10-year gilt yields down 7bps to 5.03%. Japanese 10-year government bond yields rose 3bps to 2.82%.
- Australian bond yields moved higher in cash markets but lower in futures trading. The 3-year government bond yield rose 11bps to 4.72%, while the 10-year yield increased 10bps to 5.09%. However, Sydney Futures Exchange pricing showed the 3-year and 10-year futures yields both down 4bps, suggesting a stronger open for the local bond market. OIS pricing suggests a terminal cash rate of around 4.65% this year, with the market pricing in one more hike by December this year.

Today's key data and events

Time	Event	Exp	Prev
11:30	CN Industrial Profits Jun	-	21.1%
18:00	EZ M3 Money Supply Jun	-	3.2%
22:30	US Durable Goods Orders Jun Prel.	1.4%	-4.5%
0:30	US Dallas Fed Manufacturing Jul	-	0pts

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

- In foreign exchange markets, the US dollar index was broadly unchanged, while the Aussie was broadly firmer. The AUD/USD rose 0.1% to 0.6979, while the Australian dollar also gained against the Japanese yen (+0.2%), pound sterling (+0.1%), euro (+0.2%), Chinese yuan (+0.1%), Singapore dollar (+0.1%) and Hong Kong dollar (+0.2%). The trade-weighted index (TWI) eased 0.5% to 65.4, while the Australian dollar was unchanged against the New Zealand dollar and slipped 0.1% against the Canadian dollar.
- Commodity markets were generally weaker. The commodity index fell 1.1%, reflecting declines across energy and carbon markets. WTI crude oil dropped 3.1% to US$89.31/bbl following reports that Pakistan and Iran were exploring options to enter new peace talks with the US. Iron ore fell 0.3% to US$97.90/t, while coking coal declined 0.9%. Thermal coal was a notable exception, rising 1.1%. Copper increased 0.4%, supported by ongoing supply concerns, while gold edged 0.1% higher.

International Data

US new homes sales gained 1.6% in June after May's decline was revised from -7.3% to -4.3%. The current level of sales is almost 40% below the late-2020 peak.

The **US S&P manufacturing PMI** was little changed at 53.8 in July while the services measures improved from 51.2 to 53.6. A similar result was seen for the **Euro Area**, the manufacturing PMI reported at 52.0 and the services index 51.6, and the **UK**, manufacturing and services PMIs, respectively 52.8 and 51.8.

UK GfK consumer confidence improved from -23 to -17 in July, modestly below the survey's full-history average.

UK retail sales surprised materially to the upside in June, registering a 1.0% gain after a 1.2% increase in May. Activity was broad based, sales rising 1.1% in June excluding fuel. Over the year, sales are up 4.2% overall and 5.4% excluding fuel.

Local Data

The **Westpac-Now** continues to point to GDP growth of around 0.2%qtr in Q2, broadly in line with the sluggish 0.3%qtr outcome in Q1 2026. However, the Westpac Monthly Activity Index is showing tentative signs of stabilising (see here).

Corporate Directory

Westpac Economics / Australia

Sydney
Level 19, 275 Kent Street
Sydney NSW 2000
Australia

E: economics@westpac.com.au

Luci Ellis
Chief Economist Westpac Group
E: luci.ellis@westpac.com.au

Matthew Hassan
Head of Australian Macro–Forecasting
E: mhassan@westpac.com.au

Elliot Clarke
Head of International Economics
E: eclarke@westpac.com.au

Sian Fenner
Head of Business and Industry Economics
E: sian.fenner@westpac.com.au

Justin Smirk
Senior Economist
E: jsmirk@westpac.com.au

Pat Bustamante
Senior Economist
E: pat.bustamante@westpac.com.au

Mantas Vanagas
Senior Economist
E: mantas.vanagas@westpac.com.au

Ryan Wells
Economist
E: ryan.wells@westpac.com.au

Illiana Jain
Economist
E: illiana.jain@westpac.com.au

Neha Sharma
Economist
E: neha.sharma1@westpac.com.au

Luka Belobrajdic
Economist
E: luka.belobrajdic@westpac.com.au

Westpac Economics / New Zealand

Auckland
Takutai on the Square
Level 8, 16 Takutai Square
Auckland, New Zealand

E: economics@westpac.co.nz

Kelly Eckhold
Chief Economist NZ
E: kelly.eckhold@westpac.co.nz

Michael Gordon
Senior Economist
E: michael.gordon@westpac.co.nz

Darren Gibbs
Senior Economist
E: darren.gibbs@westpac.co.nz

Satish Ranchhod
Senior Economist
E: satish.ranchhod@westpac.co.nz

Paul Clark
Industry Economist
E: paul.clarke@westpac.co.nz

Westpac Economics / Fiji

Suva
1 Thomson Street
Suva, Fiji

Shamal Chand
Senior Economist
E: shamal.chand@westpac.com.au

IQ
westpaciq.com.au

Things you should know

We respect your privacy: You can view the New Zealand Privacy Policy here, or the Australian Group Privacy Statement here. Each time someone visits our site, data is captured so that we can accurately evaluate the quality of our content and make improvements for you. We may at times use technology to capture data about you to help us to better understand you and your needs, including potentially for the purposes of assessing your individual reading habits and interests to allow us to provide suggestions regarding other reading material which may be suitable for you.

Disclaimer

This information has been prepared by Westpac and is intended for information purposes only. It is not intended to reflect any recommendation or financial advice and investment decisions should not be based on it. This information does not constitute an offer, a solicitation of an offer, or an inducement to subscribe for, purchase or sell any financial instrument or to enter into a legally binding contract. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice. Certain types of transactions, including those involving futures, options and high yield securities give rise to substantial risk and are not suitable for all investors. We recommend that you seek your own independent legal or financial advice before proceeding with any investment decision.

This information may contain material provided by third parties. While such material is published with the necessary permission none of Westpac or its related entities accepts any responsibility for the accuracy or completeness of any such material. Although we have made every effort to ensure this information is free from error, none of Westpac or its related entities warrants the accuracy, adequacy or completeness of this information, or otherwise endorses it in any way. Except where contrary to law, Westpac Group intend by this notice to exclude liability for this information. This information is subject to change without notice and none of Westpac or its related entities is under any obligation to update this information or correct any inaccuracy which may become apparent at a later date. This information may contain or incorporate by reference forward looking statements. The words "believe", "anticipate", "expect", "intend", "plan", "predict", "continue", "assume", "positioned", "may", "will", "should", "shall", "risk" and other similar expressions that are predictions of or indicate future events and future trends identify forward-looking statements. These forward-looking statements include all matters that are not historical facts. Past performance is not a reliable indicator of future performance, nor are forecasts of future performance. Whilst every effort has been taken to ensure that the assumptions on which any forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The ultimate outcomes may differ substantially from any forecasts.

Conflicts of Interest: In the normal course of offering banking products and services to its clients, the Westpac Group may act in several capacities (including issuer, market maker, underwriter, distributor, swap counterparty and calculation agent) simultaneously with respect to a financial instrument, giving rise to potential conflicts of interest which may impact the performance of a financial instrument. The Westpac Group may at any time transact or hold a position (including hedging and trading positions) for its own account or the account of a client in any financial instrument which may impact the performance of that financial instrument.

Author(s) disclaimer and declaration: The author(s) confirms that (a) no part of his/her compensation was, is, or will be, directly or indirectly, related to any views or (if applicable) recommendations expressed in this material; (b) this material accurately reflects his/her personal views about the financial products, companies or issuers (if applicable) and is based on sources reasonably believed to be reliable and accurate; (c) to the best of the author's knowledge, they are not in receipt of inside information and this material does not contain inside information; and (d) no other part of the Westpac Group has made any attempt to influence this material.

Further important information regarding sustainability related content: This material may contain statements relating to environmental, social and governance (ESG) topics. These are subject to known and unknown risks, and there are significant uncertainties, limitations, risks and assumptions in the metrics, modelling, data, scenarios, reporting and analysis on which the statements rely. In particular, these areas are rapidly evolving and maturing, and there are variations in approaches and common standards and practice, as well as uncertainty around future related policy and legislation. Some material may include information derived from publicly available sources that have not been independently verified. No representation or warranty is made as to the accuracy, completeness or reliability of the information. There is a risk that the analysis, estimates, judgements, assumptions, views, models, scenarios or projections used may turn out to be incorrect. These risks may cause actual outcomes to differ materially from those expressed or implied. The ESG-related statements in this material do not constitute advice, nor are they guarantees or predictions of future performance, and Westpac gives no representation, warranty or assurance (including as to the quality, accuracy or completeness of the statements). You should seek your own independent advice.

Additional country disclosures:

Australia: Westpac holds an Australian Financial Services Licence (No. 233714). You can access Westpac's Financial Services Guide here or request a copy from your Westpac point of contact. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice.

New Zealand: In New Zealand, Westpac Institutional Bank refers to the brand under which products and services are provided by either Westpac (NZ division) or Westpac New Zealand Limited (company number 1763882), the New Zealand incorporated subsidiary of Westpac ("WNZL"). Any product or service made available by WNZL does not represent an offer from Westpac or any of its subsidiaries (other than WNZL). Neither Westpac nor its other subsidiaries guarantee or otherwise support the performance of WNZL in respect of any such product. WNZL is not an authorised deposit-taking institution for the purposes of Australian prudential standards. The current disclosure statements for the New Zealand branch of Westpac and WNZL can be obtained at www.westpac.co.nz.

Singapore: This material has been prepared and issued for distribution in Singapore to institutional investors, accredited investors and expert investors (as defined in the applicable Singapore laws and regulations) only. Recipients of this material in Singapore should contact Westpac Singapore Branch in respect of any matters arising from, or in connection with, this material. Westpac Singapore Branch holds a wholesale banking licence and is subject to supervision by the Monetary Authority of Singapore.

Disclaimer continues overleaf ▶

Fiji: Unless otherwise specified, the products and services for Westpac Fiji are available from www.westpac.com.fj © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia and registered as a branch in Fiji. The liability of its members is limited.

Papua New Guinea: Unless otherwise specified, the products and services for Westpac PNG are available from www.westpac.com.pg © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia. Westpac is represented in Papua New Guinea by Westpac Bank - PNG - Limited. The liability of its members is limited.

U.S: Westpac operates in the United States of America as a federally licensed branch, regulated by the Office of the Comptroller of the Currency. Westpac is also registered with the US Commodity Futures Trading Commission ("CFTC") as a Swap Dealer, but is neither registered as, or affiliated with, a Futures Commission Merchant registered with the US CFTC. The services and products referenced above are not insured by the Federal Deposit Insurance Corporation ("FDIC"). Westpac Capital Markets, LLC ('WCM'), a wholly-owned subsidiary of Westpac, is a broker-dealer registered under the U.S. Securities Exchange Act of 1934 ('the Exchange Act') and member of the Financial Industry Regulatory Authority ('FINRA'). In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WCM other than as provided for in certain legal agreements between Westpac and WCM and obligations of WCM do not represent liabilities of Westpac.

This communication is provided for distribution to U.S. institutional investors in reliance on the exemption from registration provided by Rule 15a-6 under the Exchange Act and is not subject to all of the independence and disclosure standards applicable to debt research reports prepared for retail investors in the United States. WCM is the U.S. distributor of this communication and accepts responsibility for the contents of this communication. Transactions by U.S. customers of any securities referenced herein should be effected through WCM. All disclaimers set out with respect to Westpac apply equally to WCM. If you would like to speak to someone regarding any security mentioned herein, please contact WCM on +1 212 389 1269. Investing in any non-U.S. securities or related financial instruments mentioned in this communication may present certain risks. The securities of non-U.S. issuers may not be registered with, or be subject to the regulations of, the SEC in the United States. Information on such non-U.S. securities or related financial instruments may be limited. Non-U.S. companies may not be subject to audit and reporting standards and regulatory requirements comparable to those in effect in the United States. The value of any investment or income from any securities or related derivative instruments denominated in a currency other than U.S. dollars is subject to exchange rate fluctuations that may have a positive or adverse effect on the value of or income from such securities or related derivative instruments.

The author of this communication is employed by Westpac and is not registered or qualified as a research analyst, representative, or associated person of WCM or any other U.S. broker-dealer under the rules of FINRA, any other U.S. self-regulatory organisation, or the laws, rules or regulations of any State. Unless otherwise specifically stated, the views expressed herein are solely those of the author and may differ from the information, views or analysis expressed by Westpac and/or its affiliates.

UK: The London branch of Westpac is authorised in the United Kingdom by the Prudential Regulation Authority (PRA) and is subject to regulation by the Financial Conduct Authority (FCA) and limited regulation by the PRA (Financial Services Register number: 124586). The London branch of Westpac is registered at Companies House as a branch established in the United Kingdom (Branch No. BR000106). Details about the extent of the regulation of Westpac's London branch by the PRA are available from us on request.

This communication is not being made to or distributed to, and must not be passed on to, the general public in the United Kingdom. Rather, this communication is being made only to and is directed at (a) those persons falling within the definition of Investment Professionals (set out in Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (the "Order")); (b) those persons falling within the definition of high net worth companies, unincorporated associations etc. (set out in Article 49(2)of the Order; (c) other persons to whom it may lawfully be communicated in accordance with the Order or (d) any persons to whom it may otherwise lawfully be made (all such persons together being referred to as "relevant persons"). Any person who is not a relevant person should not act or rely on this communication or any of its contents. In the same way, the information contained in this communication is intended for "eligible counterparties" and "professional clients" as defined by the rules of the Financial Conduct Authority and is not intended for "retail clients". Westpac expressly prohibits you from passing on the information in this communication to any third party.

European Economic Area ("EEA"): This material may be distributed to you by either: (i) Westpac directly, or (ii) Westpac Europe GmbH ("WEG") under a sub-licensing arrangement. WEG has not edited or otherwise modified the content of this material. WEG is authorised in Germany by the Federal Financial Supervision Authority ('BaFin') and subject to its regulation. WEG's supervisory authorities are BaFin and the German Federal Bank ('Deutsche Bundesbank'). WEG is registered with the commercial register ('Handelsregister') of the local court of Frankfurt am Main under registration number HRB 118483. In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WEG other than as provided for in certain legal agreements (a risk transfer, sub-participation and collateral agreement) between Westpac and WEG and obligations of WEG do not represent liabilities of Westpac. Any product or service made available by WEG does not represent an offer from Westpac or any of its subsidiaries (other than WEG). All disclaimers set out with respect to Westpac apply equally to WEG.

This communication is not intended for distribution to, or use by any person or entity in any jurisdiction or country where such distribution or use would be contrary to local law or regulation.

This communication contains general commentary, research, and market colour. The communication does not constitute investment advice. The material may contain an 'investment recommendation' and/or 'information recommending or suggesting an investment', both as defined in Regulation (EU) No 596/2014 (including as applicable in the United Kingdom) ("MAR"). In accordance with the relevant provisions of MAR, reasonable care has been taken to ensure that the material has been objectively presented and that interests or conflicts of interest of the sender concerning the financial instruments to which that information relates have been disclosed.

Investment recommendations must be read alongside the specific disclosure which accompanies them and the general disclosure which can be found here. Such disclosure fulfils certain additional information requirements of MAR and associated delegated legislation and by accepting this communication you acknowledge that you are aware of the existence of such additional disclosure and its contents.

To the extent this communication comprises an investment recommendation it is classified as non-independent research. It has not been prepared in accordance with legal requirements designed to promote the independence of investment research and therefore constitutes a marketing communication. Further, this communication is not subject to any prohibition on dealing ahead of the dissemination of investment research.

Australian Business Conditions and Confidence, June

#businessconditions #confidence #aud #australia

By Luka Belobrajdic
Economist, Westpac

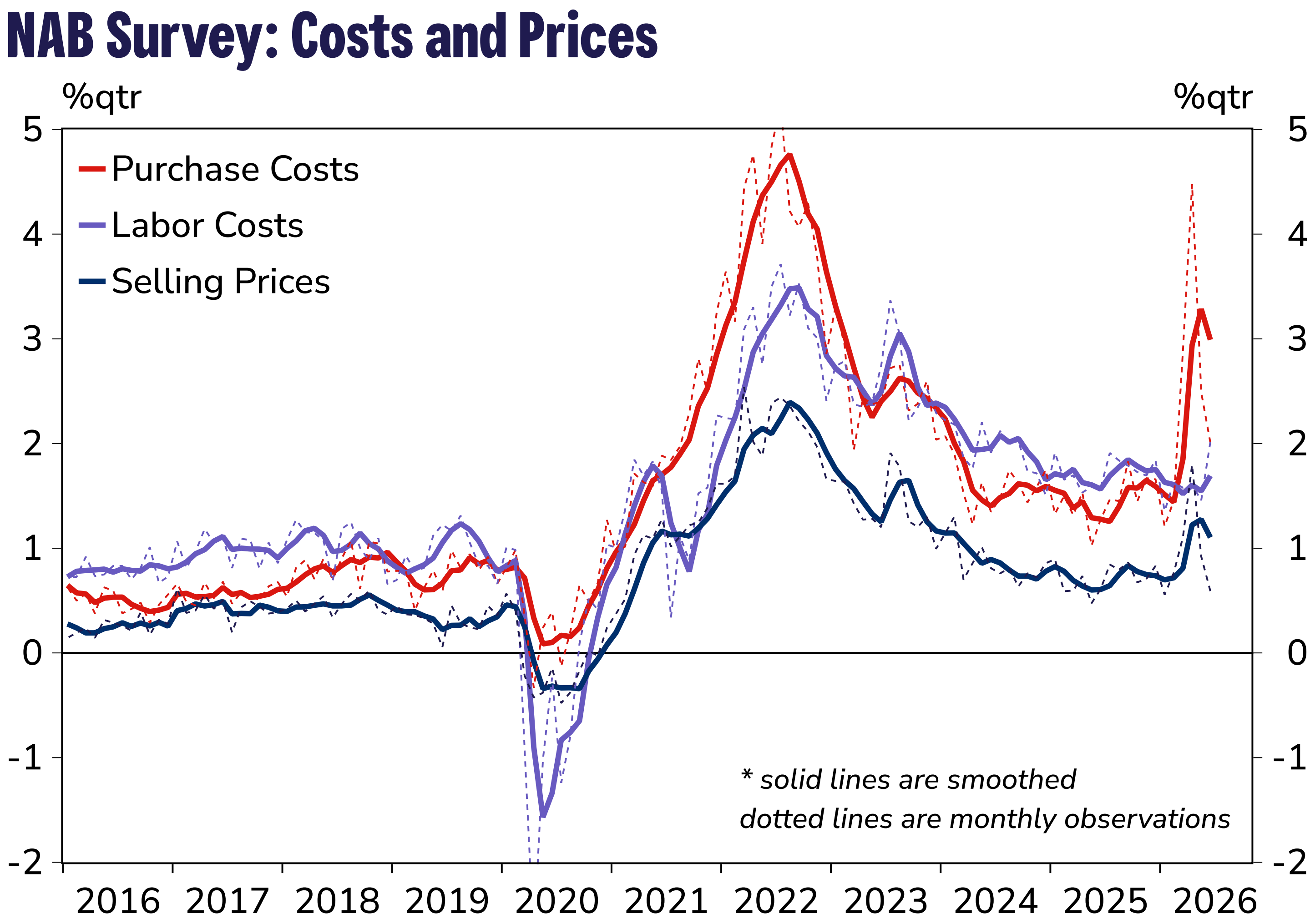
14:10 July 14 2026

Share

An easing in global commodity prices sees business confidence recover further in June, while conditions hold steady. Confidence +9pts to –5 / Conditions unchanged at +3.

The June NAB Business Survey was in the field from 23 June to 1 July, capturing businesses' reaction to the signing of the US-Iran Memorandum of Understanding and the subsequent pull-back in global commodity prices. Business confidence continued to recover from the sharp decline recorded in March following the initial outbreak of the conflict between the US and Iran, rising 9pts to –5 in June. Despite the improvement, confidence remains 10pts below its long-run average, among the bottom 10% of outcomes recorded since 1997, highlighting ongoing caution around the outlook. Consumers appear to share a similar view, with concerns around a worst-case scenario for fuel prices and further rate rises easing, while sentiment remains subdued overall.

Part of the improvement in business confidence reflects a further moderation in cost pressures in June. Purchase cost growth declined by 0.5ppt to 2.0%qtr, aided by easing fuel prices after a downwardly revised 2.0ppt fall in May. While well below the 4.5%qtr peak recorded in April, purchase cost growth remains 0.8ppt above its long-run average. However, the recent flare-up between the US and Iran and subsequent rise in oil prices over the past week demonstrates that upside risks around input cost pressures remain at play. Final product price growth also moderated, falling 0.3ppt to 0.6%qtr, matching its long-run average. In contrast, labour cost growth rose by 0.5ppt, the largest increase since July 2023, to 2.0%qtr. Given the survey was in the field to 1 July, the result captures at least some of the 4.75% increase in award wages.

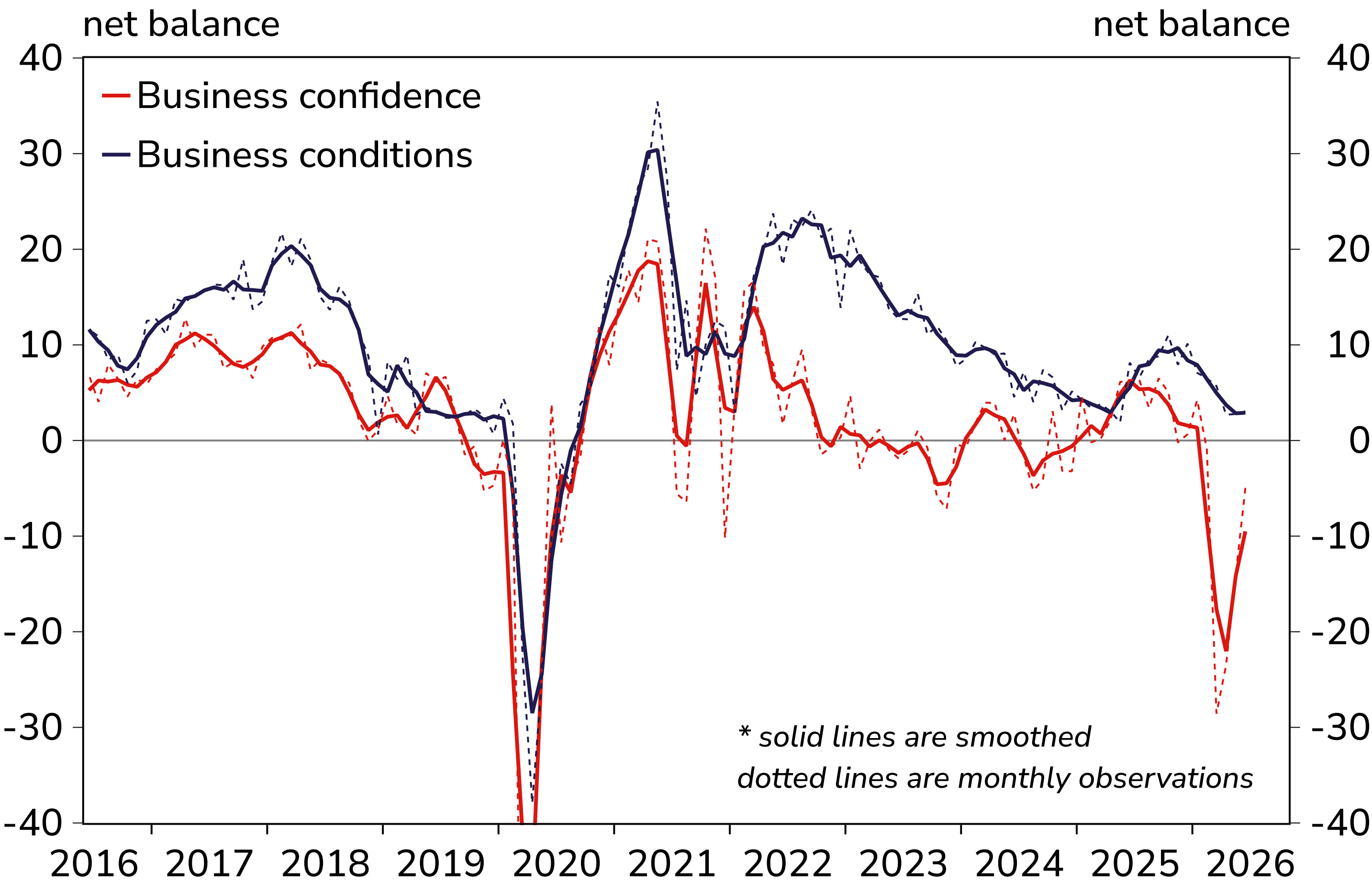


Source: NAB, ABS, Macrobond, Westpac Economics

The headline business conditions index held steady at 3pts in June, marking a third consecutive month at that level. Conditions remain 4pts below their long-run average and well below the peak of 11pts recorded in October last year. On a three-month average basis, conditions continue to trend lower through 2026, reinforcing the view that underlying momentum has been easing.

Across the major sub-components, profitability improved modestly, rising 2pts (rounded) to 0. While this leaves the sub-index 5pts below its long-run average, it suggests the balance of firms reporting a squeeze on profit margins has eased. Trading conditions were broadly unchanged at 7pts, remaining 4pts below their long-run average. Meanwhile, the employment sub-index fell 1pt to 1, leaving it 2pts below its long-run average. The result is the weakest since June 2024 and, on a three-month average basis, points to a material slowing in labour demand, reinforcing our view that genuine weakness is emerging in the labour market.

Business conditions and confidence

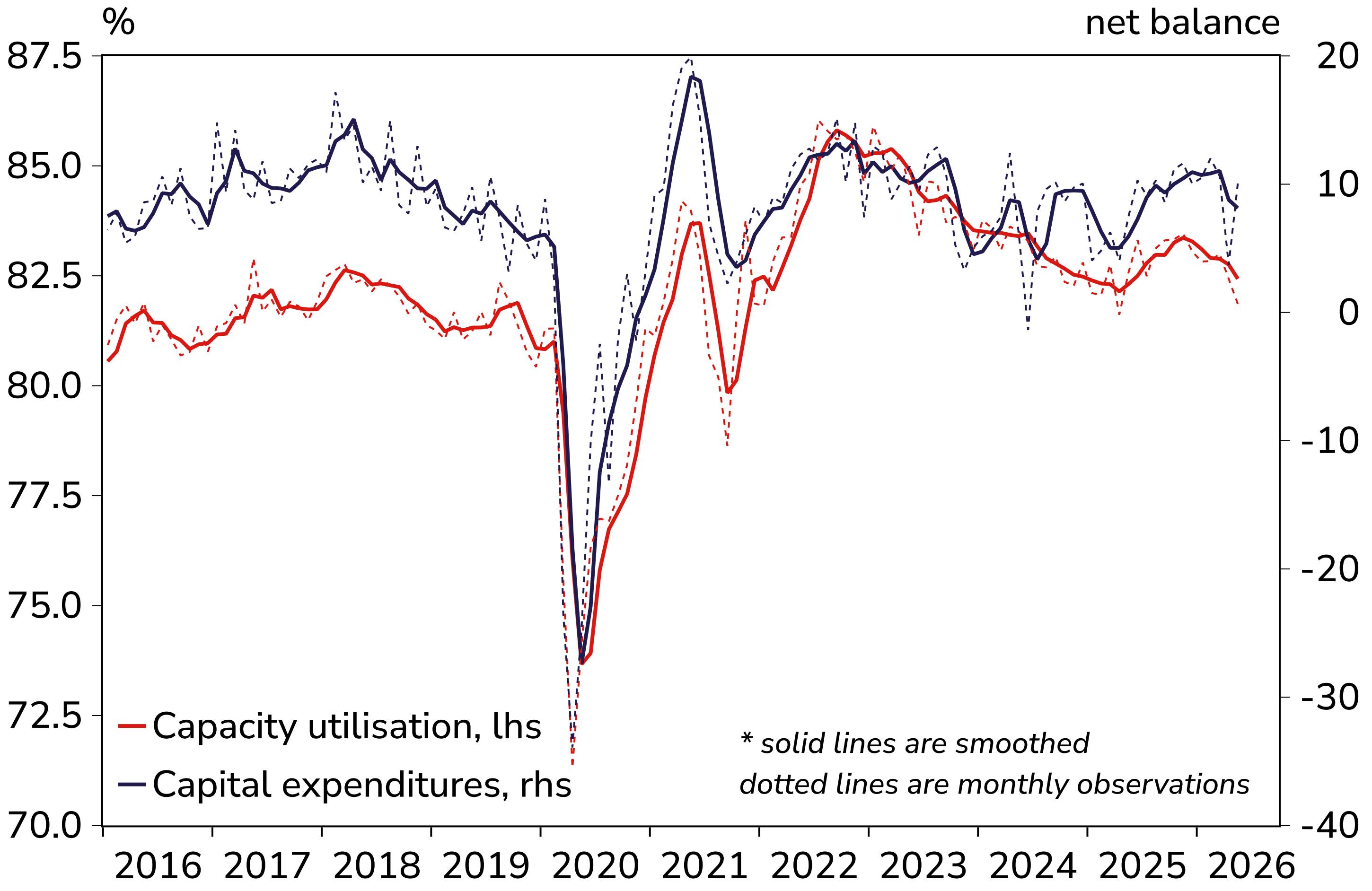


Source: NAB, Macrobond, Westpac Economics

Capacity utilisation rose marginally to 82.0% in June. While 0.6ppt above its long-run average, the broader trend continues to point to an easing in capacity pressures since late last year. By contrast, capital expenditure fell sharply, declining 8pts to 1 – the largest monthly fall since August 2020 during the height of the COVID-19 pandemic. Looking through the recent volatility, the three-month average continues to point to a moderation in planned capital expenditure.

Among other indicators, forward orders rose 1pt to 0, continuing to recover from the weakness seen following the outbreak of the Middle East conflict. Inventories increased by 1pt to 4, likely reflecting broadly stable trading conditions.

Capacity utilisation and capital expenditures



Source: NAB, Macrobond, Westpac Economics

Stay informed with Westpac IQ

Get the latest reports straight to your inbox.

Subscribe

Related articles

#businessconditions

First Impressions: NZIER Quarterly Survey of Business Opinion, June quarter 2026

July 14 2026 • 2 mins

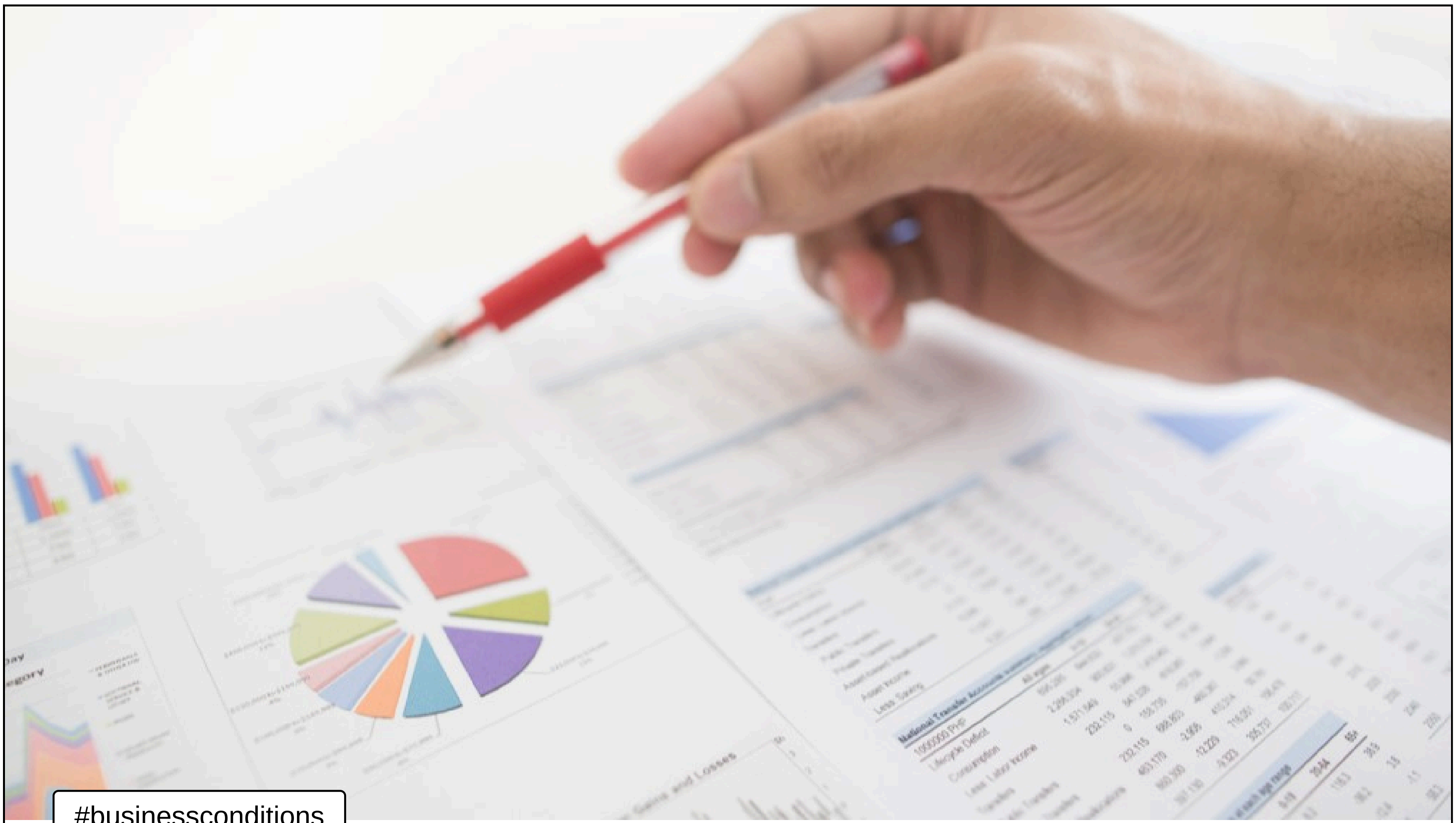
By Michael Gordon

#businessconditions

First Impressions: NZ business confidence, June 2026 – Inflation pressures easing ahead of RBNZ interest rate review

June 30 2026 • 2 mins

By Satish Ranchhod



#businessconditions

Australian Business Conditions and Confidence, May

June 09 2026 • 5 mins

By Luka Belobrajdic

Browse topics

#aud #australia #interestrates #nzd #usd #newzealand #rates #yieldcurve #credit #acgb #inflation #rba #semigovernment #basis #commodities #ustreasury #fx #rbnz #jpy #abs Show more tags

Disclaimer

Things you should know

We respect your privacy: You can view the New Zealand Privacy Policy here, or the Australian Group Privacy Statement here. Each time someone visits our site, data is captured so that we can accurately evaluate the quality of our content and make improvements for you. We may at times use technology to capture data about you to help us to better understand you and your needs, including potentially for the purposes of assessing your individual reading habits and interests to allow us to provide suggestions regarding other reading material which may be suitable for you.

Disclaimer

This information has been prepared by Westpac and is intended for information purposes only. It is not intended to reflect any recommendation or financial advice and investment decisions should not be based on it. This information does not constitute an offer, a solicitation of an offer, or an inducement to subscribe for, purchase or sell any financial instrument or to enter into a legally binding contract. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice. Certain types of transactions, including those involving futures, options and high yield securities give rise to substantial risk and are not suitable for all investors. We recommend that you seek your own independent legal or financial advice before proceeding with any investment decision.

This information may contain material provided by third parties. While such material is published with the necessary permission none of Westpac or its related entities accepts any responsibility for the accuracy or completeness of any such material. Although we have made every effort to ensure this information is free from error, none of Westpac or its related entities warrants the accuracy, adequacy or completeness of this information, or otherwise endorses it in any way. Except where contrary to law, Westpac Group intend by this notice to exclude liability for this information. This information is subject to change without notice and none of Westpac or its related entities is under any obligation to update this information or correct any inaccuracy which may become apparent at a later date. This information may contain or incorporate by reference forward-looking statements. The words "believe", "anticipate", "expect", "intend", "plan", "predict", "continue", "assume", "positioned", "may", "will", "should", "shall", "risk" and other similar expressions that are predictions of or indicate future events and future trends identify forward-looking statements. These forward-

looking statements include all matters that are not historical facts. Past performance is not a reliable indicator of future performance, nor are forecasts of future performance. Whilst every effort has been taken to ensure that the assumptions on which any forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The ultimate outcomes may differ substantially from any forecasts.

Conflicts of Interest: In the normal course of offering banking products and services to its clients, the Westpac Group may act in several capacities (including issuer, market maker, underwriter, distributor, swap counterparty and calculation agent) simultaneously with respect to a financial instrument, giving rise to potential conflicts of interest which may impact the performance of a financial instrument. The Westpac Group may at any time transact or hold a position (including hedging and trading positions) for its own account or the account of a client in any financial instrument which may impact the performance of that financial instrument.

Author(s) disclaimer and declaration: The author(s) confirms that (a) no part of his/her compensation was, is, or will be, directly or indirectly, related to any views or (if applicable) recommendations expressed in this material; (b) this material accurately reflects his/her personal views about the financial products, companies or issuers (if applicable) and is based on sources reasonably believed to be reliable and accurate; (c) to the best of the author’s knowledge, they are not in receipt of inside information and this material does not contain inside information; and (d) no other part of the Westpac Group has made any attempt to influence this material.

Further important information regarding sustainability-related content: This material may contain statements relating to environmental, social and governance (ESG) topics. These are subject to known and unknown risks, and there are significant uncertainties, limitations, risks and assumptions in the metrics, modelling, data, scenarios, reporting and analysis on which the statements rely. In particular, these areas are rapidly evolving and maturing, and there are variations in approaches and common standards and practice, as well as uncertainty around future related policy and legislation. Some material may include information derived from publicly available sources that have not been independently verified. No representation or warranty is made as to the accuracy, completeness or reliability of the information. There is a risk that the analysis, estimates, judgements, assumptions, views, models, scenarios or projections used may turn out to be incorrect. These risks may cause actual outcomes to differ materially from those expressed or implied. The ESG-related statements in this material do not constitute advice, nor are they guarantees or predictions of future performance, and Westpac gives no representation, warranty or assurance (including as to the quality, accuracy or completeness of the statements). You should seek your own independent advice.

Additional country disclosures:

Australia: Westpac holds an Australian Financial Services Licence (No. 233714). You can access Westpac’s Financial Services Guide here or request a copy from your Westpac point of contact. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the

appropriateness of the advice.

New Zealand: In New Zealand, Westpac Institutional Bank refers to the brand under which products and services are provided by either Westpac (NZ division) or Westpac New Zealand Limited (company number 1763882), the New Zealand incorporated subsidiary of Westpac ("WNZL"). Any product or service made available by WNZL does not represent an offer from Westpac or any of its subsidiaries (other than WNZL). Neither Westpac nor its other subsidiaries guarantee or otherwise support the performance of WNZL in respect of any such product. WNZL is not an authorised deposit-taking institution for the purposes of Australian prudential standards. The current disclosure statements for the New Zealand branch of Westpac and WNZL can be obtained at the internet address www.westpac.co.nz.

Singapore: This material has been prepared and issued for distribution in Singapore to institutional investors, accredited investors and expert investors (as defined in the applicable Singapore laws and regulations) only. Recipients of this material in Singapore should contact Westpac Singapore Branch in respect of any matters arising from, or in connection with, this material. Westpac Singapore Branch holds a wholesale banking licence and is subject to supervision by the Monetary Authority of Singapore.

Fiji: Unless otherwise specified, the products and services for Westpac Fiji are available from www.westpac.com.fj © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia and registered as a branch in Fiji. The liability of its members is limited.

Papua New Guinea: Unless otherwise specified, the products and services for Westpac PNG are available from www.westpac.com.pg © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia. Westpac is represented in Papua New Guinea by Westpac Bank - PNG - Limited. The liability of its members is limited.

U.S.: Westpac operates in the United States of America as a federally licensed branch, regulated by the Office of the Comptroller of the Currency. Westpac is also registered with the US Commodity Futures Trading Commission ("CFTC") as a Swap Dealer, but is neither registered as, or affiliated with, a Futures Commission Merchant registered with the US CFTC. The services and products referenced above are not insured by the Federal Deposit Insurance Corporation ("FDIC"). Westpac Capital Markets, LLC ('WCM'), a wholly-owned subsidiary of Westpac, is a broker-dealer registered under the U.S. Securities Exchange Act of 1934 ('the Exchange Act') and member of the Financial Industry Regulatory Authority ('FINRA'). In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WCM other than as provided for in certain legal agreements between Westpac and WCM and obligations of WCM do not represent

liabilities of Westpac.

This communication is provided for distribution to U.S. institutional investors in reliance on the exemption from registration provided by Rule 15a-6 under the Exchange Act and is not subject to all of the independence and disclosure standards applicable to debt research reports prepared for retail investors in the United States. WCM is the U.S. distributor of this communication and accepts responsibility for the contents of this communication. Transactions by U.S. customers of any securities referenced herein should be effected through WCM. All disclaimers set out with respect to Westpac apply equally to WCM. If you would like to speak to someone regarding any security mentioned herein, please contact WCM on +1 212 389 1269. Investing in any non-U.S. securities or related financial instruments mentioned in this communication may present certain risks. The securities of non-U.S. issuers may not be registered with, or be subject to the regulations of, the SEC in the United States. Information on such non-U.S. securities or related financial instruments may be limited. Non-U.S. companies may not be subject to audit and reporting standards and regulatory requirements comparable to those in effect in the United States. The value of any investment or income from any securities or related derivative instruments denominated in a currency other than U.S. dollars is subject to exchange rate fluctuations that may have a positive or adverse effect on the value of or income from such securities or related derivative instruments.

The author of this communication is employed by Westpac and is not registered or qualified as a research analyst, representative, or associated person of WCM or any other U.S. broker-dealer under the rules of FINRA, any other U.S. self-regulatory organisation, or the laws, rules or regulations of any State. Unless otherwise specifically stated, the views expressed herein are solely those of the author and may differ from the information, views or analysis expressed by Westpac and/or its affiliates.

UK: The London branch of Westpac is authorised in the United Kingdom by the Prudential Regulation Authority (PRA) and is subject to regulation by the Financial Conduct Authority (FCA) and limited regulation by the PRA (Financial Services Register number: 124586). The London branch of Westpac is registered at Companies House as a branch established in the United Kingdom (Branch No. BR000106). Details about the extent of the regulation of Westpac's London branch by the PRA are available from us on request.

This communication is not being made to or distributed to, and must not be passed on to, the general public in the United Kingdom. Rather, this communication is being made only to and is directed at (a) those persons falling within the definition of Investment Professionals (set out in Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (the "Order")); (b) those persons falling within the definition of high net worth companies, unincorporated associations etc. (set out in Article 49(2)of the Order; (c) other persons to whom it may lawfully be communicated in accordance with the Order or (d) any persons to whom it may otherwise lawfully be made (all such persons together being referred to as "relevant persons"). Any person who is not a relevant person should not act or rely on this communication or any of its contents. In the same way, the information contained in this communication is intended for "eligible counterparties" and

“professional clients” as defined by the rules of the Financial Conduct Authority and is not intended for “retail clients”. Westpac expressly prohibits you from passing on the information in this communication to any third party.

European Economic Area (“EEA”): This material may be distributed to you by either: (i) Westpac directly, or (ii) Westpac Europe GmbH (“WEG”) under a sub-licensing arrangement. WEG has not edited or otherwise modified the content of this material. WEG is authorised in Germany by the Federal Financial Supervision Authority (‘BaFin’) and subject to its regulation. WEG’s supervisory authorities are BaFin and the German Federal Bank (‘Deutsche Bundesbank’). WEG is registered with the commercial register (‘Handelsregister’) of the local court of Frankfurt am Main under registration number HRB 118483. In accordance with APRA’s Prudential Standard 222 ‘Association with Related Entities’, Westpac does not stand behind WEG other than as provided for in certain legal agreements (a risk transfer, sub-participation and collateral agreement) between Westpac and WEG and obligations of WEG do not represent liabilities of Westpac. Any product or service made available by WEG does not represent an offer from Westpac or any of its subsidiaries (other than WEG). All disclaimers set out with respect to Westpac apply equally to WEG.

This communication is not intended for distribution to, or use by any person or entity in any jurisdiction or country where such distribution or use would be contrary to local law or regulation.

This communication contains general commentary, research, and market colour. The communication does not constitute investment advice. The material may contain an ‘investment recommendation’ and/or ‘information recommending or suggesting an investment’, both as defined in Regulation (EU) No 596/2014 (including as applicable in the United Kingdom) (“MAR”). In accordance with the relevant provisions of MAR, reasonable care has been taken to ensure that the material has been objectively presented and that interests or conflicts of interest of the sender concerning the financial instruments to which that information relates have been disclosed.

Investment recommendations must be read alongside the specific disclosure which accompanies them and the general disclosure which can be found here. Such disclosure fulfils certain additional information requirements of MAR and associated delegated legislation and by accepting this communication you acknowledge that you are aware of the existence of such additional disclosure and its contents.

To the extent this communication comprises an investment recommendation it is classified as non-independent research. It has not been prepared in accordance with legal requirements designed to promote the independence of investment research and therefore constitutes a marketing communication. Further, this communication is not subject to any prohibition on dealing ahead of the dissemination of investment research.

27 July 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Market sentiment was supported by reports that Pakistan and Iran were exploring new peace talks with the US and that oil exports from the Middle East continued to flow. Over the weekend, the US paused strikes against Iran as tensions in the region continued to escalate.

On Friday, major US equity markets were mixed, while oil prices fell sharply and bond markets rallied following a 4% decline in Brent crude prices. The US dollar was broadly unchanged, while the Aussie was slightly higher against the greenback.

Markets are now pricing in a 38% chance of a US Federal Reserve rate hike this week, up from 13% a week ago.

In Australia, OIS pricing points to a terminal cash rate of around 4.65% this year, with one additional rate hike expected by December. However, this is likely to shift this week depending on the Q2 inflation outcome, which will be released later in the week.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	65.4	-0.5%
AUD/USD	0.6979	0.1%
AUD/JPY	114.35	0.2%
AUD/GBP	0.5241	0.1%
AUD/NZD	1.2073	0.0%
AUD/EUR	0.6140	0.2%
AUD/CNH	4.7274	0.1%
AUD/SGD	0.9013	0.1%
AUD/HKD	5.4764	0.2%
AUD/CAD	0.9807	-0.1%
EUR/USD	1.1370	-0.1%
USD/JPY	163.83	0.0%
USD Index	101.47	0.0%

Equities	Close	Change
S&P/ASX 200	8,772	-0.8%
S&P 500	7,412	0.0%
Japan Nikkei	64,611	-2.7%
Hang Seng	24,963	-1.0%
Euro Stoxx 50	6,281	1.1%
UK FTSE100	10,736	0.9%
VIX Index	18.58	-0.6%

Commodities	Current	Change
CRB Index	395.67	-1.1%
Gold	4052.79	0.1%
Copper	13645	0.4%
Oil (WTI futures)	89.31	-3.1%
Coal (coking)	221.00	-0.9%
Coal (thermal)	137.75	1.1%
Iron Ore	97.90	-0.3%
ACCU	36.13	-4.3%

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.40	0.02
90 day BBSY	4.59	0.04
180 day BBSY	4.93	0.07
1 year swap	4.68	-0.01
2 year swap	4.68	-0.01
3 year swap	4.66	0.01
4 year swap	4.66	-0.01
5 year swap	4.68	-0.01
6 year swap	4.72	-0.01
7 year swap	4.77	0.00
8 year swap	4.82	-0.01
9 year swap	4.86	-0.01
10 year swap	4.90	-0.01

Government Bond Yields	Close	Change
Australia		
3 year bond	4.72	0.11
10 year bond	5.09	0.10
United States		
3-month T Bill	3.81	0.00
2 year bond	4.33	-0.02
10 year bond	4.68	-0.02
Other (10 year yields)		
Germany	3.17	-0.03
Japan	2.82	0.03
UK	5.03	-0.07

Sydney Futures Exchange	Current	Change
10 yr bond	5.08	-0.04
3 yr bond	4.68	-0.04
3 mth bill rate	4.47	0.00
SPI 200	8,766	0.6%

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

Pat Bustamante
Senior Economist, Westpac Group
P: +61 468 571 786
E: pat.bustamante@westpac.com.au

Financial Markets

- Markets settled on Friday as investors responded to reports that Pakistan and Iran were exploring options to enter new peace talks with the US, alongside reports that oil was still able to flow out of the Middle East. Brent crude prices retreated from US$100 a barrel, falling 4%, its biggest one-day drop since late June.
- Over the weekend, reports suggested the US paused strikes against Iran for a second consecutive night as tensions continued to escalate in the Red Sea following clashes involving Yemen's Houthi militants and Saudi Arabia. The Houthis claimed responsibility for missile and drone attacks on Saudi Aramco-linked facilities in Jizan and Yanbu, prompting retaliatory strikes by a Saudi-led coalition.
- US equity markets were mixed. The S&P 500 finished broadly unchanged, while the Dow Jones Industrial Average rose 0.4% and the tech-heavy Nasdaq fell 0.6%. Market volatility eased, with the VIX Index falling 0.6% to 18.6. Over the week, however, key US equity indices were lower, with the S&P 500 and Dow Jones Industrial Average falling 0.6% and 0.4%, respectively, while the Nasdaq underperformed, falling 2.1%.
- European equities outperformed, supported by lower oil prices and stronger-than-expected PMI results. The Euro Stoxx 50 rose 1.1%, Germany's DAX gained 1.4% and the FTSE 100 increased 0.9%. In Asia, equities were weaker, with the Nikkei falling 2.7% and the Hang Seng declining 1.0%. Locally, the S&P/ASX 200 fell 0.8% to 8,772. SPI futures were up 0.6%, pointing to a firmer open for the Aussie market.
- Bond markets rallied modestly on the back of the falls in oil prices. In the US, the 2-year Treasury yield fell 2bps to 4.33%, while the 10-year Treasury yield declined 2bps to 4.68%. Traders are now pricing in roughly a 38% chance of a rate hike at this week's Federal Reserve meeting, up from just 13% a week ago. European yields also moved lower, with German 10-year Bund yields falling 3bps to 3.17% and UK 10-year gilt yields down 7bps to 5.03%. Japanese 10-year government bond yields rose 3bps to 2.82%.
- Australian bond yields moved higher in cash markets but lower in futures trading. The 3-year government bond yield rose 11bps to 4.72%, while the 10-year yield increased 10bps to 5.09%. However, Sydney Futures Exchange pricing showed the 3-year and 10-year futures yields both down 4bps, suggesting a stronger open for the local bond market. OIS pricing suggests a terminal cash rate of around 4.65% this year, with the market pricing in one more hike by December this year.

Today's key data and events

Time	Event	Exp	Prev
11:30	CN Industrial Profits Jun	-	21.1%
18:00	EZ M3 Money Supply Jun	-	3.2%
22:30	US Durable Goods Orders Jun Prel.	1.4%	-4.5%
0:30	US Dallas Fed Manufacturing Jul	-	0pts

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

- In foreign exchange markets, the US dollar index was broadly unchanged, while the Aussie was broadly firmer. The AUD/USD rose 0.1% to 0.6979, while the Australian dollar also gained against the Japanese yen (+0.2%), pound sterling (+0.1%), euro (+0.2%), Chinese yuan (+0.1%), Singapore dollar (+0.1%) and Hong Kong dollar (+0.2%). The trade-weighted index (TWI) eased 0.5% to 65.4, while the Australian dollar was unchanged against the New Zealand dollar and slipped 0.1% against the Canadian dollar.
- Commodity markets were generally weaker. The commodity index fell 1.1%, reflecting declines across energy and carbon markets. WTI crude oil dropped 3.1% to US$89.31/bbl following reports that Pakistan and Iran were exploring options to enter new peace talks with the US. Iron ore fell 0.3% to US$97.90/t, while coking coal declined 0.9%. Thermal coal was a notable exception, rising 1.1%. Copper increased 0.4%, supported by ongoing supply concerns, while gold edged 0.1% higher.

International Data

US new homes sales gained 1.6% in June after May's decline was revised from -7.3% to -4.3%. The current level of sales is almost 40% below the late-2020 peak.

The **US S&P manufacturing PMI** was little changed at 53.8 in July while the services measures improved from 51.2 to 53.6. A similar result was seen for the **Euro Area**, the manufacturing PMI reported at 52.0 and the services index 51.6, and the **UK**, manufacturing and services PMIs, respectively 52.8 and 51.8.

UK GfK consumer confidence improved from -23 to -17 in July, modestly below the survey's full-history average.

UK retail sales surprised materially to the upside in June, registering a 1.0% gain after a 1.2% increase in May. Activity was broad based, sales rising 1.1% in June excluding fuel. Over the year, sales are up 4.2% overall and 5.4% excluding fuel.

Local Data

The **Westpac-Now** continues to point to GDP growth of around 0.2%qtr in Q2, broadly in line with the sluggish 0.3%qtr outcome in Q1 2026. However, the Westpac Monthly Activity Index is showing tentative signs of stabilising (see here).

Corporate Directory

Westpac Economics / Australia

Sydney
Level 19, 275 Kent Street
Sydney NSW 2000
Australia

E: economics@westpac.com.au

Luci Ellis
Chief Economist Westpac Group
E: luci.ellis@westpac.com.au

Matthew Hassan
Head of Australian Macro–Forecasting
E: mhassan@westpac.com.au

Elliot Clarke
Head of International Economics
E: eclarke@westpac.com.au

Sian Fenner
Head of Business and Industry Economics
E: sian.fenner@westpac.com.au

Justin Smirk
Senior Economist
E: jsmirk@westpac.com.au

Pat Bustamante
Senior Economist
E: pat.bustamante@westpac.com.au

Mantas Vanagas
Senior Economist
E: mantas.vanagas@westpac.com.au

Ryan Wells
Economist
E: ryan.wells@westpac.com.au

Illiana Jain
Economist
E: illiana.jain@westpac.com.au

Neha Sharma
Economist
E: neha.sharma1@westpac.com.au

Luka Belobrajdic
Economist
E: luka.belobrajdic@westpac.com.au

Westpac Economics / New Zealand

Auckland
Takutai on the Square
Level 8, 16 Takutai Square
Auckland, New Zealand

E: economics@westpac.co.nz

Kelly Eckhold
Chief Economist NZ
E: kelly.eckhold@westpac.co.nz

Michael Gordon
Senior Economist
E: michael.gordon@westpac.co.nz

Darren Gibbs
Senior Economist
E: darren.gibbs@westpac.co.nz

Satish Ranchhod
Senior Economist
E: satish.ranchhod@westpac.co.nz

Paul Clark
Industry Economist
E: paul.clarke@westpac.co.nz

Westpac Economics / Fiji

Suva
1 Thomson Street
Suva, Fiji

Shamal Chand
Senior Economist
E: shamal.chand@westpac.com.au

Things you should know

We respect your privacy: You can view the New Zealand Privacy Policy here, or the Australian Group Privacy Statement here. Each time someone visits our site, data is captured so that we can accurately evaluate the quality of our content and make improvements for you. We may at times use technology to capture data about you to help us to better understand you and your needs, including potentially for the purposes of assessing your individual reading habits and interests to allow us to provide suggestions regarding other reading material which may be suitable for you.

Disclaimer

This information has been prepared by Westpac and is intended for information purposes only. It is not intended to reflect any recommendation or financial advice and investment decisions should not be based on it. This information does not constitute an offer, a solicitation of an offer, or an inducement to subscribe for, purchase or sell any financial instrument or to enter into a legally binding contract. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice. Certain types of transactions, including those involving futures, options and high yield securities give rise to substantial risk and are not suitable for all investors. We recommend that you seek your own independent legal or financial advice before proceeding with any investment decision.

This information may contain material provided by third parties. While such material is published with the necessary permission none of Westpac or its related entities accepts any responsibility for the accuracy or completeness of any such material. Although we have made every effort to ensure this information is free from error, none of Westpac or its related entities warrants the accuracy, adequacy or completeness of this information, or otherwise endorses it in any way. Except where contrary to law, Westpac Group intend by this notice to exclude liability for this information. This information is subject to change without notice and none of Westpac or its related entities is under any obligation to update this information or correct any inaccuracy which may become apparent at a later date. This information may contain or incorporate by reference forward looking statements. The words "believe", "anticipate", "expect", "intend", "plan", "predict", "continue", "assume", "positioned", "may", "will", "should", "shall", "risk" and other similar expressions that are predictions of or indicate future events and future trends identify forward-looking statements. These forward-looking statements include all matters that are not historical facts. Past performance is not a reliable indicator of future performance, nor are forecasts of future performance. Whilst every effort has been taken to ensure that the assumptions on which any forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The ultimate outcomes may differ substantially from any forecasts.

Conflicts of Interest: In the normal course of offering banking products and services to its clients, the Westpac Group may act in several capacities (including issuer, market maker, underwriter, distributor, swap counterparty and calculation agent) simultaneously with respect to a financial instrument, giving rise to potential conflicts of interest which may impact the performance of a financial instrument. The Westpac Group may at any time transact or hold a position (including hedging and trading positions) for its own account or the account of a client in any financial instrument which may impact the performance of that financial instrument.

Author(s) disclaimer and declaration: The author(s) confirms that (a) no part of his/her compensation was, is, or will be, directly or indirectly, related to any views or (if applicable) recommendations expressed in this material; (b) this material accurately reflects his/her personal views about the financial products, companies or issuers (if applicable) and is based on sources reasonably believed to be reliable and accurate; (c) to the best of the author's knowledge, they are not in receipt of inside information and this material does not contain inside information; and (d) no other part of the Westpac Group has made any attempt to influence this material.

Further important information regarding sustainability related content: This material may contain statements relating to environmental, social and governance (ESG) topics. These are subject to known and unknown risks, and there are significant uncertainties, limitations, risks and assumptions in the metrics, modelling, data, scenarios, reporting and analysis on which the statements rely. In particular, these areas are rapidly evolving and maturing, and there are variations in approaches and common standards and practice, as well as uncertainty around future related policy and legislation. Some material may include information derived from publicly available sources that have not been independently verified. No representation or warranty is made as to the accuracy, completeness or reliability of the information. There is a risk that the analysis, estimates, judgements, assumptions, views, models, scenarios or projections used may turn out to be incorrect. These risks may cause actual outcomes to differ materially from those expressed or implied. The ESG-related statements in this material do not constitute advice, nor are they guarantees or predictions of future performance, and Westpac gives no representation, warranty or assurance (including as to the quality, accuracy or completeness of the statements). You should seek your own independent advice.

Additional country disclosures:

Australia: Westpac holds an Australian Financial Services Licence (No. 233714). You can access Westpac's Financial Services Guide here or request a copy from your Westpac point of contact. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice.

New Zealand: In New Zealand, Westpac Institutional Bank refers to the brand under which products and services are provided by either Westpac (NZ division) or Westpac New Zealand Limited (company number 1763882), the New Zealand incorporated subsidiary of Westpac ("WNZL"). Any product or service made available by WNZL does not represent an offer from Westpac or any of its subsidiaries (other than WNZL). Neither Westpac nor its other subsidiaries guarantee or otherwise support the performance of WNZL in respect of any such product. WNZL is not an authorised deposit-taking institution for the purposes of Australian prudential standards. The current disclosure statements for the New Zealand branch of Westpac and WNZL can be obtained at www.westpac.co.nz.

Singapore: This material has been prepared and issued for distribution in Singapore to institutional investors, accredited investors and expert investors (as defined in the applicable Singapore laws and regulations) only. Recipients of this material in Singapore should contact Westpac Singapore Branch in respect of any matters arising from, or in connection with, this material. Westpac Singapore Branch holds a wholesale banking licence and is subject to supervision by the Monetary Authority of Singapore.

Disclaimer continues overleaf ▶

Fiji: Unless otherwise specified, the products and services for Westpac Fiji are available from www.westpac.com.fj © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia and registered as a branch in Fiji. The liability of its members is limited.

Papua New Guinea: Unless otherwise specified, the products and services for Westpac PNG are available from www.westpac.com.pg © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia. Westpac is represented in Papua New Guinea by Westpac Bank - PNG - Limited. The liability of its members is limited.

U.S: Westpac operates in the United States of America as a federally licensed branch, regulated by the Office of the Comptroller of the Currency. Westpac is also registered with the US Commodity Futures Trading Commission ("CFTC") as a Swap Dealer, but is neither registered as, or affiliated with, a Futures Commission Merchant registered with the US CFTC. The services and products referenced above are not insured by the Federal Deposit Insurance Corporation ("FDIC"). Westpac Capital Markets, LLC ('WCM'), a wholly-owned subsidiary of Westpac, is a broker-dealer registered under the U.S. Securities Exchange Act of 1934 ('the Exchange Act') and member of the Financial Industry Regulatory Authority ('FINRA'). In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WCM other than as provided for in certain legal agreements between Westpac and WCM and obligations of WCM do not represent liabilities of Westpac.

This communication is provided for distribution to U.S. institutional investors in reliance on the exemption from registration provided by Rule 15a-6 under the Exchange Act and is not subject to all of the independence and disclosure standards applicable to debt research reports prepared for retail investors in the United States. WCM is the U.S. distributor of this communication and accepts responsibility for the contents of this communication. Transactions by U.S. customers of any securities referenced herein should be effected through WCM. All disclaimers set out with respect to Westpac apply equally to WCM. If you would like to speak to someone regarding any security mentioned herein, please contact WCM on +1 212 389 1269. Investing in any non-U.S. securities or related financial instruments mentioned in this communication may present certain risks. The securities of non-U.S. issuers may not be registered with, or be subject to the regulations of, the SEC in the United States. Information on such non-U.S. securities or related financial instruments may be limited. Non-U.S. companies may not be subject to audit and reporting standards and regulatory requirements comparable to those in effect in the United States. The value of any investment or income from any securities or related derivative instruments denominated in a currency other than U.S. dollars is subject to exchange rate fluctuations that may have a positive or adverse effect on the value of or income from such securities or related derivative instruments.

The author of this communication is employed by Westpac and is not registered or qualified as a research analyst, representative, or associated person of WCM or any other U.S. broker-dealer under the rules of FINRA, any other U.S. self-regulatory organisation, or the laws, rules or regulations of any State. Unless otherwise specifically stated, the views expressed herein are solely those of the author and may differ from the information, views or analysis expressed by Westpac and/or its affiliates.

UK: The London branch of Westpac is authorised in the United Kingdom by the Prudential Regulation Authority (PRA) and is subject to regulation by the Financial Conduct Authority (FCA) and limited regulation by the PRA (Financial Services Register number: 124586). The London branch of Westpac is registered at Companies House as a branch established in the United Kingdom (Branch No. BR000106). Details about the extent of the regulation of Westpac's London branch by the PRA are available from us on request.

This communication is not being made to or distributed to, and must not be passed on to, the general public in the United Kingdom. Rather, this communication is being made only to and is directed at (a) those persons falling within the definition of Investment Professionals (set out in Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (the "Order")); (b) those persons falling within the definition of high net worth companies, unincorporated associations etc. (set out in Article 49(2)of the Order; (c) other persons to whom it may lawfully be communicated in accordance with the Order or (d) any persons to whom it may otherwise lawfully be made (all such persons together being referred to as "relevant persons"). Any person who is not a relevant person should not act or rely on this communication or any of its contents. In the same way, the information contained in this communication is intended for "eligible counterparties" and "professional clients" as defined by the rules of the Financial Conduct Authority and is not intended for "retail clients". Westpac expressly prohibits you from passing on the information in this communication to any third party.

European Economic Area ("EEA"): This material may be distributed to you by either: (i) Westpac directly, or (ii) Westpac Europe GmbH ("WEG") under a sub-licensing arrangement. WEG has not edited or otherwise modified the content of this material. WEG is authorised in Germany by the Federal Financial Supervision Authority ('BaFin') and subject to its regulation. WEG's supervisory authorities are BaFin and the German Federal Bank ('Deutsche Bundesbank'). WEG is registered with the commercial register ('Handelsregister') of the local court of Frankfurt am Main under registration number HRB 118483. In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WEG other than as provided for in certain legal agreements (a risk transfer, sub-participation and collateral agreement) between Westpac and WEG and obligations of WEG do not represent liabilities of Westpac. Any product or service made available by WEG does not represent an offer from Westpac or any of its subsidiaries (other than WEG). All disclaimers set out with respect to Westpac apply equally to WEG.

This communication is not intended for distribution to, or use by any person or entity in any jurisdiction or country where such distribution or use would be contrary to local law or regulation.

This communication contains general commentary, research, and market colour. The communication does not constitute investment advice. The material may contain an 'investment recommendation' and/or 'information recommending or suggesting an investment', both as defined in Regulation (EU) No 596/2014 (including as applicable in the United Kingdom) ("MAR"). In accordance with the relevant provisions of MAR, reasonable care has been taken to ensure that the material has been objectively presented and that interests or conflicts of interest of the sender concerning the financial instruments to which that information relates have been disclosed.

Investment recommendations must be read alongside the specific disclosure which accompanies them and the general disclosure which can be found here. Such disclosure fulfils certain additional information requirements of MAR and associated delegated legislation and by accepting this communication you acknowledge that you are aware of the existence of such additional disclosure and its contents.

To the extent this communication comprises an investment recommendation it is classified as non-independent research. It has not been prepared in accordance with legal requirements designed to promote the independence of investment research and therefore constitutes a marketing communication. Further, this communication is not subject to any prohibition on dealing ahead of the dissemination of investment research.

27 July 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Market sentiment was supported by reports that Pakistan and Iran were exploring new peace talks with the US and that oil exports from the Middle East continued to flow. Over the weekend, the US paused strikes against Iran as tensions in the region continued to escalate.

On Friday, major US equity markets were mixed, while oil prices fell sharply and bond markets rallied following a 4% decline in Brent crude prices. The US dollar was broadly unchanged, while the Aussie was slightly higher against the greenback.

Markets are now pricing in a 38% chance of a US Federal Reserve rate hike this week, up from 13% a week ago.

In Australia, OIS pricing points to a terminal cash rate of around 4.65% this year, with one additional rate hike expected by December. However, this is likely to shift this week depending on the Q2 inflation outcome, which will be released later in the week.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	65.4	-0.5%
AUD/USD	0.6979	0.1%
AUD/JPY	114.35	0.2%
AUD/GBP	0.5241	0.1%
AUD/NZD	1.2073	0.0%
AUD/EUR	0.6140	0.2%
AUD/CNH	4.7274	0.1%
AUD/SGD	0.9013	0.1%
AUD/HKD	5.4764	0.2%
AUD/CAD	0.9807	-0.1%
EUR/USD	1.1370	-0.1%
USD/JPY	163.83	0.0%
USD Index	101.47	0.0%

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.40	0.02
90 day BBSY	4.59	0.04
180 day BBSY	4.93	0.07
1 year swap	4.68	-0.01
2 year swap	4.68	-0.01
3 year swap	4.66	0.01
4 year swap	4.66	-0.01
5 year swap	4.68	-0.01
6 year swap	4.72	-0.01
7 year swap	4.77	0.00
8 year swap	4.82	-0.01
9 year swap	4.86	-0.01
10 year swap	4.90	-0.01

Equities	Close	Change
S&P/ASX 200	8,772	-0.8%
S&P 500	7,412	0.0%
Japan Nikkei	64,611	-2.7%
Hang Seng	24,963	-1.0%
Euro Stoxx 50	6,281	1.1%
UK FTSE100	10,736	0.9%
VIX Index	18.58	-0.6%

Commodities	Current	Change
CRB Index	395.67	-1.1%
Gold	4052.79	0.1%
Copper	13645	0.4%
Oil (WTI futures)	89.31	-3.1%
Coal (coking)	221.00	-0.9%
Coal (thermal)	137.75	1.1%
Iron Ore	97.90	-0.3%
ACCU	36.13	-4.3%

Government Bond Yields	Close	Change
Australia		
3 year bond	4.72	0.11
10 year bond	5.09	0.10
United States		
3-month T Bill	3.81	0.00
2 year bond	4.33	-0.02
10 year bond	4.68	-0.02
Other (10 year yields)		
Germany	3.17	-0.03
Japan	2.82	0.03
UK	5.03	-0.07

Sydney Futures Exchange	Current	Change
10 yr bond	5.08	-0.04
3 yr bond	4.68	-0.04
3 mth bill rate	4.47	0.00
SPI 200	8,766	0.6%

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

Pat Bustamante
Senior Economist, Westpac Group
P: +61 468 571 786
E: pat.bustamante@westpac.com.au

Financial Markets

- Markets settled on Friday as investors responded to reports that Pakistan and Iran were exploring options to enter new peace talks with the US, alongside reports that oil was still able to flow out of the Middle East. Brent crude prices retreated from US$100 a barrel, falling 4%, its biggest one-day drop since late June.
- Over the weekend, reports suggested the US paused strikes against Iran for a second consecutive night as tensions continued to escalate in the Red Sea following clashes involving Yemen's Houthi militants and Saudi Arabia. The Houthis claimed responsibility for missile and drone attacks on Saudi Aramco-linked facilities in Jizan and Yanbu, prompting retaliatory strikes by a Saudi-led coalition.
- US equity markets were mixed. The S&P 500 finished broadly unchanged, while the Dow Jones Industrial Average rose 0.4% and the tech-heavy Nasdaq fell 0.6%. Market volatility eased, with the VIX Index falling 0.6% to 18.6. Over the week, however, key US equity indices were lower, with the S&P 500 and Dow Jones Industrial Average falling 0.6% and 0.4%, respectively, while the Nasdaq underperformed, falling 2.1%.
- European equities outperformed, supported by lower oil prices and stronger-than-expected PMI results. The Euro Stoxx 50 rose 1.1%, Germany's DAX gained 1.4% and the FTSE 100 increased 0.9%. In Asia, equities were weaker, with the Nikkei falling 2.7% and the Hang Seng declining 1.0%. Locally, the S&P/ASX 200 fell 0.8% to 8,772. SPI futures were up 0.6%, pointing to a firmer open for the Aussie market.
- Bond markets rallied modestly on the back of the falls in oil prices. In the US, the 2-year Treasury yield fell 2bps to 4.33%, while the 10-year Treasury yield declined 2bps to 4.68%. Traders are now pricing in roughly a 38% chance of a rate hike at this week's Federal Reserve meeting, up from just 13% a week ago. European yields also moved lower, with German 10-year Bund yields falling 3bps to 3.17% and UK 10-year gilt yields down 7bps to 5.03%. Japanese 10-year government bond yields rose 3bps to 2.82%.
- Australian bond yields moved higher in cash markets but lower in futures trading. The 3-year government bond yield rose 11bps to 4.72%, while the 10-year yield increased 10bps to 5.09%. However, Sydney Futures Exchange pricing showed the 3-year and 10-year futures yields both down 4bps, suggesting a stronger open for the local bond market. OIS pricing suggests a terminal cash rate of around 4.65% this year, with the market pricing in one more hike by December this year.

Today's key data and events

Time	Event	Exp	Prev
11:30	CN Industrial Profits Jun	-	21.1%
18:00	EZ M3 Money Supply Jun	-	3.2%
22:30	US Durable Goods Orders Jun Prel.	1.4%	-4.5%
0:30	US Dallas Fed Manufacturing Jul	-	0pts

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

- In foreign exchange markets, the US dollar index was broadly unchanged, while the Aussie was broadly firmer. The AUD/USD rose 0.1% to 0.6979, while the Australian dollar also gained against the Japanese yen (+0.2%), pound sterling (+0.1%), euro (+0.2%), Chinese yuan (+0.1%), Singapore dollar (+0.1%) and Hong Kong dollar (+0.2%). The trade-weighted index (TWI) eased 0.5% to 65.4, while the Australian dollar was unchanged against the New Zealand dollar and slipped 0.1% against the Canadian dollar.
- Commodity markets were generally weaker. The commodity index fell 1.1%, reflecting declines across energy and carbon markets. WTI crude oil dropped 3.1% to US$89.31/bbl following reports that Pakistan and Iran were exploring options to enter new peace talks with the US. Iron ore fell 0.3% to US$97.90/t, while coking coal declined 0.9%. Thermal coal was a notable exception, rising 1.1%. Copper increased 0.4%, supported by ongoing supply concerns, while gold edged 0.1% higher.

International Data

US new homes sales gained 1.6% in June after May's decline was revised from -7.3% to -4.3%. The current level of sales is almost 40% below the late-2020 peak.

The **US S&P manufacturing PMI** was little changed at 53.8 in July while the services measures improved from 51.2 to 53.6. A similar result was seen for the **Euro Area**, the manufacturing PMI reported at 52.0 and the services index 51.6, and the **UK**, manufacturing and services PMIs, respectively 52.8 and 51.8.

UK GfK consumer confidence improved from -23 to -17 in July, modestly below the survey's full-history average.

UK retail sales surprised materially to the upside in June, registering a 1.0% gain after a 1.2% increase in May. Activity was broad based, sales rising 1.1% in June excluding fuel. Over the year, sales are up 4.2% overall and 5.4% excluding fuel.

Local Data

The **Westpac-Now** continues to point to GDP growth of around 0.2%qtr in Q2, broadly in line with the sluggish 0.3%qtr outcome in Q1 2026. However, the Westpac Monthly Activity Index is showing tentative signs of stabilising (see here).

Corporate Directory

Westpac Economics / Australia

Sydney
Level 19, 275 Kent Street
Sydney NSW 2000
Australia

E: economics@westpac.com.au

Luci Ellis
Chief Economist Westpac Group
E: luci.ellis@westpac.com.au

Matthew Hassan
Head of Australian Macro–Forecasting
E: mhassan@westpac.com.au

Elliot Clarke
Head of International Economics
E: eclarke@westpac.com.au

Sian Fenner
Head of Business and Industry Economics
E: sian.fenner@westpac.com.au

Justin Smirk
Senior Economist
E: jsmirk@westpac.com.au

Pat Bustamante
Senior Economist
E: pat.bustamante@westpac.com.au

Mantas Vanagas
Senior Economist
E: mantas.vanagas@westpac.com.au

Ryan Wells
Economist
E: ryan.wells@westpac.com.au

Illiana Jain
Economist
E: illiana.jain@westpac.com.au

Neha Sharma
Economist
E: neha.sharma1@westpac.com.au

Luka Belobrajdic
Economist
E: luka.belobrajdic@westpac.com.au

Westpac Economics / New Zealand

Auckland
Takutai on the Square
Level 8, 16 Takutai Square
Auckland, New Zealand

E: economics@westpac.co.nz

Kelly Eckhold
Chief Economist NZ
E: kelly.eckhold@westpac.co.nz

Michael Gordon
Senior Economist
E: michael.gordon@westpac.co.nz

Darren Gibbs
Senior Economist
E: darren.gibbs@westpac.co.nz

Satish Ranchhod
Senior Economist
E: satish.ranchhod@westpac.co.nz

Paul Clark
Industry Economist
E: paul.clarke@westpac.co.nz

Westpac Economics / Fiji

Suva
1 Thomson Street
Suva, Fiji

Shamal Chand
Senior Economist
E: shamal.chand@westpac.com.au

Things you should know

We respect your privacy: You can view the New Zealand Privacy Policy here, or the Australian Group Privacy Statement here. Each time someone visits our site, data is captured so that we can accurately evaluate the quality of our content and make improvements for you. We may at times use technology to capture data about you to help us to better understand you and your needs, including potentially for the purposes of assessing your individual reading habits and interests to allow us to provide suggestions regarding other reading material which may be suitable for you.

Disclaimer

This information has been prepared by Westpac and is intended for information purposes only. It is not intended to reflect any recommendation or financial advice and investment decisions should not be based on it. This information does not constitute an offer, a solicitation of an offer, or an inducement to subscribe for, purchase or sell any financial instrument or to enter into a legally binding contract. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice. Certain types of transactions, including those involving futures, options and high yield securities give rise to substantial risk and are not suitable for all investors. We recommend that you seek your own independent legal or financial advice before proceeding with any investment decision.

This information may contain material provided by third parties. While such material is published with the necessary permission none of Westpac or its related entities accepts any responsibility for the accuracy or completeness of any such material. Although we have made every effort to ensure this information is free from error, none of Westpac or its related entities warrants the accuracy, adequacy or completeness of this information, or otherwise endorses it in any way. Except where contrary to law, Westpac Group intend by this notice to exclude liability for this information. This information is subject to change without notice and none of Westpac or its related entities is under any obligation to update this information or correct any inaccuracy which may become apparent at a later date. This information may contain or incorporate by reference forward looking statements. The words “believe”, “anticipate”, “expect”, “intend”, “plan”, “predict”, “continue”, “assume”, “positioned”, “may”, “will”, “should”, “shall”, “risk” and other similar expressions that are predictions of or indicate future events and future trends identify forward-looking statements. These forward-looking statements include all matters that are not historical facts. Past performance is not a reliable indicator of future performance, nor are forecasts of future performance. Whilst every effort has been taken to ensure that the assumptions on which any forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The ultimate outcomes may differ substantially from any forecasts.

Conflicts of Interest: In the normal course of offering banking products and services to its clients, the Westpac Group may act in several capacities (including issuer, market maker, underwriter, distributor, swap counterparty and calculation agent) simultaneously with respect to a financial instrument, giving rise to potential conflicts of interest which may impact the performance of a financial instrument. The Westpac Group may at any time transact or hold a position (including hedging and trading positions) for its own account or the account of a client in any financial instrument which may impact the performance of that financial instrument.

Author(s) disclaimer and declaration: The author(s) confirms that (a) no part of his/her compensation was, is, or will be, directly or indirectly, related to any views or (if applicable) recommendations expressed in this material; (b) this material accurately reflects his/her personal views about the financial products, companies or issuers (if applicable) and is based on sources reasonably believed to be reliable and accurate; (c) to the best of the author’s knowledge, they are not in receipt of inside information and this material does not contain inside information; and (d) no other part of the Westpac Group has made any attempt to influence this material.

Further important information regarding sustainability related content: This material may contain statements relating to environmental, social and governance (ESG) topics. These are subject to known and unknown risks, and there are significant uncertainties, limitations, risks and assumptions in the metrics, modelling, data, scenarios, reporting and analysis on which the statements rely. In particular, these areas are rapidly evolving and maturing, and there are variations in approaches and common standards and practice, as well as uncertainty around future related policy and legislation. Some material may include information derived from publicly available sources that have not been independently verified. No representation or warranty is made as to the accuracy, completeness or reliability of the information. There is a risk that the analysis, estimates, judgements, assumptions, views, models, scenarios or projections used may turn out to be incorrect. These risks may cause actual outcomes to differ materially from those expressed or implied. The ESG-related statements in this material do not constitute advice, nor are they guarantees or predictions of future performance, and Westpac gives no representation, warranty or assurance (including as to the quality, accuracy or completeness of the statements). You should seek your own independent advice.

Additional country disclosures:

Australia: Westpac holds an Australian Financial Services Licence (No. 233714). You can access Westpac’s Financial Services Guide here or request a copy from your Westpac point of contact. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice.

New Zealand: In New Zealand, Westpac Institutional Bank refers to the brand under which products and services are provided by either Westpac (NZ division) or Westpac New Zealand Limited (company number 1763882), the New Zealand incorporated subsidiary of Westpac (“WNZL”). Any product or service made available by WNZL does not represent an offer from Westpac or any of its subsidiaries (other than WNZL). Neither Westpac nor its other subsidiaries guarantee or otherwise support the performance of WNZL in respect of any such product. WNZL is not an authorised deposit-taking institution for the purposes of Australian prudential standards. The current disclosure statements for the New Zealand branch of Westpac and WNZL can be obtained at www.westpac.co.nz.

Singapore: This material has been prepared and issued for distribution in Singapore to institutional investors, accredited investors and expert investors (as defined in the applicable Singapore laws and regulations) only. Recipients of this material in Singapore should contact Westpac Singapore Branch in respect of any matters arising from, or in connection with, this material. Westpac Singapore Branch holds a wholesale banking licence and is subject to supervision by the Monetary Authority of Singapore.

Disclaimer continues overleaf ▶

Fiji: Unless otherwise specified, the products and services for Westpac Fiji are available from www.westpac.com.fj © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia and registered as a branch in Fiji. The liability of its members is limited.

Papua New Guinea: Unless otherwise specified, the products and services for Westpac PNG are available from www.westpac.com.pg © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia. Westpac is represented in Papua New Guinea by Westpac Bank - PNG - Limited. The liability of its members is limited.

U.S: Westpac operates in the United States of America as a federally licensed branch, regulated by the Office of the Comptroller of the Currency. Westpac is also registered with the US Commodity Futures Trading Commission ("CFTC") as a Swap Dealer, but is neither registered as, or affiliated with, a Futures Commission Merchant registered with the US CFTC. The services and products referenced above are not insured by the Federal Deposit Insurance Corporation ("FDIC"). Westpac Capital Markets, LLC ('WCM'), a wholly-owned subsidiary of Westpac, is a broker-dealer registered under the U.S. Securities Exchange Act of 1934 ('the Exchange Act') and member of the Financial Industry Regulatory Authority ('FINRA'). In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WCM other than as provided for in certain legal agreements between Westpac and WCM and obligations of WCM do not represent liabilities of Westpac.

This communication is provided for distribution to U.S. institutional investors in reliance on the exemption from registration provided by Rule 15a-6 under the Exchange Act and is not subject to all of the independence and disclosure standards applicable to debt research reports prepared for retail investors in the United States. WCM is the U.S. distributor of this communication and accepts responsibility for the contents of this communication. Transactions by U.S. customers of any securities referenced herein should be effected through WCM. All disclaimers set out with respect to Westpac apply equally to WCM. If you would like to speak to someone regarding any security mentioned herein, please contact WCM on +1 212 389 1269. Investing in any non-U.S. securities or related financial instruments mentioned in this communication may present certain risks. The securities of non-U.S. issuers may not be registered with, or be subject to the regulations of, the SEC in the United States. Information on such non-U.S. securities or related financial instruments may be limited. Non-U.S. companies may not be subject to audit and reporting standards and regulatory requirements comparable to those in effect in the United States. The value of any investment or income from any securities or related derivative instruments denominated in a currency other than U.S. dollars is subject to exchange rate fluctuations that may have a positive or adverse effect on the value of or income from such securities or related derivative instruments.

The author of this communication is employed by Westpac and is not registered or qualified as a research analyst, representative, or associated person of WCM or any other U.S. broker-dealer under the rules of FINRA, any other U.S. self-regulatory organisation, or the laws, rules or regulations of any State. Unless otherwise specifically stated, the views expressed herein are solely those of the author and may differ from the information, views or analysis expressed by Westpac and/or its affiliates.

UK: The London branch of Westpac is authorised in the United Kingdom by the Prudential Regulation Authority (PRA) and is subject to regulation by the Financial Conduct Authority (FCA) and limited regulation by the PRA (Financial Services Register number: 124586). The London branch of Westpac is registered at Companies House as a branch established in the United Kingdom (Branch No. BR000106). Details about the extent of the regulation of Westpac's London branch by the PRA are available from us on request.

This communication is not being made to or distributed to, and must not be passed on to, the general public in the United Kingdom. Rather, this communication is being made only to and is directed at (a) those persons falling within the definition of Investment Professionals (set out in Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (the "Order")); (b) those persons falling within the definition of high net worth companies, unincorporated associations etc. (set out in Article 49(2)of the Order; (c) other persons to whom it may lawfully be communicated in accordance with the Order or (d) any persons to whom it may otherwise lawfully be made (all such persons together being referred to as "relevant persons"). Any person who is not a relevant person should not act or rely on this communication or any of its contents. In the same way, the information contained in this communication is intended for "eligible counterparties" and "professional clients" as defined by the rules of the Financial Conduct Authority and is not intended for "retail clients". Westpac expressly prohibits you from passing on the information in this communication to any third party.

European Economic Area ("EEA"): This material may be distributed to you by either: (i) Westpac directly, or (ii) Westpac Europe GmbH ("WEG") under a sub-licensing arrangement. WEG has not edited or otherwise modified the content of this material. WEG is authorised in Germany by the Federal Financial Supervision Authority ('BaFin') and subject to its regulation. WEG's supervisory authorities are BaFin and the German Federal Bank ('Deutsche Bundesbank'). WEG is registered with the commercial register ('Handelsregister') of the local court of Frankfurt am Main under registration number HRB 118483. In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WEG other than as provided for in certain legal agreements (a risk transfer, sub-participation and collateral agreement) between Westpac and WEG and obligations of WEG do not represent liabilities of Westpac. Any product or service made available by WEG does not represent an offer from Westpac or any of its subsidiaries (other than WEG). All disclaimers set out with respect to Westpac apply equally to WEG.

This communication is not intended for distribution to, or use by any person or entity in any jurisdiction or country where such distribution or use would be contrary to local law or regulation.

This communication contains general commentary, research, and market colour. The communication does not constitute investment advice. The material may contain an 'investment recommendation' and/or 'information recommending or suggesting an investment', both as defined in Regulation (EU) No 596/2014 (including as applicable in the United Kingdom) ("MAR"). In accordance with the relevant provisions of MAR, reasonable care has been taken to ensure that the material has been objectively presented and that interests or conflicts of interest of the sender concerning the financial instruments to which that information relates have been disclosed.

Investment recommendations must be read alongside the specific disclosure which accompanies them and the general disclosure which can be found here. Such disclosure fulfils certain additional information requirements of MAR and associated delegated legislation and by accepting this communication you acknowledge that you are aware of the existence of such additional disclosure and its contents.

To the extent this communication comprises an investment recommendation it is classified as non-independent research. It has not been prepared in accordance with legal requirements designed to promote the independence of investment research and therefore constitutes a marketing communication. Further, this communication is not subject to any prohibition on dealing ahead of the dissemination of investment research.

27 July 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Market sentiment was supported by reports that Pakistan and Iran were exploring new peace talks with the US and that oil exports from the Middle East continued to flow. Over the weekend, the US paused strikes against Iran as tensions in the region continued to escalate.

On Friday, major US equity markets were mixed, while oil prices fell sharply and bond markets rallied following a 4% decline in Brent crude prices. The US dollar was broadly unchanged, while the Aussie was slightly higher against the greenback.

Markets are now pricing in a 38% chance of a US Federal Reserve rate hike this week, up from 13% a week ago.

In Australia, OIS pricing points to a terminal cash rate of around 4.65% this year, with one additional rate hike expected by December. However, this is likely to shift this week depending on the Q2 inflation outcome, which will be released later in the week.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	65.4	-0.5%
AUD/USD	0.6979	0.1%
AUD/JPY	114.35	0.2%
AUD/GBP	0.5241	0.1%
AUD/NZD	1.2073	0.0%
AUD/EUR	0.6140	0.2%
AUD/CNH	4.7274	0.1%
AUD/SGD	0.9013	0.1%
AUD/HKD	5.4764	0.2%
AUD/CAD	0.9807	-0.1%
EUR/USD	1.1370	-0.1%
USD/JPY	163.83	0.0%
USD Index	101.47	0.0%

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.40	0.02
90 day BBSY	4.59	0.04
180 day BBSY	4.93	0.07
1 year swap	4.68	-0.01
2 year swap	4.68	-0.01
3 year swap	4.66	0.01
4 year swap	4.66	-0.01
5 year swap	4.68	-0.01
6 year swap	4.72	-0.01
7 year swap	4.77	0.00
8 year swap	4.82	-0.01
9 year swap	4.86	-0.01
10 year swap	4.90	-0.01

Equities	Close	Change
S&P/ASX 200	8,772	-0.8%
S&P 500	7,412	0.0%
Japan Nikkei	64,611	-2.7%
Hang Seng	24,963	-1.0%
Euro Stoxx 50	6,281	1.1%
UK FTSE100	10,736	0.9%
VIX Index	18.58	-0.6%

Commodities	Current	Change
CRB Index	395.67	-1.1%
Gold	4052.79	0.1%
Copper	13645	0.4%
Oil (WTI futures)	89.31	-3.1%
Coal (coking)	221.00	-0.9%
Coal (thermal)	137.75	1.1%
Iron Ore	97.90	-0.3%
ACCU	36.13	-4.3%

Government Bond Yields	Close	Change
Australia		
3 year bond	4.72	0.11
10 year bond	5.09	0.10
United States		
3-month T Bill	3.81	0.00
2 year bond	4.33	-0.02
10 year bond	4.68	-0.02
Other (10 year yields)		
Germany	3.17	-0.03
Japan	2.82	0.03
UK	5.03	-0.07

Sydney Futures Exchange	Current	Change
10 yr bond	5.08	-0.04
3 yr bond	4.68	-0.04
3 mth bill rate	4.47	0.00
SPI 200	8,766	0.6%

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

Pat Bustamante
Senior Economist, Westpac Group
P: +61 468 571 786
E: pat.bustamante@westpac.com.au

Financial Markets

- Markets settled on Friday as investors responded to reports that Pakistan and Iran were exploring options to enter new peace talks with the US, alongside reports that oil was still able to flow out of the Middle East. Brent crude prices retreated from US$100 a barrel, falling 4%, its biggest one-day drop since late June.
- Over the weekend, reports suggested the US paused strikes against Iran for a second consecutive night as tensions continued to escalate in the Red Sea following clashes involving Yemen's Houthi militants and Saudi Arabia. The Houthis claimed responsibility for missile and drone attacks on Saudi Aramco-linked facilities in Jizan and Yanbu, prompting retaliatory strikes by a Saudi-led coalition.
- US equity markets were mixed. The S&P 500 finished broadly unchanged, while the Dow Jones Industrial Average rose 0.4% and the tech-heavy Nasdaq fell 0.6%. Market volatility eased, with the VIX Index falling 0.6% to 18.6. Over the week, however, key US equity indices were lower, with the S&P 500 and Dow Jones Industrial Average falling 0.6% and 0.4%, respectively, while the Nasdaq underperformed, falling 2.1%.
- European equities outperformed, supported by lower oil prices and stronger-than-expected PMI results. The Euro Stoxx 50 rose 1.1%, Germany's DAX gained 1.4% and the FTSE 100 increased 0.9%. In Asia, equities were weaker, with the Nikkei falling 2.7% and the Hang Seng declining 1.0%. Locally, the S&P/ASX 200 fell 0.8% to 8,772. SPI futures were up 0.6%, pointing to a firmer open for the Aussie market.
- Bond markets rallied modestly on the back of the falls in oil prices. In the US, the 2-year Treasury yield fell 2bps to 4.33%, while the 10-year Treasury yield declined 2bps to 4.68%. Traders are now pricing in roughly a 38% chance of a rate hike at this week's Federal Reserve meeting, up from just 13% a week ago. European yields also moved lower, with German 10-year Bund yields falling 3bps to 3.17% and UK 10-year gilt yields down 7bps to 5.03%. Japanese 10-year government bond yields rose 3bps to 2.82%.
- Australian bond yields moved higher in cash markets but lower in futures trading. The 3-year government bond yield rose 11bps to 4.72%, while the 10-year yield increased 10bps to 5.09%. However, Sydney Futures Exchange pricing showed the 3-year and 10-year futures yields both down 4bps, suggesting a stronger open for the local bond market. OIS pricing suggests a terminal cash rate of around 4.65% this year, with the market pricing in one more hike by December this year.

Today's key data and events

Time	Event	Exp	Prev
11:30	CN Industrial Profits Jun	-	21.1%
18:00	EZ M3 Money Supply Jun	-	3.2%
22:30	US Durable Goods Orders Jun Prel.	1.4%	-4.5%
0:30	US Dallas Fed Manufacturing Jul	-	0pts

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

- In foreign exchange markets, the US dollar index was broadly unchanged, while the Aussie was broadly firmer. The AUD/USD rose 0.1% to 0.6979, while the Australian dollar also gained against the Japanese yen (+0.2%), pound sterling (+0.1%), euro (+0.2%), Chinese yuan (+0.1%), Singapore dollar (+0.1%) and Hong Kong dollar (+0.2%). The trade-weighted index (TWI) eased 0.5% to 65.4, while the Australian dollar was unchanged against the New Zealand dollar and slipped 0.1% against the Canadian dollar.
- Commodity markets were generally weaker. The commodity index fell 1.1%, reflecting declines across energy and carbon markets. WTI crude oil dropped 3.1% to US$89.31/bbl following reports that Pakistan and Iran were exploring options to enter new peace talks with the US. Iron ore fell 0.3% to US$97.90/t, while coking coal declined 0.9%. Thermal coal was a notable exception, rising 1.1%. Copper increased 0.4%, supported by ongoing supply concerns, while gold edged 0.1% higher.

International Data

US new homes sales gained 1.6% in June after May's decline was revised from -7.3% to -4.3%. The current level of sales is almost 40% below the late-2020 peak.

The **US S&P manufacturing PMI** was little changed at 53.8 in July while the services measures improved from 51.2 to 53.6. A similar result was seen for the **Euro Area**, the manufacturing PMI reported at 52.0 and the services index 51.6, and the **UK**, manufacturing and services PMIs, respectively 52.8 and 51.8.

UK GfK consumer confidence improved from -23 to -17 in July, modestly below the survey's full-history average.

UK retail sales surprised materially to the upside in June, registering a 1.0% gain after a 1.2% increase in May. Activity was broad based, sales rising 1.1% in June excluding fuel. Over the year, sales are up 4.2% overall and 5.4% excluding fuel.

Local Data

The **Westpac-Now** continues to point to GDP growth of around 0.2%qtr in Q2, broadly in line with the sluggish 0.3%qtr outcome in Q1 2026. However, the Westpac Monthly Activity Index is showing tentative signs of stabilising (see here).

Corporate Directory

Westpac Economics / Australia

Sydney
Level 19, 275 Kent Street
Sydney NSW 2000
Australia

E: economics@westpac.com.au

Luci Ellis
Chief Economist Westpac Group
E: luci.ellis@westpac.com.au

Matthew Hassan
Head of Australian Macro–Forecasting
E: mhassan@westpac.com.au

Elliot Clarke
Head of International Economics
E: eclarke@westpac.com.au

Sian Fenner
Head of Business and Industry Economics
E: sian.fenner@westpac.com.au

Justin Smirk
Senior Economist
E: jsmirk@westpac.com.au

Pat Bustamante
Senior Economist
E: pat.bustamante@westpac.com.au

Mantas Vanagas
Senior Economist
E: mantas.vanagas@westpac.com.au

Ryan Wells
Economist
E: ryan.wells@westpac.com.au

Illiana Jain
Economist
E: illiana.jain@westpac.com.au

Neha Sharma
Economist
E: neha.sharma1@westpac.com.au

Luka Belobrajdic
Economist
E: luka.belobrajdic@westpac.com.au

Westpac Economics / New Zealand

Auckland
Takutai on the Square
Level 8, 16 Takutai Square
Auckland, New Zealand

E: economics@westpac.co.nz

Kelly Eckhold
Chief Economist NZ
E: kelly.eckhold@westpac.co.nz

Michael Gordon
Senior Economist
E: michael.gordon@westpac.co.nz

Darren Gibbs
Senior Economist
E: darren.gibbs@westpac.co.nz

Satish Ranchhod
Senior Economist
E: satish.ranchhod@westpac.co.nz

Paul Clark
Industry Economist
E: paul.clarke@westpac.co.nz

Westpac Economics / Fiji

Suva
1 Thomson Street
Suva, Fiji

Shamal Chand
Senior Economist
E: shamal.chand@westpac.com.au

Things you should know

We respect your privacy: You can view the New Zealand Privacy Policy here, or the Australian Group Privacy Statement here. Each time someone visits our site, data is captured so that we can accurately evaluate the quality of our content and make improvements for you. We may at times use technology to capture data about you to help us to better understand you and your needs, including potentially for the purposes of assessing your individual reading habits and interests to allow us to provide suggestions regarding other reading material which may be suitable for you.

Disclaimer

This information has been prepared by Westpac and is intended for information purposes only. It is not intended to reflect any recommendation or financial advice and investment decisions should not be based on it. This information does not constitute an offer, a solicitation of an offer, or an inducement to subscribe for, purchase or sell any financial instrument or to enter into a legally binding contract. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice. Certain types of transactions, including those involving futures, options and high yield securities give rise to substantial risk and are not suitable for all investors. We recommend that you seek your own independent legal or financial advice before proceeding with any investment decision.

This information may contain material provided by third parties. While such material is published with the necessary permission none of Westpac or its related entities accepts any responsibility for the accuracy or completeness of any such material. Although we have made every effort to ensure this information is free from error, none of Westpac or its related entities warrants the accuracy, adequacy or completeness of this information, or otherwise endorses it in any way. Except where contrary to law, Westpac Group intend by this notice to exclude liability for this information. This information is subject to change without notice and none of Westpac or its related entities is under any obligation to update this information or correct any inaccuracy which may become apparent at a later date. This information may contain or incorporate by reference forward looking statements. The words "believe", "anticipate", "expect", "intend", "plan", "predict", "continue", "assume", "positioned", "may", "will", "should", "shall", "risk" and other similar expressions that are predictions of or indicate future events and future trends identify forward-looking statements. These forward-looking statements include all matters that are not historical facts. Past performance is not a reliable indicator of future performance, nor are forecasts of future performance. Whilst every effort has been taken to ensure that the assumptions on which any forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The ultimate outcomes may differ substantially from any forecasts.

Conflicts of Interest: In the normal course of offering banking products and services to its clients, the Westpac Group may act in several capacities (including issuer, market maker, underwriter, distributor, swap counterparty and calculation agent) simultaneously with respect to a financial instrument, giving rise to potential conflicts of interest which may impact the performance of a financial instrument. The Westpac Group may at any time transact or hold a position (including hedging and trading positions) for its own account or the account of a client in any financial instrument which may impact the performance of that financial instrument.

Author(s) disclaimer and declaration: The author(s) confirms that (a) no part of his/her compensation was, is, or will be, directly or indirectly, related to any views or (if applicable) recommendations expressed in this material; (b) this material accurately reflects his/her personal views about the financial products, companies or issuers (if applicable) and is based on sources reasonably believed to be reliable and accurate; (c) to the best of the author's knowledge, they are not in receipt of inside information and this material does not contain inside information; and (d) no other part of the Westpac Group has made any attempt to influence this material.

Further important information regarding sustainability related content: This material may contain statements relating to environmental, social and governance (ESG) topics. These are subject to known and unknown risks, and there are significant uncertainties, limitations, risks and assumptions in the metrics, modelling, data, scenarios, reporting and analysis on which the statements rely. In particular, these areas are rapidly evolving and maturing, and there are variations in approaches and common standards and practice, as well as uncertainty around future related policy and legislation. Some material may include information derived from publicly available sources that have not been independently verified. No representation or warranty is made as to the accuracy, completeness or reliability of the information. There is a risk that the analysis, estimates, judgements, assumptions, views, models, scenarios or projections used may turn out to be incorrect. These risks may cause actual outcomes to differ materially from those expressed or implied. The ESG-related statements in this material do not constitute advice, nor are they guarantees or predictions of future performance, and Westpac gives no representation, warranty or assurance (including as to the quality, accuracy or completeness of the statements). You should seek your own independent advice.

Additional country disclosures:

Australia: Westpac holds an Australian Financial Services Licence (No. 233714). You can access Westpac's Financial Services Guide here or request a copy from your Westpac point of contact. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice.

New Zealand: In New Zealand, Westpac Institutional Bank refers to the brand under which products and services are provided by either Westpac (NZ division) or Westpac New Zealand Limited (company number 1763882), the New Zealand incorporated subsidiary of Westpac ("WNZL"). Any product or service made available by WNZL does not represent an offer from Westpac or any of its subsidiaries (other than WNZL). Neither Westpac nor its other subsidiaries guarantee or otherwise support the performance of WNZL in respect of any such product. WNZL is not an authorised deposit-taking institution for the purposes of Australian prudential standards. The current disclosure statements for the New Zealand branch of Westpac and WNZL can be obtained at www.westpac.co.nz.

Singapore: This material has been prepared and issued for distribution in Singapore to institutional investors, accredited investors and expert investors (as defined in the applicable Singapore laws and regulations) only. Recipients of this material in Singapore should contact Westpac Singapore Branch in respect of any matters arising from, or in connection with, this material. Westpac Singapore Branch holds a wholesale banking licence and is subject to supervision by the Monetary Authority of Singapore.

Disclaimer continues overleaf ▶

Fiji: Unless otherwise specified, the products and services for Westpac Fiji are available from www.westpac.com.fj © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia and registered as a branch in Fiji. The liability of its members is limited.

Papua New Guinea: Unless otherwise specified, the products and services for Westpac PNG are available from www.westpac.com.pg © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia. Westpac is represented in Papua New Guinea by Westpac Bank - PNG - Limited. The liability of its members is limited.

U.S: Westpac operates in the United States of America as a federally licensed branch, regulated by the Office of the Comptroller of the Currency. Westpac is also registered with the US Commodity Futures Trading Commission ("CFTC") as a Swap Dealer, but is neither registered as, or affiliated with, a Futures Commission Merchant registered with the US CFTC. The services and products referenced above are not insured by the Federal Deposit Insurance Corporation ("FDIC"). Westpac Capital Markets, LLC ('WCM'), a wholly-owned subsidiary of Westpac, is a broker-dealer registered under the U.S. Securities Exchange Act of 1934 ('the Exchange Act') and member of the Financial Industry Regulatory Authority ('FINRA'). In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WCM other than as provided for in certain legal agreements between Westpac and WCM and obligations of WCM do not represent liabilities of Westpac.

This communication is provided for distribution to U.S. institutional investors in reliance on the exemption from registration provided by Rule 15a-6 under the Exchange Act and is not subject to all of the independence and disclosure standards applicable to debt research reports prepared for retail investors in the United States. WCM is the U.S. distributor of this communication and accepts responsibility for the contents of this communication. Transactions by U.S. customers of any securities referenced herein should be effected through WCM. All disclaimers set out with respect to Westpac apply equally to WCM. If you would like to speak to someone regarding any security mentioned herein, please contact WCM on +1 212 389 1269. Investing in any non-U.S. securities or related financial instruments mentioned in this communication may present certain risks. The securities of non-U.S. issuers may not be registered with, or be subject to the regulations of, the SEC in the United States. Information on such non-U.S. securities or related financial instruments may be limited. Non-U.S. companies may not be subject to audit and reporting standards and regulatory requirements comparable to those in effect in the United States. The value of any investment or income from any securities or related derivative instruments denominated in a currency other than U.S. dollars is subject to exchange rate fluctuations that may have a positive or adverse effect on the value of or income from such securities or related derivative instruments.

The author of this communication is employed by Westpac and is not registered or qualified as a research analyst, representative, or associated person of WCM or any other U.S. broker-dealer under the rules of FINRA, any other U.S. self-regulatory organisation, or the laws, rules or regulations of any State. Unless otherwise specifically stated, the views expressed herein are solely those of the author and may differ from the information, views or analysis expressed by Westpac and/or its affiliates.

UK: The London branch of Westpac is authorised in the United Kingdom by the Prudential Regulation Authority (PRA) and is subject to regulation by the Financial Conduct Authority (FCA) and limited regulation by the PRA (Financial Services Register number: 124586). The London branch of Westpac is registered at Companies House as a branch established in the United Kingdom (Branch No. BR000106). Details about the extent of the regulation of Westpac's London branch by the PRA are available from us on request.

This communication is not being made to or distributed to, and must not be passed on to, the general public in the United Kingdom. Rather, this communication is being made only to and is directed at (a) those persons falling within the definition of Investment Professionals (set out in Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (the "Order")); (b) those persons falling within the definition of high net worth companies, unincorporated associations etc. (set out in Article 49(2)of the Order; (c) other persons to whom it may lawfully be communicated in accordance with the Order or (d) any persons to whom it may otherwise lawfully be made (all such persons together being referred to as "relevant persons"). Any person who is not a relevant person should not act or rely on this communication or any of its contents. In the same way, the information contained in this communication is intended for "eligible counterparties" and "professional clients" as defined by the rules of the Financial Conduct Authority and is not intended for "retail clients". Westpac expressly prohibits you from passing on the information in this communication to any third party.

European Economic Area ("EEA"): This material may be distributed to you by either: (i) Westpac directly, or (ii) Westpac Europe GmbH ("WEG") under a sub-licensing arrangement. WEG has not edited or otherwise modified the content of this material. WEG is authorised in Germany by the Federal Financial Supervision Authority ('BaFin') and subject to its regulation. WEG's supervisory authorities are BaFin and the German Federal Bank ('Deutsche Bundesbank'). WEG is registered with the commercial register ('Handelsregister') of the local court of Frankfurt am Main under registration number HRB 118483. In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WEG other than as provided for in certain legal agreements (a risk transfer, sub-participation and collateral agreement) between Westpac and WEG and obligations of WEG do not represent liabilities of Westpac. Any product or service made available by WEG does not represent an offer from Westpac or any of its subsidiaries (other than WEG). All disclaimers set out with respect to Westpac apply equally to WEG.

This communication is not intended for distribution to, or use by any person or entity in any jurisdiction or country where such distribution or use would be contrary to local law or regulation.

This communication contains general commentary, research, and market colour. The communication does not constitute investment advice. The material may contain an 'investment recommendation' and/or 'information recommending or suggesting an investment', both as defined in Regulation (EU) No 596/2014 (including as applicable in the United Kingdom) ("MAR"). In accordance with the relevant provisions of MAR, reasonable care has been taken to ensure that the material has been objectively presented and that interests or conflicts of interest of the sender concerning the financial instruments to which that information relates have been disclosed.

Investment recommendations must be read alongside the specific disclosure which accompanies them and the general disclosure which can be found here. Such disclosure fulfils certain additional information requirements of MAR and associated delegated legislation and by accepting this communication you acknowledge that you are aware of the existence of such additional disclosure and its contents.

To the extent this communication comprises an investment recommendation it is classified as non-independent research. It has not been prepared in accordance with legal requirements designed to promote the independence of investment research and therefore constitutes a marketing communication. Further, this communication is not subject to any prohibition on dealing ahead of the dissemination of investment research.

Past performance is not a reliable indicator of future performance. The forecasts given above are predictive in character. Whilst every effort has been taken to ensure that the assumptions on which the forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The results ultimately achieved may differ substantially from these forecasts.

22 July 2026

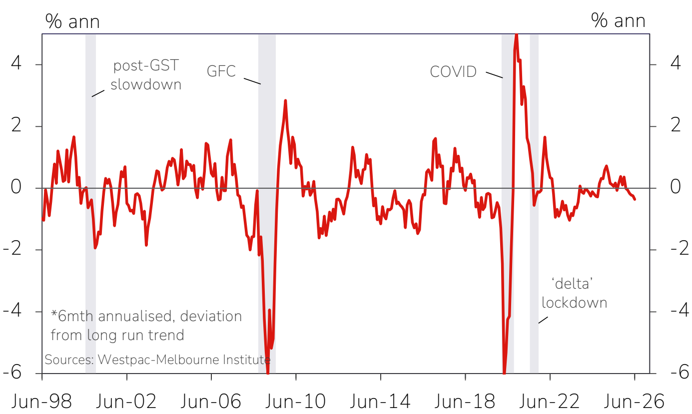
WESTPAC-MI LEADING INDEX BULLETIN

Latest insights into economic momentum

Key points

- Leading Index growth rate drops to –0.36%.
- Signal broadly consistent with quarterly GDP growth stalling flat.
- Detail suggests combination of fuel price spike earlier in the year and rate rises are weighing on growth through a variety of channels.

Westpac-MI Leading Index



Past performance is not a reliable indicator of future performance. The forecasts given above are predictive in character. Whilst every effort has been taken to ensure that the assumptions on which the forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The results ultimately achieved may differ substantially from these forecasts.

Leading Index suggests growth is stalling

Matthew Hassan
Head of Australian Macro-Forecasting

The six-month annualised growth rate in the Westpac–Melbourne Institute Leading Index, which indicates the likely pace of economic activity relative to trend three to nine months into the future, dropped to –0.36% in June from –0.25% in May.

The latest update points to a further loss of momentum across the Australian economy. The June update marks the sixth consecutive below-trend read on the Leading Index growth rate and the weakest pace since late 2023, when quarterly GDP growth stalled flat. While the latest growth pulse is still not overly weak it is broadly consistent with stalling activity through the middle of the year.

The detail suggests the conflict-related spike in fuel prices in March–April and the RBA's interest rate rises in February, March and May are now weighing materially on growth, with the effects working through a variety of channels.

The Leading Index growth rate has seen an abrupt turnaround since late last year, flipping from +0.36% in December to –0.36% currently. Just over half of the 0.72ppt reversal has come from a sharp narrowing in the yield spread (–0.40ppts). The move in the spread, which is the difference between short- and long-term interest rates, is a direct reflection of the RBA's rate moves. The tightening has likely had an indirect hand in weaker reads across other components as well, including: dwelling approvals (which account for –0.21ppts of the swing in headline growth since December); the Westpac-Melbourne Institute Consumer Expectations Index (–0.08ppts); and a softening in monthly hours worked (–0.03ppts).

The Westpac-Melbourne Institute Leading Index of Economic Activity is designed to assist in identifying turning points in the economy. The index combines variables that reflect different aspects of the economy into a single index that generally produces a more reliable cyclical indicator than any single component taken individually. The Leading Index of Economic Activity provides advance information on the state of the economy and gives early warnings of cyclical turning points.

Where this goes next is a little uncertain. Most of the weakness in the Leading Index growth rate – which is based on a six-month window – came in the first three months of the year, with the underlying index actually stabilising since then. The more recent pattern reflects both the easing in fuel costs locally and the RBA's decision to leave interest rates unchanged at its June meeting. However, both could come back into frame negatively in coming months with conditions deteriorating in the Middle East and the RBA still clearly uneasy about persistently high inflation.

The Reserve Bank Monetary Policy Board next meets on August 10–11. While the latest Leading Index update confirms that growth momentum is slowing, high inflation remains the Board's primary concern. As such, the June quarter CPI update on July 29 will be the critical reading ahead of the August meeting. On balance we expect it to show inflation running too high and a further 25bp rate increase from the RBA Board in August.

Corporate Directory

Westpac Economics / Australia

Sydney
Level 19, 275 Kent Street
Sydney NSW 2000
Australia

E: economics@westpac.com.au

Luci Ellis
Chief Economist Westpac Group
E: luci.ellis@westpac.com.au

Matthew Hassan
Head of Australian Macro-Forecasting
E: mhassan@westpac.com.au

Elliot Clarke
Head of International Economics
E: eclarke@westpac.com.au

Sian Fenner
Head of Business and Industry Economics
E: sian.fenner@westpac.com.au

Justin Smirk
Senior Economist
E: jsmirk@westpac.com.au

Pat Bustamante
Senior Economist
E: pat.bustamante@westpac.com.au

Mantas Vanagas
Senior Economist
E: mantas.vanagas@westpac.com.au

Ryan Wells
Economist
E: ryan.wells@westpac.com.au

Illiana Jain
Economist
E: illiana.jain@westpac.com.au

Neha Sharma
Economist
E: neha.sharma1@westpac.com.au

Luka Belobrajdic
Economist
E: luka.belobrajdic@westpac.com.au

Westpac Economics / New Zealand

Auckland
Takutai on the Square
Level 8, 16 Takutai Square
Auckland, New Zealand

E: economics@westpac.co.nz

Kelly Eckhold
Chief Economist NZ
E: kelly.eckhold@westpac.co.nz

Michael Gordon
Senior Economist
E: michael.gordon@westpac.co.nz

Darren Gibbs
Senior Economist
E: darren.gibbs@westpac.co.nz

Satish Ranchhod
Senior Economist
E: satish.ranchhod@westpac.co.nz

Paul Clark
Industry Economist
E: paul.clarke@westpac.co.nz

Westpac Economics / Fiji

Suva
1 Thomson Street
Suva, Fiji

Shamal Chand
Senior Economist
E: shamal.chand@westpac.com.au

Things you should know

We respect your privacy: You can view the New Zealand Privacy Policy here, or the Australian Group Privacy Statement here. Each time someone visits our site, data is captured so that we can accurately evaluate the quality of our content and make improvements for you. We may at times use technology to capture data about you to help us to better understand you and your needs, including potentially for the purposes of assessing your individual reading habits and interests to allow us to provide suggestions regarding other reading material which may be suitable for you.

Disclaimer

This information has been prepared by Westpac and is intended for information purposes only. It is not intended to reflect any recommendation or financial advice and investment decisions should not be based on it. This information does not constitute an offer, a solicitation of an offer, or an inducement to subscribe for, purchase or sell any financial instrument or to enter into a legally binding contract. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice. Certain types of transactions, including those involving futures, options and high yield securities give rise to substantial risk and are not suitable for all investors. We recommend that you seek your own independent legal or financial advice before proceeding with any investment decision.

This information may contain material provided by third parties. While such material is published with the necessary permission none of Westpac or its related entities accepts any responsibility for the accuracy or completeness of any such material. Although we have made every effort to ensure this information is free from error, none of Westpac or its related entities warrants the accuracy, adequacy or completeness of this information, or otherwise endorses it in any way. Except where contrary to law, Westpac Group intend by this notice to exclude liability for this information. This information is subject to change without notice and none of Westpac or its related entities is under any obligation to update this information or correct any inaccuracy which may become apparent at a later date. This information may contain or incorporate by reference forward looking statements. The words "believe", "anticipate", "expect", "intend", "plan", "predict", "continue", "assume", "positioned", "may", "will", "should", "shall", "risk" and other similar expressions that are predictions of or indicate future events and future trends identify forward-looking statements. These forward-looking statements include all matters that are not historical facts. Past performance is not a reliable indicator of future performance, nor are forecasts of future performance. Whilst every effort has been taken to ensure that the assumptions on which any forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The ultimate outcomes may differ substantially from any forecasts.

Conflicts of Interest: In the normal course of offering banking products and services to its clients, the Westpac Group may act in several capacities (including issuer, market maker, underwriter, distributor, swap counterparty and calculation agent) simultaneously with respect to a financial instrument, giving rise to potential conflicts of interest which may impact the performance of a financial instrument. The Westpac Group may at any time transact or hold a position (including hedging and trading positions) for its own account or the account of a client in any financial instrument which may impact the performance of that financial instrument.

Author(s) disclaimer and declaration: The author(s) confirms that (a) no part of his/her compensation was, is, or will be, directly or indirectly, related to any views or (if applicable) recommendations expressed in this material; (b) this material accurately reflects his/her personal views about the financial products, companies or issuers (if applicable) and is based on sources reasonably believed to be reliable and accurate; (c) to the best of the author's knowledge, they are not in receipt of inside information and this material does not contain inside information; and (d) no other part of the Westpac Group has made any attempt to influence this material.

Further important information regarding sustainability related content: This material may contain statements relating to environmental, social and governance (ESG) topics. These are subject to known and unknown risks, and there are significant uncertainties, limitations, risks and assumptions in the metrics, modelling, data, scenarios, reporting and analysis on which the statements rely. In particular, these areas are rapidly evolving and maturing, and there are variations in approaches and common standards and practice, as well as uncertainty around future related policy and legislation. Some material may include information derived from publicly available sources that have not been independently verified. No representation or warranty is made as to the accuracy, completeness or reliability of the information. There is a risk that the analysis, estimates, judgements, assumptions, views, models, scenarios or projections used may turn out to be incorrect. These risks may cause actual outcomes to differ materially from those expressed or implied. The ESG-related statements in this material do not constitute advice, nor are they guarantees or predictions of future performance, and Westpac gives no representation, warranty or assurance (including as to the quality, accuracy or completeness of the statements). You should seek your own independent advice.

Additional country disclosures:

Australia: Westpac holds an Australian Financial Services Licence (No. 233714). You can access Westpac's Financial Services Guide here or request a copy from your Westpac point of contact. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice.

New Zealand: In New Zealand, Westpac Institutional Bank refers to the brand under which products and services are provided by either Westpac (NZ division) or Westpac New Zealand Limited (company number 1763882), the New Zealand incorporated subsidiary of Westpac ("WNZL"). Any product or service made available by WNZL does not represent an offer from Westpac or any of its subsidiaries (other than WNZL). Neither Westpac nor its other subsidiaries guarantee or otherwise support the performance of WNZL in respect of any such product. WNZL is not an authorised deposit-taking institution for the purposes of Australian prudential standards. The current disclosure statements for the New Zealand branch of Westpac and WNZL can be obtained at www.westpac.co.nz.

Singapore: This material has been prepared and issued for distribution in Singapore to institutional investors, accredited investors and expert investors (as defined in the applicable Singapore laws and regulations) only. Recipients of this material in Singapore should contact Westpac Singapore Branch in respect of any matters arising from, or in connection with, this material. Westpac Singapore Branch holds a wholesale banking licence and is subject to supervision by the Monetary Authority of Singapore.

Fiji: Unless otherwise specified, the products and services for Westpac Fiji are available from www.westpac.com.fj © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it

Disclaimer continues overleaf ▶

you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia and registered as a branch in Fiji. The liability of its members is limited.

Papua New Guinea: Unless otherwise specified, the products and services for Westpac PNG are available from www.westpac.com.pg © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia. Westpac is represented in Papua New Guinea by Westpac Bank - PNG - Limited. The liability of its members is limited.

U.S: Westpac operates in the United States of America as a federally licensed branch, regulated by the Office of the Comptroller of the Currency. Westpac is also registered with the US Commodity Futures Trading Commission ("CFTC") as a Swap Dealer, but is neither registered as, or affiliated with, a Futures Commission Merchant registered with the US CFTC. The services and products referenced above are not insured by the Federal Deposit Insurance Corporation ("FDIC"). Westpac Capital Markets, LLC ('WCM'), a wholly-owned subsidiary of Westpac, is a broker-dealer registered under the U.S. Securities Exchange Act of 1934 ('the Exchange Act') and member of the Financial Industry Regulatory Authority ('FINRA'). In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WCM other than as provided for in certain legal agreements between Westpac and WCM and obligations of WCM do not represent liabilities of Westpac.

This communication is provided for distribution to U.S. institutional investors in reliance on the exemption from registration provided by Rule 15a-6 under the Exchange Act and is not subject to all of the independence and disclosure standards applicable to debt research reports prepared for retail investors in the United States. WCM is the U.S. distributor of this communication and accepts responsibility for the contents of this communication. Transactions by U.S. customers of any securities referenced herein should be effected through WCM. All disclaimers set out with respect to Westpac apply equally to WCM. If you would like to speak to someone regarding any security mentioned herein, please contact WCM on +1 212 389 1269. Investing in any non-U.S. securities or related financial instruments mentioned in this communication may present certain risks. The securities of non-U.S. issuers may not be registered with, or be subject to the regulations of, the SEC in the United States. Information on such non-U.S. securities or related financial instruments may be limited. Non-U.S. companies may not be subject to audit and reporting standards and regulatory requirements comparable to those in effect in the United States. The value of any investment or income from any securities or related derivative instruments denominated in a currency other than U.S. dollars is subject to exchange rate fluctuations that may have a positive or adverse effect on the value of or income from such securities or related derivative instruments.

The author of this communication is employed by Westpac and is not registered or qualified as a research analyst, representative, or associated person of WCM or any other U.S. broker-dealer under the rules of FINRA, any other U.S. self-regulatory organisation, or the laws, rules or regulations of any State. Unless otherwise specifically stated, the views expressed herein are solely those of the author and may differ from the information, views or analysis expressed by Westpac and/or its affiliates.

UK: The London branch of Westpac is authorised in the United Kingdom by the Prudential Regulation Authority (PRA) and is subject to regulation by the Financial Conduct Authority (FCA) and limited regulation by the PRA (Financial Services Register number: 124586). The London branch of Westpac is registered at Companies House as a branch established in the United Kingdom (Branch No. BR000106). Details about the extent of the regulation of Westpac's London branch by the PRA are available from us on request.

This communication is not being made to or distributed to, and must not be passed on to, the general public in the United Kingdom. Rather, this communication is being made only to and is directed at (a) those persons falling within the definition of Investment Professionals (set out in Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (the "Order")); (b) those persons falling within the definition of high net worth companies, unincorporated associations etc. (set out in Article 49(2)of the Order; (c) other persons to whom it may lawfully be communicated in accordance with the Order or (d) any persons to whom it may otherwise lawfully be made (all such persons together being referred to as "relevant persons"). Any person who is not a relevant person should not act or rely on this communication or any of its contents. In the same way, the information contained in this communication is intended for "eligible counterparties" and "professional clients" as defined by the rules of the Financial Conduct Authority and is not intended for "retail clients". Westpac expressly prohibits you from passing on the information in this communication to any third party.

European Economic Area ("EEA"): This material may be distributed to you by either: (i) Westpac directly, or (ii) Westpac Europe GmbH ("WEG") under a sub-licensing arrangement. WEG has not edited or otherwise modified the content of this material. WEG is authorised in Germany by the Federal Financial Supervision Authority ('BaFin') and subject to its regulation. WEG's supervisory authorities are BaFin and the German Federal Bank ('Deutsche Bundesbank'). WEG is registered with the commercial register ('Handelsregister') of the local court of Frankfurt am Main under registration number HRB 118483. In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WEG other than as provided for in certain legal agreements (a risk transfer, sub-participation and collateral agreement) between Westpac and WEG and obligations of WEG do not represent liabilities of Westpac. Any product or service made available by WEG does not represent an offer from Westpac or any of its subsidiaries (other than WEG). All disclaimers set out with respect to Westpac apply equally to WEG.

This communication is not intended for distribution to, or use by any person or entity in any jurisdiction or country where such distribution or use would be contrary to local law or regulation.

This communication contains general commentary, research, and market colour. The communication does not constitute investment advice. The material may contain an 'investment recommendation' and/or 'information recommending or suggesting an investment', both as defined in Regulation (EU) No 596/2014 (including as applicable in the United Kingdom) ("MAR"). In accordance with the relevant provisions of MAR, reasonable care has been taken to ensure that the material has been objectively presented and that interests or conflicts of interest of the sender concerning the financial instruments to which that information relates have been disclosed.

Investment recommendations must be read alongside the specific disclosure which accompanies them and the general disclosure which can be found here. Such disclosure fulfils certain additional information requirements of MAR and associated delegated legislation and by accepting this communication you acknowledge that you are aware of the existence of such additional disclosure and its contents.

To the extent this communication comprises an investment recommendation it is classified as non-independent research. It has not been prepared in accordance with legal requirements designed to promote the independence of investment research and therefore constitutes a marketing communication. Further, this communication is not subject to any prohibition on dealing ahead of the dissemination of investment research.

27 July 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Market sentiment was supported by reports that Pakistan and Iran were exploring new peace talks with the US and that oil exports from the Middle East continued to flow. Over the weekend, the US paused strikes against Iran as tensions in the region continued to escalate.

On Friday, major US equity markets were mixed, while oil prices fell sharply and bond markets rallied following a 4% decline in Brent crude prices. The US dollar was broadly unchanged, while the Aussie was slightly higher against the greenback.

Markets are now pricing in a 38% chance of a US Federal Reserve rate hike this week, up from 13% a week ago.

In Australia, OIS pricing points to a terminal cash rate of around 4.65% this year, with one additional rate hike expected by December. However, this is likely to shift this week depending on the Q2 inflation outcome, which will be released later in the week.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	65.4	-0.5%
AUD/USD	0.6979	0.1%
AUD/JPY	114.35	0.2%
AUD/GBP	0.5241	0.1%
AUD/NZD	1.2073	0.0%
AUD/EUR	0.6140	0.2%
AUD/CNH	4.7274	0.1%
AUD/SGD	0.9013	0.1%
AUD/HKD	5.4764	0.2%
AUD/CAD	0.9807	-0.1%
EUR/USD	1.1370	-0.1%
USD/JPY	163.83	0.0%
USD Index	101.47	0.0%

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.40	0.02
90 day BBSY	4.59	0.04
180 day BBSY	4.93	0.07
1 year swap	4.68	-0.01
2 year swap	4.68	-0.01
3 year swap	4.66	0.01
4 year swap	4.66	-0.01
5 year swap	4.68	-0.01
6 year swap	4.72	-0.01
7 year swap	4.77	0.00
8 year swap	4.82	-0.01
9 year swap	4.86	-0.01
10 year swap	4.90	-0.01

Equities	Close	Change
S&P/ASX 200	8,772	-0.8%
S&P 500	7,412	0.0%
Japan Nikkei	64,611	-2.7%
Hang Seng	24,963	-1.0%
Euro Stoxx 50	6,281	1.1%
UK FTSE100	10,736	0.9%
VIX Index	18.58	-0.6%

Commodities	Current	Change
CRB Index	395.67	-1.1%
Gold	4052.79	0.1%
Copper	13645	0.4%
Oil (WTI futures)	89.31	-3.1%
Coal (coking)	221.00	-0.9%
Coal (thermal)	137.75	1.1%
Iron Ore	97.90	-0.3%
ACCU	36.13	-4.3%

Government Bond Yields	Close	Change
Australia		
3 year bond	4.72	0.11
10 year bond	5.09	0.10
United States		
3-month T Bill	3.81	0.00
2 year bond	4.33	-0.02
10 year bond	4.68	-0.02
Other (10 year yields)		
Germany	3.17	-0.03
Japan	2.82	0.03
UK	5.03	-0.07

Sydney Futures Exchange	Current	Change
10 yr bond	5.08	-0.04
3 yr bond	4.68	-0.04
3 mth bill rate	4.47	0.00
SPI 200	8,766	0.6%

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

Pat Bustamante
Senior Economist, Westpac Group
P: +61 468 571 786
E: pat.bustamante@westpac.com.au

Financial Markets

- Markets settled on Friday as investors responded to reports that Pakistan and Iran were exploring options to enter new peace talks with the US, alongside reports that oil was still able to flow out of the Middle East. Brent crude prices retreated from US$100 a barrel, falling 4%, its biggest one-day drop since late June.
- Over the weekend, reports suggested the US paused strikes against Iran for a second consecutive night as tensions continued to escalate in the Red Sea following clashes involving Yemen's Houthi militants and Saudi Arabia. The Houthis claimed responsibility for missile and drone attacks on Saudi Aramco-linked facilities in Jizan and Yanbu, prompting retaliatory strikes by a Saudi-led coalition.
- US equity markets were mixed. The S&P 500 finished broadly unchanged, while the Dow Jones Industrial Average rose 0.4% and the tech-heavy Nasdaq fell 0.6%. Market volatility eased, with the VIX Index falling 0.6% to 18.6. Over the week, however, key US equity indices were lower, with the S&P 500 and Dow Jones Industrial Average falling 0.6% and 0.4%, respectively, while the Nasdaq underperformed, falling 2.1%.
- European equities outperformed, supported by lower oil prices and stronger-than-expected PMI results. The Euro Stoxx 50 rose 1.1%, Germany's DAX gained 1.4% and the FTSE 100 increased 0.9%. In Asia, equities were weaker, with the Nikkei falling 2.7% and the Hang Seng declining 1.0%. Locally, the S&P/ASX 200 fell 0.8% to 8,772. SPI futures were up 0.6%, pointing to a firmer open for the Aussie market.
- Bond markets rallied modestly on the back of the falls in oil prices. In the US, the 2-year Treasury yield fell 2bps to 4.33%, while the 10-year Treasury yield declined 2bps to 4.68%. Traders are now pricing in roughly a 38% chance of a rate hike at this week's Federal Reserve meeting, up from just 13% a week ago. European yields also moved lower, with German 10-year Bund yields falling 3bps to 3.17% and UK 10-year gilt yields down 7bps to 5.03%. Japanese 10-year government bond yields rose 3bps to 2.82%.
- Australian bond yields moved higher in cash markets but lower in futures trading. The 3-year government bond yield rose 11bps to 4.72%, while the 10-year yield increased 10bps to 5.09%. However, Sydney Futures Exchange pricing showed the 3-year and 10-year futures yields both down 4bps, suggesting a stronger open for the local bond market. OIS pricing suggests a terminal cash rate of around 4.65% this year, with the market pricing in one more hike by December this year.

Today's key data and events

Time	Event	Exp	Prev
11:30	CN Industrial Profits Jun	-	21.1%
18:00	EZ M3 Money Supply Jun	-	3.2%
22:30	US Durable Goods Orders Jun Prel.	1.4%	-4.5%
0:30	US Dallas Fed Manufacturing Jul	-	0pts

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

- In foreign exchange markets, the US dollar index was broadly unchanged, while the Aussie was broadly firmer. The AUD/USD rose 0.1% to 0.6979, while the Australian dollar also gained against the Japanese yen (+0.2%), pound sterling (+0.1%), euro (+0.2%), Chinese yuan (+0.1%), Singapore dollar (+0.1%) and Hong Kong dollar (+0.2%). The trade-weighted index (TWI) eased 0.5% to 65.4, while the Australian dollar was unchanged against the New Zealand dollar and slipped 0.1% against the Canadian dollar.
- Commodity markets were generally weaker. The commodity index fell 1.1%, reflecting declines across energy and carbon markets. WTI crude oil dropped 3.1% to US$89.31/bbl following reports that Pakistan and Iran were exploring options to enter new peace talks with the US. Iron ore fell 0.3% to US$97.90/t, while coking coal declined 0.9%. Thermal coal was a notable exception, rising 1.1%. Copper increased 0.4%, supported by ongoing supply concerns, while gold edged 0.1% higher.

International Data

US new homes sales gained 1.6% in June after May's decline was revised from -7.3% to -4.3%. The current level of sales is almost 40% below the late-2020 peak.

The **US S&P manufacturing PMI** was little changed at 53.8 in July while the services measures improved from 51.2 to 53.6. A similar result was seen for the **Euro Area**, the manufacturing PMI reported at 52.0 and the services index 51.6, and the **UK**, manufacturing and services PMIs, respectively 52.8 and 51.8.

UK GfK consumer confidence improved from -23 to -17 in July, modestly below the survey's full-history average.

UK retail sales surprised materially to the upside in June, registering a 1.0% gain after a 1.2% increase in May. Activity was broad based, sales rising 1.1% in June excluding fuel. Over the year, sales are up 4.2% overall and 5.4% excluding fuel.

Local Data

The **Westpac-Now** continues to point to GDP growth of around 0.2%qtr in Q2, broadly in line with the sluggish 0.3%qtr outcome in Q1 2026. However, the Westpac Monthly Activity Index is showing tentative signs of stabilising (see here).

Corporate Directory

Westpac Economics / Australia

Sydney
Level 19, 275 Kent Street
Sydney NSW 2000
Australia

E: economics@westpac.com.au

Luci Ellis
Chief Economist Westpac Group
E: luci.ellis@westpac.com.au

Matthew Hassan
Head of Australian Macro–Forecasting
E: mhassan@westpac.com.au

Elliot Clarke
Head of International Economics
E: eclarke@westpac.com.au

Sian Fenner
Head of Business and Industry Economics
E: sian.fenner@westpac.com.au

Justin Smirk
Senior Economist
E: jsmirk@westpac.com.au

Pat Bustamante
Senior Economist
E: pat.bustamante@westpac.com.au

Mantas Vanagas
Senior Economist
E: mantas.vanagas@westpac.com.au

Ryan Wells
Economist
E: ryan.wells@westpac.com.au

Illiana Jain
Economist
E: illiana.jain@westpac.com.au

Neha Sharma
Economist
E: neha.sharma1@westpac.com.au

Luka Belobrajdic
Economist
E: luka.belobrajdic@westpac.com.au

Westpac Economics / New Zealand

Auckland
Takutai on the Square
Level 8, 16 Takutai Square
Auckland, New Zealand

E: economics@westpac.co.nz

Kelly Eckhold
Chief Economist NZ
E: kelly.eckhold@westpac.co.nz

Michael Gordon
Senior Economist
E: michael.gordon@westpac.co.nz

Darren Gibbs
Senior Economist
E: darren.gibbs@westpac.co.nz

Satish Ranchhod
Senior Economist
E: satish.ranchhod@westpac.co.nz

Paul Clark
Industry Economist
E: paul.clarke@westpac.co.nz

Westpac Economics / Fiji

Suva
1 Thomson Street
Suva, Fiji

Shamal Chand
Senior Economist
E: shamal.chand@westpac.com.au

Things you should know

We respect your privacy: You can view the New Zealand Privacy Policy here, or the Australian Group Privacy Statement here. Each time someone visits our site, data is captured so that we can accurately evaluate the quality of our content and make improvements for you. We may at times use technology to capture data about you to help us to better understand you and your needs, including potentially for the purposes of assessing your individual reading habits and interests to allow us to provide suggestions regarding other reading material which may be suitable for you.

Disclaimer

This information has been prepared by Westpac and is intended for information purposes only. It is not intended to reflect any recommendation or financial advice and investment decisions should not be based on it. This information does not constitute an offer, a solicitation of an offer, or an inducement to subscribe for, purchase or sell any financial instrument or to enter into a legally binding contract. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice. Certain types of transactions, including those involving futures, options and high yield securities give rise to substantial risk and are not suitable for all investors. We recommend that you seek your own independent legal or financial advice before proceeding with any investment decision.

This information may contain material provided by third parties. While such material is published with the necessary permission none of Westpac or its related entities accepts any responsibility for the accuracy or completeness of any such material. Although we have made every effort to ensure this information is free from error, none of Westpac or its related entities warrants the accuracy, adequacy or completeness of this information, or otherwise endorses it in any way. Except where contrary to law, Westpac Group intend by this notice to exclude liability for this information. This information is subject to change without notice and none of Westpac or its related entities is under any obligation to update this information or correct any inaccuracy which may become apparent at a later date. This information may contain or incorporate by reference forward looking statements. The words "believe", "anticipate", "expect", "intend", "plan", "predict", "continue", "assume", "positioned", "may", "will", "should", "shall", "risk" and other similar expressions that are predictions of or indicate future events and future trends identify forward-looking statements. These forward-looking statements include all matters that are not historical facts. Past performance is not a reliable indicator of future performance, nor are forecasts of future performance. Whilst every effort has been taken to ensure that the assumptions on which any forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The ultimate outcomes may differ substantially from any forecasts.

Conflicts of Interest: In the normal course of offering banking products and services to its clients, the Westpac Group may act in several capacities (including issuer, market maker, underwriter, distributor, swap counterparty and calculation agent) simultaneously with respect to a financial instrument, giving rise to potential conflicts of interest which may impact the performance of a financial instrument. The Westpac Group may at any time transact or hold a position (including hedging and trading positions) for its own account or the account of a client in any financial instrument which may impact the performance of that financial instrument.

Author(s) disclaimer and declaration: The author(s) confirms that (a) no part of his/her compensation was, is, or will be, directly or indirectly, related to any views or (if applicable) recommendations expressed in this material; (b) this material accurately reflects his/her personal views about the financial products, companies or issuers (if applicable) and is based on sources reasonably believed to be reliable and accurate; (c) to the best of the author's knowledge, they are not in receipt of inside information and this material does not contain inside information; and (d) no other part of the Westpac Group has made any attempt to influence this material.

Further important information regarding sustainability related content: This material may contain statements relating to environmental, social and governance (ESG) topics. These are subject to known and unknown risks, and there are significant uncertainties, limitations, risks and assumptions in the metrics, modelling, data, scenarios, reporting and analysis on which the statements rely. In particular, these areas are rapidly evolving and maturing, and there are variations in approaches and common standards and practice, as well as uncertainty around future related policy and legislation. Some material may include information derived from publicly available sources that have not been independently verified. No representation or warranty is made as to the accuracy, completeness or reliability of the information. There is a risk that the analysis, estimates, judgements, assumptions, views, models, scenarios or projections used may turn out to be incorrect. These risks may cause actual outcomes to differ materially from those expressed or implied. The ESG-related statements in this material do not constitute advice, nor are they guarantees or predictions of future performance, and Westpac gives no representation, warranty or assurance (including as to the quality, accuracy or completeness of the statements). You should seek your own independent advice.

Additional country disclosures:

Australia: Westpac holds an Australian Financial Services Licence (No. 233714). You can access Westpac's Financial Services Guide here or request a copy from your Westpac point of contact. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice.

New Zealand: In New Zealand, Westpac Institutional Bank refers to the brand under which products and services are provided by either Westpac (NZ division) or Westpac New Zealand Limited (company number 1763882), the New Zealand incorporated subsidiary of Westpac ("WNZL"). Any product or service made available by WNZL does not represent an offer from Westpac or any of its subsidiaries (other than WNZL). Neither Westpac nor its other subsidiaries guarantee or otherwise support the performance of WNZL in respect of any such product. WNZL is not an authorised deposit-taking institution for the purposes of Australian prudential standards. The current disclosure statements for the New Zealand branch of Westpac and WNZL can be obtained at www.westpac.co.nz.

Singapore: This material has been prepared and issued for distribution in Singapore to institutional investors, accredited investors and expert investors (as defined in the applicable Singapore laws and regulations) only. Recipients of this material in Singapore should contact Westpac Singapore Branch in respect of any matters arising from, or in connection with, this material. Westpac Singapore Branch holds a wholesale banking licence and is subject to supervision by the Monetary Authority of Singapore.

Disclaimer continues overleaf ▶

Fiji: Unless otherwise specified, the products and services for Westpac Fiji are available from www.westpac.com.fj © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia and registered as a branch in Fiji. The liability of its members is limited.

Papua New Guinea: Unless otherwise specified, the products and services for Westpac PNG are available from www.westpac.com.pg © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia. Westpac is represented in Papua New Guinea by Westpac Bank - PNG - Limited. The liability of its members is limited.

U.S: Westpac operates in the United States of America as a federally licensed branch, regulated by the Office of the Comptroller of the Currency. Westpac is also registered with the US Commodity Futures Trading Commission ("CFTC") as a Swap Dealer, but is neither registered as, or affiliated with, a Futures Commission Merchant registered with the US CFTC. The services and products referenced above are not insured by the Federal Deposit Insurance Corporation ("FDIC"). Westpac Capital Markets, LLC ('WCM'), a wholly-owned subsidiary of Westpac, is a broker-dealer registered under the U.S. Securities Exchange Act of 1934 ('the Exchange Act') and member of the Financial Industry Regulatory Authority ('FINRA'). In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WCM other than as provided for in certain legal agreements between Westpac and WCM and obligations of WCM do not represent liabilities of Westpac.

This communication is provided for distribution to U.S. institutional investors in reliance on the exemption from registration provided by Rule 15a-6 under the Exchange Act and is not subject to all of the independence and disclosure standards applicable to debt research reports prepared for retail investors in the United States. WCM is the U.S. distributor of this communication and accepts responsibility for the contents of this communication. Transactions by U.S. customers of any securities referenced herein should be effected through WCM. All disclaimers set out with respect to Westpac apply equally to WCM. If you would like to speak to someone regarding any security mentioned herein, please contact WCM on +1 212 389 1269. Investing in any non-U.S. securities or related financial instruments mentioned in this communication may present certain risks. The securities of non-U.S. issuers may not be registered with, or be subject to the regulations of, the SEC in the United States. Information on such non-U.S. securities or related financial instruments may be limited. Non-U.S. companies may not be subject to audit and reporting standards and regulatory requirements comparable to those in effect in the United States. The value of any investment or income from any securities or related derivative instruments denominated in a currency other than U.S. dollars is subject to exchange rate fluctuations that may have a positive or adverse effect on the value of or income from such securities or related derivative instruments.

The author of this communication is employed by Westpac and is not registered or qualified as a research analyst, representative, or associated person of WCM or any other U.S. broker-dealer under the rules of FINRA, any other U.S. self-regulatory organisation, or the laws, rules or regulations of any State. Unless otherwise specifically stated, the views expressed herein are solely those of the author and may differ from the information, views or analysis expressed by Westpac and/or its affiliates.

UK: The London branch of Westpac is authorised in the United Kingdom by the Prudential Regulation Authority (PRA) and is subject to regulation by the Financial Conduct Authority (FCA) and limited regulation by the PRA (Financial Services Register number: 124586). The London branch of Westpac is registered at Companies House as a branch established in the United Kingdom (Branch No. BR000106). Details about the extent of the regulation of Westpac's London branch by the PRA are available from us on request.

This communication is not being made to or distributed to, and must not be passed on to, the general public in the United Kingdom. Rather, this communication is being made only to and is directed at (a) those persons falling within the definition of Investment Professionals (set out in Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (the "Order")); (b) those persons falling within the definition of high net worth companies, unincorporated associations etc. (set out in Article 49(2)of the Order; (c) other persons to whom it may lawfully be communicated in accordance with the Order or (d) any persons to whom it may otherwise lawfully be made (all such persons together being referred to as "relevant persons"). Any person who is not a relevant person should not act or rely on this communication or any of its contents. In the same way, the information contained in this communication is intended for "eligible counterparties" and "professional clients" as defined by the rules of the Financial Conduct Authority and is not intended for "retail clients". Westpac expressly prohibits you from passing on the information in this communication to any third party.

European Economic Area ("EEA"): This material may be distributed to you by either: (i) Westpac directly, or (ii) Westpac Europe GmbH ("WEG") under a sub-licensing arrangement. WEG has not edited or otherwise modified the content of this material. WEG is authorised in Germany by the Federal Financial Supervision Authority ('BaFin') and subject to its regulation. WEG's supervisory authorities are BaFin and the German Federal Bank ('Deutsche Bundesbank'). WEG is registered with the commercial register ('Handelsregister') of the local court of Frankfurt am Main under registration number HRB 118483. In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WEG other than as provided for in certain legal agreements (a risk transfer, sub-participation and collateral agreement) between Westpac and WEG and obligations of WEG do not represent liabilities of Westpac. Any product or service made available by WEG does not represent an offer from Westpac or any of its subsidiaries (other than WEG). All disclaimers set out with respect to Westpac apply equally to WEG.

This communication is not intended for distribution to, or use by any person or entity in any jurisdiction or country where such distribution or use would be contrary to local law or regulation.

This communication contains general commentary, research, and market colour. The communication does not constitute investment advice. The material may contain an 'investment recommendation' and/or 'information recommending or suggesting an investment', both as defined in Regulation (EU) No 596/2014 (including as applicable in the United Kingdom) ("MAR"). In accordance with the relevant provisions of MAR, reasonable care has been taken to ensure that the material has been objectively presented and that interests or conflicts of interest of the sender concerning the financial instruments to which that information relates have been disclosed.

Investment recommendations must be read alongside the specific disclosure which accompanies them and the general disclosure which can be found here. Such disclosure fulfils certain additional information requirements of MAR and associated delegated legislation and by accepting this communication you acknowledge that you are aware of the existence of such additional disclosure and its contents.

To the extent this communication comprises an investment recommendation it is classified as non-independent research. It has not been prepared in accordance with legal requirements designed to promote the independence of investment research and therefore constitutes a marketing communication. Further, this communication is not subject to any prohibition on dealing ahead of the dissemination of investment research.

27 July 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Market sentiment was supported by reports that Pakistan and Iran were exploring new peace talks with the US and that oil exports from the Middle East continued to flow. Over the weekend, the US paused strikes against Iran as tensions in the region continued to escalate.

On Friday, major US equity markets were mixed, while oil prices fell sharply and bond markets rallied following a 4% decline in Brent crude prices. The US dollar was broadly unchanged, while the Aussie was slightly higher against the greenback.

Markets are now pricing in a 38% chance of a US Federal Reserve rate hike this week, up from 13% a week ago.

In Australia, OIS pricing points to a terminal cash rate of around 4.65% this year, with one additional rate hike expected by December. However, this is likely to shift this week depending on the Q2 inflation outcome, which will be released later in the week.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	65.4	-0.5%
AUD/USD	0.6979	0.1%
AUD/JPY	114.35	0.2%
AUD/GBP	0.5241	0.1%
AUD/NZD	1.2073	0.0%
AUD/EUR	0.6140	0.2%
AUD/CNH	4.7274	0.1%
AUD/SGD	0.9013	0.1%
AUD/HKD	5.4764	0.2%
AUD/CAD	0.9807	-0.1%
EUR/USD	1.1370	-0.1%
USD/JPY	163.83	0.0%
USD Index	101.47	0.0%

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.40	0.02
90 day BBSY	4.59	0.04
180 day BBSY	4.93	0.07
1 year swap	4.68	-0.01
2 year swap	4.68	-0.01
3 year swap	4.66	0.01
4 year swap	4.66	-0.01
5 year swap	4.68	-0.01
6 year swap	4.72	-0.01
7 year swap	4.77	0.00
8 year swap	4.82	-0.01
9 year swap	4.86	-0.01
10 year swap	4.90	-0.01

Equities	Close	Change
S&P/ASX 200	8,772	-0.8%
S&P 500	7,412	0.0%
Japan Nikkei	64,611	-2.7%
Hang Seng	24,963	-1.0%
Euro Stoxx 50	6,281	1.1%
UK FTSE100	10,736	0.9%
VIX Index	18.58	-0.6%

Government Bond Yields	Close	Change
Australia		
3 year bond	4.72	0.11
10 year bond	5.09	0.10
United States		
3-month T Bill	3.81	0.00
2 year bond	4.33	-0.02
10 year bond	4.68	-0.02
Other (10 year yields)		
Germany	3.17	-0.03
Japan	2.82	0.03
UK	5.03	-0.07

Commodities	Current	Change
CRB Index	395.67	-1.1%
Gold	4052.79	0.1%
Copper	13645	0.4%
Oil (WTI futures)	89.31	-3.1%
Coal (coking)	221.00	-0.9%
Coal (thermal)	137.75	1.1%
Iron Ore	97.90	-0.3%
ACCU	36.13	-4.3%

Sydney Futures Exchange	Current	Change
10 yr bond	5.08	-0.04
3 yr bond	4.68	-0.04
3 mth bill rate	4.47	0.00
SPI 200	8,766	0.6%

Data as at 7:00am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

Pat Bustamante
Senior Economist, Westpac Group
P: +61 468 571 786
E: pat.bustamante@westpac.com.au

Financial Markets

- Markets settled on Friday as investors responded to reports that Pakistan and Iran were exploring options to enter new peace talks with the US, alongside reports that oil was still able to flow out of the Middle East. Brent crude prices retreated from US$100 a barrel, falling 4%, its biggest one-day drop since late June.
- Over the weekend, reports suggested the US paused strikes against Iran for a second consecutive night as tensions continued to escalate in the Red Sea following clashes involving Yemen's Houthi militants and Saudi Arabia. The Houthis claimed responsibility for missile and drone attacks on Saudi Aramco-linked facilities in Jizan and Yanbu, prompting retaliatory strikes by a Saudi-led coalition.
- US equity markets were mixed. The S&P 500 finished broadly unchanged, while the Dow Jones Industrial Average rose 0.4% and the tech-heavy Nasdaq fell 0.6%. Market volatility eased, with the VIX Index falling 0.6% to 18.6. Over the week, however, key US equity indices were lower, with the S&P 500 and Dow Jones Industrial Average falling 0.6% and 0.4%, respectively, while the Nasdaq underperformed, falling 2.1%.
- European equities outperformed, supported by lower oil prices and stronger-than-expected PMI results. The Euro Stoxx 50 rose 1.1%, Germany's DAX gained 1.4% and the FTSE 100 increased 0.9%. In Asia, equities were weaker, with the Nikkei falling 2.7% and the Hang Seng declining 1.0%. Locally, the S&P/ASX 200 fell 0.8% to 8,772. SPI futures were up 0.6%, pointing to a firmer open for the Aussie market.
- Bond markets rallied modestly on the back of the falls in oil prices. In the US, the 2-year Treasury yield fell 2bps to 4.33%, while the 10-year Treasury yield declined 2bps to 4.68%. Traders are now pricing in roughly a 38% chance of a rate hike at this week's Federal Reserve meeting, up from just 13% a week ago. European yields also moved lower, with German 10-year Bund yields falling 3bps to 3.17% and UK 10-year gilt yields down 7bps to 5.03%. Japanese 10-year government bond yields rose 3bps to 2.82%.
- Australian bond yields moved higher in cash markets but lower in futures trading. The 3-year government bond yield rose 11bps to 4.72%, while the 10-year yield increased 10bps to 5.09%. However, Sydney Futures Exchange pricing showed the 3-year and 10-year futures yields both down 4bps, suggesting a stronger open for the local bond market. OIS pricing suggests a terminal cash rate of around 4.65% this year, with the market pricing in one more hike by December this year.

Today's key data and events

Time	Event	Exp	Prev
11:30	CN Industrial Profits Jun	-	21.1%
18:00	EZ M3 Money Supply Jun	-	3.2%
22:30	US Durable Goods Orders Jun Prel.	1.4%	-4.5%
0:30	US Dallas Fed Manufacturing Jul	-	0pts

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

- In foreign exchange markets, the US dollar index was broadly unchanged, while the Aussie was broadly firmer. The AUD/USD rose 0.1% to 0.6979, while the Australian dollar also gained against the Japanese yen (+0.2%), pound sterling (+0.1%), euro (+0.2%), Chinese yuan (+0.1%), Singapore dollar (+0.1%) and Hong Kong dollar (+0.2%). The trade-weighted index (TWI) eased 0.5% to 65.4, while the Australian dollar was unchanged against the New Zealand dollar and slipped 0.1% against the Canadian dollar.
- Commodity markets were generally weaker. The commodity index fell 1.1%, reflecting declines across energy and carbon markets. WTI crude oil dropped 3.1% to US$89.31/bbl following reports that Pakistan and Iran were exploring options to enter new peace talks with the US. Iron ore fell 0.3% to US$97.90/t, while coking coal declined 0.9%. Thermal coal was a notable exception, rising 1.1%. Copper increased 0.4%, supported by ongoing supply concerns, while gold edged 0.1% higher.

International Data

US new homes sales gained 1.6% in June after May's decline was revised from -7.3% to -4.3%. The current level of sales is almost 40% below the late-2020 peak.

The **US S&P manufacturing PMI** was little changed at 53.8 in July while the services measures improved from 51.2 to 53.6. A similar result was seen for the **Euro Area**, the manufacturing PMI reported at 52.0 and the services index 51.6, and the **UK**, manufacturing and services PMIs, respectively 52.8 and 51.8.

UK GfK consumer confidence improved from -23 to -17 in July, modestly below the survey's full-history average.

UK retail sales surprised materially to the upside in June, registering a 1.0% gain after a 1.2% increase in May. Activity was broad based, sales rising 1.1% in June excluding fuel. Over the year, sales are up 4.2% overall and 5.4% excluding fuel.

Local Data

The **Westpac-Now** continues to point to GDP growth of around 0.2%qtr in Q2, broadly in line with the sluggish 0.3%qtr outcome in Q1 2026. However, the Westpac Monthly Activity Index is showing tentative signs of stabilising (see here).

Corporate Directory

Westpac Economics / Australia

Sydney
Level 19, 275 Kent Street
Sydney NSW 2000
Australia

E: economics@westpac.com.au

Luci Ellis
Chief Economist Westpac Group
E: luci.ellis@westpac.com.au

Matthew Hassan
Head of Australian Macro–Forecasting
E: mhassan@westpac.com.au

Elliot Clarke
Head of International Economics
E: eclarke@westpac.com.au

Sian Fenner
Head of Business and Industry Economics
E: sian.fenner@westpac.com.au

Justin Smirk
Senior Economist
E: jsmirk@westpac.com.au

Pat Bustamante
Senior Economist
E: pat.bustamante@westpac.com.au

Mantas Vanagas
Senior Economist
E: mantas.vanagas@westpac.com.au

Ryan Wells
Economist
E: ryan.wells@westpac.com.au

Illiana Jain
Economist
E: illiana.jain@westpac.com.au

Neha Sharma
Economist
E: neha.sharma1@westpac.com.au

Luka Belobrajdic
Economist
E: luka.belobrajdic@westpac.com.au

Westpac Economics / New Zealand

Auckland
Takutai on the Square
Level 8, 16 Takutai Square
Auckland, New Zealand

E: economics@westpac.co.nz

Kelly Eckhold
Chief Economist NZ
E: kelly.eckhold@westpac.co.nz

Michael Gordon
Senior Economist
E: michael.gordon@westpac.co.nz

Darren Gibbs
Senior Economist
E: darren.gibbs@westpac.co.nz

Satish Ranchhod
Senior Economist
E: satish.ranchhod@westpac.co.nz

Paul Clark
Industry Economist
E: paul.clarke@westpac.co.nz

Westpac Economics / Fiji

Suva
1 Thomson Street
Suva, Fiji

Shamal Chand
Senior Economist
E: shamal.chand@westpac.com.au

Things you should know

We respect your privacy: You can view the New Zealand Privacy Policy here, or the Australian Group Privacy Statement here. Each time someone visits our site, data is captured so that we can accurately evaluate the quality of our content and make improvements for you. We may at times use technology to capture data about you to help us to better understand you and your needs, including potentially for the purposes of assessing your individual reading habits and interests to allow us to provide suggestions regarding other reading material which may be suitable for you.

Disclaimer

This information has been prepared by Westpac and is intended for information purposes only. It is not intended to reflect any recommendation or financial advice and investment decisions should not be based on it. This information does not constitute an offer, a solicitation of an offer, or an inducement to subscribe for, purchase or sell any financial instrument or to enter into a legally binding contract. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice. Certain types of transactions, including those involving futures, options and high yield securities give rise to substantial risk and are not suitable for all investors. We recommend that you seek your own independent legal or financial advice before proceeding with any investment decision.

This information may contain material provided by third parties. While such material is published with the necessary permission none of Westpac or its related entities accepts any responsibility for the accuracy or completeness of any such material. Although we have made every effort to ensure this information is free from error, none of Westpac or its related entities warrants the accuracy, adequacy or completeness of this information, or otherwise endorses it in any way. Except where contrary to law, Westpac Group intend by this notice to exclude liability for this information. This information is subject to change without notice and none of Westpac or its related entities is under any obligation to update this information or correct any inaccuracy which may become apparent at a later date. This information may contain or incorporate by reference forward looking statements. The words “believe”, “anticipate”, “expect”, “intend”, “plan”, “predict”, “continue”, “assume”, “positioned”, “may”, “will”, “should”, “shall”, “risk” and other similar expressions that are predictions of or indicate future events and future trends identify forward-looking statements. These forward-looking statements include all matters that are not historical facts. Past performance is not a reliable indicator of future performance, nor are forecasts of future performance. Whilst every effort has been taken to ensure that the assumptions on which any forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The ultimate outcomes may differ substantially from any forecasts.

Conflicts of Interest: In the normal course of offering banking products and services to its clients, the Westpac Group may act in several capacities (including issuer, market maker, underwriter, distributor, swap counterparty and calculation agent) simultaneously with respect to a financial instrument, giving rise to potential conflicts of interest which may impact the performance of a financial instrument. The Westpac Group may at any time transact or hold a position (including hedging and trading positions) for its own account or the account of a client in any financial instrument which may impact the performance of that financial instrument.

Author(s) disclaimer and declaration: The author(s) confirms that (a) no part of his/her compensation was, is, or will be, directly or indirectly, related to any views or (if applicable) recommendations expressed in this material; (b) this material accurately reflects his/her personal views about the financial products, companies or issuers (if applicable) and is based on sources reasonably believed to be reliable and accurate; (c) to the best of the author’s knowledge, they are not in receipt of inside information and this material does not contain inside information; and (d) no other part of the Westpac Group has made any attempt to influence this material.

Further important information regarding sustainability related content: This material may contain statements relating to environmental, social and governance (ESG) topics. These are subject to known and unknown risks, and there are significant uncertainties, limitations, risks and assumptions in the metrics, modelling, data, scenarios, reporting and analysis on which the statements rely. In particular, these areas are rapidly evolving and maturing, and there are variations in approaches and common standards and practice, as well as uncertainty around future related policy and legislation. Some material may include information derived from publicly available sources that have not been independently verified. No representation or warranty is made as to the accuracy, completeness or reliability of the information. There is a risk that the analysis, estimates, judgements, assumptions, views, models, scenarios or projections used may turn out to be incorrect. These risks may cause actual outcomes to differ materially from those expressed or implied. The ESG-related statements in this material do not constitute advice, nor are they guarantees or predictions of future performance, and Westpac gives no representation, warranty or assurance (including as to the quality, accuracy or completeness of the statements). You should seek your own independent advice.

Additional country disclosures:

Australia: Westpac holds an Australian Financial Services Licence (No. 233714). You can access Westpac’s Financial Services Guide here or request a copy from your Westpac point of contact. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice.

New Zealand: In New Zealand, Westpac Institutional Bank refers to the brand under which products and services are provided by either Westpac (NZ division) or Westpac New Zealand Limited (company number 1763882), the New Zealand incorporated subsidiary of Westpac (“WNZL”). Any product or service made available by WNZL does not represent an offer from Westpac or any of its subsidiaries (other than WNZL). Neither Westpac nor its other subsidiaries guarantee or otherwise support the performance of WNZL in respect of any such product. WNZL is not an authorised deposit-taking institution for the purposes of Australian prudential standards. The current disclosure statements for the New Zealand branch of Westpac and WNZL can be obtained at www.westpac.co.nz.

Singapore: This material has been prepared and issued for distribution in Singapore to institutional investors, accredited investors and expert investors (as defined in the applicable Singapore laws and regulations) only. Recipients of this material in Singapore should contact Westpac Singapore Branch in respect of any matters arising from, or in connection with, this material. Westpac Singapore Branch holds a wholesale banking licence and is subject to supervision by the Monetary Authority of Singapore.

Disclaimer continues overleaf ▶

Fiji: Unless otherwise specified, the products and services for Westpac Fiji are available from www.westpac.com.fj © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia and registered as a branch in Fiji. The liability of its members is limited.

Papua New Guinea: Unless otherwise specified, the products and services for Westpac PNG are available from www.westpac.com.pg © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia. Westpac is represented in Papua New Guinea by Westpac Bank - PNG - Limited. The liability of its members is limited.

U.S: Westpac operates in the United States of America as a federally licensed branch, regulated by the Office of the Comptroller of the Currency. Westpac is also registered with the US Commodity Futures Trading Commission ("CFTC") as a Swap Dealer, but is neither registered as, or affiliated with, a Futures Commission Merchant registered with the US CFTC. The services and products referenced above are not insured by the Federal Deposit Insurance Corporation ("FDIC"). Westpac Capital Markets, LLC ('WCM'), a wholly-owned subsidiary of Westpac, is a broker-dealer registered under the U.S. Securities Exchange Act of 1934 ('the Exchange Act') and member of the Financial Industry Regulatory Authority ('FINRA'). In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WCM other than as provided for in certain legal agreements between Westpac and WCM and obligations of WCM do not represent liabilities of Westpac.

This communication is provided for distribution to U.S. institutional investors in reliance on the exemption from registration provided by Rule 15a-6 under the Exchange Act and is not subject to all of the independence and disclosure standards applicable to debt research reports prepared for retail investors in the United States. WCM is the U.S. distributor of this communication and accepts responsibility for the contents of this communication. Transactions by U.S. customers of any securities referenced herein should be effected through WCM. All disclaimers set out with respect to Westpac apply equally to WCM. If you would like to speak to someone regarding any security mentioned herein, please contact WCM on +1 212 389 1269. Investing in any non-U.S. securities or related financial instruments mentioned in this communication may present certain risks. The securities of non-U.S. issuers may not be registered with, or be subject to the regulations of, the SEC in the United States. Information on such non-U.S. securities or related financial instruments may be limited. Non-U.S. companies may not be subject to audit and reporting standards and regulatory requirements comparable to those in effect in the United States. The value of any investment or income from any securities or related derivative instruments denominated in a currency other than U.S. dollars is subject to exchange rate fluctuations that may have a positive or adverse effect on the value of or income from such securities or related derivative instruments.

The author of this communication is employed by Westpac and is not registered or qualified as a research analyst, representative, or associated person of WCM or any other U.S. broker-dealer under the rules of FINRA, any other U.S. self-regulatory organisation, or the laws, rules or regulations of any State. Unless otherwise specifically stated, the views expressed herein are solely those of the author and may differ from the information, views or analysis expressed by Westpac and/or its affiliates.

UK: The London branch of Westpac is authorised in the United Kingdom by the Prudential Regulation Authority (PRA) and is subject to regulation by the Financial Conduct Authority (FCA) and limited regulation by the PRA (Financial Services Register number: 124586). The London branch of Westpac is registered at Companies House as a branch established in the United Kingdom (Branch No. BR000106). Details about the extent of the regulation of Westpac's London branch by the PRA are available from us on request.

This communication is not being made to or distributed to, and must not be passed on to, the general public in the United Kingdom. Rather, this communication is being made only to and is directed at (a) those persons falling within the definition of Investment Professionals (set out in Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (the "Order")); (b) those persons falling within the definition of high net worth companies, unincorporated associations etc. (set out in Article 49(2)of the Order; (c) other persons to whom it may lawfully be communicated in accordance with the Order or (d) any persons to whom it may otherwise lawfully be made (all such persons together being referred to as "relevant persons"). Any person who is not a relevant person should not act or rely on this communication or any of its contents. In the same way, the information contained in this communication is intended for "eligible counterparties" and "professional clients" as defined by the rules of the Financial Conduct Authority and is not intended for "retail clients". Westpac expressly prohibits you from passing on the information in this communication to any third party.

European Economic Area ("EEA"): This material may be distributed to you by either: (i) Westpac directly, or (ii) Westpac Europe GmbH ("WEG") under a sub-licensing arrangement. WEG has not edited or otherwise modified the content of this material. WEG is authorised in Germany by the Federal Financial Supervision Authority ('BaFin') and subject to its regulation. WEG's supervisory authorities are BaFin and the German Federal Bank ('Deutsche Bundesbank'). WEG is registered with the commercial register ('Handelsregister') of the local court of Frankfurt am Main under registration number HRB 118483. In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WEG other than as provided for in certain legal agreements (a risk transfer, sub-participation and collateral agreement) between Westpac and WEG and obligations of WEG do not represent liabilities of Westpac. Any product or service made available by WEG does not represent an offer from Westpac or any of its subsidiaries (other than WEG). All disclaimers set out with respect to Westpac apply equally to WEG.

This communication is not intended for distribution to, or use by any person or entity in any jurisdiction or country where such distribution or use would be contrary to local law or regulation.

This communication contains general commentary, research, and market colour. The communication does not constitute investment advice. The material may contain an 'investment recommendation' and/or 'information recommending or suggesting an investment', both as defined in Regulation (EU) No 596/2014 (including as applicable in the United Kingdom) ("MAR"). In accordance with the relevant provisions of MAR, reasonable care has been taken to ensure that the material has been objectively presented and that interests or conflicts of interest of the sender concerning the financial instruments to which that information relates have been disclosed.

Investment recommendations must be read alongside the specific disclosure which accompanies them and the general disclosure which can be found here. Such disclosure fulfils certain additional information requirements of MAR and associated delegated legislation and by accepting this communication you acknowledge that you are aware of the existence of such additional disclosure and its contents.

To the extent this communication comprises an investment recommendation it is classified as non-independent research. It has not been prepared in accordance with legal requirements designed to promote the independence of investment research and therefore constitutes a marketing communication. Further, this communication is not subject to any prohibition on dealing ahead of the dissemination of investment research.

RBA hawkish in near term, while cuts brought forward to 2027

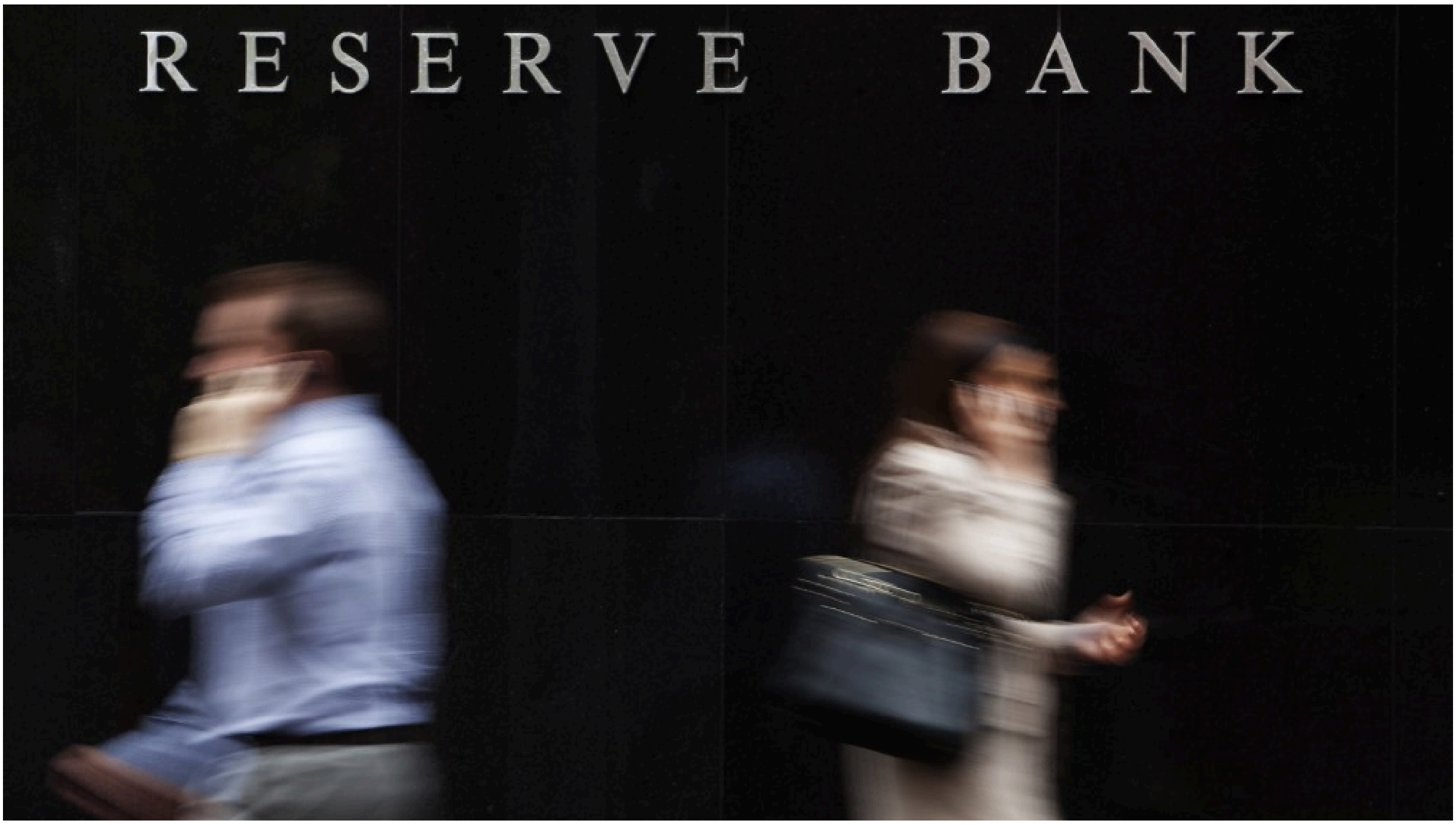
#australia #luciellis #inflation #technology

By Luci Ellis
Chief Economist Westpac Group, Westpac

12:15 July 10 2026

Share

RBA remains hawkish and our conviction regarding a rate hike in August has increased. Follow-up hike is less certain but still our base case, just. Moderation in inflation outlook in 2027 brings forward start of cutting phase to August 2027.



- **Our conviction that the RBA will increase the cash rate in August has increased.** Inflation and labour market data were broadly as we expected, and recent RBA communication has highlighted reasons to hike more – and in a more front-loaded way – in the face of supply shocks. We read the June minutes and recent speeches from the staff as messaging a preference around future decisions, as well as explaining the steep trajectory of the increases that have already occurred.

- Later today we will publish our July *Market Outlook* with updated forecasts. The run of inflation data has been broadly as expected so far but developments in energy markets point to a somewhat less inflationary outlook in coming quarters than previously forecast. Our forecasts for trimmed mean inflation remain a little above the RBA's May SMP forecasts, though less so than before. The changes themselves are minor and continue to incorporate the above-average pass-through of fuel and other cost shocks that we have been flagging for some time and which the RBA has also highlighted.

- **We still regard a follow-up rate hike in September as the most likely outcome, but our conviction about its occurrence and timing has declined.** Our revised forecasts imply underlying inflation will not exceed the RBA's May forecasts in the second half of 2026 by as much as earlier forecasts implied. While a September hike remains our base case – just – there are credible scenarios where the second cash rate increase occurs later or not at all. We expect the Monetary Policy Board (MPB) to remain sanguine about the real economy, even if the activity pulse falters around mid-year as we expect. The MPB continues to believe that the economy is too tight and requires a period of below-average growth to get inflation under control. It also assesses that the oil price and other supply shocks worsen this trade-off by lowering supply capacity.

- **Given this updated inflation outlook, we expect the subsequent rate cuts to come sooner than previously forecast, starting August 2027 rather than early 2028 as previously**. We still think the RBA will be "once bitten, twice shy" from the experience of 2025, when inflation popped back up again almost immediately after it started cutting rates. It will not be pre-emptive in its rate cuts. However, a lower inflation trajectory in 2027 will be hard for it to ignore, especially if growth undershoots its (downbeat) assessment of supply capacity by as much as our GDP forecasts imply. This is a timing shift in our rates forecast, and we continue to expect a relatively tentative pace of rate cuts of 25bps per quarter.

The MPB kept the cash rate on hold at its June meeting as expected. Having already hiked three times in quick succession, it had space to assess how these were flowing through to the economy. The post-meeting communication and subsequent speeches have noted that policy tightening was affecting the economy broadly as expected.

The near-term path for the cash rate nonetheless remains on the hawkish side and our conviction around our expectation of an August hike has risen, subject to confirmation once the June quarter CPI data are released. The post-meeting communication added language stating that the MPB stood ready to hike if needed. This drafting decision is unusual for an RBA statement, and was a stronger steer than previously. It suggests that the MPB wanted to hose down recent speculation that they are done hiking rates. Its assessment of the real economy in both the post-meeting communication and the minutes was sanguine, and it is clearly more worried about upside risks to inflation than downside risks.

Subsequent speeches by senior RBA officials have highlighted reasons to be hawkish, and specifically to front-load policy responses to inflation risks. As we noted back in May, it has long been known that inflation responds more to changes in economic slack when the economy is tight than when it is weak (that is, the Phillips Curve is nonlinear), and to larger shocks than smaller ones. The RBA staff have nonetheless chosen to highlight this relationship recently, especially in the context of the sequence of supply shocks seen in recent years. Both we and they assess this context as likely to continue, with further policy-driven shocks probable in the period ahead. The latest outbreak of hostilities in the Middle East underlines this possibility.

Further out, the outlook is less hawkish than before. The recent flare-up in the Middle East still leaves energy prices well below their earlier peaks. The narrative of fuel and other transport costs driving other prices has faded; we have seen few announcements in this vein lately. The partial extension of the cut to fuel excise will also smooth the path of these costs and reduce the pulse to inflation from the unwind of this policy measure. While this episode of pass-through has been unusually strong – as we flagged some months ago – we now have more conviction that it is mostly a one-off level shift and not an ongoing lift in the inflation trend. Consequently, the inflation outlook for 2027 is not quite as far above the RBA's own May forecasts as we previously thought. This brings forward the likely timing of the unwind of current tight monetary policy. However, the MPB will be cautious in its approach to easing policy given its experience last year.

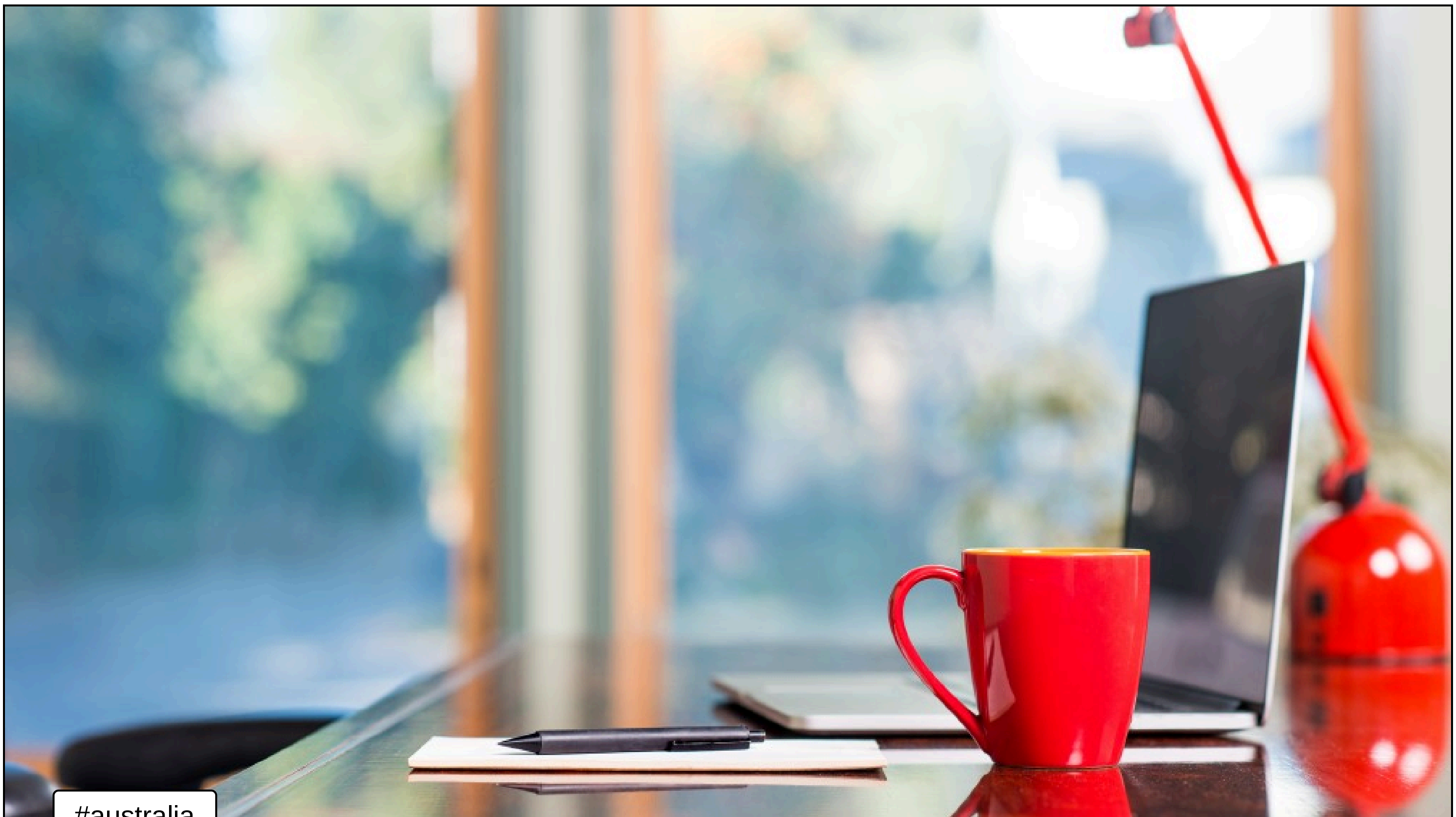
Related articles

#australia

Australia and NZ Weekly 27 July 2026

July 27 2026 • 10 mins

By Luci Ellis, Matthew Hassan, Elliot Clarke & 10 more

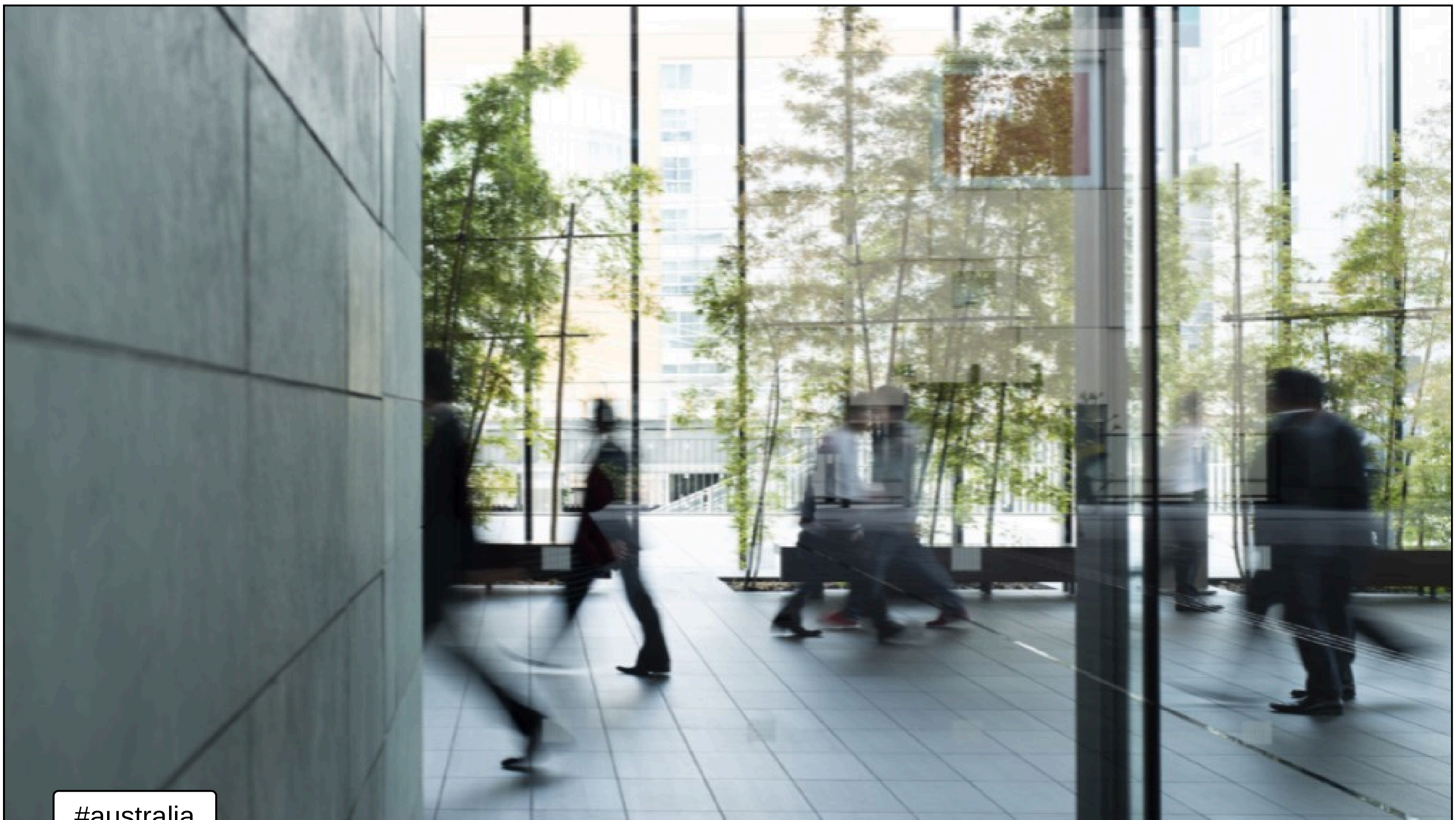


#australia

Australia and NZ Weekly 27 July 2026

July 24 2026 • 10 mins

By Luci Ellis, Matthew Hassan, Elliot Clarke & 10 more



#australia

High on their own (estimates of) supply

July 24 2026 • 4 mins

By Luci Ellis

Browse topics

#aud #australia #interestrates #nzd #usd #newzealand #rates #yieldcurve #credit #acgb #inflation #rba #semigovernment #basis #commodities

#ustreasury #fx #rbnz #jpy #abs Show more tags

Disclaimer

Things you should know

We respect your privacy: You can view the New Zealand Privacy Policy here, or the Australian Group Privacy Statement here. Each time someone visits our site, data is captured so that we can accurately evaluate the quality of our content and make improvements for you. We may at times use technology to capture data about you to help us to better understand you and your needs, including potentially for the purposes of assessing your individual reading habits and interests to allow us to provide suggestions regarding other reading material which may be suitable for you.

Disclaimer

This information has been prepared by Westpac and is intended for information purposes only. It is not intended to reflect any recommendation or financial advice and investment decisions should not be based on it. This information does not constitute an offer, a solicitation of an offer, or an inducement to subscribe for, purchase or sell any financial instrument or to enter into a legally binding contract. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice. Certain types of transactions, including those involving futures, options and high yield securities give rise to substantial risk and are not suitable for all investors. We recommend that you seek your own independent legal or financial advice before proceeding with any investment decision.

This information may contain material provided by third parties. While such material is published with the necessary permission none of Westpac or its related entities accepts any responsibility for the accuracy or completeness of any such material. Although we have made every effort to ensure this information is free from error, none of Westpac or its related entities warrants the accuracy, adequacy or completeness of this information, or otherwise endorses it in any way. Except where contrary to law, Westpac Group intend by this notice to exclude liability for this information. This information is subject to change without notice and none of Westpac or its related entities is under any obligation to update this information or correct any inaccuracy which may become apparent at a later date. This information may contain or incorporate by reference forward-looking statements. The words “believe”, “anticipate”, “expect”, “intend”, “plan”, “predict”, “continue”, “assume”, “positioned”, “may”, “will”, “should”, “shall”, “risk” and other similar expressions that are predictions of or indicate future events and future trends identify forward-looking statements. These forward-

looking statements include all matters that are not historical facts. Past performance is not a reliable indicator of future performance, nor are forecasts of future performance. Whilst every effort has been taken to ensure that the assumptions on which any forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The ultimate outcomes may differ substantially from any forecasts.

Conflicts of Interest: In the normal course of offering banking products and services to its clients, the Westpac Group may act in several capacities (including issuer, market maker, underwriter, distributor, swap counterparty and calculation agent) simultaneously with respect to a financial instrument, giving rise to potential conflicts of interest which may impact the performance of a financial instrument. The Westpac Group may at any time transact or hold a position (including hedging and trading positions) for its own account or the account of a client in any financial instrument which may impact the performance of that financial instrument.

Author(s) disclaimer and declaration: The author(s) confirms that (a) no part of his/her compensation was, is, or will be, directly or indirectly, related to any views or (if applicable) recommendations expressed in this material; (b) this material accurately reflects his/her personal views about the financial products, companies or issuers (if applicable) and is based on sources reasonably believed to be reliable and accurate; (c) to the best of the author's knowledge, they are not in receipt of inside information and this material does not contain inside information; and (d) no other part of the Westpac Group has made any attempt to influence this material.

Further important information regarding sustainability-related content: This material may contain statements relating to environmental, social and governance (ESG) topics. These are subject to known and unknown risks, and there are significant uncertainties, limitations, risks and assumptions in the metrics, modelling, data, scenarios, reporting and analysis on which the statements rely. In particular, these areas are rapidly evolving and maturing, and there are variations in approaches and common standards and practice, as well as uncertainty around future related policy and legislation. Some material may include information derived from publicly available sources that have not been independently verified. No representation or warranty is made as to the accuracy, completeness or reliability of the information. There is a risk that the analysis, estimates, judgements, assumptions, views, models, scenarios or projections used may turn out to be incorrect. These risks may cause actual outcomes to differ materially from those expressed or implied. The ESG-related statements in this material do not constitute advice, nor are they guarantees or predictions of future performance, and Westpac gives no representation, warranty or assurance (including as to the quality, accuracy or completeness of the statements). You should seek your own independent advice.

Additional country disclosures:

Australia: Westpac holds an Australian Financial Services Licence (No. 233714). You can access Westpac's Financial Services Guide here or request a copy from your Westpac point of contact. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the

appropriateness of the advice.

New Zealand: In New Zealand, Westpac Institutional Bank refers to the brand under which products and services are provided by either Westpac (NZ division) or Westpac New Zealand Limited (company number 1763882), the New Zealand incorporated subsidiary of Westpac ("WNZL"). Any product or service made available by WNZL does not represent an offer from Westpac or any of its subsidiaries (other than WNZL). Neither Westpac nor its other subsidiaries guarantee or otherwise support the performance of WNZL in respect of any such product. WNZL is not an authorised deposit-taking institution for the purposes of Australian prudential standards. The current disclosure statements for the New Zealand branch of Westpac and WNZL can be obtained at the internet address www.westpac.co.nz.

Singapore: This material has been prepared and issued for distribution in Singapore to institutional investors, accredited investors and expert investors (as defined in the applicable Singapore laws and regulations) only. Recipients of this material in Singapore should contact Westpac Singapore Branch in respect of any matters arising from, or in connection with, this material. Westpac Singapore Branch holds a wholesale banking licence and is subject to supervision by the Monetary Authority of Singapore.

Fiji: Unless otherwise specified, the products and services for Westpac Fiji are available from www.westpac.com.fj © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia and registered as a branch in Fiji. The liability of its members is limited.

Papua New Guinea: Unless otherwise specified, the products and services for Westpac PNG are available from www.westpac.com.pg © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia. Westpac is represented in Papua New Guinea by Westpac Bank - PNG - Limited. The liability of its members is limited.

U.S.: Westpac operates in the United States of America as a federally licensed branch, regulated by the Office of the Comptroller of the Currency. Westpac is also registered with the US Commodity Futures Trading Commission (“CFTC”) as a Swap Dealer, but is neither registered as, or affiliated with, a Futures Commission Merchant registered with the US CFTC. The services and products referenced above are not insured by the Federal Deposit Insurance Corporation (“FDIC”). Westpac Capital Markets, LLC (‘WCM’), a wholly-owned subsidiary of Westpac, is a broker-dealer registered under the U.S. Securities Exchange Act of 1934 (‘the Exchange Act’) and member of the Financial Industry Regulatory Authority (‘FINRA’). In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WCM other than as provided for in certain legal agreements between Westpac and WCM and obligations of WCM do not represent

liabilities of Westpac.

This communication is provided for distribution to U.S. institutional investors in reliance on the exemption from registration provided by Rule 15a-6 under the Exchange Act and is not subject to all of the independence and disclosure standards applicable to debt research reports prepared for retail investors in the United States. WCM is the U.S. distributor of this communication and accepts responsibility for the contents of this communication. Transactions by U.S. customers of any securities referenced herein should be effected through WCM. All disclaimers set out with respect to Westpac apply equally to WCM. If you would like to speak to someone regarding any security mentioned herein, please contact WCM on +1 212 389 1269. Investing in any non-U.S. securities or related financial instruments mentioned in this communication may present certain risks. The securities of non-U.S. issuers may not be registered with, or be subject to the regulations of, the SEC in the United States. Information on such non-U.S. securities or related financial instruments may be limited. Non-U.S. companies may not be subject to audit and reporting standards and regulatory requirements comparable to those in effect in the United States. The value of any investment or income from any securities or related derivative instruments denominated in a currency other than U.S. dollars is subject to exchange rate fluctuations that may have a positive or adverse effect on the value of or income from such securities or related derivative instruments.

The author of this communication is employed by Westpac and is not registered or qualified as a research analyst, representative, or associated person of WCM or any other U.S. broker-dealer under the rules of FINRA, any other U.S. self-regulatory organisation, or the laws, rules or regulations of any State. Unless otherwise specifically stated, the views expressed herein are solely those of the author and may differ from the information, views or analysis expressed by Westpac and/or its affiliates.

UK: The London branch of Westpac is authorised in the United Kingdom by the Prudential Regulation Authority (PRA) and is subject to regulation by the Financial Conduct Authority (FCA) and limited regulation by the PRA (Financial Services Register number: 124586). The London branch of Westpac is registered at Companies House as a branch established in the United Kingdom (Branch No. BR000106). Details about the extent of the regulation of Westpac's London branch by the PRA are available from us on request.

This communication is not being made to or distributed to, and must not be passed on to, the general public in the United Kingdom. Rather, this communication is being made only to and is directed at (a) those persons falling within the definition of Investment Professionals (set out in Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (the "Order")); (b) those persons falling within the definition of high net worth companies, unincorporated associations etc. (set out in Article 49(2)of the Order; (c) other persons to whom it may lawfully be communicated in accordance with the Order or (d) any persons to whom it may otherwise lawfully be made (all such persons together being referred to as "relevant persons"). Any person who is not a relevant person should not act or rely on this communication or any of its contents. In the same way, the information contained in this communication is intended for "eligible counterparties" and

“professional clients” as defined by the rules of the Financial Conduct Authority and is not intended for “retail clients”. Westpac expressly prohibits you from passing on the information in this communication to any third party.

European Economic Area (“EEA”): This material may be distributed to you by either: (i) Westpac directly, or (ii) Westpac Europe GmbH (“WEG”) under a sub-licensing arrangement. WEG has not edited or otherwise modified the content of this material. WEG is authorised in Germany by the Federal Financial Supervision Authority (‘BaFin’) and subject to its regulation. WEG’s supervisory authorities are BaFin and the German Federal Bank (‘Deutsche Bundesbank’). WEG is registered with the commercial register (‘Handelsregister’) of the local court of Frankfurt am Main under registration number HRB 118483. In accordance with APRA’s Prudential Standard 222 ‘Association with Related Entities’, Westpac does not stand behind WEG other than as provided for in certain legal agreements (a risk transfer, sub-participation and collateral agreement) between Westpac and WEG and obligations of WEG do not represent liabilities of Westpac. Any product or service made available by WEG does not represent an offer from Westpac or any of its subsidiaries (other than WEG). All disclaimers set out with respect to Westpac apply equally to WEG.

This communication is not intended for distribution to, or use by any person or entity in any jurisdiction or country where such distribution or use would be contrary to local law or regulation.

This communication contains general commentary, research, and market colour. The communication does not constitute investment advice. The material may contain an ‘investment recommendation’ and/or ‘information recommending or suggesting an investment’, both as defined in Regulation (EU) No 596/2014 (including as applicable in the United Kingdom) (“MAR”). In accordance with the relevant provisions of MAR, reasonable care has been taken to ensure that the material has been objectively presented and that interests or conflicts of interest of the sender concerning the financial instruments to which that information relates have been disclosed.

Investment recommendations must be read alongside the specific disclosure which accompanies them and the general disclosure which can be found here. Such disclosure fulfils certain additional information requirements of MAR and associated delegated legislation and by accepting this communication you acknowledge that you are aware of the existence of such additional disclosure and its contents.

To the extent this communication comprises an investment recommendation it is classified as non-independent research. It has not been prepared in accordance with legal requirements designed to promote the independence of investment research and therefore constitutes a marketing communication. Further, this communication is not subject to any prohibition on dealing ahead of the dissemination of investment research.

27 JUL 2026

WESTPAC-DATAX CARD TRACKER

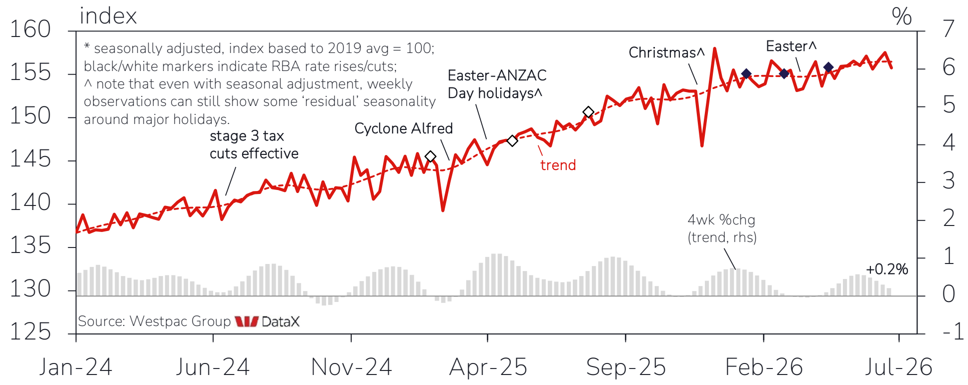
Powered by DataX

Card activity bumping around a flat trend

- The **Westpac-DataX Card Tracker Index*** has continued to move around a flat trend in the first three weeks of July. At 155.8, the latest Index read is up very slightly on the 155.6 recorded in the last week of June with the rolling four week trend growth pulse essentially flat.
- Quarterly growth momentum has been a little firmer, lifting from 0.2% at the end of June to around 0.7% in the latest week. That said, this is still well off the 1.3% pace seen in Q1 and the 1.8% average over the second half of 2025 with the monthly and weekly reads still not convincing.
- The detail shows a lot more going on under the surface.
- By category, there has been a relatively sustained revival in discretionary services, growth now tracking at 2.8%qtr (some of which may be price-related). Other segments are much weaker, discretionary goods showing only a muted lift, growth still tracking a weak 0.5%qtr. Meanwhile essentials are contracting, partly due to lower fuel and electricity prices but with growth lacklustre in most other sub-categories as well.
- By state, the quickening in quarterly momentum has been a little better in Victoria and Western Australia, but lagged noticeably in New South Wales. While small, Victoria's out-performance is notable given the material under-performance through most of 2025 and early 2026. It is also somewhat surprising given what still looks to be a weaker state economy.
- Overall, the final wash-up for June and some small upward revisions to previous estimates now have a 0.4%qtr gain for nominal consumer-related card activity in Q2. The Q2 CPI, to be released on July 29, will help pinpoint how much of the gain is due to prices. Our forecasts continue to suggest that the wider measure of consumer spending – to be released with the national accounts on September 2 – is likely to show consumption growth essentially stalled flat in real, inflation-adjusted terms in Q2.

"…. consumption growth essentially stalled flat in real, inflation adjusted terms in Q2"

1. Westpac-DataX Card Tracker Index*



The **Westpac-DataX Card Tracker** presents indicators based on the millions of credit and debit card transactions processed by Westpac every day. The measures are a timely guide to shifts in spending. See p10 for a detailed explanation.

This report is produced by Westpac Economics.
Matthew Hassan, Head of Australian Macro-Forecasting
Email: economics@westpac.com.au
This issue was finalised on 27 July 2026.

If you would like more insights on your sector or business from this and other Westpac data please visit Westpac DataX or contact datax@westpac.com.au.

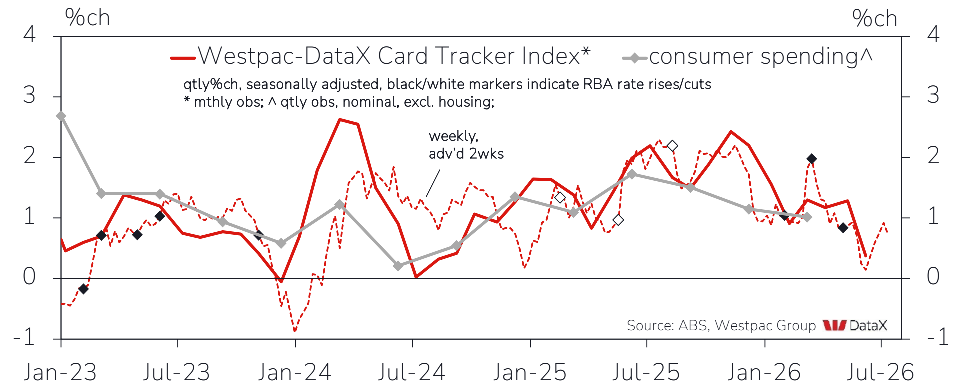
Latest growth pulse a little less weak but still not convincing

- Chart 2 shows how quarterly growth in the **Westpac-DataX Card Tracker Index** compares to growth in nominal consumption as reported in the quarterly national accounts. All estimates are adjusted for regular seasonal variations.
- Quarterly momentum has recovered somewhat since the start of July, the weekly pulse rising from just 0.2% back to 0.7% currently. This is still well below the 1.3% gain in Q1 and the relatively strong 1.5-2.2% gains posted in the second half of 2025. The signal from higher frequency measures is also unconvincing with the monthly growth pulse flat-lining again the latest week (Chart 3).
- Note that fuel price effects have buffeted monthly activity, the initial war spike contributing to the big positive in March, some unwind and the temporary halving in fuel excise tax contributing to the pull back in April and the partial roll-off of this cut in the mix again in July.
- As noted previously, the ABS household spending indicator recorded a 1.3%mth rise in May, fully reversing April's –1.1%mth fall but broadly in line with the signal from our card tracker (see here). The June update, to be released on August 4, is likely to show another, more subdued gain of ~0.5%mth. It will also include estimates of real spending for Q2.

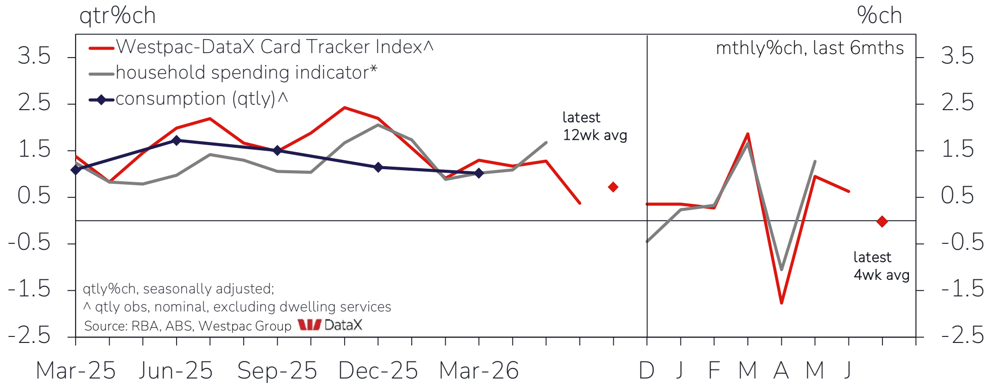
qtly%ch	Q3	Q4	Q1	latest^
Westpac–DataX Card Tracker	**1.5**	**2.2**	**1.3**	**0.7**
ABS monthly household spending indicator*				
Nominal	1.1	2.1	1.0	1.7
Real*	0.1	1.0	0.7	n.a.
ABS consumer spending (qtly)#				
Nominal	1.5	1.1	1.0	n.a.
Real	0.5	0.4	0.5	n.a.

All series seasonally adjusted. Latest is either the latest weekly obs (12wks %ch on previous 12wks) or latest monthly obs (3mths %ch on previous 3mths). See p10 for more details.
* ABS monthly household spending indicator based on domestic card transaction and new vehicle sales data. Real estimates are quarterly.
# Consumer spending excludes housing costs.
Sources: ABS, Westpac Group

2. Card activity and spending: growth momentum



3. Consumer spending: selected indicators



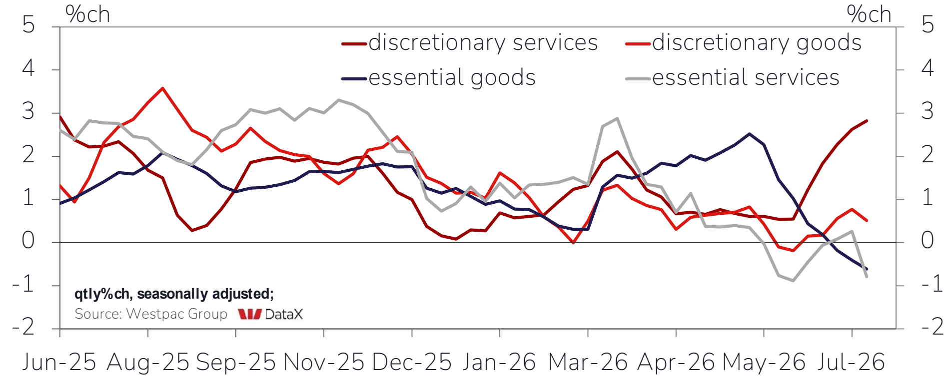
Discretionary services a pocket of strength; surprise lift in Victoria

- Chart 4 shows quarterly growth in card activity across broad categories. The slowdown in Q2 was fairly broad-based but slightly more pronounced for essentials (noting that for essential goods this is partly due to the unwinding fuel price spike).
- The more recent lift has centred on discretionary categories, services in particular. Indeed, at 2.8%, momentum across discretionary services is tracking at its strongest quarterly pace since mid-2025. Momentum is much softer everywhere else, tracking a more lacklustre 0.5%qtr for discretionary goods and contracting at 0.6-0.8%qtr for essentials categories.
- The charts on p7 provide some more detailed sub-category growth measures. Across essentials, gains for food and health are being swamped by softer education spend and price-driven declines in fuel and electricity. For discretionary goods, housing-related spend has been firm until the last few weeks but a lift in vehicle-related spend is offsetting some of the more recent softness.
- Chart 5 shows card activity across the major states. The latest quarterly momentum reads range from a surprisingly solid 1.5% in Victoria to 1.1% in WA, 0.6% in Queensland and an insipid 0.3% in NSW.

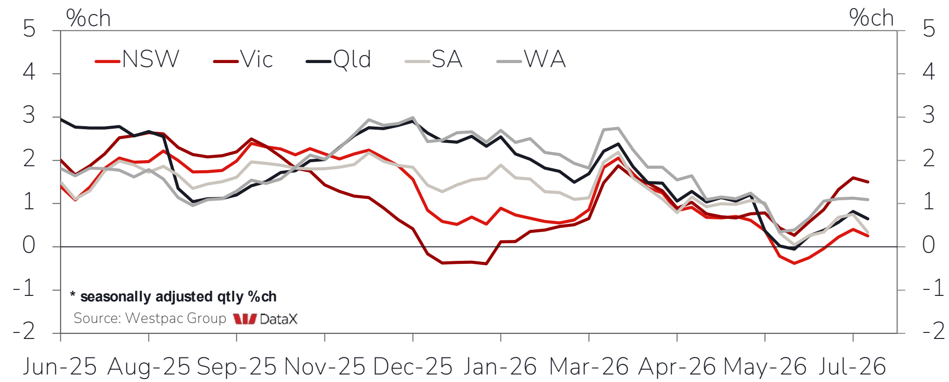
	Apr	May	Jun	18/7
Westpac–DataX Card Tracker	**154.5**	**155.9**	**156.9**	**155.8**
By category				
– discretionary*	154.5	157.5	158.8	158.5
– essential*	151.9	151.4	151.6	150.8
By state				
– NSW	148.5	148.8	149.7	150.3
– Vic	145.0	147.4	148.0	149.3
– Qld	168.9	168.3	171.5	172.7
– WA	167.9	171.2	173.6	176.5
– SA	161.7	163.3	163.5	163.2

All indexes based on the value of spending–related transactions, seasonally adjusted, 2019 avg=100, see p10 for more details including classifications.
* indexes revised due to re-classification.
Sources: ABS, Westpac Group

4. Card activity by broad category



5. Card activity by state

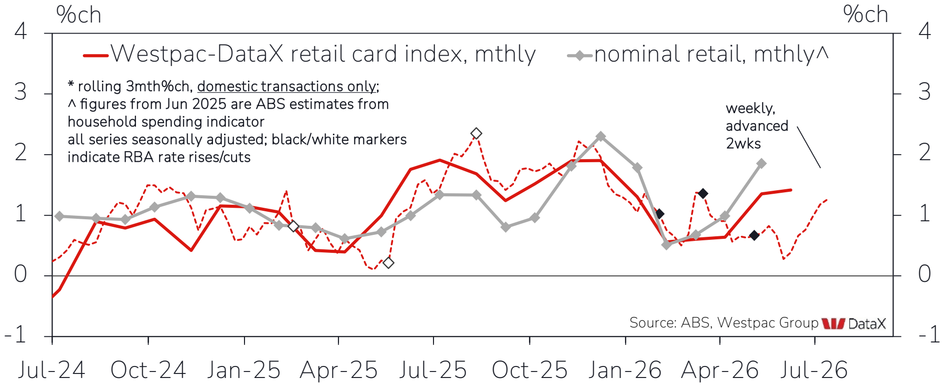


Retail doing okay, hospitality leading the way

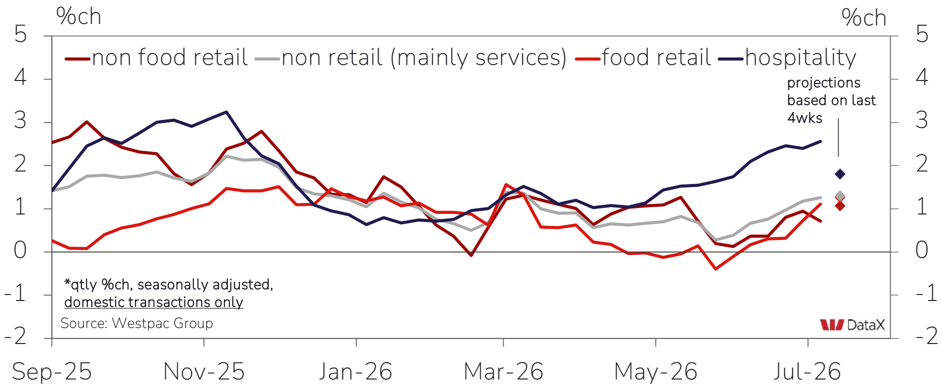
- Our MHSI and retail card indexes are composites based on transactions in categories that are in scope for the ABS monthly household spending indicator and ABS retail sales surveys (based on MHSI) respectively.
- Both measures show quarterly momentum outpacing the WCTI overall, by a particularly wide margin for retail. Note that fuel spend is in-scope for the MHSI measures but out of scope for the retail card index.
- As noted, the latest ABS MHSI showed a 1.3% rise in May, quarterly growth lifting to 1.7%qtr.
- Our MHSI index had the quarterly pace running at 1.8% in May, dropping back to 0.7% in June and 0.6% in the latest week. This suggests the official measure will see a significant cooling pull-back when the June month is released on August 4.
- Our Retail card index is looking much firmer, holding at 1.4% in June, in line with May and only dipping slightly to 1.3% in the latest week. As Chart 7 shows, gains have been particularly strong for the hospitality retailers but momentum has been lifting across basic food and non food retail as well.

	Apr	May	Jun	18/7
MHSI card index	**152.5**	**153.5**	**153.5**	**153.9**
– qtly%ch	1.2	1.8	0.7	0.6
– qtly, ann%ch	6.3	6.2	5.0	4.9
ABS MHSI				
– %ch	-1.1	1.3	n.a.	n.a.
– qtly%ch	1.1	1.7	n.a.	n.a.
– qtly ann%ch	5.6	5.4	n.a.	n.a.
Retail card index	**151.8**	**154.3**	**154.4**	**154.0**
– qtly%ch	0.6	1.4	1.4	1.3
– qtly, ann%ch	5.5	5.6	5.3	5.4
ABS retail sales				
– %ch	-0.6	-0.4	n.a.	n.a.
– qtly%ch	1.0	1.9	n.a.	n.a.
– qtly ann%ch	5.0	4.8	n.a.	n.a.

6. Card activity: retail



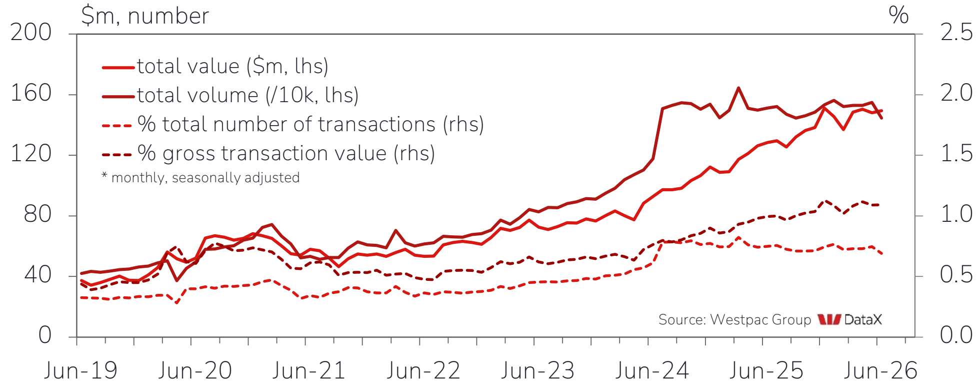
7. Card activity: retail segments and non-retail



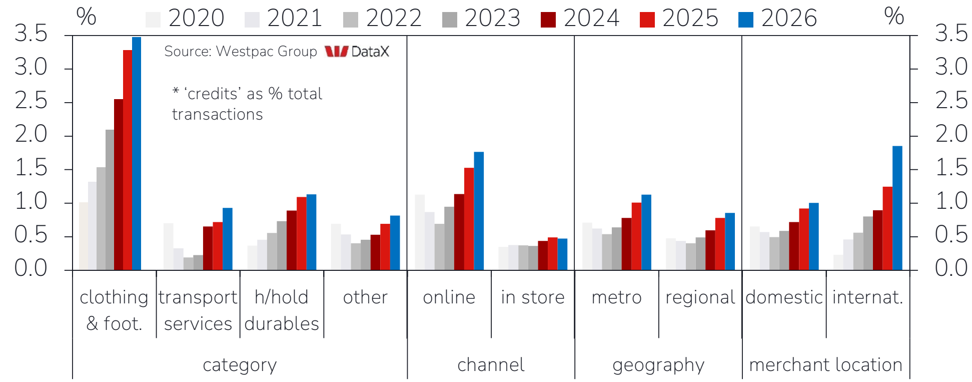
Return to sender: what do ‘refunds’ tell us about spending behaviour?

- The **Westpac Card Tracker** transaction data includes many ‘nooks and crannies’ that can offer some interesting points of interest about consumer behaviour. One such area worth exploring are ‘refunds’: transactions where the payment flows from the merchant to the cardholder. While these only make up a small share of all card transactions the flows capture some interesting shifts in the wider consumer landscape.
- Broadly, ‘credit’ transactions to cards appear to capture two main flows: refunds; and payments associated with ‘cashback’ deals.
- For calendar 2025, there were saw just over 18m of these transactions, totalling $1.5bn with an average value of $85. While the latter has been largely unchanged in recent years, volumes have been rising at over 30%yr since 2022, essentially doubling as a share of total transaction, to 0.74% in number terms and 1% in dollar value term.
- Chart 6 shows the full monthly evolution of ‘credit’ transactions since 2019. Notably, refunds were significantly higher in 2020 due to widespread COVID-linked cancellations. The share of total transactions has risen relatively steadily since then.
- Of particular note is the much sharper rise in the share of transaction numbers relative too values in mid-2024. A few factors likely contributed to this including: the entry of ultra-low cost cross-border retailer Temu; and the introduction of automated ‘cash back’ features on some credit and debit cards.
- Chart 7 shows how the annual transaction share compares across key categories, channels, geographies and merchant locations. At 3.5%, the share is especially high for clothing & footwear, where it has more than doubled since 2022. Refund policies are particularly generous in this category, especially for online purchases were the share is 5.4%. This has given rise to buyers often purchasing items in multiple sizes then returning those that do not fit – a behaviour known as ‘bracketing’.
- Another big mover since 2022 is ‘transport services’. Here, automated refunds by ride-share providers like Uber may be the driver with refunds accounting for 3.4% of online transactions in this category.
- All-up, ‘credits’ may be a rounding error (and in many cases an actual error) but their trends seem to capture some interesting real world shifts.

6. Card activity: ‘credit’ transactions

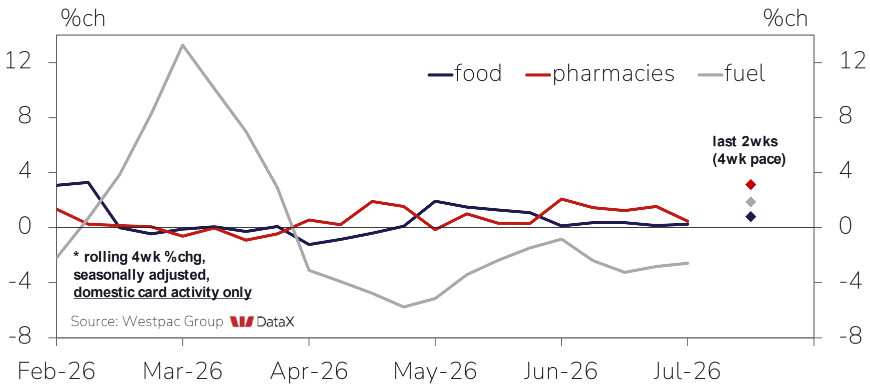


7. Card activity ‘credit’ transaction share: selected segments

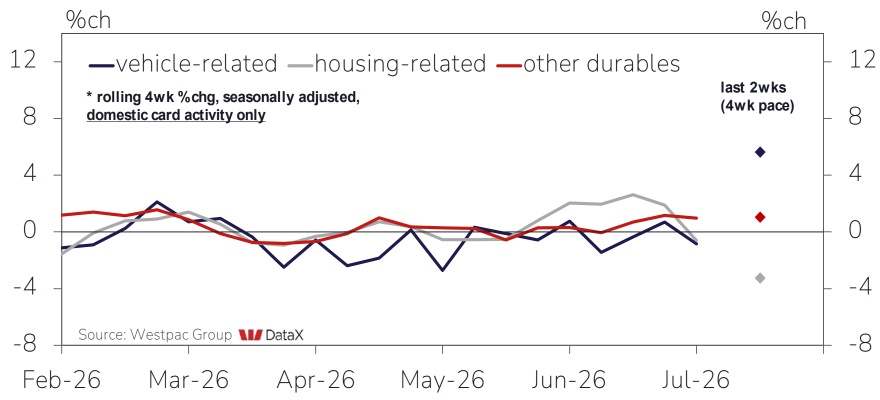


Past performance is not a reliable indicator of future performance. The forecasts given above are predictive in character. Whilst every effort has been taken to ensure that the assumptions on which the forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The results ultimately achieved may differ substantially from these forecasts.

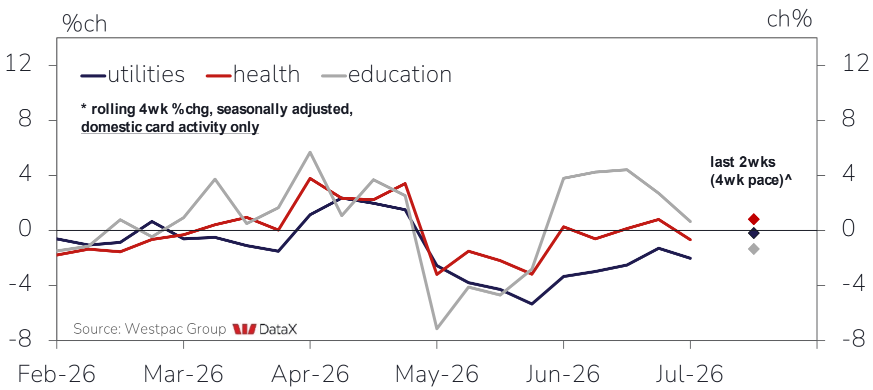
12. Card activity: essential goods



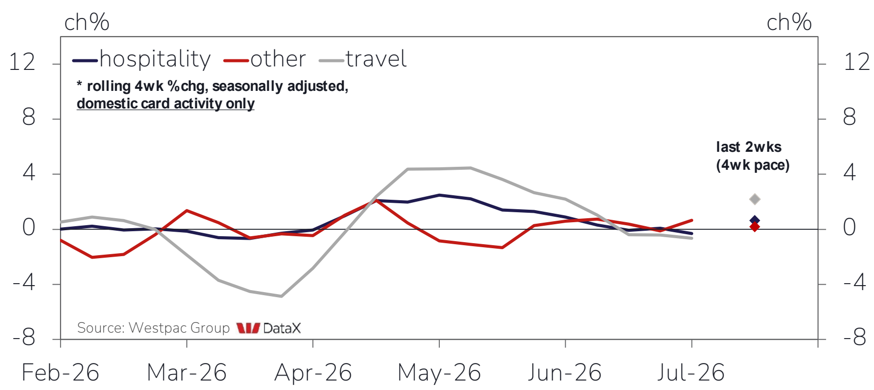
13. Card activity: discretionary goods



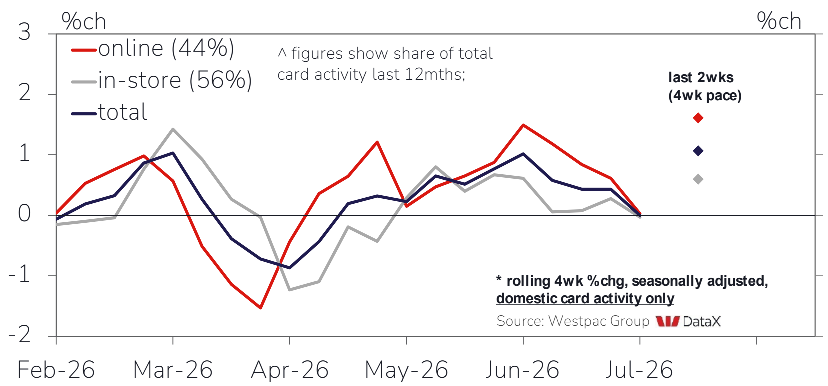
14. Card activity: essential services



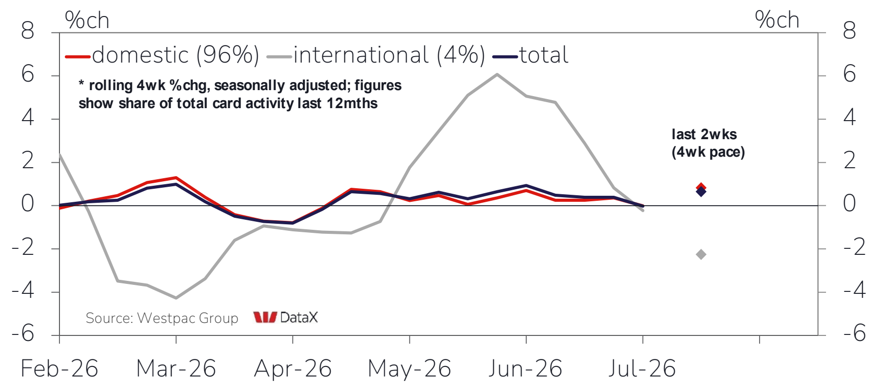
15. Card activity: discretionary services



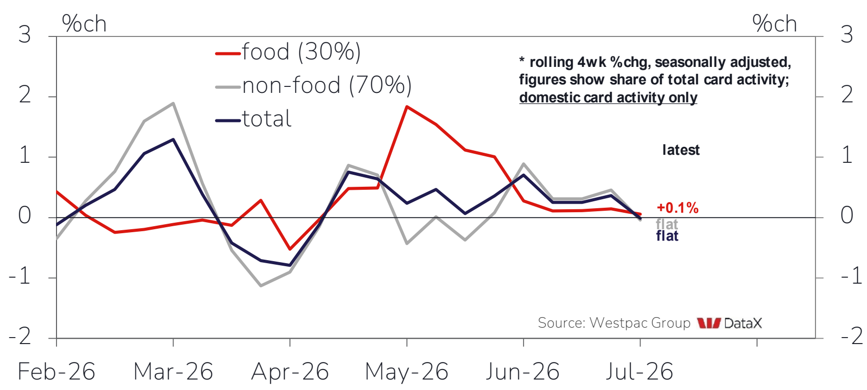
16. Card activity: online and in-store



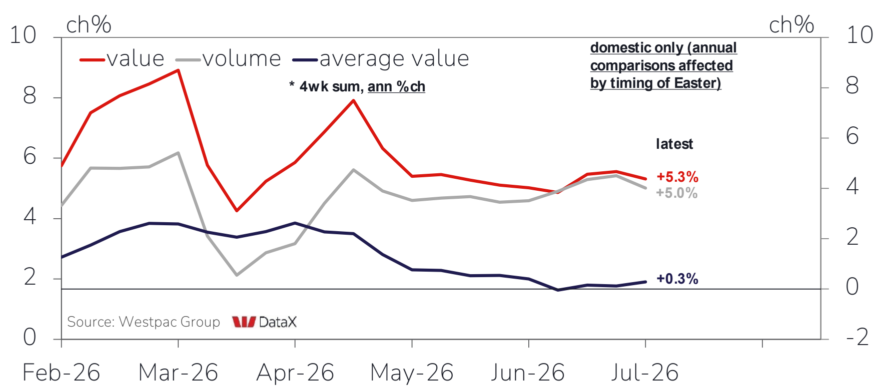
17. Card activity: domestic and international



18. Card activity: food and non-food



19. Card activity: value and volume



Past performance is not a reliable indicator of future performance. The forecasts given above are predictive in character. Whilst every effort has been taken to ensure that the assumptions on which the forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The results ultimately achieved may differ substantially from these forecasts.

WESTPAC CARD INDICATORS*

	2024			2025				2026				week ending:			
	Q2	Q3	Q4	Q1	Q2	Q3	Q4	Q1	Apr	May	Jun	27/6	4/7	11/7	18/7
Westpac–DataX Card Tracker Index	**140.5**	**141.1**	**142.9**	**144.8**	**147.7**	**149.9**	**153.2**	**155.2**	**154.5**	**155.9**	**156.9**	**155.6**	**156.6**	**157.5**	**155.8**
qtly%ch	0.9	0.4	1.3	1.4	2.0	1.5	2.2	1.3	1.2	1.3	0.4	0.6	0.8	0.9	0.7
qtly, ann%ch	4.3	3.9	5.3	4.0	5.1	6.3	7.2	7.2	7.0	6.4	5.5	5.6	5.9	5.8	5.5
By category															
– discretionary	141.8	143.0	145.5	146.1	149.2	151.5	155.1	155.8	154.5	157.5	158.8	158.5	160.7	161.7	158.5
– essential	138.0	137.9	138.4	141.4	143.8	146.0	148.2	151.3	151.9	151.4	151.6	150.0	150.5	151.2	150.8
services	146.1	147.4	150.1	152.9	156.8	160.0	163.8	165.7	162.9	165.6	167.7	167.0	167.4	168.6	167.3
– discretionary services	148.7	150.8	154.0	155.1	159.1	161.2	165.9	166.7	163.5	167.6	169.9	169.7	170.3	171.6	170.2
– essential services	142.5	142.6	144.7	149.8	153.5	158.3	160.9	164.3	162.0	162.8	164.5	163.3	163.4	164.3	163.3
goods	135.0	134.9	135.4	136.3	138.1	139.6	141.8	143.7	145.2	145.4	145.1	143.9	146.0	146.7	144.4
– discretionary goods	134.6	134.7	136.4	136.6	138.7	141.1	143.6	144.3	144.8	146.8	147.0	146.6	150.4	151.1	146.1
– essential goods	135.4	135.0	134.6	136.1	137.7	138.4	140.3	143.2	145.6	144.3	143.5	141.7	142.4	142.9	143.0
MHSI card index*	140.2	140.7	142.2	143.3	145.8	147.5	150.4	152.1	152.5	153.5	153.5	153.1	154.9	155.9	153.9
qtly%ch	0.5	0.4	1.1	0.8	1.7	1.2	2.0	1.1	1.2	1.8	0.7	0.6	0.7	0.8	0.6
qtly, ann%ch	3.4	3.1	4.6	2.7	4.0	4.8	5.8	6.1	6.3	6.2	5.0	5.2	5.4	5.3	4.9
retail card index*	140.0	141.1	142.7	143.3	145.8	147.6	150.4	151.4	151.8	154.3	154.4	154.2	156.4	157.0	154.0
qtly%ch	-0.5	0.8	1.2	0.4	1.8	1.2	1.9	0.6	0.6	1.4	1.4	0.8	1.0	1.2	1.3
qtly, ann%ch	2.6	2.8	4.1	1.8	4.2	4.6	5.4	5.6	5.5	5.6	5.3	5.3	5.6	5.6	5.4
By state															
– NSW	135.7	136.6	138.6	139.4	142.3	144.5	148.2	148.3	148.5	148.8	149.7	150.4	151.5	152.1	150.3
– Vic	135.0	135.4	136.8	138.6	140.3	142.4	144.7	146.5	145.0	147.4	148.0	148.7	150.4	151.4	149.3
– Qld	148.8	151.4	153.1	154.6	159.1	162.7	167.7	168.6	168.9	168.3	171.5	171.8	172.8	174.0	172.7
– WA	147.8	150.8	154.0	157.1	158.7	162.8	168.0	171.4	167.9	171.2	173.6	175.2	176.0	177.3	176.5
– SA	147.0	147.7	150.1	152.0	154.4	157.3	160.2	162.2	161.7	163.3	163.5	162.8	164.6	165.9	163.2

All indexes based on the value of spending–related transactions, seasonally adjusted by Westpac, 2019 avg=100. See p10 for more details.
* composite based on transactions in categories in scope for ABS monthly spending indicator and ABS retail sales surveys respectively.

Sources: ABS, Westpac Group

About the Westpac card data indicators

The indicators presented in this report are based on the millions of credit and debit card transactions processed every day. Transactions covering over ten million merchants are classified into over 700 categories. These are in turn grouped into higher level aggregates that provide a timely guide to wider economic trends.

The main focus of these indicators is consumer spending. Where possible, we have sought to exclude 'non spending' transactions such as: money transfers; tax payments; loan repayments; charitable donations; and superannuation contributions.

It should also be noted that these indicators will also be affected by shifts between card and non card transactions. This was a significant factor during the COVID–19 pandemic – health concerns about the use of physical cash leading to significantly higher use of cards vs cash, particularly where contact–less transactions are available. Transaction flows also include reversals/refunds which were also a significant phenomenon during the onset of COVID, especially in areas such as travel.

All transaction data is compiled at a highly aggregated level so that individual customer or merchant data is never revealed.

Index construction

The key metrics used in this report are indexes of spending–related card activity where the base of 100 is average activity in 2019. As an example, if transaction flows are 5% above their average level in 2019, the index read for the period is 105. If flows in a subsequent period are 8% above the average level in 2019, the index read for this period is 108. Growth between the two periods can be calculated simply as the change between the two index reads, i.e. 2.9%.

All measures are adjusted for regular seasonality. Weekly estimates are generated using the US Bureau of Labor's MoveReg weekly seasonal adjustment program. Note that in some cases, high levels of volatility during the COVID mean it is not possible to produce seasonally adjusted estimates for some historical periods.

Also, note that previous versions of this report used different approaches to seasonal adjustment and measurement more generally. This means Index reads are sometimes not directly comparable. See the 'About the Westpac card data indicators' sections from earlier reports to more detail.

Classifications

Note that the measures used for card data and in this report do not align completely with the those used in official ABS statistics, including the ABS household spending indicator, ABS retail trade survey and ABS estimate of consumer spending published in the national accounts. There are a range of differences including around both coverage and classification. As such, the card data should be treated as broadly indicative.

The transaction data is grouped into 26 categories that are then combined into four main as follows:

Discretionary goods: alcoholic beverages, tobacco, clothing & footwear, furnishings & household equipment, household appliances, vehicle–related, recreational & cultural goods, newspaper, books & stationery, and other personal effects.

Discretionary services: transport services (part), recreational & cultural services, gambling, catering services, accommodation services, other personal care, insurance & financial services, other services.

Essential goods: food & non alcoholic beverages, medical products, appliances & equipment, and operation of personal transport equipment.

Essential services: electricity, gas & other fuels, health services, transport services (part), communications and education.

The report also uses two additional classifications:

MHSI/Retail: based on the extent to which categories cover activity that is in scope for the ABS monthly household spending indicator and ABS retail trade survey.

Corporate directory

Westpac Economics / Australia

Sydney
Level 19, 275 Kent Street
Sydney NSW 2000
Australia

E: economics@westpac.com.au

Luci Ellis
Chief Economist Westpac Group
E: luci.ellis@westpac.com.au

Matthew Hassan
Head of Australian Macro-Forecasting
E: mhassan@westpac.com.au

Elliot Clarke
Head of International Economics
E: eclarke@westpac.com.au

Sian Fenner
Head of Business and Industry Economics
E: sian.fenner@westpac.com.au

Justin Smirk
Senior Economist
E: jsmirk@westpac.com.au

Pat Bustamante
Senior Economist
E: pat.bustamante@westpac.com.au

Mantas Vanagas
Senior Economist
E: mantas.vanagas@westpac.com.au

Ryan Wells
Economist
E: ryan.wells@westpac.com.au

Illiana Jain
Economist
E: illiana.jain@westpac.com.au

Neha Sharma
Economist
E: neha.sharma1@westpac.com.au

Luka Belobrajdic
Economist
E: luka.belobrajdic@westpac.com.au

Westpac Economics / Fiji

Suva
1 Thomson Street
Suva, Fiji

Shamal Chand
Senior Economist
E: shamal.chand@westpac.com.au

Westpac Economics / New Zealand

Auckland
Takutai on the Square
Level 8, 16 Takutai Square
Auckland, New Zealand

E: economics@westpac.co.nz

Kelly Eckhold
Chief Economist NZ
E: kelly.eckhold@westpac.co.nz

Michael Gordon
Senior Economist
E: michael.gordon@westpac.co.nz

Darren Gibbs
Senior Economist
E: darren.gibbs@westpac.co.nz

Satish Ranchhod
Senior Economist
E: satish.ranchhod@westpac.co.nz

Paul Clark
Industry Economist
E: paul.clark@westpac.co.nz

Things you should know

We respect your privacy: You can view the [New Zealand Privacy Policy here](), or the Australian [Group Privacy Statement here.]() Each time someone visits our site, data is captured so that we can accurately evaluate the quality of our content and make improvements for you. We may at times use technology to capture data about you to help us to better understand you and your needs, including potentially for the purposes of assessing your individual reading habits and interests to allow us to provide suggestions regarding other reading material which may be suitable for you.

This information, unless specifically indicated otherwise, is under copyright of the Westpac Group. None of the material, nor its contents, nor any copy of it, may be altered in any way, transmitted to, copied of distributed to any other party without the prior written permission of the Westpac Group.

Disclaimer

This information has been prepared by Westpac and is intended for information purposes only. It is not intended to reflect any recommendation or financial advice and investment decisions should not be based on it. This information does not constitute an offer, a solicitation of an offer, or an inducement to subscribe for, purchase or sell any financial instrument or to enter into a legally binding contract. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice. Certain types of transactions, including those involving futures, options and high yield securities give rise to substantial risk and are not suitable for all investors. We recommend that you seek your own independent legal or financial advice before proceeding with any investment decision.

This information may contain material provided by third parties. While such material is published with the necessary permission none of Westpac or its related entities accepts any responsibility for the accuracy or completeness of any such material. Although we have made every effort to ensure this information is free from error, none of Westpac or its related entities warrants the accuracy, adequacy or completeness of this information, or otherwise endorses it in any way. Except where contrary to law, Westpac Group intend by this notice to exclude liability for this information. This information is subject to change without notice and none of Westpac or its related entities is under any obligation to update this information or correct any inaccuracy which may become apparent at a later date. This information may contain or incorporate by reference forward looking statements. The words "believe", "anticipate", "expect", "intend", "plan", "predict", "continue", "assume", "positioned", "may", "will", "should", "shall", "risk" and other similar expressions that are predictions of or indicate future events and future trends identify forward-looking statements. These forward-looking statements include all matters that are not historical facts. Past performance is not a reliable indicator of future performance, nor are forecasts of future performance. Whilst every effort has been taken to ensure that the assumptions on which any forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The ultimate outcomes may differ substantially from any forecasts.

Conflicts of Interest: In the normal course of offering banking products and services to its clients, the Westpac Group may act in several capacities (including issuer, market maker, underwriter, distributor, swap counterparty and calculation agent) simultaneously with respect to a financial instrument, giving rise to potential conflicts of interest which may impact the performance of a financial instrument. The Westpac Group may at any time transact or hold a position (including hedging and trading positions) for its own account or the account of a client in any financial instrument which may impact the performance of that financial instrument.

Author(s) disclaimer and declaration: The author(s) confirms that (a) no part of his/her compensation was, is, or will be, directly or indirectly, related to any views or (if applicable) recommendations expressed in this material; (b) this material accurately reflects his/her personal views about the financial products, companies or issuers (if applicable) and is based on sources reasonably believed to be reliable and accurate; (c) to the best of the author's knowledge, they are not in receipt of inside information and this material does not contain inside information; and (d) no other part of the Westpac Group has made any attempt to influence this material.

Further important information regarding sustainability related content: This material may contain statements relating to environmental, social and governance (ESG) topics. These are subject to known and unknown risks, and there are significant uncertainties, limitations, risks and assumptions in the metrics, modelling, data, scenarios, reporting and analysis on which the statements rely. In particular, these areas are rapidly evolving and maturing, and there are variations in approaches and common standards and practice, as well as uncertainty around future related policy and legislation. Some material may include information derived from publicly available sources that have not been independently verified. No representation or warranty is made as to the accuracy, completeness or reliability of the information. There is a risk that the analysis, estimates, judgements, assumptions, views, models, scenarios or projections used may turn out to be incorrect. These risks may cause actual outcomes to differ materially from those expressed or implied. The ESG-related statements in this material do not constitute advice, nor are they guarantees or predictions of future performance, and Westpac gives no representation, warranty or assurance (including as to the quality, accuracy or completeness of the statements). You should seek your own independent advice.

Additional country disclosures:

Australia: Westpac holds an Australian Financial Services Licence (No. 233714). You can access [Westpac's Financial Services Guide here]() or request a copy from your Westpac point of contact. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice.

New Zealand: In New Zealand, Westpac Institutional Bank refers to the brand under which products and services are provided by either Westpac (NZ division) or Westpac New Zealand Limited (company number 1763882), the New Zealand incorporated subsidiary of Westpac ("WNZL"). Any product or service made available by WNZL does not represent an offer from Westpac or any of its subsidiaries (other than WNZL). Neither Westpac nor its other subsidiaries guarantee or otherwise support the performance of WNZL in respect of any such product. WNZL is not an authorised deposit-taking institution for the purposes of Australian prudential standards. The current disclosure statements for the New Zealand branch of Westpac and WNZL can be obtained at www.westpac.co.nz.

Singapore: This material has been prepared and issued for distribution in Singapore to institutional investors, accredited investors and expert investors (as defined in the applicable Singapore laws and regulations) only. Recipients of this material in Singapore should contact Westpac Singapore Branch in respect of any matters arising from, or in connection with, this material. Westpac Singapore Branch holds a wholesale banking licence and is subject to supervision by the Monetary Authority of Singapore.

Fiji: Unless otherwise specified, the products and services for Westpac Fiji are available from www.westpac.com.fj © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you

Disclaimer continues overleaf ▶

should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia and registered as a branch in Fiji. The liability of its members is limited.

Papua New Guinea: Unless otherwise specified, the products and services for Westpac PNG are available from www.westpac.com.pg © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia. Westpac is represented in Papua New Guinea by Westpac Bank - PNG - Limited. The liability of its members is limited.

U.S: Westpac operates in the United States of America as a federally licensed branch, regulated by the Office of the Comptroller of the Currency. Westpac is also registered with the US Commodity Futures Trading Commission ("CFTC") as a Swap Dealer, but is neither registered as, or affiliated with, a Futures Commission Merchant registered with the US CFTC. The services and products referenced above are not insured by the Federal Deposit Insurance Corporation ("FDIC"). Westpac Capital Markets, LLC ('WCM'), a wholly-owned subsidiary of Westpac, is a broker-dealer registered under the U.S. Securities Exchange Act of 1934 ('the Exchange Act') and member of the Financial Industry Regulatory Authority ('FINRA'). In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WCM other than as provided for in certain legal agreements between Westpac and WCM and obligations of WCM do not represent liabilities of Westpac.

This communication is provided for distribution to U.S. institutional investors in reliance on the exemption from registration provided by Rule 15a-6 under the Exchange Act and is not subject to all of the independence and disclosure standards applicable to debt research reports prepared for retail investors in the United States. WCM is the U.S. distributor of this communication and accepts responsibility for the contents of this communication. Transactions by U.S. customers of any securities referenced herein should be effected through WCM. All disclaimers set out with respect to Westpac apply equally to WCM. If you would like to speak to someone regarding any security mentioned herein, please contact WCM on +1 212 389 1269. Investing in any non-U.S. securities or related financial instruments mentioned in this communication may present certain risks. The securities of non-U.S. issuers may not be registered with, or be subject to the regulations of, the SEC in the United States. Information on such non-U.S. securities or related financial instruments may be limited. Non-U.S. companies may not be subject to audit and reporting standards and regulatory requirements comparable to those in effect in the United States. The value of any investment or income from any securities or related derivative instruments denominated in a currency other than U.S. dollars is subject to exchange rate fluctuations that may have a positive or adverse effect on the value of or income from such securities or related derivative instruments.

The author of this communication is employed by Westpac and is not registered or qualified as a research analyst, representative, or associated person of WCM or any other U.S. broker-dealer under the rules of FINRA, any other U.S. self-regulatory organisation, or the laws, rules or regulations of any State. Unless otherwise specifically stated, the views expressed herein are solely those of the author and may differ from the information, views or analysis expressed by Westpac and/or its affiliates.

UK: The London branch of Westpac is authorised in the United Kingdom by the Prudential Regulation Authority (PRA) and is subject to regulation by the Financial Conduct Authority (FCA) and limited regulation by the PRA (Financial Services Register number: 124586). The London branch of Westpac is registered at Companies House as a branch established in the United Kingdom (Branch No. BR000106). Details about the extent of the regulation of Westpac's London branch by the PRA are available from us on request.

This communication is not being made to or distributed to, and must not be passed on to, the general public in the United Kingdom. Rather, this communication is being made only to and is directed at (a) those persons falling within the definition of Investment Professionals (set out in Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (the "Order")); (b) those persons falling within the definition of high net worth companies, unincorporated associations etc. (set out in Article 49(2)of the Order; (c) other persons to whom it may lawfully be communicated in accordance with the Order or (d) any persons to whom it may otherwise lawfully be made (all such persons together being referred to as "relevant persons"). Any person who is not a relevant person should not act or rely on this communication or any of its contents. In the same way, the information contained in this communication is intended for "eligible counterparties" and "professional clients" as defined by the rules of the Financial Conduct Authority and is not intended for "retail clients". Westpac expressly prohibits you from passing on the information in this communication to any third party.

European Economic Area ("EEA"): This material may be distributed to you by either: (i) Westpac directly, or (ii) Westpac Europe GmbH ("WEG") under a sub-licensing arrangement. WEG has not edited or otherwise modified the content of this material. WEG is authorised in Germany by the Federal Financial Supervision Authority ('BaFin') and subject to its regulation. WEG's supervisory authorities are BaFin and the German Federal Bank ('Deutsche Bundesbank'). WEG is registered with the commercial register ('Handelsregister') of the local court of Frankfurt am Main under registration number HRB 118483. In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WEG other than as provided for in certain legal agreements (a risk transfer, sub-participation and collateral agreement) between Westpac and WEG and obligations of WEG do not represent liabilities of Westpac. Any product or service made available by WEG does not represent an offer from Westpac or any of its subsidiaries (other than WEG). All disclaimers set out with respect to Westpac apply equally to WEG.

This communication is not intended for distribution to, or use by any person or entity in any jurisdiction or country where such distribution or use would be contrary to local law or regulation.

This communication contains general commentary, research, and market colour. The communication does not constitute investment advice. The material may contain an 'investment recommendation' and/or 'information recommending or suggesting an investment', both as defined in Regulation (EU) No 596/2014 (including as applicable in the United Kingdom) ("MAR"). In accordance with the relevant provisions of MAR, reasonable care has been taken to ensure that the material has been objectively presented and that interests or conflicts of interest of the sender concerning the financial instruments to which that information relates have been disclosed.

Investment recommendations must be read alongside the specific disclosure which accompanies them and the general disclosure which can be found here. Such disclosure fulfils certain additional information requirements of MAR and associated delegated legislation and by accepting this communication you acknowledge that you are aware of the existence of such additional disclosure and its contents.

To the extent this communication comprises an investment recommendation it is classified as non-independent research. It has not been prepared in accordance with legal requirements designed to promote the independence of investment research and therefore constitutes a marketing communication. Further, this communication is not subject to any prohibition on dealing ahead of the dissemination of investment research.

Access Denied

You don't have permission to access "http://www.westpaciq.com.au/economics/2026/07/first-impressions-nz-consumer-prices-june-quarter-2026" on this server.

Reference #18.96f8cd17.1785147076.d252b96

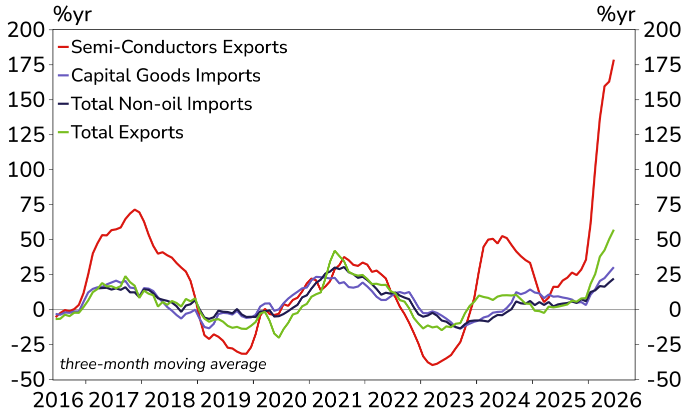
https://errors.edgesuite.net/18.96f8cd17.1785147076.d252b96

Mapping out Asia ...

Illiana Jain
Economist, Westpac Group
P: +61 403 908 032
E: illiana.jain@westpac.com.au

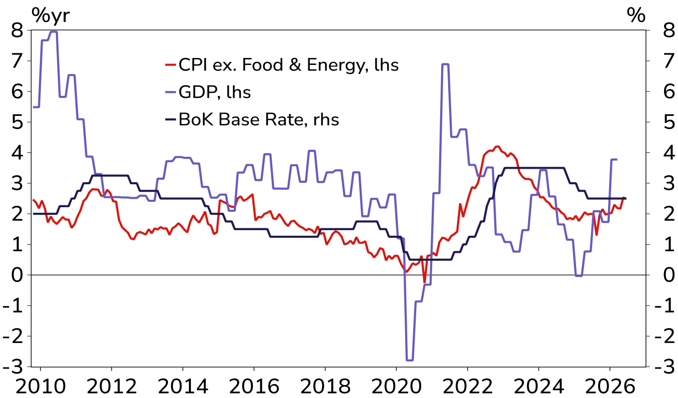
- Korea's technology sector is no longer only passively benefiting from the AI cycle; firms are pro-actively investing to accelerate capacity growth.
- Announced investment plans of US$500bn, spearheaded by Samsung and SK Hynix, together with the government's KRW105trn (US$71bn) National Growth Fund suggests this investment cycle has a lot further to run.
- Warranting this, semiconductor exports have surged 197%yr, highlighting the scale of global technology demand.
- Capital goods imports also increased 35%yr, emphasising that Korea is just one part of the Asian production system.
- The key question is whether today's technology boom can translate into a sustained increase in aggregate growth or just a one-off level shift for industrial activity.

South Korea is just getting started



Source: KCS, Macrobond, Westpac Economics

Tech is turbocharging Korean growth



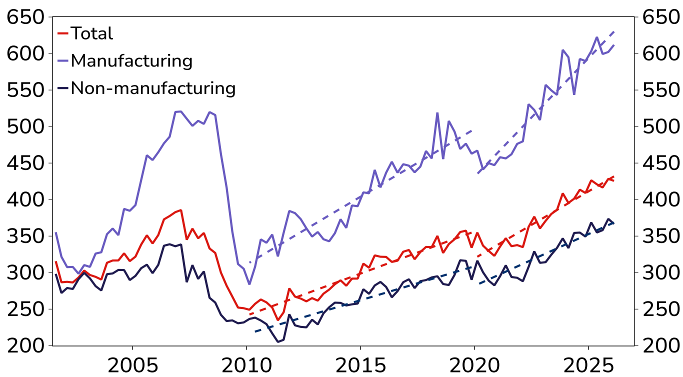
Source: MODS, BOK, Macrobond, Westpac Economics

- The BoK increasingly appears to view the AI investment cycle as a durable source of aggregate economic growth rather than a temporary export boom.
- Large-scale investment in semiconductors and AI infrastructure should increasingly support other business investment, construction activity and productivity growth.
- The BoK has acknowledged these factors, revising its 2026 forecast up to 2.6%yr from 2.0%yr.
- Stronger medium-term growth prospects help explain the BoK's willingness to maintain a tighter policy stance despite soft conditions in other sectors.
- Exports and future income generation should also aid Korea's external position and the won in time.

- Over in Japan, the Q2 Tankan survey provided mixed investment signals. Expected R&D spending slowed to 4.1% in FY26 from 6.5% in FY25, pointing to some moderation in manufacturing investment. Non-manufacturing firms meanwhile expect investment growth to accelerate to 9.2% from 7.0%.
- Justifying an acceleration in investment by non-manufacturers are widespread, structural labour shortages, unable to be fully offset by rising participation amongst women and older workers.
- Until at-target consumer inflation is firmly entrenched in day-to-day life, manufacturers and service firms alike also need greater investment to manage margins through productivity and efficiency.

Labour saving investment is accelerating

R&D per employee, ¥000s

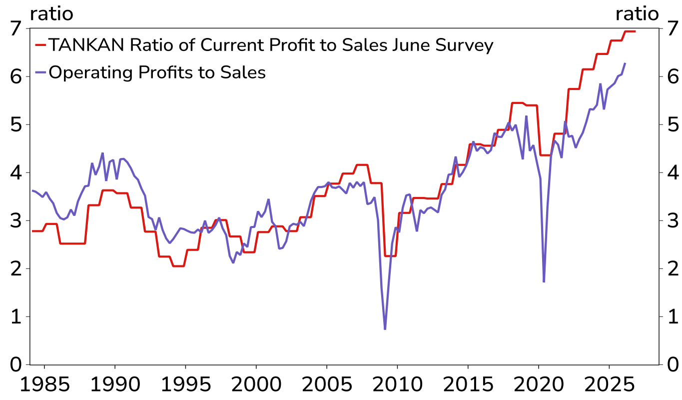


Source: MOF, Macrobond, Westpac Economics

... in charts

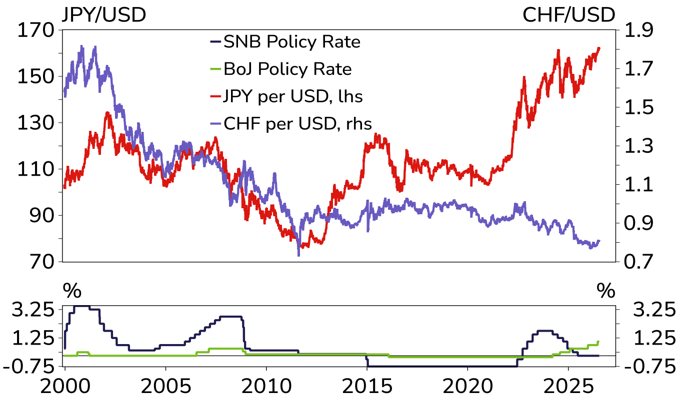
- Japanese services inflation remains well above its pre-pandemic average.
- The missing piece in the virtuous cycle has been real wages, with household purchasing power improving more slowly than expected.
- Corporate profits continue to provide firms with scope to grow investment and wages sustainably, however.
- Future real wage gains should boost discretionary consumption and inflation, giving durability to the inflation mindset.
- Profits and investment are therefore anticpate to build a foundation for persistent consumer and wage inflation, while also offering greater confidence in medium-term aggregate activity growth, warranting further policy normalisation.

Stronger profit to support wage growth



Source: BOJ, MOF, Macrobond, Westpac Economics

Lower policy rates aren't the whole story

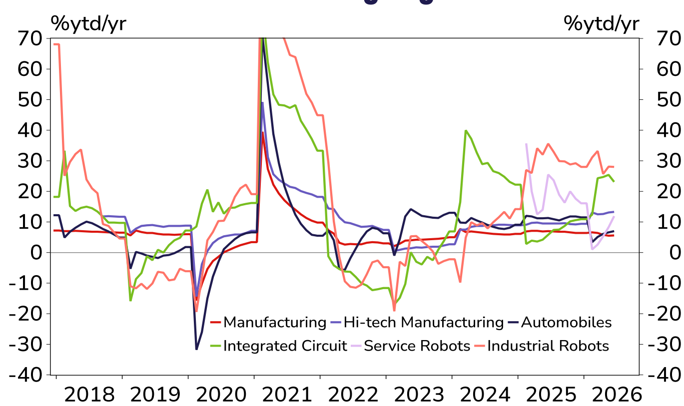


Source: Macrobond, SNB, BOJ, Macrobond, Westpac Economics

- Despite lower interest rates than Japan for much of the past decade, CHF has strengthened as the yen weakened. This suggests the market cares about more than just policy rates.
- Switzerland attracts safe-haven and reserve inflows while Japan remains a net exporter of savings.
- For Japan, a growing share of income earned abroad is also retained there, compounding foreign asset holdings instead of current yen demand.
- Raising policy rates to the level we expect (1.50% from mid-2027) will not reverse this dynamic. But what could?
- A change in capital flows via the repatriation of stockpiled foreign assets and income back to Japan and/or reduced new foreign investment by Japanese investors and/or greater foreign appetite for yen-denominated assets.

- Chinese industrial capacity remains a key source of growth, production rising 5.4%ytd in June.
- Notably, growth is increasingly concentrated in high-tech industries, including integrated circuits (+19%yr), industrial robots (+28%yr) and new energy vehicles (+29%yr).
- These sectors are more capital-intensive and automated than the labour-intensive industries which drove earlier industrial cycles.
- Strong output and export growth may therefore generate fewer and fewer gains in employment and household income compared to the past.
- This helps explain why household demand continues to lag China's industrial and trade performance.

Chinese manufacturers are going dark



Source: NBS, Macrobond, Westpac Economics

Corporate Directory

Westpac Economics / Australia

Sydney
Level 19, 275 Kent Street
Sydney NSW 2000
Australia

E: economics@westpac.com.au

Luci Ellis
Chief Economist Westpac Group
E: luci.ellis@westpac.com.au

Matthew Hassan
Head of Australian Macro–Forecasting
E: mhassan@westpac.com.au

Elliot Clarke
Head of International Economics
E: eclarke@westpac.com.au

Sian Fenner
Head of Business and Industry Economics
E: sian.fenner@westpac.com.au

Justin Smirk
Senior Economist
E: jsmirk@westpac.com.au

Pat Bustamante
Senior Economist
E: pat.bustamante@westpac.com.au

Mantas Vanagas
Senior Economist
E: mantas.vanagas@westpac.com.au

Illiana Jain
Economist
E: illiana.jain@westpac.com.au

Ryan Wells
Economist
E: ryan.wells@westpac.com.au

Neha Sharma
Economist
E: neha.sharma1@westpac.com.au

Luka Belobrajdic
Economist
E: luka.belobrajdic@westpac.com.au

Westpac Economics / New Zealand

Auckland
Takutai on the Square
Level 8, 16 Takutai Square
Auckland, New Zealand

E: economics@westpac.co.nz

Kelly Eckhold
Chief Economist NZ
E: kelly.eckhold@westpac.co.nz

Michael Gordon
Senior Economist
E: michael.gordon@westpac.co.nz

Darren Gibbs
Senior Economist
E: darren.gibbs@westpac.co.nz

Satish Ranchhod
Senior Economist
E: satish.ranchhod@westpac.co.nz

Paul Clark
Industry Economist
E: paul.clarke@westpac.co.nz

Westpac Economics / Fiji

Suva
1 Thomson Street
Suva, Fiji

Shamal Chand
Senior Economist
E: shamal.chand@westpac.com.au

IQ
westpaciq.com.au

Things you should know

We respect your privacy: You can view the New Zealand Privacy Policy here, or the Australian Group Privacy Statement here. Each time someone visits our site, data is captured so that we can accurately evaluate the quality of our content and make improvements for you. We may at times use technology to capture data about you to help us to better understand you and your needs, including potentially for the purposes of assessing your individual reading habits and interests to allow us to provide suggestions regarding other reading material which may be suitable for you.

Disclaimer

This information has been prepared by Westpac and is intended for information purposes only. It is not intended to reflect any recommendation or financial advice and investment decisions should not be based on it. This information does not constitute an offer, a solicitation of an offer, or an inducement to subscribe for, purchase or sell any financial instrument or to enter into a legally binding contract. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice. Certain types of transactions, including those involving futures, options and high yield securities give rise to substantial risk and are not suitable for all investors. We recommend that you seek your own independent legal or financial advice before proceeding with any investment decision.

This information may contain material provided by third parties. While such material is published with the necessary permission none of Westpac or its related entities accepts any responsibility for the accuracy or completeness of any such material. Although we have made every effort to ensure this information is free from error, none of Westpac or its related entities warrants the accuracy, adequacy or completeness of this information, or otherwise endorses it in any way. Except where contrary to law, Westpac Group intend by this notice to exclude liability for this information. This information is subject to change without notice and none of Westpac or its related entities is under any obligation to update this information or correct any inaccuracy which may become apparent at a later date. This information may contain or incorporate by reference forward looking statements. The words "believe", "anticipate", "expect", "intend", "plan", "predict", "continue", "assume", "positioned", "may", "will", "should", "shall", "risk" and other similar expressions that are predictions of or indicate future events and future trends identify forward-looking statements. These forward-looking statements include all matters that are not historical facts. Past performance is not a reliable indicator of future performance, nor are forecasts of future performance. Whilst every effort has been taken to ensure that the assumptions on which any forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The ultimate outcomes may differ substantially from any forecasts.

Conflicts of Interest: In the normal course of offering banking products and services to its clients, the Westpac Group may act in several capacities (including issuer, market maker, underwriter, distributor, swap counterparty and calculation agent) simultaneously with respect to a financial instrument, giving rise to potential conflicts of interest which may impact the performance of a financial instrument. The Westpac Group may at any time transact or hold a position (including hedging and trading positions) for its own account or the account of a client in any financial instrument which may impact the performance of that financial instrument.

Author(s) disclaimer and declaration: The author(s) confirms that (a) no part of his/her compensation was, is, or will be, directly or indirectly, related to any views or (if applicable) recommendations expressed in this material; (b) this material accurately reflects his/her personal views about the financial products, companies or issuers (if applicable) and is based on sources reasonably believed to be reliable and accurate; (c) to the best of the author's knowledge, they are not in receipt of inside information and this material does not contain inside information; and (d) no other part of the Westpac Group has made any attempt to influence this material.

Further important information regarding sustainability related content: This material may contain statements relating to environmental, social and governance (ESG) topics. These are subject to known and unknown risks, and there are significant uncertainties, limitations, risks and assumptions in the metrics, modelling, data, scenarios, reporting and analysis on which the statements rely. In particular, these areas are rapidly evolving and maturing, and there are variations in approaches and common standards and practice, as well as uncertainty around future related policy and legislation. Some material may include information derived from publicly available sources that have not been independently verified. No representation or warranty is made as to the accuracy, completeness or reliability of the information. There is a risk that the analysis, estimates, judgements, assumptions, views, models, scenarios or projections used may turn out to be incorrect. These risks may cause actual outcomes to differ materially from those expressed or implied. The ESG-related statements in this material do not constitute advice, nor are they guarantees or predictions of future performance, and Westpac gives no representation, warranty or assurance (including as to the quality, accuracy or completeness of the statements). You should seek your own independent advice.

Additional country disclosures:

Australia: Westpac holds an Australian Financial Services Licence (No. 233714). You can access Westpac's Financial Services Guide here or request a copy from your Westpac point of contact. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice.

New Zealand: In New Zealand, Westpac Institutional Bank refers to the brand under which products and services are provided by either Westpac (NZ division) or Westpac New Zealand Limited (company number 1763882), the New Zealand incorporated subsidiary of Westpac ("WNZL"). Any product or service made available by WNZL does not represent an offer from Westpac or any of its subsidiaries (other than WNZL). Neither Westpac nor its other subsidiaries guarantee or otherwise support the performance of WNZL in respect of any such product. WNZL is not an authorised deposit-taking institution for the purposes of Australian prudential standards. The current disclosure statements for the New Zealand branch of Westpac and WNZL can be obtained at www.westpac.co.nz.

Singapore: This material has been prepared and issued for distribution in Singapore to institutional investors, accredited investors and expert investors (as defined in the applicable Singapore laws and regulations) only. Recipients of this material in Singapore should contact Westpac Singapore Branch in respect of any matters arising from, or in connection with, this material. Westpac Singapore Branch holds a wholesale banking licence and is subject to supervision by the Monetary Authority of Singapore.

Disclaimer continues overleaf ▶

Fiji: Unless otherwise specified, the products and services for Westpac Fiji are available from www.westpac.com.fj © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia and registered as a branch in Fiji. The liability of its members is limited.

Papua New Guinea: Unless otherwise specified, the products and services for Westpac PNG are available from www.westpac.com.pg © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia. Westpac is represented in Papua New Guinea by Westpac Bank - PNG - Limited. The liability of its members is limited.

U.S: Westpac operates in the United States of America as a federally licensed branch, regulated by the Office of the Comptroller of the Currency. Westpac is also registered with the US Commodity Futures Trading Commission ("CFTC") as a Swap Dealer, but is neither registered as, or affiliated with, a Futures Commission Merchant registered with the US CFTC. The services and products referenced above are not insured by the Federal Deposit Insurance Corporation ("FDIC"). Westpac Capital Markets, LLC ('WCM'), a wholly-owned subsidiary of Westpac, is a broker-dealer registered under the U.S. Securities Exchange Act of 1934 ('the Exchange Act') and member of the Financial Industry Regulatory Authority ('FINRA'). In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WCM other than as provided for in certain legal agreements between Westpac and WCM and obligations of WCM do not represent liabilities of Westpac.

This communication is provided for distribution to U.S. institutional investors in reliance on the exemption from registration provided by Rule 15a-6 under the Exchange Act and is not subject to all of the independence and disclosure standards applicable to debt research reports prepared for retail investors in the United States. WCM is the U.S. distributor of this communication and accepts responsibility for the contents of this communication. Transactions by U.S. customers of any securities referenced herein should be effected through WCM. All disclaimers set out with respect to Westpac apply equally to WCM. If you would like to speak to someone regarding any security mentioned herein, please contact WCM on +1 212 389 1269. Investing in any non-U.S. securities or related financial instruments mentioned in this communication may present certain risks. The securities of non-U.S. issuers may not be registered with, or be subject to the regulations of, the SEC in the United States. Information on such non-U.S. securities or related financial instruments may be limited. Non-U.S. companies may not be subject to audit and reporting standards and regulatory requirements comparable to those in effect in the United States. The value of any investment or income from any securities or related derivative instruments denominated in a currency other than U.S. dollars is subject to exchange rate fluctuations that may have a positive or adverse effect on the value of or income from such securities or related derivative instruments.

The author of this communication is employed by Westpac and is not registered or qualified as a research analyst, representative, or associated person of WCM or any other U.S. broker-dealer under the rules of FINRA, any other U.S. self-regulatory organisation, or the laws, rules or regulations of any State. Unless otherwise specifically stated, the views expressed herein are solely those of the author and may differ from the information, views or analysis expressed by Westpac and/or its affiliates.

UK: The London branch of Westpac is authorised in the United Kingdom by the Prudential Regulation Authority (PRA) and is subject to regulation by the Financial Conduct Authority (FCA) and limited regulation by the PRA (Financial Services Register number: 124586). The London branch of Westpac is registered at Companies House as a branch established in the United Kingdom (Branch No. BR000106). Details about the extent of the regulation of Westpac's London branch by the PRA are available from us on request.

This communication is not being made to or distributed to, and must not be passed on to, the general public in the United Kingdom. Rather, this communication is being made only to and is directed at (a) those persons falling within the definition of Investment Professionals (set out in Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (the "Order")); (b) those persons falling within the definition of high net worth companies, unincorporated associations etc. (set out in Article 49(2)of the Order; (c) other persons to whom it may lawfully be communicated in accordance with the Order or (d) any persons to whom it may otherwise lawfully be made (all such persons together being referred to as "relevant persons"). Any person who is not a relevant person should not act or rely on this communication or any of its contents. In the same way, the information contained in this communication is intended for "eligible counterparties" and "professional clients" as defined by the rules of the Financial Conduct Authority and is not intended for "retail clients". Westpac expressly prohibits you from passing on the information in this communication to any third party.

European Economic Area ("EEA"): This material may be distributed to you by either: (i) Westpac directly, or (ii) Westpac Europe GmbH ("WEG") under a sub-licensing arrangement. WEG has not edited or otherwise modified the content of this material. WEG is authorised in Germany by the Federal Financial Supervision Authority ('BaFin') and subject to its regulation. WEG's supervisory authorities are BaFin and the German Federal Bank ('Deutsche Bundesbank'). WEG is registered with the commercial register ('Handelsregister') of the local court of Frankfurt am Main under registration number HRB 118483. In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WEG other than as provided for in certain legal agreements (a risk transfer, sub-participation and collateral agreement) between Westpac and WEG and obligations of WEG do not represent liabilities of Westpac. Any product or service made available by WEG does not represent an offer from Westpac or any of its subsidiaries (other than WEG). All disclaimers set out with respect to Westpac apply equally to WEG.

This communication is not intended for distribution to, or use by any person or entity in any jurisdiction or country where such distribution or use would be contrary to local law or regulation.

This communication contains general commentary, research, and market colour. The communication does not constitute investment advice. The material may contain an 'investment recommendation' and/or 'information recommending or suggesting an investment', both as defined in Regulation (EU) No 596/2014 (including as applicable in the United Kingdom) ("MAR"). In accordance with the relevant provisions of MAR, reasonable care has been taken to ensure that the material has been objectively presented and that interests or conflicts of interest of the sender concerning the financial instruments to which that information relates have been disclosed.

Investment recommendations must be read alongside the specific disclosure which accompanies them and the general disclosure which can be found here. Such disclosure fulfils certain additional information requirements of MAR and associated delegated legislation and by accepting this communication you acknowledge that you are aware of the existence of such additional disclosure and its contents.

To the extent this communication comprises an investment recommendation it is classified as non-independent research. It has not been prepared in accordance with legal requirements designed to promote the independence of investment research and therefore constitutes a marketing communication. Further, this communication is not subject to any prohibition on dealing ahead of the dissemination of investment research.

Access Denied

You don't have permission to access "http://www.westpaciq.com.au/economics/2026/07/nz-first-impressions-nzier-qsbo-june-quarter-2026" on this server.

Reference #18.11a4c017.1785147066.293a88

https://errors.edgesuite.net/18.11a4c017.1785147066.293a88

ECONOMIC BULLETIN

CPI preview, June quarter 2026 – Tuesday 21 July, 10:45am.

17 Jul 2026 | **Satish Ranchhod**, Senior Economist | +64 9 336 5668 | +64 21 710 852 | satish.ranchhod@westpac.co.nz

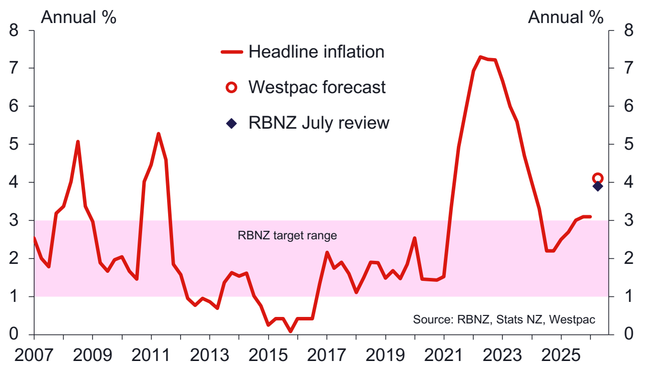
Pain at the pump

- **With the war in the Middle East pushing oil prices sharply, consumer price inflation is set to rise to a two-year high.**
- **We estimate that New Zealand consumer prices rose by 1.5% in the June quarter. That's slightly higher than our previous forecast, consistent with the firmer than expected increases in prices for volatile items like holiday accommodation in Stats NZ's June update.**
- **The annual inflation rate is expected to rise to 4.1% (up from 3.1% previously).**
- **Core inflation has been softening but remains above the RBNZ's 2% target midpoint. That's despite the downturn in economic growth and softness in the labour market.**
- **Our forecast is close to the RBNZ's updated forecast for 3.9% annual inflation.**

Consumer price inflation

	Mar-26 actual	Jun-26 forecast	
		Westpac	RBNZ (Jul MPR)
Headline inflation			
Quarterly	0.9%	1.5%	
Annual	3.1%	4.1%	3.9%
Non-tradables inflation			
Quarterly	1.1%	0.6%	
Annual	3.5%	3.4%	
Tradables inflation			
Quarterly	0.7%	2.6%	
Annual	2.5%	4.8%	

Annual headline inflation

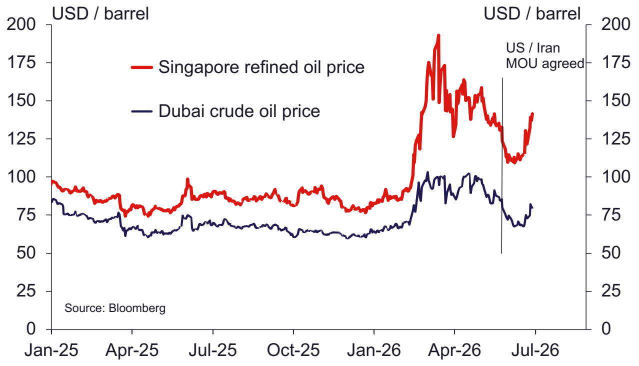


We expect the June quarter inflation report (out on 21 July) will show that New Zealand consumer prices rose 1.5% over the past three months. That would see the annual inflation rate rising to 4.1% – up from 3.1% in the year to March and the highest level in two years.

The main driver of June's spike in consumer prices has been the sharp rise in fuel prices since the start of the

Middle East war. While prices have dropped in recent weeks, petrol prices have risen 20% over the June quarter and diesel prices were up an eye-watering 51% (together, those costs account for around 4% of the CPI).

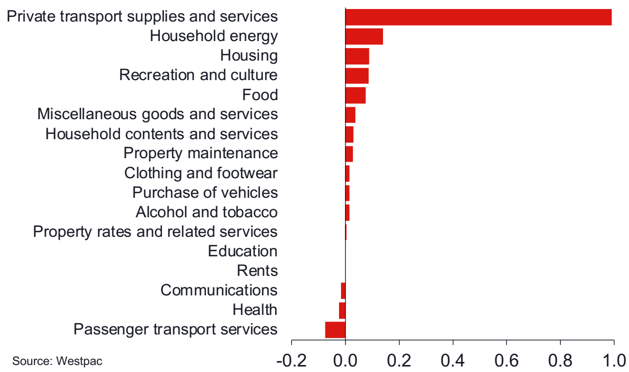
Oil prices



Recent months have also seen further large increases in household energy prices (3% of the CPI). Electricity prices rose 4% over the June quarter and are up 12% over the past year. Similarly, household gas prices rose 2% over the quarter, leaving them up 11% over the past year.

Also adding to inflation has been the 0.4% rise in food prices over the quarter (18% of the CPI).

Contributions to June quarter inflation forecast (percentage points)



Oil spill(overs).

With a sharp rise in energy prices, many businesses have reported large increases in other operating costs, including transportation and materials. For instance, in the construction sector, the cost of PVC piping and other inputs rose sharply in recent months. Consistent with that, we expect the cost of building new home (which makes up close to 10% of the CPI) to take a step higher this quarter after muted gains over the past year.

But while production costs have been rising, soft demand has been a brake on many businesses' ability to pass those higher costs through into output prices. That will limit the rise in overall consumer prices but does mean continued pressure on businesses' margins.

The risk that increased fuel costs spillover into broader inflation pressures is a significant concern for the RBNZ. With that in mind, measures of core inflation will be a key focus. (Note: core inflation measures smooth through the large quarter-to-quarter swings in individual prices and instead track the underlying trend in inflation). In terms of specifics, we expect:

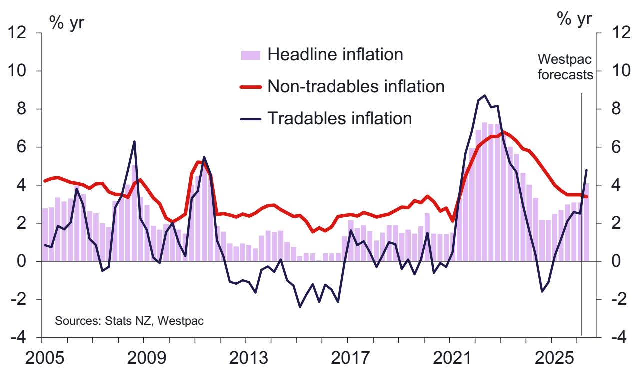
- CPI ex-fuel inflation: +2.8% yr (vs +3.2% previously)
- CPI ex-fuel and food: +2.9% yr (vs +3.0% previously)
- CPI ex-fuel, food and household energy: +2.5% yr (vs +2.6% previously)
- 30% trimmed mean: +2.4% (vs +2.3% previously)

Although the various measures of core inflation have been dropping back, we're reluctant to describe them as 'low.' Despite a sharp slowdown in economic growth and softness in the labour market, the various measures of core inflation have lingered above the 2% midpoint of the RBNZ's target range for an extended period. And with the recent oil related lift in inflation pressures, recent business surveys point to the risk of at least a temporary broader lift in inflation over the coming months.

Much of the firmness in core inflation has been due to increases in domestically oriented non-tradables prices. We expect these prices will rise 0.6% over the quarter. That would see annual non-tradables inflation softening to 3.4%, down from 3.5% last quarter but still well above average levels. Much of that strength has been related to continued large increases in administered prices, like council rates and electricity.

Bucking that trend of general firmness in non-tradeable prices, however, has been notable softness in housing rents (11% of the CPI). With abundant supply and low population growth, average housing rents have shown no growth since late last year, and regions likely Wellington have seen outright falls.

Inflation components



On the imported front, higher fuel costs are expected to see tradables prices rising by a huge 2.6% over the quarter. That would result in annual tradables inflation rising from to 4.8% from 2.5%yr previously. But while higher fuel costs have been a significant driver of the rise in imported inflation, the lower New Zealand dollar is also playing an important role. Excluding food and fuel costs, we estimate that tradables prices were up 3.2% over the past year. The average value of the trade-weighted exchange rate (TWI) in the June quarter was almost 4% lower than a year earlier.

How do our forecasts compare to the RBNZ's assumptions?

Under the direction of new Governor Anna Breman, the RBNZ has made efforts to strengthen it communications. That includes the releases of addition information and forecasts updates at its interim policy reviews (previously, such information was only released when the more detailed quarterly Monetary Policy Statements were released). This has been very welcome move from the RBNZ, especially given the significant and rapid changes in the global economic backdrop in recent weeks.

The RBNZ's July update show inflation peaking in the year to June at 3.9%. The RBNZ didn't publish a quarterly inflation track in July, but we estimate that their annual forecast is consistent with a 1.4% quarterly rate in consumer prices.

Our forecast for a 4.1% rise in consumer prices is slightly higher than the RBNZ's expectations. However, given the rapid changes in the economic outlook over the past few weeks and related uncertainty about the outlook, a result in line with our forecast would not be a major surprise to the RBNZ.

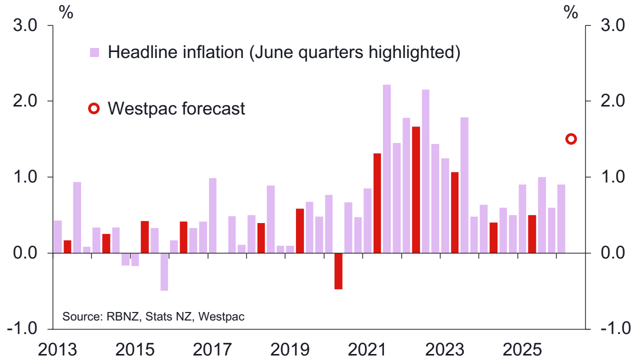
However, even if the overall inflation result is close to forecasts, the underlying detail will be a key interest. The RBNZ will be watching closely for signs that high fuel prices are spilling over into other prices, especially with global oil prices taking another step higher recently. With that in mind, the strength of the various core inflation measures will be a key focus for the RBNZ.

Updates from the June Selected Price report.

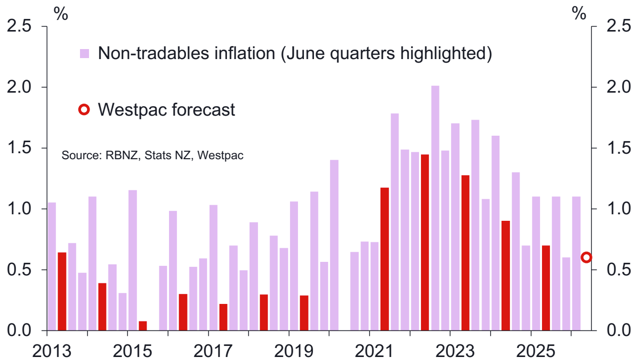
Our updated forecast for a 1.5% rise in consumer prices in the June quarter is slightly stronger than our previous forecast for a 1.4% rise. That reflects updated data from Stats NZ's June Selected Prices report. Of note, June saw a larger than expected increases in the volatile holiday accommodation category. That more than offset a more modest than expected rise in electricity prices.

In the other big categories, food prices were up 0.6% over the month as expected. Housing rental growth remained very muted, rising just 0.1% over the month.

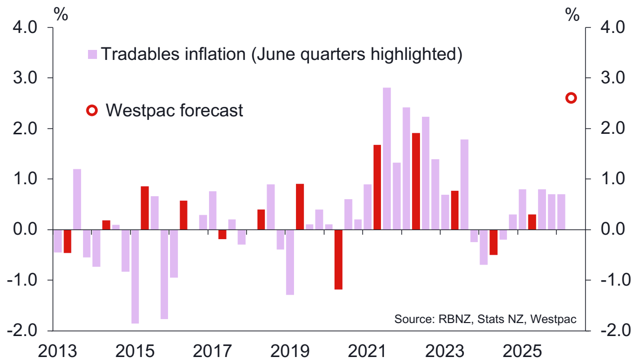
Quarterly CPI inflation



Quarterly non-tradables inflation



Quarterly tradables inflation



Contact

Westpac Economics Team | **westpac.co.nz/economics** | economics@westpac.co.nz

Connect with us

Kelly Eckhold, Chief Economist | +64 9 348 9382 | +64 21 786 758 | kelly.eckhold@westpac.co.nz

Satish Ranchhod, Senior Economist | +64 9 336 5668 | +64 21 710 852 | satish.ranchhod@westpac.co.nz

Darren Gibbs, Senior Economist | +64 9 367 3368 | +64 21 794 292 | darren.gibbs@westpac.co.nz

Michael Gordon, Senior Economist | +64 9 336 5670 | +64 21 749 506 | michael.gordon@westpac.co.nz

Paul Clark, Industry Economist | +64 9 336 5656 | +64 21 713 704 | paul.clark@westpac.co.nz

Past performance is not a reliable indicator of future performance. The forecasts given in this document are predictive in character. Whilst every effort has been taken to ensure that the assumptions on which the forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The ultimate outcomes may differ substantially from these forecasts.

Disclaimer

Things you should know.

We respect your privacy: You can view the **New Zealand Privacy Policy** here, or the Australian **Group Privacy Statement** here. Each time someone visits our site, data is captured so that we can accurately evaluate the quality of our content and make improvements for you. We may at times use technology to capture data about you to help us to better understand you and your needs, including potentially for the purposes of assessing your individual reading habits and interests to allow us to provide suggestions regarding other reading material which may be suitable for you.

Disclaimer.

This information has been prepared by Westpac and is intended for information purposes only. It is not intended to reflect any recommendation or financial advice and investment decisions should not be based on it. This information does not constitute an offer, a solicitation of an offer, or an inducement to subscribe for, purchase or sell any financial instrument or to enter into a legally binding contract. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice. Certain types of transactions, including those involving futures, options and high yield securities give rise to substantial risk and are not suitable for all investors. We recommend that you seek your own independent legal or financial advice before proceeding with any investment decision.

This information may contain material provided by third parties. While such material is published with the necessary permission none of Westpac or its related entities accepts any responsibility for the accuracy or completeness of any such material. Although we have made every effort to ensure this information is free from error, none of Westpac or its related entities warrants the accuracy, adequacy or completeness of this information, or otherwise endorses it in any way. Except where contrary to law, Westpac Group intend by this notice to exclude liability for this information. This information is subject to change without notice and none of Westpac or its related entities is under any obligation to update this information or correct any inaccuracy which may become apparent at a later date. This information may contain or incorporate by reference forward looking statements. The words "believe", "anticipate", "expect", "intend", "plan", "predict", "continue", "assume", "positioned", "may", "will", "should", "shall", "risk" and other similar expressions that are predictions of or indicate future events and future trends identify forward-looking statements. These forward-looking statements include all matters that are not historical facts. Past performance is not a reliable indicator of future performance, nor are forecasts of future performance. Whilst every effort has been taken to ensure that the assumptions on which any forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The ultimate outcomes may differ substantially from any forecasts.

Conflicts of Interest: In the normal course of offering banking products and services to its clients, the Westpac Group may act in several capacities (including issuer, market maker, underwriter, distributor, swap counterparty and calculation agent) simultaneously with respect to a financial instrument, giving rise to potential conflicts of interest which may impact the performance of a financial instrument. The Westpac Group may at any time transact or hold a position (including hedging and trading positions) for its own account or the account of a client in any financial instrument which may impact the performance of that financial instrument.

Author(s) disclaimer and declaration: The author(s) confirms that (a) no part of his/her compensation was, is, or will be, directly or indirectly, related to any views or (if applicable) recommendations expressed in this material; (b) this material accurately reflects his/her personal views about the financial products, companies or issuers (if applicable) and is based on sources reasonably believed to be reliable and accurate; (c) to the best of the author's knowledge, they are not in receipt of inside information and this material does not contain inside information; and (d) no other part of the Westpac Group has made any attempt to influence this material.

Further important information regarding sustainability-related content: This material may contain statements relating to environmental, social and governance (ESG) topics. These are subject to known and unknown risks, and there are significant uncertainties, limitations, risks and assumptions in the metrics, modelling, data, scenarios, reporting and analysis on which the statements rely. In particular, these areas are rapidly evolving and maturing, and there are variations in approaches and common standards and practice, as well as uncertainty around future related policy and legislation. Some material may include information derived from publicly available sources that have not been independently verified. No representation or warranty is made as to the accuracy, completeness or reliability of the information. There is a risk that the analysis, estimates, judgements, assumptions, views, models, scenarios or projections used may turn out to be incorrect. These risks may cause actual outcomes to differ materially from those expressed or implied. The ESG-related statements in this material do not constitute advice, nor are they guarantees or predictions of future performance, and Westpac gives no representation, warranty or assurance (including as to the quality, accuracy or completeness of the statements). You should seek your own independent advice.

Additional country disclosures:

Australia: Westpac holds an Australian Financial Services Licence (No. 233714). You can access **Westpac's Financial Services Guide** here or request a copy from your Westpac point of contact. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice.

New Zealand: In New Zealand, Westpac Institutional Bank refers to the brand under which products and services are provided by either Westpac (NZ division) or Westpac New Zealand Limited (company number 1763882), the New Zealand incorporated subsidiary of Westpac ("WNZL"). Any product or service made available by WNZL does not represent an offer from Westpac or any of its subsidiaries (other than WNZL). Neither Westpac nor its other subsidiaries guarantee or otherwise support the performance of WNZL in respect of any such product. WNZL is not an authorised deposit-taking institution for the purposes of Australian prudential standards. The current disclosure statements for the New Zealand branch of Westpac and WNZL can be obtained at **www.westpac.co.nz**.

Singapore: This material has been prepared and issued for distribution in Singapore to institutional investors, accredited investors and expert investors (as defined in the applicable Singapore laws and regulations) only. Recipients of this material in Singapore should contact Westpac Singapore Branch in respect of any matters arising from, or in connection with, this material. Westpac Singapore Branch holds a wholesale banking licence and is subject to supervision by the Monetary Authority of Singapore.

Fiji: Unless otherwise specified, the products and services for Westpac Fiji are available from **www.westpac.com.fj** © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia and registered as a branch in Fiji. The liability of its members is limited.

Papua New Guinea: Unless otherwise specified, the products and services for Westpac PNG are available from **www.westpac.com.pg** © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia. Westpac is represented in Papua New Guinea by Westpac Bank - PNG - Limited. The liability of its members is limited.

U.S: Westpac operates in the United States of America as a federally licensed branch, regulated by the Office of the Comptroller of the Currency. Westpac is also registered with the US Commodity Futures Trading Commission ("CFTC") as a Swap Dealer, but is neither registered as, or affiliated with, a Futures Commission Merchant registered with the US CFTC. The services and products referenced above are not insured by the Federal Deposit Insurance Corporation ("FDIC"). Westpac Capital Markets, LLC ('WCM'), a wholly-owned subsidiary of Westpac, is a broker-dealer registered under the U.S. Securities Exchange Act of 1934 ('the Exchange Act') and member of the Financial Industry Regulatory Authority ('FINRA'). In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WCM other than as provided for in certain legal agreements between Westpac and WCM and obligations of WCM do not represent liabilities of Westpac.

This communication is provided for distribution to U.S. institutional investors in reliance on the exemption from registration provided by Rule 15a-6 under the Exchange Act and is not subject to all of the independence and disclosure standards applicable to debt research reports prepared for retail investors in the United States. WCM is the U.S. distributor of this communication and accepts responsibility for the contents of this communication. Transactions by U.S. customers of any securities referenced herein should be effected through WCM. All disclaimers set out with respect to Westpac apply equally to WCM. If you would like to speak to someone regarding any security mentioned herein, please contact WCM on +1 212 389 1269. Investing in any non-U.S. securities or related financial instruments mentioned in this communication may present certain risks. The securities of non-U.S. issuers may not be registered with, or be subject to the regulations of, the SEC in the United States. Information on such non-U.S. securities or related financial instruments may be limited. Non-U.S. companies may not be subject to audit and reporting standards and regulatory requirements comparable to those in effect in the United States. The value of any investment or income from any securities or related derivative instruments denominated in a currency other than U.S. dollars is subject to exchange rate fluctuations that may have a positive or adverse effect on the value of or income from such securities or related derivative instruments.

The author of this communication is employed by Westpac and is not registered or qualified as a research analyst, representative, or associated person of WCM or any other U.S. broker-dealer under the rules of FINRA, any other U.S. self-regulatory organisation, or the laws, rules or regulations of any State. Unless otherwise specifically stated, the views expressed herein are solely those of the author and may differ from the information, views or analysis expressed by Westpac and/or its affiliates.

UK: The London branch of Westpac is authorised in the United Kingdom by the Prudential Regulation Authority (PRA) and is subject to regulation by the Financial Conduct Authority (FCA) and limited regulation by the PRA (Financial Services Register number: 124586). The London branch of Westpac is registered at Companies House as a branch established in the United Kingdom (Branch No. BR000106). Details about the extent of the regulation of Westpac's London branch by the PRA are available from us on request.

This communication is not being made to or distributed to, and must not be passed on to, the general public in the United Kingdom. Rather, this communication is being made only to and is directed at (a) those persons falling within the definition of Investment Professionals (set out in Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (the "Order")); (b) those persons falling within the definition of high net worth companies, unincorporated associations etc. (set out in Article 49(2)of the Order; (c) other persons to whom it may lawfully be communicated in accordance with the Order or (d) any persons to whom it may otherwise lawfully be made (all such persons together being referred to as "relevant persons"). Any person who is not a relevant person should not act or rely on this communication or any of its contents. In the same way, the information contained in this communication is intended for "eligible counterparties" and "professional clients" as defined by the rules of the Financial Conduct Authority and is not intended for "retail clients". Westpac expressly prohibits you from passing on the information in this communication to any third party.

European Economic Area ("EEA"): This material may be distributed to you by either: (i) Westpac directly, or (ii) Westpac Europe GmbH ("WEG") under a sub-licensing arrangement. WEG has not edited or otherwise modified the content of this material. WEG is authorised in Germany by the Federal Financial Supervision Authority ('BaFin') and subject to its regulation. WEG's supervisory authorities are BaFin and the German Federal Bank ('Deutsche Bundesbank'). WEG is registered with the commercial register ('Handelsregister') of the local court of Frankfurt am Main under registration number HRB 118483. In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WEG other than as provided for in certain legal agreements (a risk transfer, sub-participation and collateral agreement) between Westpac and WEG and obligations of WEG do not represent liabilities of Westpac. Any product or service made available by WEG does not represent an offer from Westpac or any of its subsidiaries (other than WEG). All disclaimers set out with respect to Westpac apply equally to WEG.

This communication is not intended for distribution to, or use by any person or entity in any jurisdiction or country where such distribution or use would be contrary to local law or regulation.

This communication contains general commentary, research, and market colour. The communication does not constitute investment advice. The material may contain an 'investment recommendation' and/or 'information recommending or suggesting an investment', both as defined in Regulation (EU) No 596/2014 (including as applicable in the United Kingdom) ("MAR"). In accordance with the relevant provisions of MAR, reasonable care has been taken to ensure that the material has been objectively presented and that interests or conflicts of interest of the sender concerning the financial instruments to which that information relates have been disclosed.

Investment recommendations must be read alongside the specific disclosure which accompanies them and the **general disclosure** which can be found here. Such disclosure fulfils certain additional information requirements of MAR and associated delegated legislation and by accepting this communication you acknowledge that you are aware of the existence of such additional disclosure and its contents.

To the extent this communication comprises an investment recommendation it is classified as non-independent research. It has not been prepared in accordance with legal requirements designed to promote the independence of investment research and therefore constitutes a marketing communication. Further, this communication is not subject to any prohibition on dealing ahead of the dissemination of investment research.

Westpac Banking Corporation.

Access Denied

You don't have permission to access "http://www.westpaciq.com.au/economics/2026/07/china-note-elliot-15-july-2026" on this server.

Reference #18.a9f8cd17.1785147073.192a84cd

https://errors.edgesuite.net/18.a9f8cd17.1785147073.192a84cd

Week beginning 20 July 2026

AUSTRALIA & NEW ZEALAND WEEKLY

Analysis and forecasts for this week's key releases.

In this week's edition:

Economic Insight: AI-carus?

The Week That Was: Frayed nerves.

Focus on New Zealand: Soggy activity data ahead of key CPI report.

For the week ahead:

Australia: Westpac-MI Leading Index, labour force survey.

New Zealand: Q2 CPI, trade balance.

Japan: CPI.

Euro Area: ECB policy decision, bank lending survey, consumer confidence.

United Kingdom: CPI, unemployment rate, retail sales, consumer sentiment, public borrowing.

United States: leading index, new home sales, regional manufacturing survey.

Global: S&P Global PMIs.

Information contained in this report current as at 17 July 2026.

AI-carus?

Luci Ellis
Chief Economist, Westpac Group

- **Is AI a bubble? The extraordinary valuations and scale of investment raise the question. Missing, though, is the speculative behaviour of buying an asset now with the intent of resale for profit later.**
- **It is natural to want to look for parallels in history. Neither the late 1990s/early 2000s 'dot com' nor the 19th century railway booms quite match the current episode. Better analogies may be found in other price cycles stemming from investment booms, spurred by structural shifts. In the rush to build for the new technology, construction costs and end-product prices rise before eventually correcting. Time-to-build and resource constraints can create price cycles even where classic speculative behaviour is absent.**
- **Non-financial goals around geopolitics or a rush to build a god-like intelligence could blind investors to commercial reality and encourage investments that do not pay off. To avoid a mad flap that takes us, Icarus-like, too close to the sun, choices must be based on cost and ROI.**

The exceptional valuations on AI-adjacent firms are matched only by the extraordinary scale of capital expenditure on data centres, both overseas and in Australia. The use of leverage and sometimes opaque financing structures twitch the antennae of those of us who have been through financial boom–bust cycles before. Naturally, people question the return on investment and whether this is a "bubble". But is it?

It helps to define terms. The usual definition of a bubble is a deviation of asset prices from "fundamental" value, but this is only as good as your model of fundamentals. The distinctive feature in episodes labelled as bubbles is speculative behaviour: investors buying an asset mainly or solely because they expect its price will rise so they can resell at a profit. (In technical terms, the current price of the asset depends on expectations of future price growth). In the extreme, the market is in "Greater Fool" territory, where investors admit that they do not think the revenue warrants the price, but believe they will find a Greater Fool to buy it later.

Property assets are one of the main areas where "bubbly" boom–bust cycles can occur, because investors can use more leverage than for other assets. The asset also does not become obsolete quickly and much of the value is in the non-depreciating land or location component.

Data centres are a kind of property, and leverage is clearly being used to finance their construction. Even so, the speculative behaviour that typically characterises property bubbles is missing: nobody is making these investments in expectation of reselling data centres to make a quick buck. It is all about the expected value of the computing services these data centres will provide. Currently the "cost of compute" seems to be on the rise as the firms building the models try to shift their customer bases away from free and flat-rate subscriptions onto higher-cost pay-by-use plans. Yet everyone knows that AI can only achieve the desired returns by expanding usage, which means it needs to be cheaper than the human labour it seeks to replace. Even if investment decisions are based on expected returns on services provided by that capital, the realism of those return expectations can and should be scrutinised.

It is natural to want to look for parallels in history.

The seemingly obvious one is the 'dot com' boom of the late 1990s/early 2000s. But while there are some similarities to that episode, there are also important differences. Back then, the tech firms building the new technology were not so financially intertwined with the telco firms buying the spectrum, laying the fibre – and borrowing the money.

There are also similarities to the railway boom of the 19th century, except that location is not as inherent to a data centre. You can train an LLM anywhere you can access the electricity, water and construction inputs. A railway, by contrast, goes from somewhere to somewhere else, and the returns to duplicating the route decline rapidly.

> **"Data centres do not have the same network effects or location-based natural monopoly characteristics."**

Better analogies to the current AI/data centre boom can be found in other price cycles. Many boom–bust cycles start from something real and substantial. A new technology might instigate an equities boom. Opening up a new region might instigate a land boom there. The value underlying the boom remains even after the period of over-exuberance ends. We did not regret creating the Internet, or building that fibre network, or opening up regions through better transport.

What we did sometimes do, though, is pay too much for what we got. If everyone is rushing to build the infrastructure, hoping not to be the Slower Builder who ends up losing money, pressure on construction resources rises, and so do construction prices. We have seen similar cost surges during the mining boom and more recently in the cycle of infrastructure projects in the eastern seaboard states. (This is likely one reason why suppliers of construction materials were so quick to pass increased fuel and transport costs into their prices.)

Along the way, the cost of the services also rise, precisely because of the lags involved in expanding the infrastructure. There is an analogy here in things like shipping costs, which show boom–bust price cycles even though there has obviously never been a bubble in shipping services. In shipping, office property and now data centres, demand might increase but supply is fixed in the short term because it takes time to build that infrastructure. The price of the service therefore rises in the upswing phase.

This upswing phase can also spill over into related sectors, as seen this time in the broader tech sector. Export prices for Korean semiconductors have exploded in the past 6–9 months, up more than 150% over the year. Pass-through to US import prices is more muted, given lags and the usual pricing to market, but tech inflation has increased. As well as the much-publicised price increases for iPads and Macs, the CPI components covering computers and other tech goods have picked up recently in Australia and other advanced economies, to inflation rates close to the peak of the pandemic. This is a departure from their usual deflationary pulse and shows that the current inflationary environment is about more than the US–Iran conflict.

The high costs of the upswing phase nonetheless contain the seeds of their reversal. They discourage use of the underlying service, so adoption is slower than its boosters assume. They also encourage further innovations to economise on the expensive input; routing algorithms to choose the most cost-effective AI model are one example. Over time, as data centres are completed, the supply of computing power expands and its price falls. Investments that only made sense when the service's price was high will become distressed.

"What worries me about the current boom is how far financial considerations seem to sit in the background"

Capitalism has its drawbacks, but at least raw commercial incentives limit people's appetite to overpay for things. When all the focus is instead on geopolitical rivalries or being the first to build god-like intelligence, commercial discipline is lost. A potentially beneficial innovation wave instead risks becoming an Icarus-like mad flap that takes us too close to the sun. That is the perfect environment for a price cycle, including in the tech sector more broadly.

The end result need not be a meltdown. That depends on the debt: how much there is relative to revenues after the price downswing, who borrowed it and who lent it. The role of deep-pocketed tech firms eases some concerns. Some borrowers are substantial firms with other revenues. In addition, other tech firms who have not leveraged themselves to the data centre build-out have big enough cash piles to pick up the pieces (at discounted prices) should some projects come unstuck. Regulators will be most concerned about whether the lenders who lent to the hyperscalers and AI firms in turn funded themselves from parts of the financial system that amplify shocks through their leverage and connection to the regulated banking system.

The answer is not to regulate AI out of existence or stymie its further development – a point the federal government has clearly heeded in the PM's latest announcements. The advice I'd give now is the same as I gave a decade ago, in a different context: in the face of structural change giving rise to a boom, go in with your eyes open. Don't get ahead of yourself. And have something to catch you when you fall.

Humans have managed to transcend Greek mythology and master the art of flying without melting. Yet the message of Icarus's story endures: there are dangers when hubris goes unchecked. To avoid getting ahead of yourself, it helps to let commercial considerations shape decisions, especially around borrowing. Far better that than basing decisions on imagined scenarios that do not survive contact with real-world economics.

Cliff Notes: frayed nerves

Elliot Clarke, Head of International Economics
Ryan Wells, Economist
Illiana Jain, Economist

The Westpac–MI Consumer Sentiment Index rose 4.1% in July; but at 83.9, the index is still in the bottom decile of historical outcomes, pointing to deep pessimism. Lower fuel prices have provided some breathing room, contributing to a less-negative assessment of 'family finances vs a year ago' (+5.6%) and 'family finances next 12mths' (+13.4%). Consumers remain sensitive to developments in the Middle East, however, last week's re-escalation of the conflict resulting in a progressive deterioration in daily responses while the survey was in the field.

Views on the economic outlook are weak and little changed, the one- and five-years ahead sub-indexes lifting just 0.6% and 0.7% in the month; more encouragingly, concerns over the jobs outlook have eased. Most consumers still expect mortgage rates to rise over the next year, though the share has declined from 66% to 60%, with a rising proportion reporting uncertainty about where rates are headed. Ultimately, the survey reported a reprieve from worst-case fears but is also evidence of the scale of challenges ahead.

The latest NAB business survey echoed similar themes. Business confidence continued to retrace the sharp falls seen at the onset of the Middle East conflict, rising +9pts to a less-pessimistic reading of –5. Lower fuel prices contributed to slower growth in purchase costs and final prices, but the cumulative impact of these pressures have weighted on capital expenditure plans and labour demand. Business conditions remain subdued, holding at +3 for a third consecutive month having weakened earlier in 2026.

"This is consistent with sluggish activity growth as households and businesses approach the outlook with caution."

Offshore, US inflation data was supportive of interest rates remaining on hold in coming months. Headline prices fell 0.4% in June as energy prices responded to the Middle East ceasefire agreed mid-month, pulling annual inflation down from 4.2%yr to 3.5%yr. Of greater significance for monetary policy, however, was the flat monthly read for core inflation, 2.6%yr.

Members of the FOMC want to see further evidence of disinflation towards the 2.0%yr target. In our view, the multi-month trends are consistent with such an out-turn, with core goods prices broadly unchanged year-to-date and core services inflation averaging just below 0.3% per month. The June PPI report corroborates this view, headline producer prices falling 0.3%, while May was revised down sharply from 1.1% to 0.6%. Ex food and energy, prices rose a modest 0.2%mth, and the prior month's gain was revised lower from 0.4% to 0.1%. The latest readings on consumer demand are also consistent with inflation returning to target, nominal control group retail sales up a modest 0.5% in June after a 0.8% gain in May, and the latest Beige Book also pointing to consumer demand being constrained by cost-of-living pressures. The duration and severity of the renewed conflict in the Middle East will be critical to the US growth outlook given University of Michigan consumer sentiment remains stuck near multi-decade lows.

Over in Asia, China's Q2 GDP and June activity data provided a mixed read on their economy. Q2 GDP met expectations at 0.9%qtr, although the annual rate disappointed at 4.3%yr. Year-to-date, growth remains broadly consistent with our expectation of 4.7%, but such an outcome would be at the lower end of authorities' 4.5–5.0% full-year target. The industrial sector continues to drive aggregate momentum, production growth rebounding to 5.3%yr in June from around 4.0%yr through April and May. But the domestic growth story remains fragile, primarily owing to declining investment, -5.7%ytd in June. Retail sales growth recovered from -0.6%yr in May to 1.0%yr in June, though that still leaves it at the lower end of the historical rage. Together, the state of domestic investment and household consumption call for urgent pro-active stimulus to support cyclical momentum as well as structural change to help the gains of trade flow to the wider economy.

The Bank of Korea raised rates by 25bp this week and signalled further tightening is likely. Inflation remains elevated, due to a combination of higher energy, exchange rate and food costs alongside resilient domestic demand. But the BoK's greater challenge is managing an increasingly two-speed economy, with tech-related sectors benefiting directly from the AI and data centre investment boom while others wait for those gains to spill over. For now, policymakers appear comfortable leaning against inflation and expecting the benefits of AI production and investment to broaden; although, in the interim, this leaves Korea exposed should enthusiasm around AI turn. Investment and the implications for growth and policy is a focus of this month's edition of The Wrap on Asia; and, with a particular focus on AI investment, Chief Economist Luci Ellis' weekly essay.

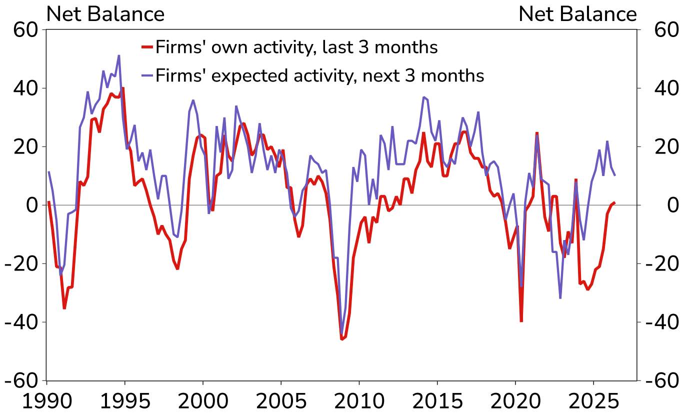
Soggy activity data ahead of key CPI report

Darren Gibbs
Senior Economist

Following last week's RBNZ meeting, which resulted in the first OCR hike in three years, the market has turned its attention to the prospect of a follow-up rate hike at the next meeting on 2 September. The past week has provided numerous economic reports and a key RBNZ speech for the market to digest, covering topics such as business sentiment, consumer spending, housing, the labour market, tourism and inflation.

Early in the week, the QSBO – New Zealand's premier business survey – pointed to a modest lift in business sentiment in the June quarter. The survey period ran from 10 June to 7 July. The average response over that period meant that the headline confidence index rose 11pts to +12. Early responses were a net 5% negative, while the second major batch of responses – mostly arriving after the signing of the Memorandum of Understanding by the US and Iran – were a net 20% positive. Given the renewed hostilities in the Middle East this month, the earlier responses may be more representative of where sentiment would stand if the survey was re-run today. Firms' expectations of their own activity, which tend to have a closer correspondence with GDP growth, were little changed for the quarter. Other activity indicators were mixed. Investment and hiring intentions were less negative than in the March quarter, but profitability was expected to worsen further. Meanwhile, the rise in fuel prices since March was clearly reflected in the pricing measures. A net 41% of firms reported raising their prices in the June quarter, up from 22% last quarter and the highest reading since September 2023. In the next three months, a net 54% of firms indicated an intention to raise their prices – the highest since March 2023.

QSBO business survey

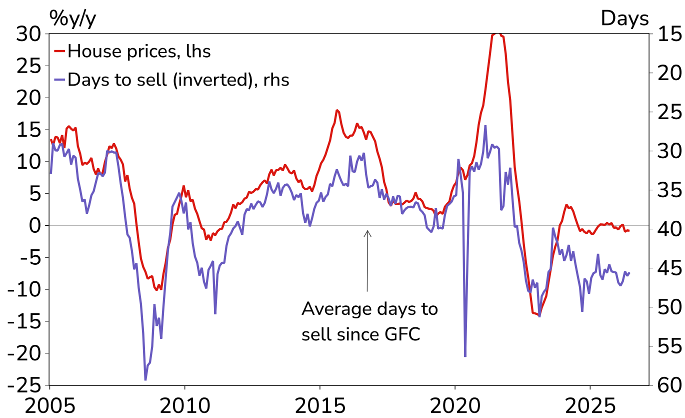


Source: NZIER, Macrobond, Westpac Economics

News from the retail sector was more downbeat than expected in June, with the value of retail spending processed through the electronic payments system declining 1.4%, reversing the step higher seen in May. Of note was a 4% decline in spending on household durables, while spending on apparel and hospitality both fell 2%. The only category that saw a rise in June was spending on groceries. Given the June result, total spending over the June quarter increased just 0.4%, driven entirely by a 7.3% lift in spending on fuel. Core retail spending fell 0.1%, marking the first decline since the March quarter last year.

Our own recent survey of households confirmed that consumers remain cautious. In response to developments in the Middle East, 36% of respondents reported having wound back their discretionary spending and around 15% have delayed or cancelled travel plans. Even when it comes to spending on essentials like groceries, around 30% said they've changed how they shop e.g., by purchasing fewer or cheaper items. Looking ahead, the pressure on fuel costs looks likely to persist, especially given the rebound in oil prices this week due to renewed tensions in the Middle East. Combined with other cost of living pressures, a soft labour market and continued economic uncertainty, we expect growth in consumer spending will remain comparatively subdued.

House prices and days to sell



Source: REINZ, Macrobond, Westpac Economics

The housing market data also struck a soggy note in June, with house sales edging lower and so added to a cumulative 9% decline since the start of the year. The median time to sell was little changed and so remained well above the historic average. Reflecting buyers' lack of urgency, the REINZ house price index fell by 0.3% for the month and was down 0.8% on a year ago. National average prices have moved sideways for the last three years, though with some marked distinctions across regions. Wellington and Auckland have seen the largest price declines over the last year, while regions with stronger links to agriculture and tourism, such as Canterbury and Otago, have seen prices continue to set new highs.

Fixed-term mortgage rates have risen since the start of this year, in anticipation of the next RBNZ tightening cycle (which is now in motion). Looking ahead, we expect that higher interest rates will continue to weigh on the housing market, leaning against any improvement in incomes as the economy gets back on its feet. Meanwhile, demand for housing remains constrained by relatively weak population growth. New Zealand saw a net inflow of just 1,860 migrants in May, with a downward revision to earlier months reducing the annual inflow to less than 19,000. Given historically weak natural growth in the population due to a declining fertility rate, annual population growth is running at less than 1%.

In some better news, MBIE's measure of job advertising picked up in June, perhaps helped by – at the time – a recovery in business confidence amidst easing tensions in the Middle East. The level of advertising remains low by historical standards but is now 13% higher than a year earlier. Not surprisingly, the strongest lift in job vacancies was seen in the primary sector, reflecting buoyant prices for almost all of New Zealand's key exported commodities. This is also reflected in the regional breakdown, with the major urban area of Auckland yet to see any lift in vacancies from the cycle low point.

Moving on, tourist data for May suggests some impact from the Middle East conflict with non-resident arrivals declining 2.4% to be 3.6% below their recent February peak. Even so, arrivals were around 7% higher than a year earlier reflecting the strong growth seen since around the middle of last year. Much of that growth owes to arrivals from Australia – New Zealand's largest market – and Asia, including a significant uplift in arrivals from China (the latter up more than 30% from a year earlier). By contrast, arrivals from major North American and European markets were lower than a year earlier. Looking ahead, we continue to expect a soft patch in tourism arrivals over the second half of this year due to the impact of high airfares and Middle East uncertainty on long haul forward bookings.

On balance, today's Selected Prices data for the June month – covering around 47% of the CPI – provided a modest upside surprise. Fuel prices – especially diesel – were lower, as expected. Food prices posted their expected seasonal increase while rental inflation remained very subdued. Electricity prices rose by less than expected, but the very volatile international accommodation component rose a much stronger-than-expected 9% during the month. Given this information, we have nudged up our earlier forecast and now think that [next week's June quarter CPI report] will reveal a 1.5% lift in the headline index, raising annual inflation to 4.1% from 3.1% at present. We view the risks around this forecast as balanced. Our estimate of annual inflation is 0.2ppt above the updated estimated provided by the RBNZ at the July Monetary Policy Review.

Finally, this week the RBNZ's Chief Economist, Paul Conway, gave a speech on pricing behaviour. He emphasised that the key monetary policy challenge facing policymakers is to prevent the oil shock from becoming embedded in expectations and business pricing behaviour. In that regard, he noted several findings from recent research – some of which is ongoing at the Bank – which in his view raise the risk of inflation persistence:

- Businesses and households pay much more attention to inflation when it is above the 1-3% target range, making expectations more sensitive to current inflation outcomes.
- Household inflation expectations have risen and become more dispersed since the Middle East conflict, indicating greater uncertainty about future inflation.
- Firms now change prices more frequently than in the past due to lower repricing costs and digital technology.
- Businesses are more willing to pass through cost increases than they are to reverse price rises when costs fall, creating a greater risk that temporary shocks become lasting inflation.
- These effects appear particularly strong in the services sector, where inflation tends to be more persistent.

Conway noted that the RBNZ may need to respond more forcefully to re-anchor expectations if businesses and households begin to expect inflation to remain elevated. Balanced against this, he argued – correctly in our view – that the current situation differs markedly from the inflationary episodes of the 1970s and from the post-pandemic inflation surge. In particular, the New Zealand economy currently has spare capacity, which should make it harder for firms to raise prices aggressively and should help inflation return to target over time. Medium-term inflation expectations also remain relatively well anchored.

Nonetheless, the market interpreted the speech as "hawkish", especially when set against the dovish comments that Conway had previously made in recent months. Combined with developments in the Middle East and elsewhere, the speech has consolidated the market's confidence that the RBNZ will deliver a further lift in the OCR at the 2 September meeting, with a 25bp hike now around 90% priced.

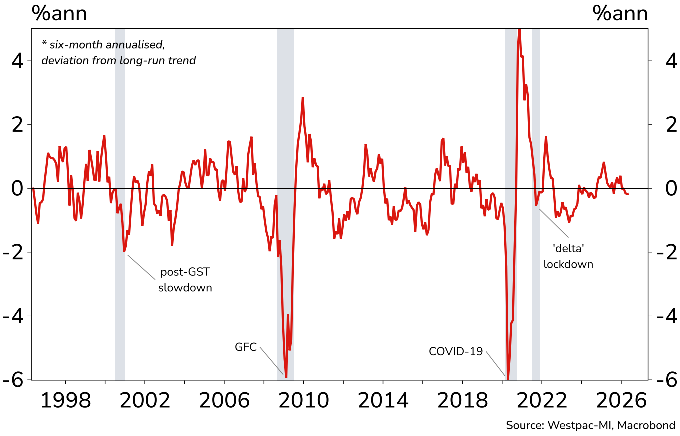
AUS: Jun Westpac-MI Leading Index (%ann'd)

Jul 22, Last: –0.17

The Leading Index growth rate ticked up slightly to –0.17% in May, the read still consistent with sluggish, below-trend growth momentum through the second half of 2026 and into early 2027.

The June read will include a mixed bunch of component updates. On the plus side, the ASX200 lifted 0.5% and consumer sentiment-based measures posted some recovery. However, there were a significant weakening across several other components including: commodity prices (–0.7% in AUD terms); dwelling approvals (–1.1%); total hours worked (–1.1%); and a further narrowing in the yield spread. That looks likely to see some further softening in growth momentum overall.

Westpac-MI Leading Index



AUS: Jun Labour Force – Employment Change (000s)

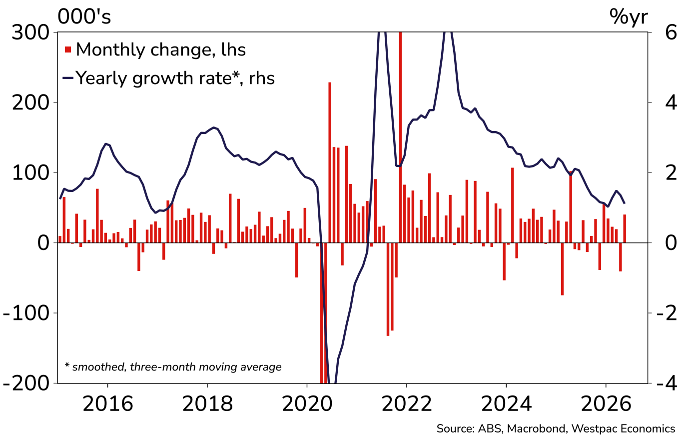
Jul 23, Last: 40.3, Westpac f/c: 15
Market f/c: 15, Range: flat to 50

After expanding around +26k/mth in Q1, employment growth effectively stalled over April and May. On a three-month average basis, employment is growing well below the pace of the working-age population, leaving the employment-to-population ratio 0.7ppts below its recent historical high.

The brief recovery around the start of the year has well and truly faded. Higher inflation and recent interest rate rises will still take time to fully work its way through to the labour market, but for now, it is looking weaker than earlier in the year.

Forward-looking business survey measures point to sluggish employment growth ahead. We have pencilled in a +15k lift in June, and see risks tilted to the downside. See our full preview.

Uptrend in employment growth halted



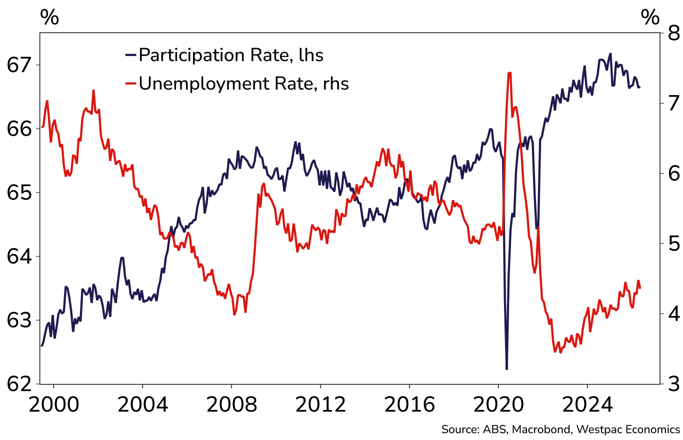
AUS: Jun Labour Force – Unemployment Rate (%)

Jul 23, Last: 4.4, Westpac f/c: 4.4
Market f/c: 4.4, Range: 4.3 to 4.5

The unemployment rate also eased as expected, edging down from a cycle high 4.5% to 4.4% in May as various sources of noise faded. Given the participation rate has held up a bit better than employment, the trend for the unemployment rate has been a continued grind higher.

For June, we think both the participation and unemployment rates will hold steady. But as discussed in our preview, re-published official data and new unofficial measures are pointing to a material increase in underemployment in recent months. Both demand-side (weaker employment) and supply-side (cost-of-living pressures) are likely at play, and it may be pointing to higher measured unemployment down the track.

Participation and unemployment rates

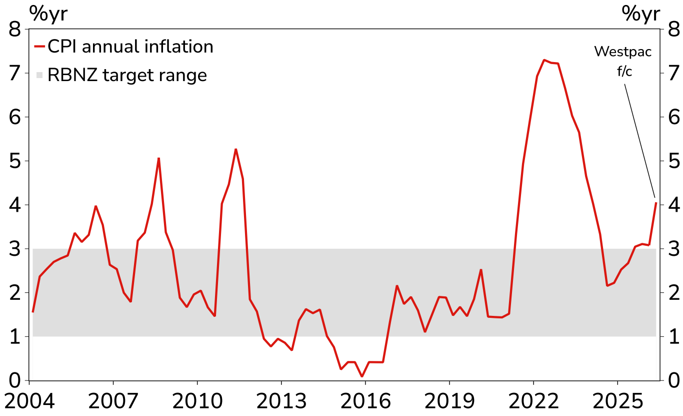


NZ: Q2 Consumer Price Index (%)

Jul 21, Quarterly, Last: 0.9, Westpac f/c: 1.5
Annual, Last: 3.1%, Westpac f/c: 4.1, RBNZ f/c: 3.9

With the war in the Middle East pushing oil prices sharply higher, consumer price inflation is set to rise to a two-year high. We estimate that New Zealand consumer prices rose by 1.5% in the June quarter. The annual inflation rate is expected to rise to 4.1% (up from 3.1% previously). That's slightly higher than the 3.9% the RBNZ assumed in their recent July update, however much of the surprise is likely related to volatile items like holiday accommodation. More importantly, core inflation has been softening but remains above the RBNZ's 2% target midpoint. That's despite the downturn in economic growth and softness in the labour market.

Inflation to spike on higher fuel prices



Source: Stats NZ, Macrobond, Westpac Economics

Past performance is not a reliable indicator of future performance. The forecasts given above are predictive in character. Whilst every effort has been taken to ensure that the assumptions on which the forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The results ultimately achieved may differ substantially from these forecasts.

What to watch

	For	Data/Event	Unit	Last	Market f/c	Westpac f/c	Risk/Comment
Mon 20							
NZ	Jun	Trade Balance	$mn	800	–	–	A seasonal fall in exports & high fuel costs eliminate surplus.
US	Jun	Leading Index	pts	0.1	–0.1	–	Consumer the soft spot for activity gauge.
Tue 21							
NZ	Q2	CPI	%qtr	0.9	1.5	1.5	Boost from fuel and energy prices.
	Q2	CPI	%ann	3.1	4.0	4.1	Headline elevated, core inflation firm despite soft activity.
Eur	Jul	ZEW Survey Of Expectations	index	9.5	–	–	Confidence recovery to be tested by growth concerns.
	Q2	ECB Bank Lending Survey	–	–	–	–	Standards tightening amid lower tolerance for perceived risk.
UK	Jun	Public Sector Borrowing	£bn	23.3	–	–	Fiscal balances remain under scrutiny.
	May	ILO Unemployment Rate	%	4.9	–	–	Labour market tightening looks to have stabilised.
Wed 22							
Aus	Jun	Westpac–MI Leading Index	%ann'd	–0.17	–	–	Consistent with sluggish, below-trend momentum.
UK	Jun	CPI	%ann	2.8	–	–	Domestically-driven inflation pressures appears sticky.
Thu 23							
Aus	Jun	Employment Change	000s	40.3	15	15	Forward-looking indicators point to sluggish employment ...
	Jun	Unemployment Rate	%	4.4	4.4	4.4	... rising underemployment suggests slack is emerging.
Kor	Q2	GDP	%qtr	1.8	0.4	–	Growth outlook challenged by external demand risks.
Eur	Jul	ECB Policy Decision (Deposit Rate)	%	2.25	2.25	2.25	Markets focused on guidance beyond this meeting.
	Jul	Consumer Confidence	index	–17.7	–17.4	–	Yet to recover from Middle East driven decline.
US		Initial Jobless Claims	000s	208	214	–	Layoffs remain low.
	Jun	Chicago Fed Activity	index	–0.1	–	–	Broad activity measure may point to softer momentum.
	Jul	Kansas City Fed Manufacturing	index	11	–	–	Activity on uptrend despite persisting price pressures.
Fri 24							
Jpn	Jun	CPI	%ann	1.5	1.7	–	Weak yen a risk for higher import inflation.
	Jul	S&P Global Manufacturing PMI	index	54.8	–	–	New orders has the sharpest rise since January 2022 ...
	Jul	S&P Global Services PMI	index	52.2	–	–	... with input cost inflation seeing a marked rise.
Eur	Jul	S&P Global Manufacturing PMI	index	51.4	51.7	–	Manufacturing is losing some of its steam across Europe...
	Jul	S&P Global Services PMI	index	49.4	49.8	–	... but services activity has risen to a three-month high.
UK	Jul	GfK Consumer Sentiment	index	–23	–	–	Confidence recovery remains fragile ...
	Jun	Retail Sales	%mth	1.2	–	–	... posing another headwind for household spending.
	Jul	S&P Global Manufacturing PMI	index	52.5	–	–	Strategic stockpiling driving a rise in manufacturing output ...
	Jul	S&P Global Services PMI	index	48.8	–	–	... meanwhile services sees sharpest decline in 3.5 years.
US	Jul	S&P Global Manufacturing PMI	index	53.9	54.4	–	Signs of pressures emerging in manufacturing employment ...
	Jul	S&P Global Services PMI	index	51.2	–	–	... as services continues a steady recovery.
	Jun	New Home Sales	%mth	–7.3	4.6	–	Higher borrowing costs still weigh on housing.

Economic & financial forecasts

Interest rate forecasts

Australia	Latest (17 Jul)	Sep–26	Dec–26	Mar–27	Jun–27	Sep–27	Dec–27	Mar–28	Jun–28	Sep–28	Dec–28
Cash	4.35	4.85	4.85	4.85	4.85	4.60	4.35	4.10	3.85	3.85	3.85
90 Day BBSW	4.47	4.90	4.90	4.95	4.80	4.55	4.30	4.05	3.95	3.95	3.95
3 Year Swap	4.48	4.60	4.60	4.50	4.40	4.30	4.20	4.10	4.00	3.95	3.90
3 Year Bond	4.50	4.60	4.60	4.50	4.40	4.30	4.20	4.10	4.00	3.95	3.90
10 Year Bond	4.90	4.90	4.90	4.90	4.85	4.85	4.85	4.85	4.85	4.85	4.85
10 Year Spread to US (bps)	36	40	40	35	30	25	20	15	10	5	0
United States											
Fed Funds	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625
US 10 Year Bond	4.55	4.50	4.50	4.55	4.55	4.60	4.65	4.70	4.75	4.80	4.85
New Zealand											
Cash	2.50	2.75	3.00	3.50	3.75	4.00	4.00	4.00	4.00	3.75	3.75
90 Day Bill	2.88	3.00	3.40	3.75	4.00	4.20	4.20	4.20	4.15	3.95	3.95
2 Year Swap	3.62	3.70	3.95	4.10	4.25	4.20	4.20	4.15	4.15	4.10	4.10
10 Year Bond	4.66	4.55	4.65	4.80	5.00	5.05	5.05	5.05	5.05	5.05	5.05
10 Year Spread to US (bps)	11	5	15	25	45	45	40	35	30	25	20

Exchange rate forecasts

	Latest (17 Jul)	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28	Sep-28	Dec-28
AUD/USD	0.6979	0.71	0.72	0.72	0.73	0.73	0.73	0.73	0.72	0.72	0.72
NZD/USD	0.5834	0.59	0.60	0.62	0.64	0.65	0.66	0.66	0.66	0.66	0.66
USD/JPY	162.42	162	160	159	158	156	154	152	150	148	146
EUR/USD	1.1435	1.16	1.17	1.18	1.19	1.20	1.21	1.22	1.22	1.21	1.21
GBP/USD	1.3457	1.35	1.35	1.36	1.37	1.38	1.39	1.40	1.41	1.41	1.40
USD/CNY	6.7754	6.75	6.70	6.60	6.50	6.45	6.40	6.35	6.35	6.30	6.30
AUD/NZD	1.1961	1.20	1.19	1.16	1.14	1.12	1.11	1.10	1.10	1.10	1.10

Australian economic forecasts

	2026				2027				Calendar years			
% change	**Q1**	**Q2(f)**	**Q3(f)**	**Q4(f)**	**Q1(f)**	**Q2(f)**	**Q3(f)**	**Q4(f)**	**2025**	**2026(f)**	**2027(f)**	**2028(f)**
GDP %qtr	0.3	0.0	0.1	0.3	0.4	0.4	0.4	0.4	–	–	–	–
%yr end	2.5	1.6	1.3	0.7	0.9	1.2	1.4	1.5	2.5	0.7	1.5	2.6
Unemployment rate %	4.2	4.4	4.6	4.9	5.0	4.9	4.9	4.9	4.3	4.9	4.9	4.5
Wages (WPI) (sa) %qtr	0.8	0.8	1.0	0.8	0.8	0.8	0.8	0.8	–	–	–	–
%yr end	3.3	3.2	3.4	3.4	3.4	3.4	3.2	3.2	3.4	3.4	3.2	3.4
Headline CPI %qtr	1.4	0.7	1.3	1.0	0.7	0.6	0.9	0.5	–	–	–	–
%yr end	4.1	4.0	4.0	4.4	3.8	3.7	3.3	2.8	3.6	4.4	2.8	2.6
Trimmed Mean CPI %qtr	0.8	0.9	1.0	0.8	0.8	0.7	0.7	0.7	–	–	–	–
%yr end	3.5	3.7	3.7	3.6	3.5	3.3	3.0	2.8	3.4	3.6	2.8	2.4

New Zealand economic forecasts

	2026				2027				Calendar years			
% Change	**Q1**	**Q2(f)**	**Q3(f)**	**Q4(f)**	**Q1(f)**	**Q2(f)**	**Q3(f)**	**Q4(f)**	**2025**	**2026(f)**	**2027(f)**	**2028(f)**
GDP %qtr	0.8	–0.1	0.6	0.7	1.0	0.5	0.6	0.7	–	–	–	–
Annual avg change	0.8	1.6	1.8	1.9	2.0	2.1	2.4	2.6	0.3	1.9	2.6	3.2
Unemployment rate %	5.3	5.4	5.4	5.3	5.2	5.1	5.0	4.9	5.4	5.3	4.9	4.4
CPI %qtr	0.9	1.5	0.7	0.4	0.5	0.2	0.7	0.4	–	–	–	–
Annual change	3.1	4.1	3.7	3.5	3.1	1.8	1.9	1.9	3.1	3.5	1.9	2.0

Corporate Directory

Westpac Economics / Australia

Sydney
Level 19, 275 Kent Street
Sydney NSW 2000
Australia

E: economics@westpac.com.au

Luci Ellis
Chief Economist Westpac Group
E: luci.ellis@westpac.com.au

Matthew Hassan
Head of Australian Macro–Forecasting
E: mhassan@westpac.com.au

Elliot Clarke
Head of International Economics
E: eclarke@westpac.com.au

Sian Fenner
Head of Business and Industry Economics
E: sian.fenner@westpac.com.au

Justin Smirk
Senior Economist
E: jsmirk@westpac.com.au

Pat Bustamante
Senior Economist
E: pat.bustamante@westpac.com.au

Mantas Vanagas
Senior Economist
E: mantas.vanagas@westpac.com.au

Ryan Wells
Economist
E: ryan.wells@westpac.com.au

Illiana Jain
Economist
E: illiana.jain@westpac.com.au

Neha Sharma
Economist
E: neha.sharma1@westpac.com.au

Luka Belobrajdic
Economist
E: luka.belobrajdic@westpac.com.au

Westpac Economics / New Zealand

Auckland
Takutai on the Square
Level 8, 16 Takutai Square
Auckland, New Zealand

E: economics@westpac.co.nz

Kelly Eckhold
Chief Economist NZ
E: kelly.eckhold@westpac.co.nz

Michael Gordon
Senior Economist
E: michael.gordon@westpac.co.nz

Darren Gibbs
Senior Economist
E: darren.gibbs@westpac.co.nz

Satish Ranchhod
Senior Economist
E: satish.ranchhod@westpac.co.nz

Paul Clark
Industry Economist
E: paul.clarke@westpac.co.nz

Westpac Economics / Fiji

Suva
1 Thomson Street
Suva, Fiji

Shamal Chand
Senior Economist
E: shamal.chand@westpac.com.au

IQ

westpaciq.com.au

Things you should know

We respect your privacy: You can view the New Zealand Privacy Policy here, or the Australian Group Privacy Statement here. Each time someone visits our site, data is captured so that we can accurately evaluate the quality of our content and make improvements for you. We may at times use technology to capture data about you to help us to better understand you and your needs, including potentially for the purposes of assessing your individual reading habits and interests to allow us to provide suggestions regarding other reading material which may be suitable for you.

Disclaimer

This information has been prepared by Westpac and is intended for information purposes only. It is not intended to reflect any recommendation or financial advice and investment decisions should not be based on it. This information does not constitute an offer, a solicitation of an offer, or an inducement to subscribe for, purchase or sell any financial instrument or to enter into a legally binding contract. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice. Certain types of transactions, including those involving futures, options and high yield securities give rise to substantial risk and are not suitable for all investors. We recommend that you seek your own independent legal or financial advice before proceeding with any investment decision.

This information may contain material provided by third parties. While such material is published with the necessary permission none of Westpac or its related entities accepts any responsibility for the accuracy or completeness of any such material. Although we have made every effort to ensure this information is free from error, none of Westpac or its related entities warrants the accuracy, adequacy or completeness of this information, or otherwise endorses it in any way. Except where contrary to law, Westpac Group intend by this notice to exclude liability for this information. This information is subject to change without notice and none of Westpac or its related entities is under any obligation to update this information or correct any inaccuracy which may become apparent at a later date. This information may contain or incorporate by reference forward looking statements. The words "believe", "anticipate", "expect", "intend", "plan", "predict", "continue", "assume", "positioned", "may", "will", "should", "shall", "risk" and other similar expressions that are predictions of or indicate future events and future trends identify forward-looking statements. These forward-looking statements include all matters that are not historical facts. Past performance is not a reliable indicator of future performance, nor are forecasts of future performance. Whilst every effort has been taken to ensure that the assumptions on which any forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The ultimate outcomes may differ substantially from any forecasts.

Conflicts of Interest: In the normal course of offering banking products and services to its clients, the Westpac Group may act in several capacities (including issuer, market maker, underwriter, distributor, swap counterparty and calculation agent) simultaneously with respect to a financial instrument, giving rise to potential conflicts of interest which may impact the performance of a financial instrument. The Westpac Group may at any time transact or hold a position (including hedging and trading positions) for its own account or the account of a client in any financial instrument which may impact the performance of that financial instrument.

Author(s) disclaimer and declaration: The author(s) confirms that (a) no part of his/her compensation was, is, or will be, directly or indirectly, related to any views or (if applicable) recommendations expressed in this material; (b) this material accurately reflects his/her personal views about the financial products, companies or issuers (if applicable) and is based on sources reasonably believed to be reliable and accurate; (c) to the best of the author's knowledge, they are not in receipt of inside information and this material does not contain inside information; and (d) no other part of the Westpac Group has made any attempt to influence this material.

Further important information regarding sustainability related content: This material may contain statements relating to environmental, social and governance (ESG) topics. These are subject to known and unknown risks, and there are significant uncertainties, limitations, risks and assumptions in the metrics, modelling, data, scenarios, reporting and analysis on which the statements rely. In particular, these areas are rapidly evolving and maturing, and there are variations in approaches and common standards and practice, as well as uncertainty around future related policy and legislation. Some material may include information derived from publicly available sources that have not been independently verified. No representation or warranty is made as to the accuracy, completeness or reliability of the information. There is a risk that the analysis, estimates, judgements, assumptions, views, models, scenarios or projections used may turn out to be incorrect. These risks may cause actual outcomes to differ materially from those expressed or implied. The ESG-related statements in this material do not constitute advice, nor are they guarantees or predictions of future performance, and Westpac gives no representation, warranty or assurance (including as to the quality, accuracy or completeness of the statements). You should seek your own independent advice.

Additional country disclosures:

Australia: Westpac holds an Australian Financial Services Licence (No. 233714). You can access Westpac's Financial Services Guide here or request a copy from your Westpac point of contact. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice.

New Zealand: In New Zealand, Westpac Institutional Bank refers to the brand under which products and services are provided by either Westpac (NZ division) or Westpac New Zealand Limited (company number 1763882), the New Zealand incorporated subsidiary of Westpac ("WNZL"). Any product or service made available by WNZL does not represent an offer from Westpac or any of its subsidiaries (other than WNZL). Neither Westpac nor its other subsidiaries guarantee or otherwise support the performance of WNZL in respect of any such product. WNZL is not an authorised deposit-taking institution for the purposes of Australian prudential standards. The current disclosure statements for the New Zealand branch of Westpac and WNZL can be obtained at www.westpac.co.nz.

Singapore: This material has been prepared and issued for distribution in Singapore to institutional investors, accredited investors and expert investors (as defined in the applicable Singapore laws and regulations) only. Recipients of this material in Singapore should contact Westpac Singapore Branch in respect of any matters arising from, or in connection with, this material. Westpac Singapore Branch holds a wholesale banking licence and is subject to supervision by the Monetary Authority of Singapore.

Disclaimer continues overleaf ▶

Fiji: Unless otherwise specified, the products and services for Westpac Fiji are available from www.westpac.com.fj © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia and registered as a branch in Fiji. The liability of its members is limited.

Papua New Guinea: Unless otherwise specified, the products and services for Westpac PNG are available from www.westpac.com.pg © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia. Westpac is represented in Papua New Guinea by Westpac Bank - PNG - Limited. The liability of its members is limited.

U.S: Westpac operates in the United States of America as a federally licensed branch, regulated by the Office of the Comptroller of the Currency. Westpac is also registered with the US Commodity Futures Trading Commission ("CFTC") as a Swap Dealer, but is neither registered as, or affiliated with, a Futures Commission Merchant registered with the US CFTC. The services and products referenced above are not insured by the Federal Deposit Insurance Corporation ("FDIC"). Westpac Capital Markets, LLC ('WCM'), a wholly-owned subsidiary of Westpac, is a broker-dealer registered under the U.S. Securities Exchange Act of 1934 ('the Exchange Act') and member of the Financial Industry Regulatory Authority ('FINRA'). In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WCM other than as provided for in certain legal agreements between Westpac and WCM and obligations of WCM do not represent liabilities of Westpac.

This communication is provided for distribution to U.S. institutional investors in reliance on the exemption from registration provided by Rule 15a-6 under the Exchange Act and is not subject to all of the independence and disclosure standards applicable to debt research reports prepared for retail investors in the United States. WCM is the U.S. distributor of this communication and accepts responsibility for the contents of this communication. Transactions by U.S. customers of any securities referenced herein should be effected through WCM. All disclaimers set out with respect to Westpac apply equally to WCM. If you would like to speak to someone regarding any security mentioned herein, please contact WCM on +1 212 389 1269. Investing in any non-U.S. securities or related financial instruments mentioned in this communication may present certain risks. The securities of non-U.S. issuers may not be registered with, or be subject to the regulations of, the SEC in the United States. Information on such non-U.S. securities or related financial instruments may be limited. Non-U.S. companies may not be subject to audit and reporting standards and regulatory requirements comparable to those in effect in the United States. The value of any investment or income from any securities or related derivative instruments denominated in a currency other than U.S. dollars is subject to exchange rate fluctuations that may have a positive or adverse effect on the value of or income from such securities or related derivative instruments.

The author of this communication is employed by Westpac and is not registered or qualified as a research analyst, representative, or associated person of WCM or any other U.S. broker-dealer under the rules of FINRA, any other U.S. self-regulatory organisation, or the laws, rules or regulations of any State. Unless otherwise specifically stated, the views expressed herein are solely those of the author and may differ from the information, views or analysis expressed by Westpac and/or its affiliates.

UK: The London branch of Westpac is authorised in the United Kingdom by the Prudential Regulation Authority (PRA) and is subject to regulation by the Financial Conduct Authority (FCA) and limited regulation by the PRA (Financial Services Register number: 124586). The London branch of Westpac is registered at Companies House as a branch established in the United Kingdom (Branch No. BR000106). Details about the extent of the regulation of Westpac's London branch by the PRA are available from us on request.

This communication is not being made to or distributed to, and must not be passed on to, the general public in the United Kingdom. Rather, this communication is being made only to and is directed at (a) those persons falling within the definition of Investment Professionals (set out in Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (the "Order")); (b) those persons falling within the definition of high net worth companies, unincorporated associations etc. (set out in Article 49(2)of the Order; (c) other persons to whom it may lawfully be communicated in accordance with the Order or (d) any persons to whom it may otherwise lawfully be made (all such persons together being referred to as "relevant persons"). Any person who is not a relevant person should not act or rely on this communication or any of its contents. In the same way, the information contained in this communication is intended for "eligible counterparties" and "professional clients" as defined by the rules of the Financial Conduct Authority and is not intended for "retail clients". Westpac expressly prohibits you from passing on the information in this communication to any third party.

European Economic Area ("EEA"): This material may be distributed to you by either: (i) Westpac directly, or (ii) Westpac Europe GmbH ("WEG") under a sub-licensing arrangement. WEG has not edited or otherwise modified the content of this material. WEG is authorised in Germany by the Federal Financial Supervision Authority ('BaFin') and subject to its regulation. WEG's supervisory authorities are BaFin and the German Federal Bank ('Deutsche Bundesbank'). WEG is registered with the commercial register ('Handelsregister') of the local court of Frankfurt am Main under registration number HRB 118483. In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WEG other than as provided for in certain legal agreements (a risk transfer, sub-participation and collateral agreement) between Westpac and WEG and obligations of WEG do not represent liabilities of Westpac. Any product or service made available by WEG does not represent an offer from Westpac or any of its subsidiaries (other than WEG). All disclaimers set out with respect to Westpac apply equally to WEG.

This communication is not intended for distribution to, or use by any person or entity in any jurisdiction or country where such distribution or use would be contrary to local law or regulation.

This communication contains general commentary, research, and market colour. The communication does not constitute investment advice. The material may contain an 'investment recommendation' and/or 'information recommending or suggesting an investment', both as defined in Regulation (EU) No 596/2014 (including as applicable in the United Kingdom) ("MAR"). In accordance with the relevant provisions of MAR, reasonable care has been taken to ensure that the material has been objectively presented and that interests or conflicts of interest of the sender concerning the financial instruments to which that information relates have been disclosed.

Investment recommendations must be read alongside the specific disclosure which accompanies them and the general disclosure which can be found here. Such disclosure fulfils certain additional information requirements of MAR and associated delegated legislation and by accepting this communication you acknowledge that you are aware of the existence of such additional disclosure and its contents.

To the extent this communication comprises an investment recommendation it is classified as non-independent research. It has not been prepared in accordance with legal requirements designed to promote the independence of investment research and therefore constitutes a marketing communication. Further, this communication is not subject to any prohibition on dealing ahead of the dissemination of investment research.

Week beginning 13 July 2026

AUSTRALIA & NEW ZEALAND WEEKLY

Analysis and forecasts for this week's key releases.

In this week's edition:

Economic Insight: RBA hawkish near term, cuts brought forward to 2027.

The Week That Was: Testing conditions.

Focus on New Zealand: From nail-biter to head-scratcher.

For the week ahead:

Australia: Westpac-MI Consumer Sentiment, business survey, inflation expectations.

New Zealand: selected price indices, retail card spending, house prices and sales, Q2 NZIER Survey of Business Opinion, RBNZ Chief Economist speaking.

China: Q2 GDP, retail sales, industrial production, fixed asset investment, trade balance.

Euro Area: industrial production, trade balance.

United States: FOMC Chair Warsh testifies before House & Senate, CPI, PPI, industrial production, UoM consumer sentiment, retail sales, regional manufacturing surveys, Federal Reserve's Beige Book.

Canada: BoC policy decision.

Information contained in this report current as at 10 July 2026.

RBA hawkish near term, cuts brought forward to 2027

Luci Ellis
Chief Economist, Westpac Group

- **Our conviction that the RBA will increase the cash rate in August has increased. Inflation and labour market data were broadly as we expected, and recent RBA communication has highlighted reasons to hike more – and in a more front-loaded way – in the face of supply shocks. We read the June minutes and recent speeches from the staff as messaging a preference around future decisions, as well as explaining the steep trajectory of the increases that have already occurred.**
- We have published our July Market Outlook with updated forecasts. The run of inflation data has been broadly as expected so far but developments in energy markets point to a somewhat less inflationary outlook in coming quarters than previously forecast. Our forecasts for trimmed mean inflation remain a little above the RBA's May SMP forecasts, though less so than before. The changes themselves are minor and continue to incorporate the above-average pass-through of fuel and other cost shocks that we have been flagging for some time and which the RBA has also highlighted.
- We still regard a follow-up rate hike in September as the most likely outcome, but our conviction about its occurrence and timing has declined. Our revised forecasts imply underlying inflation will not exceed the RBA's May forecasts in the second half of 2026 by as much as earlier forecasts implied. While a September hike remains our base case – just – there are credible scenarios where the second cash rate increase occurs later or not at all. We expect the Monetary Policy Board (MPB) to remain sanguine about the real economy, even if the activity pulse falters around mid-year as we expect. The MPB continues to believe that the economy is too tight and requires a period of below-average growth to get inflation under control. It also assesses that the oil price and other supply shocks worsen this trade-off by lowering supply capacity.
- Given this updated inflation outlook, we expect the subsequent rate cuts to come sooner than previously forecast, starting August 2027 rather than early 2028 as previously. We still think the RBA will be "once bitten, twice shy" from the experience of 2025, when inflation popped back up again almost immediately after it started cutting rates. It will not be pre-emptive in its rate cuts. However, a lower inflation trajectory in 2027 will be hard for it to ignore, especially if growth undershoots its (downbeat) assessment of supply capacity by as much as our GDP forecasts imply. This is a timing shift in our rates forecast, and we continue to expect a relatively tentative pace of rate cuts of 25bps per quarter.

The MPB kept the cash rate on hold at its June meeting as expected. Having already hiked three times in quick succession, it had space to assess how these were flowing through to the economy. The post-meeting communication and subsequent speeches have noted that policy tightening was affecting the economy broadly as expected.

The near-term path for the cash rate nonetheless remains on the hawkish side and our conviction around our expectation of an August hike has risen, subject to confirmation once the June quarter CPI data are released. The post-meeting communication added language stating that the MPB stood ready to hike if needed. This drafting decision is unusual for an RBA statement, and was a stronger steer than previously. It suggests that the MPB wanted to hose down recent speculation that they are done hiking rates. Its assessment of the real economy in both the post-meeting communication and the minutes was sanguine, and it is clearly more worried about upside risks to inflation than downside risks.

> **"RBA remains hawkish and our conviction regarding a rate hike in August has increased."**

Subsequent speeches by senior RBA officials have highlighted reasons to be hawkish, and specifically to front-load policy responses to inflation risks. As we noted back in May, it has long been known that inflation responds more to changes in economic slack when the economy is tight than when it is weak (that is, the Phillips Curve is nonlinear), and to larger shocks than smaller ones. The RBA staff have nonetheless chosen to highlight this relationship recently, especially in the context of the sequence of supply shocks seen in recent years. Both we and they assess this context as likely to continue, with further policy-driven shocks probable in the period ahead. The latest outbreak of hostilities in the Middle East underlines this possibility.

Further out, the outlook is less hawkish than before. The recent flare-up in the Middle East still leaves energy prices well below their earlier peaks. The narrative of fuel and other transport costs driving other prices has faded; we have seen few announcements in this vein lately. The partial extension of the cut to fuel excise will also smooth the path of these costs and reduce the pulse to inflation from the unwind of this policy measure. While this episode of pass-through has been unusually strong – as we flagged some months ago – we now have more conviction that it is mostly a one-off level shift and not an ongoing lift in the inflation trend. Consequently, the inflation outlook for 2027 is not quite as far above the RBA's own May forecasts as we previously thought. This brings forward the likely timing of the unwind of current tight monetary policy. However, the MPB will be cautious in its approach to easing policy given its experience last year.

Forecast changes

- **A full update to our forecasts, including the changes to our RBA cash rate profile and inflation discussed in this article, was published in the Market Outlook publication on July 10.**

Cliff Notes: testing conditions

Elliot Clarke, Head of International Economics
Ryan Wells, Economist
Illiana Jain, Economist

Amid a sparse local data calendar, a speech from RBA Assistant Governor (Economic) Sarah Hunter was scrutinised but had little market impact. The speech focused on supply-side shocks, such as the Middle East conflict, and the conundrum it presents for dual-mandated central banks like the RBA.

Assistant Governor Hunter reiterated the RBA's perspective that these shocks are harder to 'look through' if economic capacity is already tight when the shock occurs, firms can readily pass through costs and/or inflation expectations de-anchor. While the latter is more of a risk than a reality at present, the RBA's take on recent data suggests concern over capacity and pass-through is warranted, particularly in the construction sector. This is why the Monetary Policy Board telegraphed in its June policy decision that rate hikes remain on the table despite their decision to pause at that meeting following three successive hikes. The future scale and pace of tightening will depend on how the risks around each of these factors evolves in coming months.

"The upcoming Q2 CPI will prove critical in understanding the best course."

In New Zealand, the RBNZ delivered a 25bp increase at their July meeting, taking the cash rate (OCR) to 2.50%. A key argument for the hike was concern that financial conditions would have eased further if the OCR was left unchanged. The MPC seems to be comfortable with an end-2026 level for the OCR circa 2.75%-3.00% – broadly in line with the May forecasts. Our New Zealand economics team expects follow-up 25bp hikes in September and December and an unchanged sequence of 25bp increases through 2027. That means the peak OCR of 4.00% will now be reached in September 2027 instead of December.

Across in the US, the minutes of the June FOMC meeting showed participants felt a high degree of uncertainty over the outlook and wanted to consider a broad range of incoming information over successive months before determining if policy needs to be adjusted. Remaining on hold and removing previous forward guidance which favoured additional easing from the statement were consensus opinions.

On the balance of risks, the discussion amongst members points to a majority view that price risks had risen and labour market uncertainties receded since April. However, following June's decision, energy prices jolted lower and nonfarm payrolls growth moderated again. The disconnect between payrolls and household survey employment also continues to grow, the latter in outright decline. Growth in consumer demand is also materially below trend and looks set to remain soft, limiting the ability of firms to pass through cost increases. Still, price risks remain. Midweek, President Trump stated he believed the ceasefire with Iran was "over" but did not stop negotiators from continuing to engage. This followed strikes on around 80 Iranian military targets by the US in response to 3 ships being hit by projectiles in the Strait. Another 90 sites were hit in a second day of strikes, and Iran retaliated against US military assets in the region on both occasions.

President Trump has made clear he intends to order additional strikes in scale every time Iran threatens shipping on the Omani side of the Strait, which Iran has done to force shipping through the lanes it controls. A renewed blockade of Iranian cargo was also threatened by President Trump, with a view to increasing domestic pressure and restricting Iran's ability to sell oil into global markets. However, President Trump also felt this escalation would prove short lived. Brent oil rose close to USD81 initially but has since eased back to around USD76. This compares to a low of USD71 early in the week.

Data received in the US and elsewhere in the northern hemisphere this week was secondary in significance and broadly in line with recent trends. Most notable was the ISM services index which reported a deterioration in new orders but also a pairing of input price pressures and improvement in employment, albeit for the latter only to near the 20-year average after three successive contractionary readings.

China's headline and core inflation rates meanwhile stabilised around 1.0%yr in June as producer price inflation edged up to 4.1%yr. Weak domestic demand continues to limit Chinese firms' ability to pass through higher production costs, which have primarily been driven by energy prices. Excess capacity and cautious consumers are likely to restrict consumer inflation in the absence of targeted (and effective) fiscal support.

From nail-biter to head-scratcher

Michael Gordon
Senior Economist

The RBNZ kicked off a new tightening cycle this week, raising the OCR by 25bps to 2.50%. That went against our expectation of an 'on hold' decision, but analyst opinion was split going into the meeting and market pricing strongly favoured a hike. So the decision itself wasn't out of left field, but some of the reasoning behind it left us scratching our heads a bit. Ultimately, though, it amounted to a difference of opinion about timing rather than the direction of policy, and we've adjusted our OCR forecast track only by as much as needed.

In contrast to the 3-3 split vote at the May meeting (with Governor Breman casting the deciding vote in favour of no change), the decision this time was reached by consensus and hence no vote was required. That said, the summary record of the meeting suggests that the distribution of views with the Committee was much the same as in May: external members Gai, Gourley and Hansen remain on the hawkish side, while internal members Breman, Conway and Silk remain more dovish.

The RBNZ acknowledged that oil prices and inflation risks had receded significantly since the May meeting, although the effects of the oil price shock were expected to linger for some time. Meanwhile, the risks around the global growth outlook are now better balanced. With New Zealand inflation already above the target range, and with growth expected to gather momentum as the oil shock fades, the RBNZ concluded that it was time to start removing some of the stimulus that had been put in place last year.

As we discussed in our OCR preview, we felt that the sharp pullback in oil prices since the May meeting gave the RBNZ some breathing room to pause and assess the swathe of data that will be released between now and the 2 September Monetary Policy Statement (compared to the paucity of data releases ahead of this week's meeting). Following the May meeting, Governor Breman in particular had been emphasising the need to take a data-driven approach to assessing the extent of inflation pressures. But that element of patience was missing this time around.

A case for earlier tightening ...

There is certainly a case for an earlier start to hikes compared to the RBNZ's pre-war assessment in its February MPS. One is that global growth is looking perkier than expected, which in turn has been supporting demand for New Zealand's key exports. Indeed, the market consensus has been too downbeat on world growth for some time, through tariffs, wars, and any other perceived headwinds. Some of that reflects the ongoing surge in AI-related investment; supportively low interest rates have probably been a factor too.

Another reason is that, while many aspects of the oil price shock have reversed since May, the exchange rate is not one of them. The New Zealand dollar is lower than it was at the time of the May MPS, and even lower than it was in February. A lower dollar, if sustained, means higher prices for imports while providing an additional boost to exporters' incomes.

Finally, the March quarter CPI showed that even before the US-Iran conflict, inflation was not as well-contained as the RBNZ would have hoped. The headline inflation rate remained at 3.1%, while the various core measures were all on the higher side of the 2-3% target range. That's not a comfortable starting point if you expect that the economy will be gaining momentum in the years ahead, and it suggests that the RBNZ's February MPS projections (which implied a December start to hikes, and a very gradual path beyond that) were too benign.

... but perhaps not yet?

What surprised us the most is that the RBNZ was prepared to start tightening without waiting to see the June quarter inflation data (due on 21 July), which is the period when prices will be most affected by the oil shock. The record of meeting noted that "the recent shock in the Middle East may generate greater inflation persistence due to changes in firms' price setting behaviour". That seems somewhat speculative at this point, and it seems that some MPC members were more persuaded of this than others.

In that respect, we'll be very interested in RBNZ Chief Economist Conway's speech on Tuesday morning, titled "Finding signal in the inflation noise: oil shocks, price setting, and the path back to 2% inflation". The blurb notes that Conway will "share findings from [their] recent research on how rising costs shape business and household inflation expectations, and how these expectations influence price-setting behaviour across the economy." The speech is at the same time as the release of the NZIER's quarterly survey of business opinion, which will also shed some important light on firms' pricing behaviour.

Another reason given for this week's hike was that the economy has actually been running stronger than the RBNZ expected in its May MPS forecasts. This is a tenuous claim. As of the March quarter, the level of GDP is only 0.1% higher than the RBNZ expected, and much of that difference reflects upward revisions that go back several years. Stats NZ has revised up its estimates of the size of the housing stock; these houses in turn provide a flow of services to renters and owner-occupiers, which is included in GDP. That means this should be treated as an upward revision to both the actual and potential level of GDP, with no impact on the RBNZ's estimate of the output gap.

What about the forward-looking view? The record of meeting notes that the RBNZ's "Kiwi-GDP" nowcasting model currently predicts 0.6% growth in the September quarter, which compares to a forecast of just 0.2% in the May MPS. But this is conflating two different forecasts. The nowcast does not represent the RBNZ's official forecast, although it can be a useful guide to the direction of change as new data arrives. In this case, the RBNZ's nowcasts for both the June and September quarters have been largely unchanged over recent weeks – the flow of data has not 'surprised' the model on balance. (In the case of the September quarter, the lack of movement is not really surprising – we don't yet have any data relating to that period, so the nowcast at this point will largely reflect a reversion to the mean growth rate.)

Finally, the RBNZ contended that since the market had already largely priced in a July hike, not delivering on that would have led to a fall in interest rates and an easing in financial conditions that would have been "unwarranted". But it also noted that this follows a material tightening in financial conditions in previous months, which was presumably "warranted". Was it though? The run-up in interest rates over March and April was predicated on a much more alarming inflation outlook than what we face today.

Where to next?

Ultimately, this week's result came down to a difference of opinion about the appropriate timing. We had previously expected the RBNZ to begin tightening at its September review – with a fuller set of data in hand – followed by a series of hikes to reach a peak of 4% by the end of 2027.

We've now brought that profile forward. We expect two more OCR hikes this year, most likely at the September and December reviews. We note that the 28 October review falls ten days before the General Election, which is not in itself a reason for inaction, but it's an easy one to skip if the RBNZ feels comfortable that it already has a couple of hikes under its belt by that point.

Thereafter, we continue to forecast a peak OCR of 4% next year, although our central expectation is that this will now be reached three months earlier at the September 2027 MPS meeting.

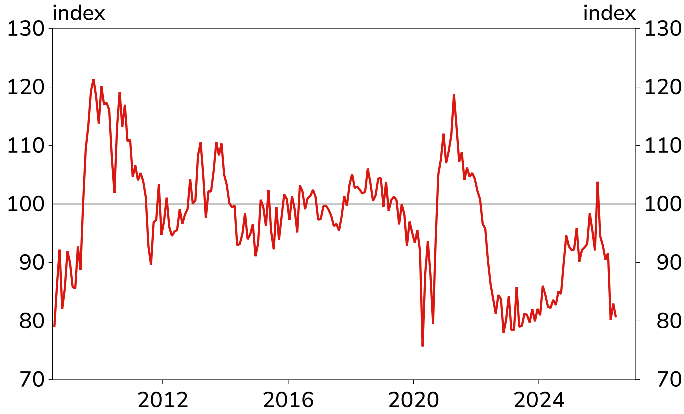
AUS: Jul Westpac-MI Consumer Sentiment (index)

Jul 14, Last: 80.6

Consumer sentiment declined 2.9% to 80.6 in June, remaining deeply pessimistic. The survey detail showed cost-of-living issues remain front and centre, the temporary halving in fuel excise tax providing only a small and brief reprieve.

The last month has seen some positive developments around the energy crisis with US and Iran agreeing to a ceasefire and a tentative reopening the Strait of Hormuz (albeit with a significant flare-up over the course of the survey week). Local pump prices have fallen to around $1.60/litre on average compared to $1.72/litre at the time of the June survey and well above $2 in March-April. This is despite a partial roll back in the fuel excise tax cut. Domestic news has been somewhat mixed, May updates showing the labour force relatively steady but inflation still elevated and a more material weakening in housing markets.

Consumer Sentiment Index



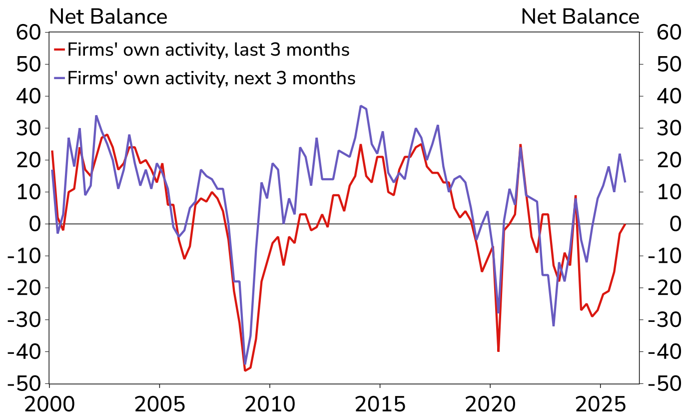
Source: Westpac-MI, Macrobond

NZ: Q2 NZIER Survey of Business Opinion (index)

Jul 14, General Business Confidence, Last: 1

The Q1 survey showed a marked fall in business confidence following the US-Iran conflict. However, the long survey period – from early March to early April – meant that the average results hid a lot, with later responses much weaker than early ones as the severity of the situation became clearer. Similarly, the survey period for Q2 will have straddled the peace agreement that was reached in mid-June, which means that a breakdown of the later responses would likely be more informative than looking at the averages. Probably of most interest to the RBNZ will be whether the survey points to any persistence in firms' pricing intentions even as oil prices receded back towards pre-conflict levels.

QSBO past vs expected activity



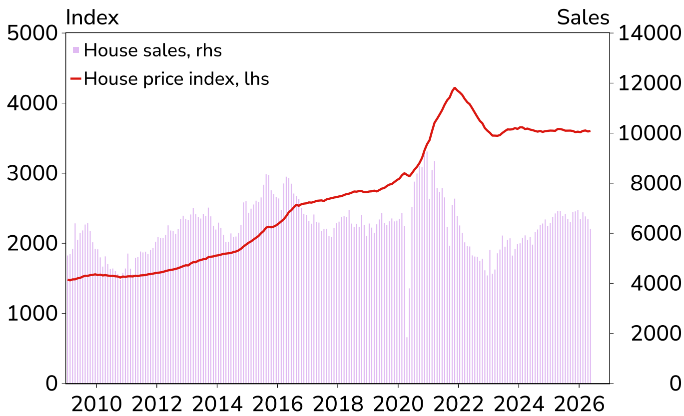
Source: NZIER, Stats NZ, Macrobond, Westpac Economics

NZ: Jun REINZ House Sales & Prices (%yr)

Jul 15, Sales, Last: –12.6; Prices, Last: –0.6

The housing market remained soft in May, with sales down about 6% for the month in seasonally adjusted terms, leaving them nearly 13% lower than a year ago. Rising mortgage rates have weighed on the market over recent months, and the US-Iran conflict and the resulting pressure on household budgets will also have prompted potential buyers to hold back. Some signs of relief on the latter front may have given the market some support in June, but we expect that turnover and prices will remain subdued through the second half of the year.

REINZ house sales and prices



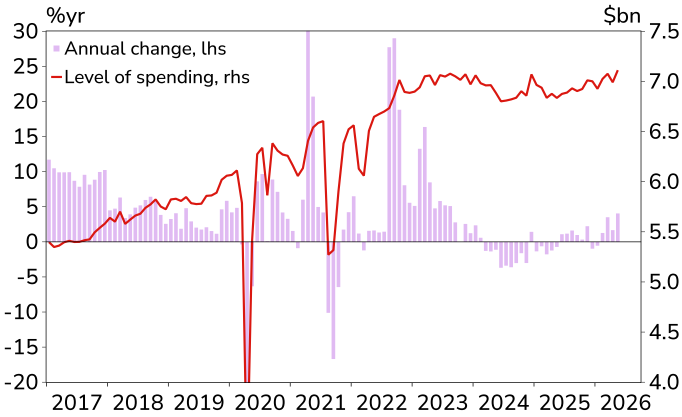
Source: REINZ, Macrobond, Westpac Economics

NZ: Jun Retail Card Spending (%mth)

Jul 15, Last: 1.7, Westpac f/c: 0.1

Retail spending has been choppy over the past couple of months, with large swings in fuel and discretionary spending categories in the wake of the Middle East conflict. We're forecasting a modest 0.1% rise in spending over June. Fuel spending has fallen sharply as prices have dropped. However, the related boost to households' disposable incomes is likely to lift spending in other categories. The broader 'total' spending category, which includes online purchases of items like airfares, is likely to show an even larger rebound after households delayed spending in these categories earlier in the year.

NZ retail card spending



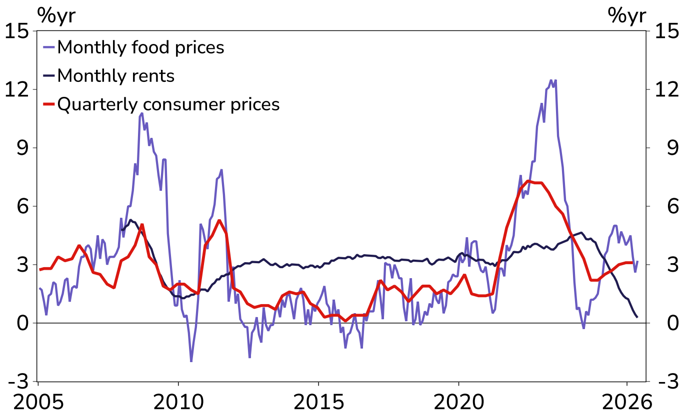
Source: Stats NZ, Macrobond, Westpac Economics

NZ: Jun Selected Consumer Prices (%mth)

Jul 17

This will be the final monthly update before the full quarterly CPI on 21 July. Fuel costs have fallen sharply through the quarter, and as a result we recently revised our forecast for inflation in the year to June down to 4.0% (from 4.5% previously). We'll also be watching to see if there is broader softness in other travel related categories after both airfares and holiday accommodation costs were softer than expected last month. In the other big categories, we expect a 0.6% lift in food prices (boosted by the seasonal rise in vegetable prices), along with flat housing rents.

NZ selected consumer prices



Source: Stats NZ, Macrobond, Westpac Economics

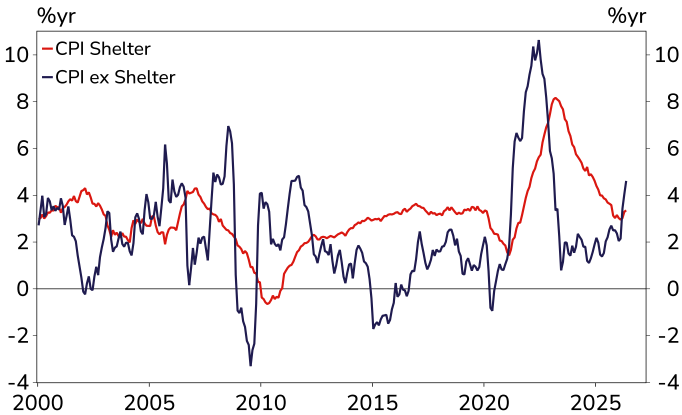
US: Jun CPI (%mth)

Jul 14, Last: 0.5, Market f/c: –0.1, Westpac f/c: flat

Energy price pressures saw an outsized increase in headline inflation in May, 0.5%. Core inflation remained moderate at 0.2%, however, with little-to-no evidence of secondary price effects in the data. Instead, core inflation was supported by housing and medical services.

In June, the sharp reversal in oil prices following the US/Iran memorandum of understanding will suppress headline inflation. Market participants will remain on the look out for pass-through to other components of inflation. Given the state of the US consumer, we expect this to be limited, with core inflation instead determined by domestic capacity constraints, most notably in housing. If the truce holds, annual inflation is likely to return near target over the coming 12 months.

Energy spike set to reverse



Source: BLS, Macrobond, Westpac Economics

What to watch

	For	Data/Event	Unit	Last	Market f/c	Westpac f/c	Risk/Comment
Mon 13							
NZ	Jun	Performance Services Index	index	47.5	–	–	Services sectors have underperformed so far this year.
US		Fedspeak	–	–	–	–	Bowman, Waller.
Tue 14							
Aus	Jul	Westpac–MI Consumer Sentiment	index	80.6	–	–	Cost-of-living issues remain front and centre.
	Jun	NAB Business Conditions	index	3	–	–	Eyes on confidence as Middle East (tentatively) eases.
NZ		RBNZ Chief Econ Conway speech	–	–	–	–	"Oil shocks, price setting, and the path back to 2% inflation"
	Q2	NZIER Survey of Business Opinion	index	1	–	–	Indicators of pricing pressures will be especially important.
	May	Net Migration	no.	3090	–	–	Balance turning more positive as outflows of NZers slow.
Chn	Jun	Trade Balance	US$bn	105.43	120.35	–	Export performance is likely to remain resilient.
US	Jun	NFIB Small Business Optimism	index	95.3	95.5	–	Firms contend with higher borrowing costs and policy shifts.
	Jun	CPI	%mth	0.5	–0.1	0.0	Sharp reversal in oil prices will suppress headline inflation.
		FOMC Chair Warsh	–	–	–	–	Testifies before House Financial Services Committee.
		Fedspeak	–	–	–	–	Barr, Goolsbee, Cook, Bowman.
Wed 15							
NZ	Jun	REINZ House Prices	%yr	–0.6	–	–	Higher mortgage rates and soaring fuel prices ...
	Jun	REINZ House Sales	%yr	–12.6	–	–	... have dampened buyer enthusiasm in recent months.
	Jun	Retail Card Spending	%mth	1.7	–	0.1	Lower fuel prices supporting spending in other areas.
Jpn	May	Core Machinery Orders	%mth	8.7	–4.6	–	An important gauge of investment intentions and confidence.
Chn	Q2	GDP	%ann	5.0	4.5	–	Growth is expected to remain constrained by weak ...
	Jun	Retail Sales	ytd %yr	1.4	–	–	... domestic demand and ongoing challenges in the property ...
	Jun	Industrial Production	ytd %yr	5.4	–	–	... sector. Data will indicate need for further stimulus to ...
	Jun	Fixed Asset Investment	ytd %yr	–4.1	–5.0	–	... rebuild consumer confidence.
Eur	May	Industrial Production	%mth	0.1	0.3	–	Activity remains subdued as challenges persist.
US	Jul	Fed Empire State Manufacturing	index	5.7	8.6	–	Mixed manufacturing conditions across the US.
	Jun	PPI	%mth	1.1	–0.1	–	Watched closely for signals on upstream inflation pressures.
		FOMC Chair Warsh	–	–	–	–	Testifies before Senate Banking Committee.
		Fedspeak	–	–	–	–	Williams, Cook.
	Jul	Federal Reserve's Beige Book	–	–	–	–	A qualitative update on conditions across the regions.
Can		BoC Policy Decision	%	2.25	2.25	–	A cautious approach is warranted as excess capacity endures.
Thu 16							
Aus	Jul	MI Inflation Expectations	%ann	5.5	–	–	RBA watching closely for signs of persistence.
Kor		Bank Of Korea Policy Decision	%	2.50	–	–	Hike on the cards as domestic inflation ticks up.
Eur	May	Trade Balance	€bn	1.3	–	–	Lower energy prices and better external balances to come.
UK	May	Monthly GDP	%mth	–0.1	0.1	–	Activity has softened amid pressure from restrictive policy.
US	Jul	Phily Fed Manufacturing	index	10.3	15.0	–	Mixed demand and uncertainty regarding the outlook.
	Jun	Retail Sales	%mth	0.9	0.3	–	Consumption at risk of slipping below trend.
		Initial Jobless Claims	000s	215	–	–	Remain low by historical standards.
		Fedspeak	–	–	–	–	Musalem, Logan, Schmid, Jefferson.
Fri 17							
NZ	Jun	Selected Price Indices – Food	%mth	1.0	–	0.6	Seasonal lift in vegetable prices.
	Jun	Selected Price Indices – Rents	%mth	–0.1	–	0.0	Remains subdued with large numbers of homes available.
US	Jun	Import Price Index	%mth	1.9	–0.6	–	Useful indication of external cost pressures.
	Jun	Industrial Production	%mth	0.1	0.2	–	Activity remains uneven across sectors.
	Jul	Uni. Of Michigan Sentiment	index	49.5	51.3	–	Sensitive to inflation developments.

Economic & financial forecasts

Interest rate forecasts

Australia	Latest (10 Jul)	Sep–26	Dec–26	Mar–27	Jun–27	Sep–27	Dec–27	Mar–28	Jun–28	Sep–28	Dec–28
Cash	4.35	4.85	4.85	4.85	4.85	4.60	4.35	4.10	3.85	3.85	3.85
90 Day BBSW	4.47	4.90	4.90	4.95	4.80	4.55	4.30	4.05	3.95	3.95	3.95
3 Year Swap	4.43	4.60	4.60	4.50	4.40	4.30	4.20	4.10	4.00	3.95	3.90
3 Year Bond	4.47	4.60	4.60	4.50	4.40	4.30	4.20	4.10	4.00	3.95	3.90
10 Year Bond	4.89	4.90	4.90	4.90	4.85	4.85	4.85	4.85	4.85	4.85	4.85
10 Year Spread to US (bps)	33	40	40	35	30	25	20	15	10	5	0
United States											
Fed Funds	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625
US 10 Year Bond	4.55	4.50	4.50	4.55	4.55	4.60	4.65	4.70	4.75	4.80	4.85
New Zealand											
Cash	2.50	2.75	3.00	3.50	3.75	4.00	4.00	4.00	4.00	3.75	3.75
90 Day Bill	2.83	3.00	3.40	3.75	4.00	4.20	4.20	4.20	4.15	3.95	3.95
2 Year Swap	3.52	3.70	3.95	4.10	4.25	4.20	4.20	4.15	4.15	4.10	4.10
10 Year Bond	4.59	4.55	4.65	4.80	5.00	5.05	5.05	5.05	5.05	5.05	5.05
10 Year Spread to US (bps)	3	5	15	25	45	45	40	35	30	25	20

Exchange rate forecasts

	Latest (10 Jul)	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28	Sep-28	Dec-28
AUD/USD	0.6942	0.71	0.72	0.72	0.73	0.73	0.73	0.73	0.72	0.72	0.72
NZD/USD	0.5760	0.59	0.60	0.62	0.64	0.65	0.66	0.66	0.66	0.66	0.66
USD/JPY	162.36	162	160	159	158	156	154	152	150	148	146
EUR/USD	1.1433	1.16	1.17	1.18	1.19	1.20	1.21	1.22	1.22	1.21	1.21
GBP/USD	1.3413	1.35	1.35	1.36	1.37	1.38	1.39	1.40	1.41	1.41	1.4
USD/CNY	6.7921	6.75	6.70	6.60	6.50	6.45	6.40	6.35	6.35	6.30	6.30
AUD/NZD	1.2053	1.20	1.19	1.16	1.14	1.12	1.11	1.10	1.10	1.10	1.10

Australian economic forecasts

	2026				2027				Calendar years			
% change	**Q1**	**Q2(f)**	**Q3(f)**	**Q4(f)**	**Q1(f)**	**Q2(f)**	**Q3(f)**	**Q4(f)**	**2025**	**2026(f)**	**2027(f)**	**2028(f)**
GDP %qtr	0.3	0.0	0.1	0.3	0.4	0.4	0.4	0.4	–	–	–	–
%yr end	2.5	1.6	1.3	0.7	0.9	1.2	1.4	1.5	2.5	0.7	1.5	2.6
Unemployment rate %	4.2	4.4	4.6	4.9	5.0	4.9	4.9	4.9	4.3	4.9	4.9	4.5
Wages (WPI) (sa) %qtr	0.8	0.8	1.0	0.8	0.8	0.8	0.8	0.8	–	–	–	–
%yr end	3.3	3.2	3.4	3.4	3.4	3.4	3.2	3.2	3.4	3.4	3.2	3.4
Headline CPI %qtr	1.4	0.7	1.3	1.0	0.7	0.6	0.9	0.5	–	–	–	–
%yr end	4.1	4.0	4.0	4.4	3.8	3.7	3.3	2.8	3.6	4.4	2.8	2.6
Trimmed Mean CPI %qtr	0.8	0.9	1.0	0.8	0.8	0.7	0.7	0.7	–	–	–	–
%yr end	3.5	3.7	3.7	3.6	3.5	3.3	3.0	2.8	3.4	3.6	2.8	2.4

New Zealand economic forecasts

	2026				2027				Calendar years			
% Change	**Q1**	**Q2(f)**	**Q3(f)**	**Q4(f)**	**Q1(f)**	**Q2(f)**	**Q3(f)**	**Q4(f)**	**2025**	**2026(f)**	**2027(f)**	**2028(f)**
GDP %qtr	0.8	–0.1	0.6	0.7	1.0	0.5	0.6	0.7	–	–	–	–
Annual avg change	0.8	1.6	1.8	1.9	2.0	2.1	2.4	2.6	0.3	1.9	2.6	3.2
Unemployment rate %	5.3	5.4	5.4	5.3	5.2	5.1	5.0	4.9	5.4	5.3	4.9	4.4
CPI %qtr	0.9	1.4	0.7	0.4	0.6	0.2	0.7	0.4	–	–	–	–
Annual change	3.1	4.0	3.7	3.5	3.1	1.9	1.9	2.0	3.1	3.5	2.0	2.0

Corporate Directory

Westpac Economics / Australia

Sydney
Level 19, 275 Kent Street
Sydney NSW 2000
Australia

E: economics@westpac.com.au

Luci Ellis
Chief Economist Westpac Group
E: luci.ellis@westpac.com.au

Matthew Hassan
Head of Australian Macro–Forecasting
E: mhassan@westpac.com.au

Elliot Clarke
Head of International Economics
E: eclarke@westpac.com.au

Sian Fenner
Head of Business and Industry Economics
E: sian.fenner@westpac.com.au

Justin Smirk
Senior Economist
E: jsmirk@westpac.com.au

Pat Bustamante
Senior Economist
E: pat.bustamante@westpac.com.au

Mantas Vanagas
Senior Economist
E: mantas.vanagas@westpac.com.au

Ryan Wells
Economist
E: ryan.wells@westpac.com.au

Illiana Jain
Economist
E: illiana.jain@westpac.com.au

Neha Sharma
Economist
E: neha.sharma1@westpac.com.au

Luka Belobrajdic
Economist
E: luka.belobrajdic@westpac.com.au

Westpac Economics / New Zealand

Auckland
Takutai on the Square
Level 8, 16 Takutai Square
Auckland, New Zealand

E: economics@westpac.co.nz

Kelly Eckhold
Chief Economist NZ
E: kelly.eckhold@westpac.co.nz

Michael Gordon
Senior Economist
E: michael.gordon@westpac.co.nz

Darren Gibbs
Senior Economist
E: darren.gibbs@westpac.co.nz

Satish Ranchhod
Senior Economist
E: satish.ranchhod@westpac.co.nz

Paul Clark
Industry Economist
E: paul.clarke@westpac.co.nz

Westpac Economics / Fiji

Suva
1 Thomson Street
Suva, Fiji

Shamal Chand
Senior Economist
E: shamal.chand@westpac.com.au

IQ

westpaciq.com.au

Things you should know

We respect your privacy: You can view the New Zealand Privacy Policy here, or the Australian Group Privacy Statement here. Each time someone visits our site, data is captured so that we can accurately evaluate the quality of our content and make improvements for you. We may at times use technology to capture data about you to help us to better understand you and your needs, including potentially for the purposes of assessing your individual reading habits and interests to allow us to provide suggestions regarding other reading material which may be suitable for you.

Disclaimer

This information has been prepared by Westpac and is intended for information purposes only. It is not intended to reflect any recommendation or financial advice and investment decisions should not be based on it. This information does not constitute an offer, a solicitation of an offer, or an inducement to subscribe for, purchase or sell any financial instrument or to enter into a legally binding contract. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice. Certain types of transactions, including those involving futures, options and high yield securities give rise to substantial risk and are not suitable for all investors. We recommend that you seek your own independent legal or financial advice before proceeding with any investment decision.

This information may contain material provided by third parties. While such material is published with the necessary permission none of Westpac or its related entities accepts any responsibility for the accuracy or completeness of any such material. Although we have made every effort to ensure this information is free from error, none of Westpac or its related entities warrants the accuracy, adequacy or completeness of this information, or otherwise endorses it in any way. Except where contrary to law, Westpac Group intend by this notice to exclude liability for this information. This information is subject to change without notice and none of Westpac or its related entities is under any obligation to update this information or correct any inaccuracy which may become apparent at a later date. This information may contain or incorporate by reference forward looking statements. The words “believe”, “anticipate”, “expect”, “intend”, “plan”, “predict”, “continue”, “assume”, “positioned”, “may”, “will”, “should”, “shall”, “risk” and other similar expressions that are predictions of or indicate future events and future trends identify forward-looking statements. These forward-looking statements include all matters that are not historical facts. Past performance is not a reliable indicator of future performance, nor are forecasts of future performance. Whilst every effort has been taken to ensure that the assumptions on which any forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The ultimate outcomes may differ substantially from any forecasts.

Conflicts of Interest: In the normal course of offering banking products and services to its clients, the Westpac Group may act in several capacities (including issuer, market maker, underwriter, distributor, swap counterparty and calculation agent) simultaneously with respect to a financial instrument, giving rise to potential conflicts of interest which may impact the performance of a financial instrument. The Westpac Group may at any time transact or hold a position (including hedging and trading positions) for its own account or the account of a client in any financial instrument which may impact the performance of that financial instrument.

Author(s) disclaimer and declaration: The author(s) confirms that (a) no part of his/her compensation was, is, or will be, directly or indirectly, related to any views or (if applicable) recommendations expressed in this material; (b) this material accurately reflects his/her personal views about the financial products, companies or issuers (if applicable) and is based on sources reasonably believed to be reliable and accurate; (c) to the best of the author’s knowledge, they are not in receipt of inside information and this material does not contain inside information; and (d) no other part of the Westpac Group has made any attempt to influence this material.

Further important information regarding sustainability related content: This material may contain statements relating to environmental, social and governance (ESG) topics. These are subject to known and unknown risks, and there are significant uncertainties, limitations, risks and assumptions in the metrics, modelling, data, scenarios, reporting and analysis on which the statements rely. In particular, these areas are rapidly evolving and maturing, and there are variations in approaches and common standards and practice, as well as uncertainty around future related policy and legislation. Some material may include information derived from publicly available sources that have not been independently verified. No representation or warranty is made as to the accuracy, completeness or reliability of the information. There is a risk that the analysis, estimates, judgements, assumptions, views, models, scenarios or projections used may turn out to be incorrect. These risks may cause actual outcomes to differ materially from those expressed or implied. The ESG-related statements in this material do not constitute advice, nor are they guarantees or predictions of future performance, and Westpac gives no representation, warranty or assurance (including as to the quality, accuracy or completeness of the statements). You should seek your own independent advice.

Additional country disclosures:

Australia: Westpac holds an Australian Financial Services Licence (No. 233714). You can access Westpac’s Financial Services Guide here or request a copy from your Westpac point of contact. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice.

New Zealand: In New Zealand, Westpac Institutional Bank refers to the brand under which products and services are provided by either Westpac (NZ division) or Westpac New Zealand Limited (company number 1763882), the New Zealand incorporated subsidiary of Westpac (“WNZL”). Any product or service made available by WNZL does not represent an offer from Westpac or any of its subsidiaries (other than WNZL). Neither Westpac nor its other subsidiaries guarantee or otherwise support the performance of WNZL in respect of any such product. WNZL is not an authorised deposit-taking institution for the purposes of Australian prudential standards. The current disclosure statements for the New Zealand branch of Westpac and WNZL can be obtained at www.westpac.co.nz.

Singapore: This material has been prepared and issued for distribution in Singapore to institutional investors, accredited investors and expert investors (as defined in the applicable Singapore laws and regulations) only. Recipients of this material in Singapore should contact Westpac Singapore Branch in respect of any matters arising from, or in connection with, this material. Westpac Singapore Branch holds a wholesale banking licence and is subject to supervision by the Monetary Authority of Singapore.

Disclaimer continues overleaf ▶

DISCLAIMER

Fiji: Unless otherwise specified, the products and services for Westpac Fiji are available from www.westpac.com.fj © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia and registered as a branch in Fiji. The liability of its members is limited.

Papua New Guinea: Unless otherwise specified, the products and services for Westpac PNG are available from www.westpac.com.pg © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia. Westpac is represented in Papua New Guinea by Westpac Bank - PNG - Limited. The liability of its members is limited.

U.S: Westpac operates in the United States of America as a federally licensed branch, regulated by the Office of the Comptroller of the Currency. Westpac is also registered with the US Commodity Futures Trading Commission ("CFTC") as a Swap Dealer, but is neither registered as, or affiliated with, a Futures Commission Merchant registered with the US CFTC. The services and products referenced above are not insured by the Federal Deposit Insurance Corporation ("FDIC"). Westpac Capital Markets, LLC ('WCM'), a wholly-owned subsidiary of Westpac, is a broker-dealer registered under the U.S. Securities Exchange Act of 1934 ('the Exchange Act') and member of the Financial Industry Regulatory Authority ('FINRA'). In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WCM other than as provided for in certain legal agreements between Westpac and WCM and obligations of WCM do not represent liabilities of Westpac.

This communication is provided for distribution to U.S. institutional investors in reliance on the exemption from registration provided by Rule 15a-6 under the Exchange Act and is not subject to all of the independence and disclosure standards applicable to debt research reports prepared for retail investors in the United States. WCM is the U.S. distributor of this communication and accepts responsibility for the contents of this communication. Transactions by U.S. customers of any securities referenced herein should be effected through WCM. All disclaimers set out with respect to Westpac apply equally to WCM. If you would like to speak to someone regarding any security mentioned herein, please contact WCM on +1 212 389 1269. Investing in any non-U.S. securities or related financial instruments mentioned in this communication may present certain risks. The securities of non-U.S. issuers may not be registered with, or be subject to the regulations of, the SEC in the United States. Information on such non-U.S. securities or related financial instruments may be limited. Non-U.S. companies may not be subject to audit and reporting standards and regulatory requirements comparable to those in effect in the United States. The value of any investment or income from any securities or related derivative instruments denominated in a currency other than U.S. dollars is subject to exchange rate fluctuations that may have a positive or adverse effect on the value of or income from such securities or related derivative instruments.

The author of this communication is employed by Westpac and is not registered or qualified as a research analyst, representative, or associated person of WCM or any other U.S. broker-dealer under the rules of FINRA, any other U.S. self-regulatory organisation, or the laws, rules or regulations of any State. Unless otherwise specifically stated, the views expressed herein are solely those of the author and may differ from the information, views or analysis expressed by Westpac and/or its affiliates.

UK: The London branch of Westpac is authorised in the United Kingdom by the Prudential Regulation Authority (PRA) and is subject to regulation by the Financial Conduct Authority (FCA) and limited regulation by the PRA (Financial Services Register number: 124586). The London branch of Westpac is registered at Companies House as a branch established in the United Kingdom (Branch No. BR000106). Details about the extent of the regulation of Westpac's London branch by the PRA are available from us on request.

This communication is not being made to or distributed to, and must not be passed on to, the general public in the United Kingdom. Rather, this communication is being made only to and is directed at (a) those persons falling within the definition of Investment Professionals (set out in Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (the "Order")); (b) those persons falling within the definition of high net worth companies, unincorporated associations etc. (set out in Article 49(2)of the Order; (c) other persons to whom it may lawfully be communicated in accordance with the Order or (d) any persons to whom it may otherwise lawfully be made (all such persons together being referred to as "relevant persons"). Any person who is not a relevant person should not act or rely on this communication or any of its contents. In the same way, the information contained in this communication is intended for "eligible counterparties" and "professional clients" as defined by the rules of the Financial Conduct Authority and is not intended for "retail clients". Westpac expressly prohibits you from passing on the information in this communication to any third party.

European Economic Area ("EEA"): This material may be distributed to you by either: (i) Westpac directly, or (ii) Westpac Europe GmbH ("WEG") under a sub-licensing arrangement. WEG has not edited or otherwise modified the content of this material. WEG is authorised in Germany by the Federal Financial Supervision Authority ('BaFin') and subject to its regulation. WEG's supervisory authorities are BaFin and the German Federal Bank ('Deutsche Bundesbank'). WEG is registered with the commercial register ('Handelsregister') of the local court of Frankfurt am Main under registration number HRB 118483. In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WEG other than as provided for in certain legal agreements (a risk transfer, sub-participation and collateral agreement) between Westpac and WEG and obligations of WEG do not represent liabilities of Westpac. Any product or service made available by WEG does not represent an offer from Westpac or any of its subsidiaries (other than WEG). All disclaimers set out with respect to Westpac apply equally to WEG.

This communication is not intended for distribution to, or use by any person or entity in any jurisdiction or country where such distribution or use would be contrary to local law or regulation.

This communication contains general commentary, research, and market colour. The communication does not constitute investment advice. The material may contain an 'investment recommendation' and/or 'information recommending or suggesting an investment', both as defined in Regulation (EU) No 596/2014 (including as applicable in the United Kingdom) ("MAR"). In accordance with the relevant provisions of MAR, reasonable care has been taken to ensure that the material has been objectively presented and that interests or conflicts of interest of the sender concerning the financial instruments to which that information relates have been disclosed.

Investment recommendations must be read alongside the specific disclosure which accompanies them and the general disclosure which can be found here. Such disclosure fulfils certain additional information requirements of MAR and associated delegated legislation and by accepting this communication you acknowledge that you are aware of the existence of such additional disclosure and its contents.

To the extent this communication comprises an investment recommendation it is classified as non-independent research. It has not been prepared in accordance with legal requirements designed to promote the independence of investment research and therefore constitutes a marketing communication. Further, this communication is not subject to any prohibition on dealing ahead of the dissemination of investment research.